US Chartbook

v0.1.8; Last updated: May 28, 2026

Open source notes on the United States economy

Warning

Likely contains errors, use with caution!

Report Errors

Contact

Brian Dew
brian.w.dew@gmail.com
bdecon/US-chartbook

About the Chartbook

The US chartbook is a collection of notes describing economic and social developments in the United States since 1989. The notes are grouped into sections, each covering one macroeconomic sector or one major aspect of the economy. Each section contains charts, tables, descriptive text, and links to relevant materials.

The chartbook connects to public data sources to stay up to date. The latest version of the chartbook is located at uschartbook.com. The source code is posted on GitHub.

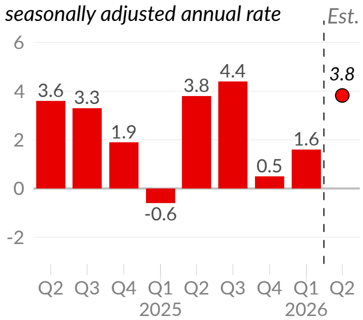
Ultimately, the chartbook aims to be useful for macroeconomic analysis, to inspire researchers and students, and to facilitate research and exploration.

Key Economic Indicators

The following six charts summarize recent economic developments. Each topic—output, prices, productivity, employment, wage growth, and job growth—is covered in more depth in the chartbook. Click the chart icon to go to the relevant chartbook section.

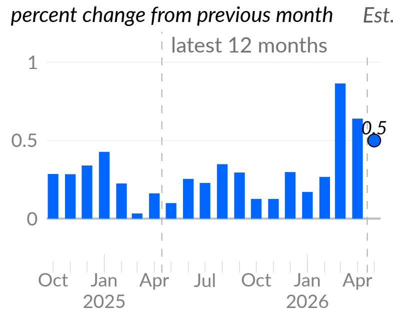
Real GDP Growth

seasonally adjusted annual rate



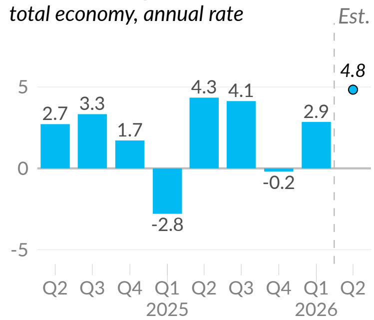
Consumer Price Index

percent change from previous month



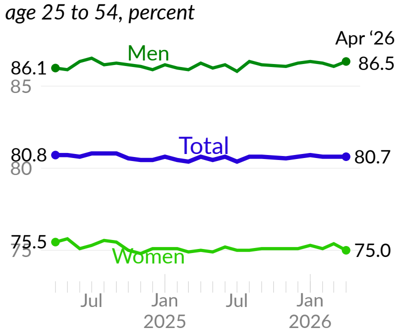
Productivity Growth

total economy, annual rate



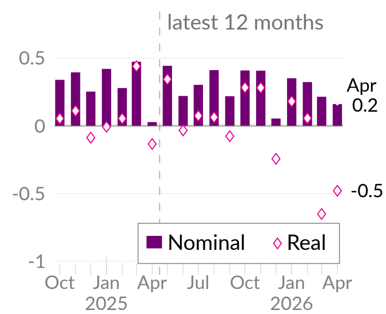
Employment Rate

age 25 to 54, percent



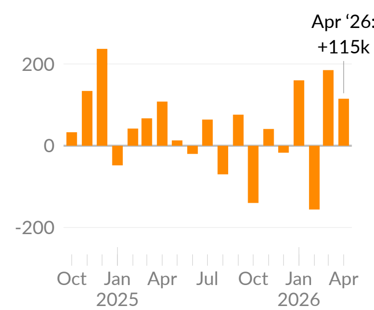
Average Hourly Earnings

percent change from previous month



Private Nonfarm Payrolls

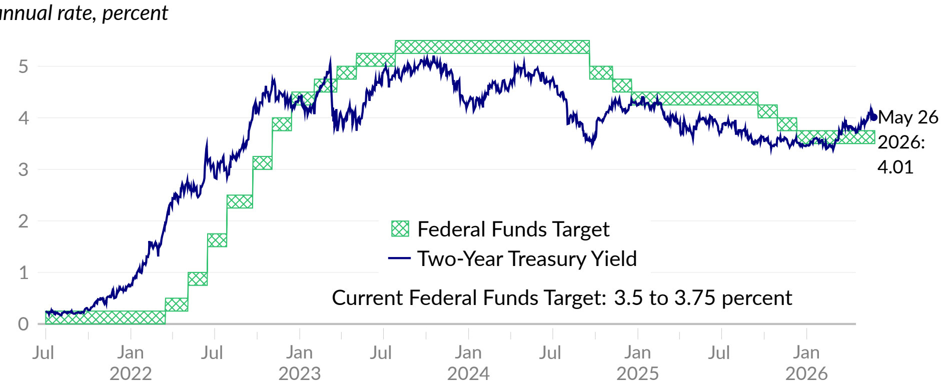
change from previous month, thousands



Additionally, interest rates offer a high-frequency summary of expected inflation, output, and risk. Comparing the two-year treasury yield to the federal funds rate suggests interest rates will increase slightly in the near term.

Short-Term Interest Rates

annual rate, percent



Contents

Return to Table of Contents

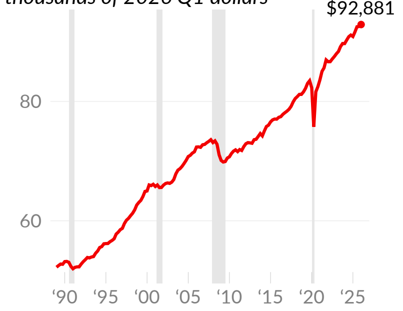
Overall Economic Activity

This analysis of the United States economy begins with the most popular measure of overall economic activity, **gross domestic product** (GDP). GDP is the value of goods and services produced in the US during a given time period.

The Bureau of Economic Analysis reports seasonally adjusted annualized GDP of $31.8 trillion in the first quarter of 2026, compared to an inflation-adjusted equivalent of $27.6 trillion in 2019 Q4, and $12.9 trillion in the first quarter of 1989.

The US population is growing by about four-tenths of a percent per year. Real GDP per person (see —), in 2026 Q1 dollars, is currently $92,881, compared to $83,472 in 2019 Q4, and $52,233 in 1989 Q1. Next, we examine types of economic activity using three approaches to calculating GDP.

Real GDP Per Capita
thousands of 2026 Q1 dollars

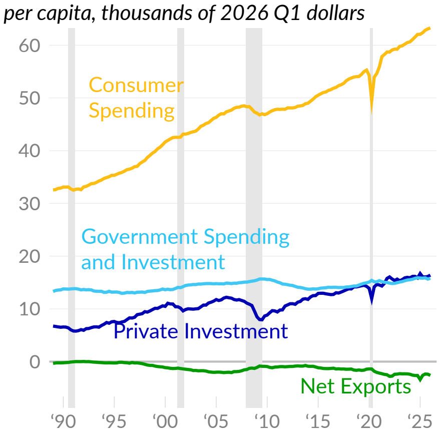


Source: Bureau of Economic Analysis

Types of Economic Activity

The **expenditures approach** to calculating GDP starts with the sum of major types of domestic spending on finished goods and services: consumer spending, private investment, and government spending and investment. To capture only domestic production, foreign spending on US produced goods and services is added, while imports (spending on non-US-produced goods and services) are subtracted.

Expenditures, by Type
per capita, thousands of 2026 Q1 dollars



Source: Bureau of Economic Analysis

Much of the increase in GDP over the past 30 years comes from consumer spending. Consumer spending (see —) is equivalent to $63,277 per person in 2026 Q1, a price-adjusted increase of $30,732 since 1989.

Gross private domestic investment (see —) is equivalent to $16,406 per person in 2026 Q1. Government spending and investment (see —) totals $15,810 per person. The trade deficit, equivalent to $2,613 per person, is subtracted, to capture only domestic production (see —).

Each spending category is discussed in more detail in subsequent sections.

Expenditures, by Type
per capita, seasonally adjusted annualized rate, 2026 Q1 dollars

	2026 Q1	2025 Q4	2019 Q4	2000 Q1	1989 Q1
— Gross Domestic Product	$92,881	92,549	83,473	64,996	52,234
— Consumer Spending	63,277	63,085	55,282	41,655	32,545
— Gross Private Domestic Investment	16,406	16,139	14,272	10,479	6,745
— Government Spending & Investment	15,810	15,650	14,944	13,634	13,315
— Net Exports	-2,613	-2,380	-1,427	-1,139	-326
Exports	10,293	9,985	9,521	5,795	3,026
Less: Imports	12,906	12,308	10,582	6,811	3,187

Source: Bureau of Economic Analysis

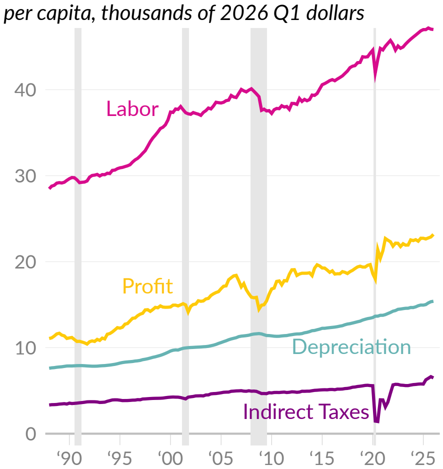
The **income approach** calculates total economic activity as the sum of production income and certain production expenses. Production income is the payment for labor and capital. Labor income, or "compensation of employees" in the national accounts, includes wages and salaries as well as supplements such as employer-paid health insurance premiums and retirement account contributions. Capital income, or profit, is listed as the "net operating surplus" in national accounts and includes interest payments, rental profits, business proprietor profits, and corporate profits.

Not all revenue from production provides income directly to people. Tariffs, sales tax, property tax, and licensing fees are indirect business taxes that are not levied directly on income but considered part of the cost of production. Government subsidies, which are income payments for production that did not occur, are subtracted from income measures of production. Lastly, replacing and maintaining buildings and equipment is a growing portion of production costs. This depreciation expense is recorded as "consumption of fixed capital" in national accounts.

The Bureau of Economic Analysis reports seasonally adjusted annualized gross domestic income (GDI) of $31,539 billion in 2026 Q1, which is $92,063 per capita. Net domestic income (NDI), equal to GDI less depreciation, is $26,263 billion in 2026 Q1, or $76,663 per capita.

Income, by Type

per capita, thousands of 2026 Q1 dollars



Source: Bureau of Economic Analysis

Labor's share is 61.3 percent of NDI in 2026 Q1. Gross labor income per capita is $46,998 in 2026 Q1 (see —) and $44,253 in 2019 Q4, on an annualized, seasonally adjusted, and inflation-adjusted basis.

Profits comprise 30.2 percent of NDI in 2026 Q1. Profits per person total $23,179 in 2026 Q1 (see —) and $19,663 in 2019 Q4, following the same adjustments. Indirect taxes less subsidies per capita total $6,486 in 2026 Q1 (see —) and $5,593 in 2019 Q4.

Lastly, depreciation per capita is $15,401 in 2026 Q1 (see —) and $13,431 in 2019 Q4. Depreciation makes up 16.7 percent of GDI in 2026 Q1.

Income, by Type

per capita, seasonally adjusted annualized rate, 2026 Q1 dollars

	2026 Q1	2025 Q1	2019 Q4	2012 Q1	2000 Q1	1989 Q1
Gross Domestic Income	$92,063	90,432	82,941	73,844	65,996	52,070
— Labor Income	46,998	46,988	44,253	38,405	37,406	29,192
Wages and Salaries	38,720	38,754	36,112	31,054	30,922	24,091
Supplements	8,279	8,234	8,141	7,351	6,483	5,101
— Profit	23,179	22,724	19,663	19,056	14,733	11,679
— Indirect Taxes	6,486	5,768	5,593	4,866	4,246	3,441
Production & Import Taxes	6,879	6,093	5,908	5,131	4,539	3,706
Less: Subsidies	393	326	315	265	293	265
— Depreciation	15,401	14,953	13,431	11,517	9,611	7,757

Source: Bureau of Economic Analysis

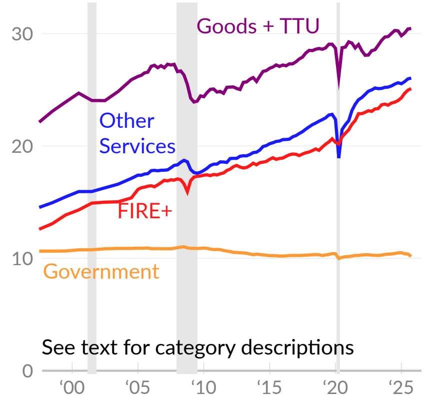
The **production approach** to GDP identifies how individual industries contribute to domestic production by calculating the value added by each industry during the production process. The value added by an industry or sector group is its sales or gross output minus any intermediate inputs used in production. The Bureau of Economic Analysis reports GDP by industry, which is summarized briefly in this subsection by grouping the various private industries into broad categories.

The first category combines private goods-producing industries: agriculture, forestry, fishing, and hunting (0.8 percent of GDP in 2025 Q4); mining (1.2 percent of GDP); construction (4.3 percent); and manufacturing (9.4 percent), with trade, transportation, and utilities (TTU, combined 17.5 percent of GDP). The second category is finance, insurance, and real estate (FIRE, 21.7 percent of GDP in 2025 Q4) combined with the information industry (5.6 percent of GDP), labeled as FIRE+.

The remaining private services-providing industries include: professional and business services (13.1 percent of GDP in 2025 Q4); education, health care, and social services (8.9 percent of GDP); and arts, entertainment, and recreation (4.3 percent). Separately, public-sector value added in production, at the federal, state, and local levels, is captured by the government category (11.1 percent of GDP).

Production, by Type

per capita, thousands of 2025 Q4 dollars



Source: Bureau of Economic Analysis

In 2025 Q4, private goods-producing industries and the trade, transportation, and utilities industries add $30,451 per person in domestic production, on an annualized basis, compared to $29,051 in 2019 Q4 (see —). Private finance, insurance, real estate, and information industry services add $25,102 in combined value, per capita in 2025 Q4 and $20,638 in 2019 Q4 (see —).

All other private services-producing industries' combined value added per person is $26,039 in 2025 Q4 and $22,812 in 2019 Q4 (see —). Government value added is $10,171 per person in 2025 Q4 and $10,423 in 2019 Q4 (see —).

Production, by Type

per capita, annualized, 2025 Q4 dollars

	2025 Q4	2025 Q3	2019 Q4	2005 Q1	1997 (A)
— Goods and TTU	$30,451	30,408	29,051	26,189	22,115
Manufacturing	8,648	8,748	8,282	7,745	6,202
Construction	3,927	3,948	4,049	4,872	4,538
Retail Trade	5,723	5,673	5,081	4,292	3,379
— FIRE+	25,102	24,964	20,638	16,136	12,590
Finance & Insurance	7,413	7,415	7,059	6,473	4,807
Information	5,143	5,052	3,381	1,613	983
— Other Services	26,039	25,968	22,812	17,404	14,533
Education & Healthcare	8,127	8,061	6,894	5,177	4,450
Professional & Business	12,006	11,991	9,445	6,674	5,384
— Government	10,171	10,387	10,423	10,909	10,647

Source: Bureau of Economic Analysis

Household Inputs to Production

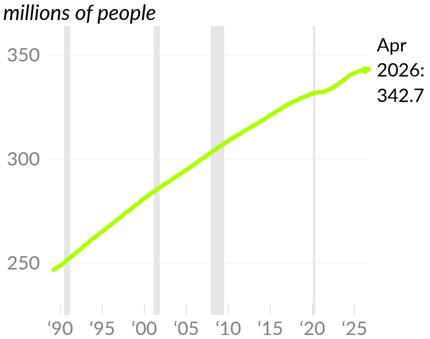
It is useful to consider household inputs when analyzing economic output. For example, is the population growing? Are more people working? Are people working more hours? Is the economy more productive in its use of labor? These inputs are summarized below and covered in more depth in subsequent sections.

First, the US **population** is nearly 343 million, as of April 2026 (see —), an increase of 96 million since 1989. Since 1989, the population has grown at an average annual rate of 0.9 percent; the current rate is around 0.3 percent. To maintain a constant standard of living, real GDP would need to increase by the same amount.

Next, the **employment rate** (see —) measures the share of the population that is working. The rate climbs during economic expansions and falls during recessions. Separately, population aging has gradually reduced the potential employment rate. The current employment rate is 0.4 percentage point above the 30-year average.

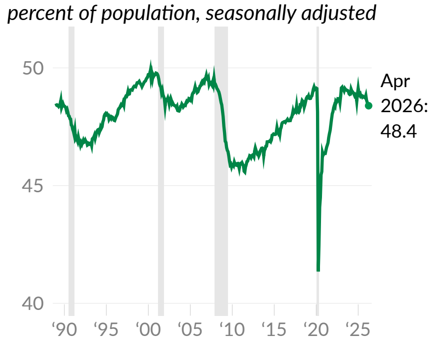
Trends in the **average workweek** (see —) are more complicated. Economic output is typically correlated with work hours. However, as workers become more productive, they may increase their leisure time, resulting in shorter workweeks. In April 2026, the average workweek is 37.0 hours.

Population
millions of people



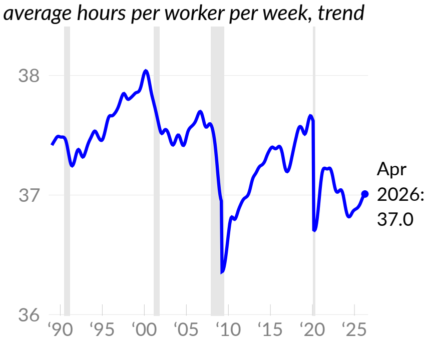
Source: BEA, Census

Employment Rate
percent of population, seasonally adjusted



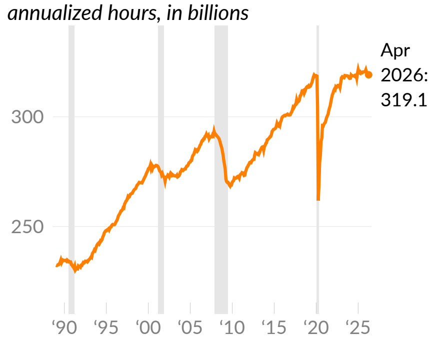
Source: CPS Microdata

Average Workweek
average hours per worker per week, trend



Source: CPS Microdata

Total Hours Worked
annualized hours, in billions



Source: Author's Calculations

Combining the population, employment rate, and average workweek, we can estimate **total hours worked** (see —). Total hours worked represent all households' labor dedicated to production—the total hours of labor that create GDP. Since 1989, total hours worked have increased at an average annual rate of 0.9 percent. Since the pre-pandemic peak in October 2019, hours worked have increased by a total of 0.1 percent.

After estimating household inputs to production as the total hours worked, we can calculate the **productivity of labor**. The productivity of labor is the relationship between household inputs to production (labor, or hours of work) and economic output (GDP). Specifically, labor productivity is calculated as real GDP divided by hours of work.

Higher labor productivity means more output per hour of work. As such, labor productivity is a major determinant of income levels and quality of life. Labor productivity is discussed in more depth in the labor markets section, but this subsection provides an estimate that is useful for examining the connection between GDP and labor.

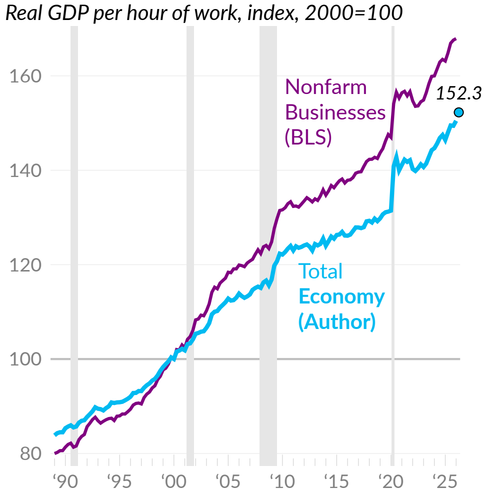
Dividing GDP by total hours worked yields a labor productivity estimate (see —) for the entire economy reasonably consistent with the official nonfarm business measure (see —). Nonfarm businesses are about three-quarters of the economy and exclude general government, non-profits, and household services.

Labor productivity has increased substantially over the long term. From 1989 to 1999, labor productivity for the total economy increased 17.2 percent. From 1999 to 2009, labor productivity increased 18.9 percent, and from 2009 to 2019, labor productivity increased 11.1 percent.

From 1989 to 2019, total economy productivity growth averaged 1.5 percent per year; GDP growth averaged 2.5 percent per year and work hours increased one percent per year. Since 2019, total economy labor productivity growth has averaged 2.2 percent per year, with average GDP growth of 2.3 percent and virtually no change in work hours.

Labor Productivity

Real GDP per hour of work, index, 2000=100



Source: BLS, Author's Calculations

More recent data show annualized total economy productivity growth of 2.9 percent in 2026 Q1. The estimate for 2026 Q2 (see ●), based on the Federal Reserve Bank of Atlanta GDPNow, suggests annualized productivity growth of 4.8 percent.

Household Inputs to Production

index, January 2000=100, or as noted

	2026 Q2 Est.	2026 Q1	2025 Q4	2025 Q2	2019 Q4	2014	1989
— Labor Productivity (index)	*152.3*	150.5	149.4	148.0	131.2	125.1	84.3
Real GDP (index)	*175.7*	174.0	173.3	171.3	151.2	131.6	71.1
Total Hours Worked (index)	*115.4*	115.7	116.0	115.7	115.2	105.2	84.4
Population (millions)	*342.8*	342.6	342.4	341.8	331.2	319.6	247.4
Employment Rate (percent)	*48.4*	48.5	48.8	48.8	49.1	46.9	48.4
Average Workweek (hours)	*37.0*	37.0	37.0	36.9	37.7	37.3	37.5
Labor Productivity Growth (percent)	*4.8*	2.9	-0.2	4.3	0.4	0.0	1.0

Source: Bureau of Economic Analysis, Federal Reserve Bank of Atlanta, and Author's Calculations. Growth is the quarterly annualized rate.

Economic Growth

Economists are particularly concerned with economic growth, measured as changes in economic activity. This subsection discusses economic growth, recessions, and their contributors.

Real GDP Growth

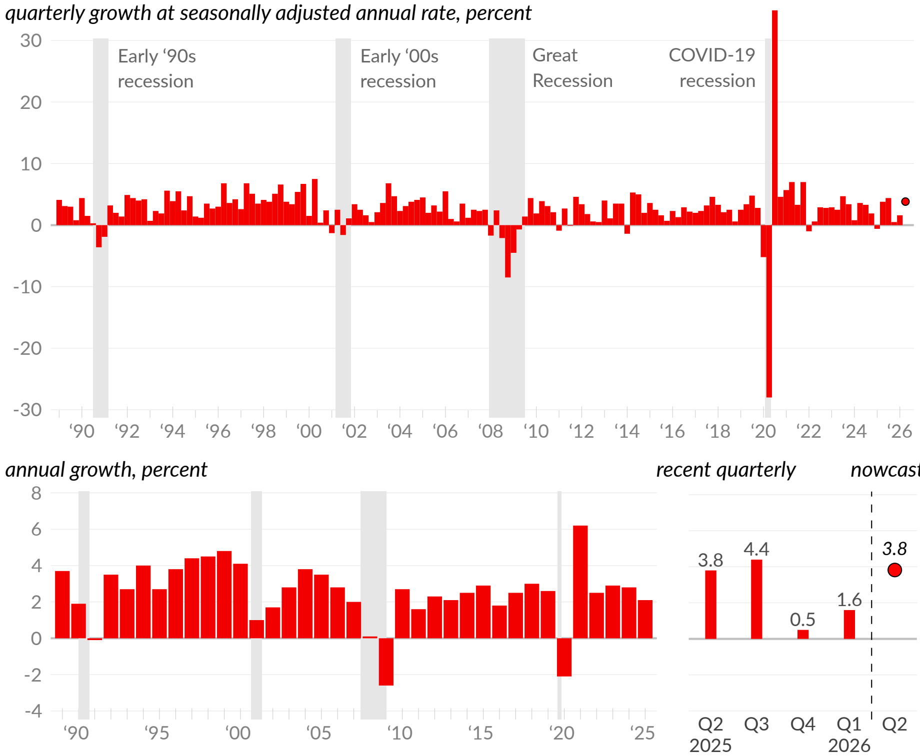
Real GDP growth measures changes in economic activity. As seen in the previous subsection, real GDP has increased steadily over the long term. Since 1989, growth averages 2.5 percent per year (see ■). Growth rates were relatively high during the mid- to late 1990s, averaging 3.9 percent from 1993 to 2000.

In the 2000s, the housing bubble boosted GDP but then collapsed, leading to average growth of only 1.9 percent from 2001 to 2013. Growth was slightly stronger from 2014 to 2019, averaging 2.8 percent per year.

In 2020, COVID-19 caused an economic shutdown, followed by monetary and fiscal stimulus, resulting in large swings in GDP. Annualized real GDP decreased 28.0 percent in Q2, and increased by 34.9 percent in Q3, by far the largest changes in recent history. Since 2019 Q4, real GDP has grown at an average annual rate of 2.3 percent.

Real Gross Domestic Product Growth

quarterly growth at seasonally adjusted annual rate, percent



Source: Bureau of Economic Analysis, Federal Reserve Bank of Atlanta

The bottom-left chart shows annual growth, to make trends more visible. The bottom-right chart shows the most recent four quarters and the estimate for the current quarter. In the **latest data**, covering the first quarter of 2026, real GDP increased at an annual rate of 1.6 percent, compared to increases of 0.5 percent in 2025 Q4 and 4.4 percent in 2025 Q3.

The Federal Reserve Bank of Atlanta uses available economic indicators to **nowcast** the current growth rate. The latest nowcast for 2026 Q2 is 3.8 percent, as of May 28, 2026 (see ●).

Recessions

The long-term pattern in economic growth is often described as the business cycle. Typically, periods of economic growth lasting 7–12 years are interrupted by an **economic recession**—a period where economic activity decreases. The National Bureau of Economic Research (NBER) identifies four recessions since 1989.

During the early 1990s recession, output contracted for eight months and unemployment was higher than its pre-recession average for 63 months. The drop in output was smaller during the early 2000s recession, but unemployment rates took almost 16 years to recover.

The 2008–2009 Great Recession, caused by the collapse of a housing bubble, was very severe. The recession lasted 18 months, with higher rates of unemployment lasting 89 months. The most recent COVID-19 recession was extremely severe and also extremely short-lived, lasting only two months, but with output reduced 9.1 percent.

US Recessions since 1989

	Recession			GDP	Unemp. Rate	
	Start Month	End Month	Duration, Months	Percent Change	Change*	Recovery, Months**
Early '90s Recession	Aug 1990	Mar 1991	8	-1.4	+2.4	63
Early '00s Recession	Apr 2001	Nov 2001	8	-0.1	+2.1	191
Great Recession	Jan 2008	Jun 2009	18	-3.8	+5.2	89
COVID-19 Recession	Mar 2020	Apr 2020	2	-9.1	+10.9	20

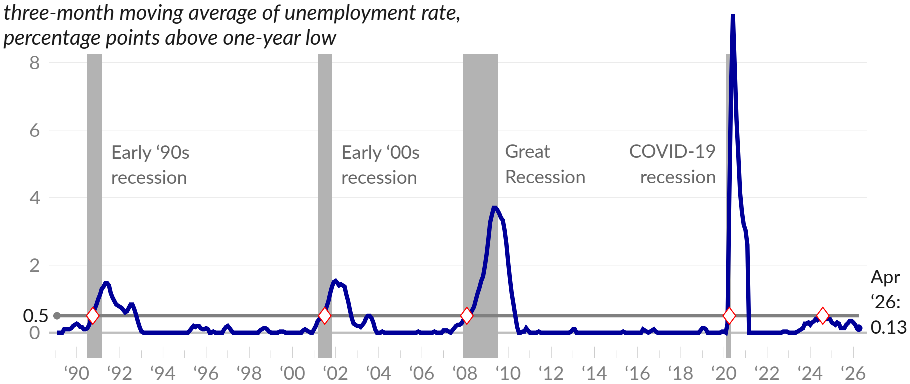
Sources: NBER, BEA, BLS
*Percentage point change from average unemployment rate during three years prior to recession to peak unemployment rate. **Months from recession start until unemployment rate returns to pre-recession three-year average.

Sahm Rule

The most reliable recession indicator (see ■) was identified by Claudia Sahm, and is called the **Sahm Rule**. The Sahm Rule indicates the start of a recession (see ◊) when the three-month moving average unemployment rate rises by half a percentage point or more above its low during the previous twelve months (see —). In effect, the Sahm Rule identifies unemployment increases significant enough to signal a recession.

The Sahm Rule

three-month moving average of unemployment rate, percentage points above one-year low



Source: Claudia Sahm

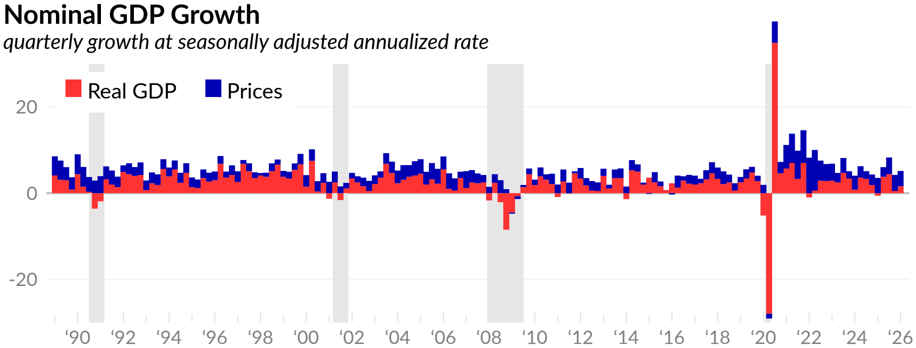
Nominal GDP

Thus far, the chartbook uses *real* GDP, to distinguish changes in activity from changes in prices. However, **nominal GDP**, the market price of economic activity, is sometimes useful.

Nominal GDP growth is a barometer for overall demand. For example, if demand for goods and services increases and supply keeps up, both real and nominal GDP will increase. If supply cannot keep up with higher demand, prices will rise, increasing nominal GDP without increasing real GDP.

In the first quarter of 2026, nominal GDP increased at an annual rate of 5.1 percent, following increases of 4.2 percent in 2025 Q4 and 8.3 percent in 2025 Q3. From 1989 to 2019 Q4, nominal GDP increased at an annual rate of 4.6 percent. Since 2019 Q4, the annualized growth rate is 6.1 percent.

Nominal GDP Growth
quarterly growth at seasonally adjusted annualized rate



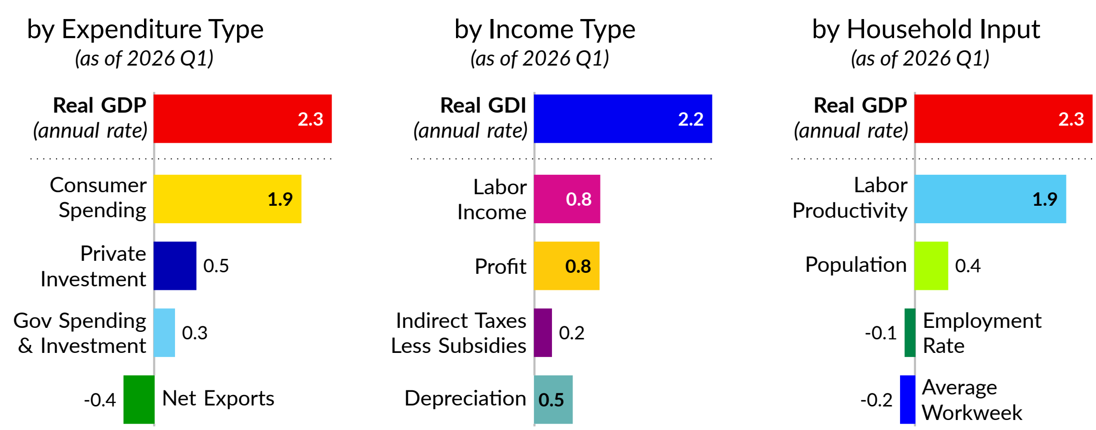
Source: Bureau of Economic Analysis

Components of Growth

This subsection decomposes real GDP growth into the categories from previous subsections, showing how much each contributes to the overall increase or decrease.

The subsection begins with an overview of contributions to growth since 2019, then examines longer-term trends and recent developments for each approach to calculating economic activity. Subsequent sections of the chartbook dig deeper into the contributions from subcategories, such as consumer spending on goods.

Contribution to Growth Since 2019 Q4
percentage point contribution to annualized cumulative growth rate



Source: BEA, Author's Calculations

Expenditure Approach

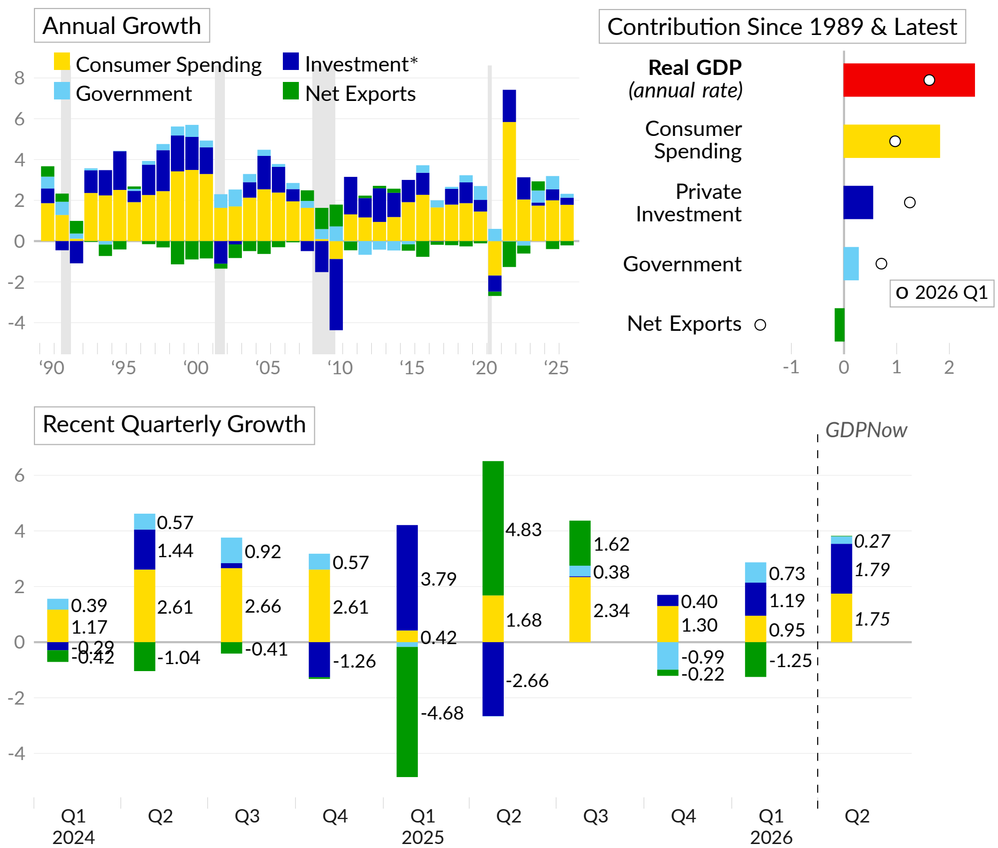
The **expenditures approach** gives insight into changes in activity. The Bureau of Economic Analysis publishes the contribution to GDP growth for each major category of spending. Long-term patterns in these data can provide context for recent developments.

Since 1989, real GDP has grown 2.5 percent per year. Over this period, consumer spending contributed 1.8 percentage points to the annualized change, gross private domestic investment added 0.5 percentage point, government spending and investment added 0.3 point, and net exports subtracted 0.2 point.

In the latest full year of data, covering 2025, GDP growth of 2.1 percent is the result of contributions from consumer spending of 1.8 percentage points, private investment of 0.3 percentage point, government spending and investment of 0.2 percentage point, and net exports of negative 0.2 point.

Real GDP Growth by Expenditure Type

percentage point contribution to GDP growth



Source: BEA, FRB Atlanta; *includes change in private inventories

In 2026 Q1, consumer spending (see ■) contributed 0.95 percentage point to real GDP growth. Private domestic investment (see ■) added 1.19 percentage points, government spending and investment (see ■) contributed 0.73 percentage point, and net exports (see ■) subtracted 1.25 percentage points.

The Federal Reserve Bank of Atlanta GDPNow estimate for 2026 Q2 of 3.8 percent is based on a contribution of 1.75 percentage points from consumer spending, a contribution of 1.79 percentage points from private investment, a contribution of 0.27 point from government, and virtually no addition from net exports.

Income Approach

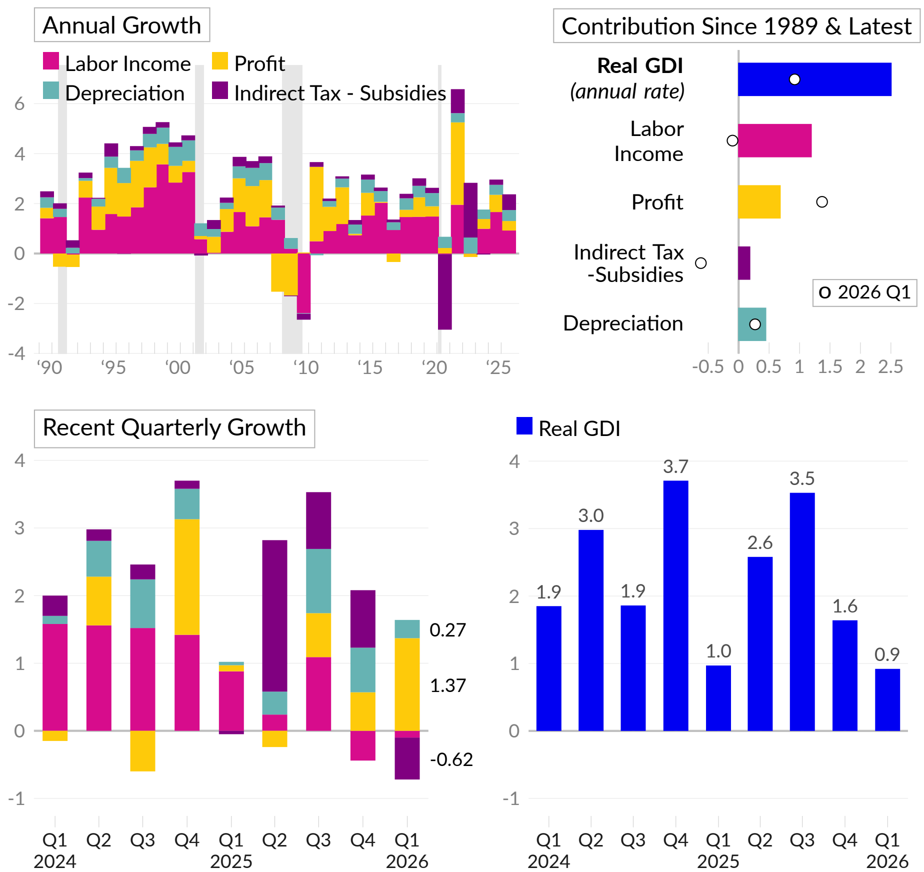
The **income approach** enables decomposing annualized growth into labor income (see ■), profit (see ■), indirect taxes less subsidies (see ■), and depreciation (see ■). This decomposition shows the destination of the gross domestic income (GDI) generated by increased production.

Since 1989, real GDI has grown at an annualized rate of 2.5 percent. Labor's share is 1.2 percentage points of this growth, profit's share is 0.7 percentage point, indirect taxes minus subsidies account for 0.2 point, and 0.4 point goes to depreciation.

In the latest full year of data, 2025, real GDI increased 2.4 percent. Labor income contributed 0.9 percentage point, profit added 0.4 percentage point, indirect taxes less subsidies added 0.6 point, and 0.4 point went to depreciation.

Real GDI Growth by Income Type

percentage point contribution to real GDI growth



Source: Bureau of Economic Analysis

In the first quarter of 2026, real GDI increased at an annual rate of 0.9 percent, following increases of 1.6 percent in 2025 Q4 and 3.5 percent in 2025 Q3. In the latest quarter, labor income subtracted 0.10 percentage point from annualized growth, profit added 1.37 percentage points, changes in indirect tax revenue and subsidies subtracted 0.62 point, and 0.27 point went to depreciation.

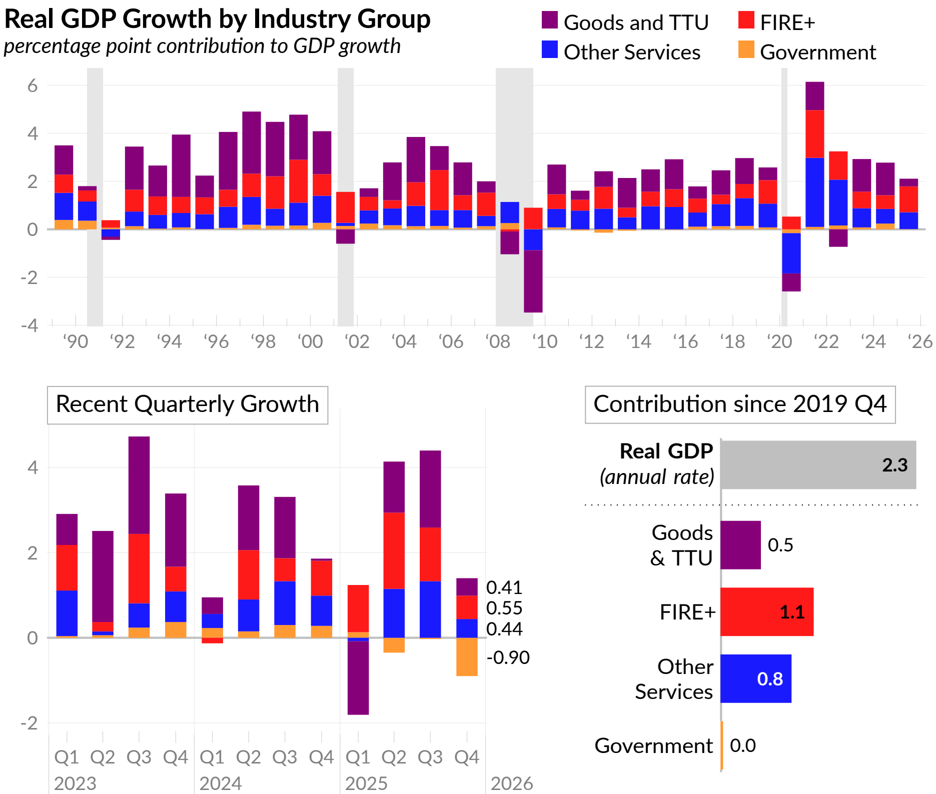
Production Approach

The **production approach** calculates GDP as the sum of value added–gross output minus intermediate inputs–in each sector. The broad groupings above identify contributions from: goods-producing sectors combined with trade, transportation, and utilities (see ■), finance, insurance, and real estate plus information (see ■), other service-providing sectors (see ■), and government (see ■).

In 2025 Q4, the combined contribution to GDP growth from private goods-producing industries and trade, transportation, and utilities is 0.41 percentage point, following a contribution of 1.81 percentage points in 2025 Q3. The group of private service-providing industries that include finance, insurance, real estate, as well as the information industry, contributed 0.55 percentage point in 2025 Q4 and added 1.26 percentage points in 2025 Q3.

Other private services-providing industries, which are wide-ranging and described above, contributed 0.44 percentage point to real GDP growth in 2025 Q4, following a contribution of 1.33 percentage points in 2025 Q3. Combined federal, state, and local government subtracted 0.9 percentage point in 2025 Q4 and subtracted 0.03 percentage point the prior quarter.

Real GDP Growth by Industry Group
percentage point contribution to GDP growth



Source: Bureau of Economic Analysis

Private goods-producing industries combined with trade, transportation, and utilities added 0.4 percentage point to annualized real GDP growth of 2.3 percent since 2019 Q4. Finance, insurance, real estate, and information industries added 1.1 percentage points. Other private service-providing industries added 0.8 point, and the government sector did not add.

Household Inputs

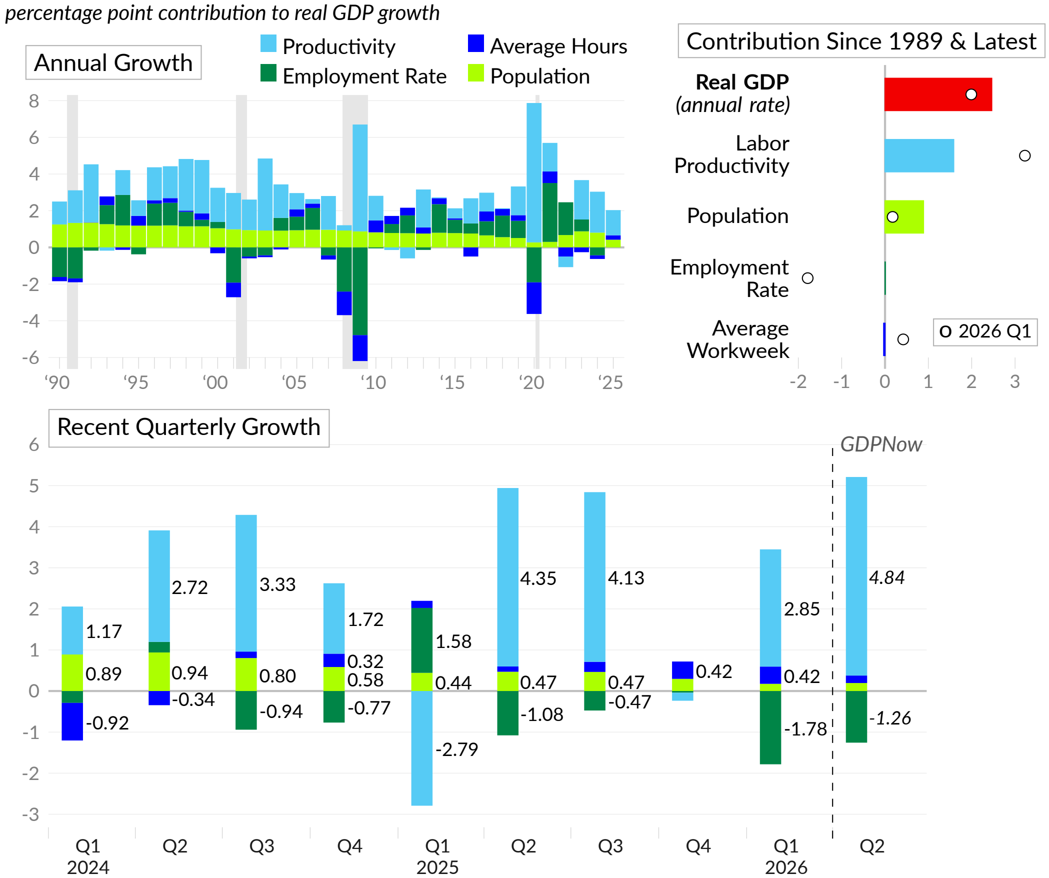
Changes to GDP can also be assigned to changes in **household inputs**: population (see ■), employment rates (see ■), average hours worked (see ■), and total economy productivity (see ■). A key distinction is whether economic growth involves more labor or higher productivity.

Since 1989, and in the long run, in general, real GDP growth is explained by population growth and labor productivity. The employment rate and average workweek have large swings during any given business cycle, but remain relatively constant since 1989. Real GDP growth of 2.5 percent per year since 1989 is explained by annualized productivity growth of 1.6 percent and population growth of 0.9 percent.

In 2025, the latest full year of data, two percent GDP growth is relatively broad-based. The main contribution is an increase in labor productivity and population. Labor productivity added 1.4 percentage points, population growth added 0.4 point, and the employment rate did not add to overall growth.

Real GDP Growth by Household Inputs

percentage point contribution to real GDP growth



Source: BEA, FRB Atlanta, BLS, Author's Calculations

In 2026 Q1, labor productivity contributed 3.23 percentage points to GDP growth of two percent. The lower employment rate subtracted 1.78 points in the period and longer average workweeks added 0.42 point. Population growth was little changed in the period.

Using the Atlanta Fed GDPNow and the latest available population and labor force data, we can estimate contributions to growth for 2026 Q2. Real GDP is estimated to increase by 3.8 percent, with contributions of 4.8 percentage points from labor productivity and negative 1.3 percentage points from the lower employment rate.

Components of Economic Growth

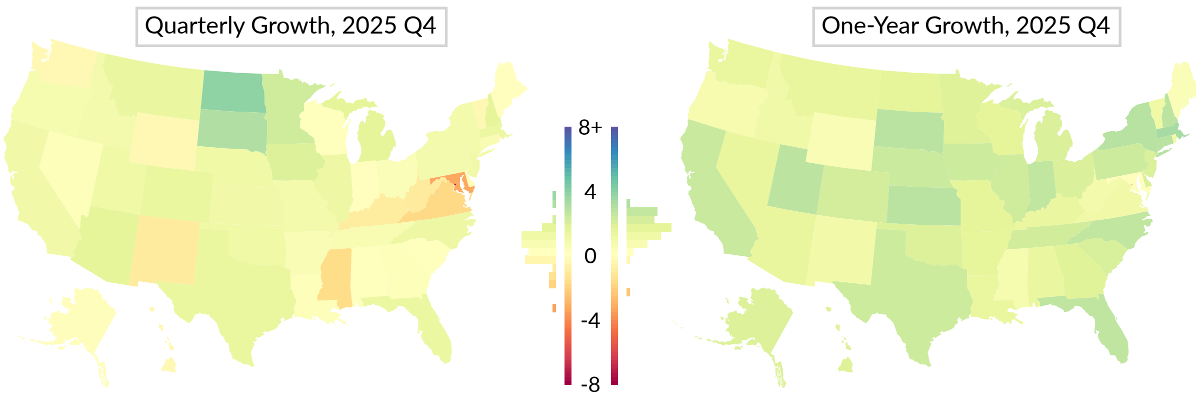
annualized percentage point contribution to real GDP/GDI growth *moving averages*

	2026 Q1	2025 Q4	2025 Q3	2025 Q2	2025 Q1	3-year	10-year	30-year
Gross Domestic Product	1.6	0.5	4.4	3.8	-0.6	2.5	2.7	2.6
Consumer Spending	0.95	1.30	2.34	1.68	0.42	1.74	1.92	1.85
Durable Goods	0.03	0.01	0.12	0.17	-0.26	0.22	0.40	0.44
Non-Durable Goods	0.06	0.05	0.53	0.30	0.30	0.32	0.41	0.36
Services	0.86	1.23	1.70	1.21	0.37	1.21	1.11	1.05
Gross Investment	1.19	0.40	0.03	-2.66	3.79	0.53	0.65	0.65
Residential	-0.24	-0.06	-0.29	-0.21	-0.04	0.00	0.01	0.02
Non-Residential	1.35	0.33	0.44	0.98	1.24	0.61	0.60	0.58
Change in Inventories	0.08	0.14	-0.12	-3.44	2.58	-0.08	0.04	0.06
Net Exports	-1.25	-0.22	1.62	4.83	-4.68	-0.16	-0.18	-0.19
Exports	1.34	-0.35	1.00	-0.20	0.02	0.32	0.27	0.41
Imports	-2.59	0.13	0.62	5.03	-4.70	-0.47	-0.46	-0.60
Government	0.73	-0.99	0.38	-0.01	-0.17	0.38	0.31	0.27
Federal	0.57	-1.16	0.17	-0.35	-0.37	0.05	0.12	0.12
State and Local	0.16	0.16	0.21	0.33	0.20	0.33	0.19	0.15
Goods and TTU	–	0.41	1.81	1.20	-1.73	1.00	0.70	–
Manufacturing	–	-0.41	0.48	1.11	-0.58	0.18	0.17	–
Construction	–	-0.08	-0.03	0.18	0.04	0.14	0.06	–
Retail Trade	–	0.24	0.45	-0.54	-0.27	0.35	0.23	–
FIRE+	–	0.55	1.26	1.79	1.11	0.88	0.89	–
Information	–	0.42	0.56	0.66	0.44	0.39	0.40	–
Other Services	–	0.44	1.33	1.15	-0.08	0.68	0.96	–
Education & Healthcare	–	0.32	0.41	0.34	0.31	0.38	0.29	–
Professional & Business	–	0.11	0.64	0.58	0.14	0.30	0.59	–
Government	–	-0.90	-0.03	-0.35	0.13	0.04	0.08	–
Population	0.18	0.30	0.47	0.47	0.44	0.65	0.57	0.82
Employment Rate	-1.78	-0.04	-0.47	-1.08	1.58	-0.40	0.59	0.20
Average Hours	0.42	0.42	0.25	0.13	0.17	-0.03	-0.10	-0.05
Productivity	2.85	-0.20	4.13	4.35	-2.79	2.29	1.91	1.71
Gross Domestic Income	0.9	1.6	3.5	2.6	1.0	2.5	2.6	2.6
Labor	-0.10	-0.44	1.09	0.24	0.88	1.11	1.11	1.23
Profit	1.37	0.57	0.65	-0.24	0.09	0.58	0.74	0.71
Depreciation	0.27	0.66	0.95	0.34	0.05	0.43	0.46	0.45
Indirect Taxes	-0.62	0.85	0.84	2.24	-0.05	0.36	0.27	0.20

Source: Bureau of Economic Analysis and Author's Calculations
TTU is trade, transportation and utilities; FIRE+ includes the finance, insurance, real estate, and information industries.

Real GDP Growth by State

percent change in real GDP



Source: Bureau of Economic Analysis

Finally, the Bureau of Economic Analysis also reports real GDP growth by state. Over the year ending 2025 Q4, no states had real GDP growth of more than five percent, 49 states had growth between zero and five percent, and one state (Maryland) and the District of Columbia had a decrease in output. The fastest growth is in Massachusetts (3.3 percent), New York (2.8 percent), and Kansas (2.8 percent).

Real GDP Growth by State

quarterly growth at seasonally adjusted annualized rate | *annual growth, as of 2025 Q4*

	2025 Q4	2025 Q3	2025 Q2	2025 Q1	2024 Q4	1-year	2-year	6-year	10-year
United States	0.5	4.4	3.8	-0.6	1.9	2.0	2.2	2.3	2.4
New England	0.9	4.2	3.9	2.0	-0.5	2.7	2.0	1.8	1.8
Massachusetts	1.2	3.3	4.5	4.2	-2.2	3.3	2.2	2.1	2.3
Connecticut	0.5	5.6	4.6	0.3	1.4	2.8	1.8	1.0	1.0
New Hampshire	1.6	5.5	2.0	2.0	1.2	2.7	1.7	2.5	1.9
Vermont	-0.4	5.0	2.1	-2.3	1.6	1.1	1.6	1.7	1.5
Rhode Island	-0.4	4.4	0.5	-0.3	0.9	1.0	1.4	1.0	0.9
Maine	0.0	3.8	2.4	-4.6	2.9	0.3	1.4	2.4	2.5
Middle Atlantic	0.8	4.6	3.8	0.9	1.4	2.5	2.4	1.6	1.8
New York	0.8	4.5	4.0	2.0	1.5	2.8	3.0	1.8	2.1
Pennsylvania	0.7	5.6	4.1	-1.1	1.0	2.3	1.6	1.0	1.2
New Jersey	0.9	3.4	2.8	0.4	1.4	1.9	1.7	1.8	1.8
West South Central	1.2	4.2	5.9	-2.7	2.0	2.1	2.5	3.3	2.9
Texas	1.4	4.2	6.8	-3.0	2.3	2.3	2.7	3.8	3.4
Oklahoma	1.1	4.6	3.6	-1.8	0.5	1.8	1.2	1.2	1.0
Arkansas	0.4	5.8	-1.1	0.8	3.5	1.5	2.9	2.8	2.2
Louisiana	0.2	3.5	4.0	-2.3	0.2	1.3	1.4	1.0	1.0
Pacific	0.6	4.3	4.0	-0.4	2.6	2.1	2.6	2.2	3.0
California	0.9	4.5	4.3	0.0	2.5	2.4	2.6	2.1	2.9
Alaska	-0.1	3.8	2.0	1.8	2.4	1.9	2.2	1.5	0.8
Hawaii	-0.4	2.9	0.4	4.1	1.4	1.8	2.0	0.9	1.1

continued on next page . . .

	2025 Q4	2025 Q3	2025 Q2	2025 Q1	2024 Q4	1-year	2-year	6-year	10-year
continued from previous page . . .									
Washington	-0.4	3.4	3.4	-1.0	3.4	1.3	2.7	3.2	4.2
Oregon	0.7	4.7	3.1	-5.7	2.6	0.6	1.8	1.6	2.6
East North Central	0.7	4.8	4.0	-1.1	0.9	2.1	1.7	1.4	1.5
Indiana	0.0	5.1	3.1	2.3	1.7	2.6	2.3	2.2	2.2
Illinois	1.1	4.3	4.8	-1.1	0.3	2.2	1.6	1.2	1.1
Ohio	0.3	5.1	3.9	-1.6	1.4	1.9	1.7	1.4	1.5
Michigan	1.5	5.1	3.6	-2.5	1.3	1.9	1.4	1.5	1.5
Wisconsin	0.1	4.3	3.6	-1.8	0.2	1.5	1.4	1.2	1.4
West North Central	1.6	4.3	4.2	-1.9	0.5	2.0	1.5	1.7	1.6
Kansas	0.9	6.5	6.7	-2.6	1.4	2.8	1.8	1.6	1.5
South Dakota	3.0	6.3	5.2	-3.1	0.9	2.8	1.2	1.7	1.3
Nebraska	1.0	5.0	5.2	-1.7	0.6	2.3	1.1	2.5	2.4
Iowa	1.8	5.0	3.7	-1.2	-0.8	2.3	1.5	1.8	1.2
Minnesota	2.2	2.7	3.4	-1.1	0.0	1.8	1.9	1.6	1.7
North Dakota	3.8	0.4	7.3	-5.0	0.4	1.5	0.4	1.4	1.2
Missouri	0.8	4.5	3.1	-2.2	1.2	1.5	1.4	1.7	1.7
South Atlantic	-0.3	4.2	2.8	0.2	2.9	1.7	2.2	2.8	2.8
Florida	1.2	3.5	3.3	2.6	2.6	2.7	2.8	4.2	3.9
North Carolina	1.1	5.6	3.7	0.0	2.8	2.6	2.8	3.0	2.7
South Carolina	0.1	4.2	3.4	0.3	6.3	2.0	3.3	2.9	2.9
Delaware	-0.2	3.9	3.2	0.8	1.3	1.9	2.9	2.5	1.6
Georgia	0.2	4.9	2.8	-0.9	2.3	1.7	2.1	2.2	2.8
Virginia	-1.8	4.3	1.7	-0.6	3.1	0.9	1.4	2.2	2.2
West Virginia	-1.0	4.9	4.1	-4.7	2.7	0.8	1.3	1.4	1.3
Maryland	-3.3	3.8	1.4	-2.1	1.0	-0.1	1.3	1.2	1.3
District of Columbia	-8.3	1.3	0.0	-2.5	6.8	-2.4	-0.2	0.3	1.1
Mountain	1.0	4.3	3.7	-2.1	3.0	1.7	2.4	3.3	3.6
Utah	1.0	4.1	3.2	2.6	2.2	2.7	2.7	3.7	4.4
Colorado	1.4	4.6	3.5	-1.1	2.1	2.1	1.9	2.9	3.3
Montana	1.3	5.1	3.5	-4.0	5.8	1.4	2.6	3.6	2.8
Arizona	1.5	4.6	3.6	-3.8	4.3	1.4	3.2	3.8	4.0
Nevada	0.2	4.1	3.5	-2.2	3.1	1.4	2.1	2.9	3.3
Idaho	0.7	3.9	3.2	-3.7	3.2	1.0	3.0	3.6	4.2
New Mexico	-1.0	3.9	5.7	-4.9	2.6	0.8	1.8	3.0	2.7
Wyoming	-0.4	2.9	5.3	-5.6	-1.2	0.5	-0.1	0.5	0.1
East South Central	-0.2	4.8	2.5	-0.7	0.7	1.6	1.9	2.5	2.3
Tennessee	0.5	4.8	3.1	0.3	0.3	2.2	2.1	3.2	3.0
Kentucky	-1.0	5.1	4.6	-3.3	-0.3	1.3	1.3	1.5	1.6
Alabama	0.1	4.7	1.2	-0.7	1.9	1.3	2.0	2.4	2.3
Mississippi	-1.7	4.8	-0.9	0.6	1.7	0.7	1.7	1.7	1.4

Source: Bureau of Economic Analysis

Financial Accounts

While the previous section looks at economic activity during a period of time, we now turn to **financial accounts**, which take stock of what exists at a point in time. They also cover ownership across sectors and the lending and borrowing between them.

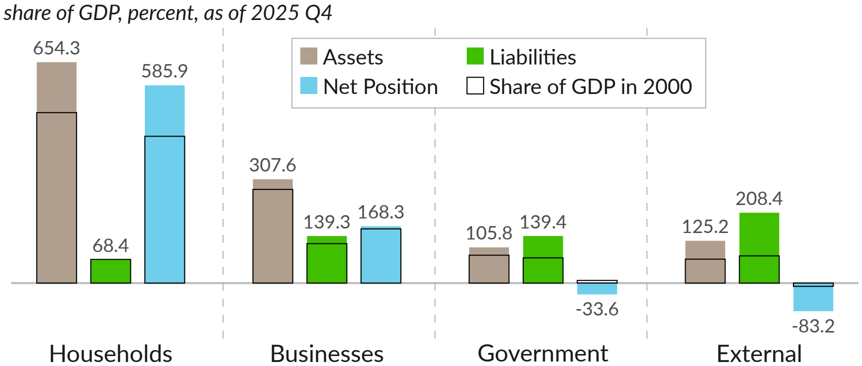
Overview

Financial accounts report the accumulated value of assets and liabilities in each major sector. Assets (see ■) include tangible assets like buildings and equipment, as well as financial assets, such as holdings of stock and bonds. Liabilities (see ■) cover financial obligations to others, including loans and debt securities like bonds. The net position of a sector is assets minus liabilities (see ■).

Private households control most of the US economy, with assets equal to 654.3 percent of GDP in 2025 Q4, and wealth equal to 585.9 percent of GDP. Both have increased considerably since 2000. Private nonfinancial businesses hold 307.6 percent of GDP in assets and 139.3 percent of GDP in liabilities, with equity of 168.3 percent of GDP.

Government assets, excluding land, are 105.8 percent of GDP, while liabilities are 139.4 percent of GDP. The US holds 125.2 percent of GDP in foreign financial assets, while the rest of the world has 208.4 percent of GDP in financial claims on the US.

Balance Sheets of Major Sectors
share of GDP, percent, as of 2025 Q4



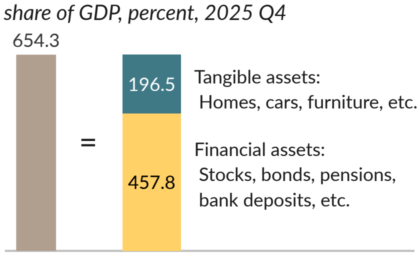
Source: Federal Reserve, Bureau of Economic Analysis
Household sector includes nonprofits; businesses are private nonfinancial; government consolidates federal, state, and local; external covers financial claims with the rest of the world.

Household assets include business equity, government and corporate bonds, and foreign assets. Categories discussed above overlap each other because they include financial claims sectors hold on each other. Total wealth of the US instead equals domestic *tangible* assets plus the net international investment position.

Households own tangible assets (see ■), like homes and cars, but also own a large amount of financial assets (see ■). Financial assets are claims on other sectors, often through intermediaries.

In 2025 Q4, household assets total $205.6 trillion, or 654.3 percent of GDP. This includes 196.5 percent of GDP in tangible assets and 457.8 percent of GDP in financial assets.

Household Assets
share of GDP, percent, 2025 Q4



Source: Fed, BEA

Wealth

Total US **wealth** is the sum of domestic tangible assets, such as land (excluding public land), structures, and equipment, minus foreign financial claims on these assets, plus US claims on foreign assets. US wealth totals $168.8 trillion in 2025 Q4, equivalent to $492,800 per capita or 537.1 percent of GDP.

As discussed above, financial claims between domestic sectors cancel out when measuring national wealth. The following table derives total US wealth from the tangible assets of each sector, then adjusts for cross-border financial claims.

Derivation of US Wealth by Sector

share of GDP, percentage

	2025 Q4	'25 Q3	'25 Q2	'24 Q4	*period average* 2019	2005–'07	1989
Total US Wealth	537.1	537.5	530.0	525.4	468.7	478.8	383.6
Households & Nonprofits	196.5	199.2	203.4	201.5	177.7	217.8	169.2
Noncorporate Businesses	62.1	62.6	62.9	64.3	67.5	73.2	71.1
Domestic Corporations	290.7	288.2	271.9	272.1	199.8	130.4	74.9
Federal Government	15.7	15.7	15.8	15.8	16.7	18.3	25.7
State & Local Government	55.2	55.0	55.6	55.5	55.3	48.7	41.9
Net Claims on ROW	-83.2	-83.2	-79.6	-83.7	-48.3	-9.6	0.8
US Claims on ROW	125.2	122.4	118.8	107.7	112.4	95.9	35.1
Less: ROW Claims on US	208.4	205.6	198.4	191.4	160.7	105.6	34.3

Source: Federal Reserve, Bureau of Economic Analysis

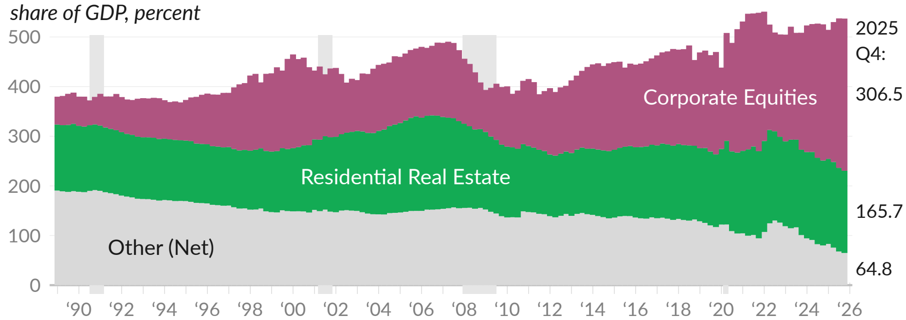
The ratio of US wealth to GDP increased 153.5 percentage points since 1989, driven largely by increases in the market value of corporate equities and residential real estate. The market value of corporate equities is equivalent to 306.5 percent of GDP in 2025 Q4, compared to 170.5 percent in 1999–2000, during the tech bubble, and to 60.1 percent in 1989 (see ■).

The market value of domestic residential real estate is equivalent to 165.7 percent of GDP in 2025 Q4, compared to 185.0 percent in 2005–2007, during the housing bubble, and 134.2 percent in 1989 (see ■).

On a net basis, all other US wealth is equal to 64.8 percent of GDP in 2025 Q4, compared to 189.2 percent in 1989 (see ■). The other category includes tangible assets of noncorporate businesses and governments, and domestic financial claims on foreign assets. The category also subtracts foreign financial claims on US assets, for example foreign holdings of US corporate equities and Treasury bonds.

Selected Components of US Wealth

share of GDP, percent



Source: Federal Reserve

Liabilities

The Federal Reserve US Financial Accounts cover **liabilities**, both in levels and transactions. Using these accounts, we can summarize US financial obligations to others in a few different ways.

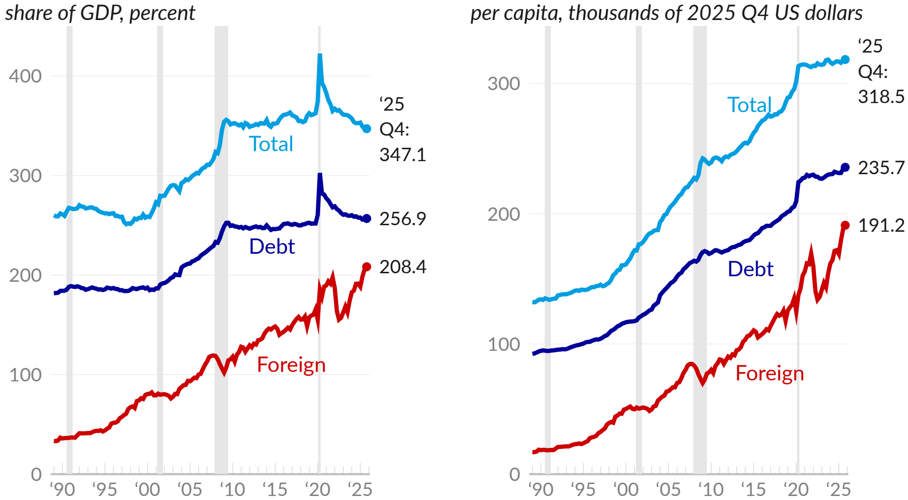
The first and most common approach to analyzing US liabilities looks at **debt**, encompassing loans and debt securities like bonds. This approach aggregates the debt across all nonfinancial sectors—households, businesses, and government. As of the fourth quarter of 2025, the total debt for the sectors stands at $80.7 trillion, which is 256.9 percent of GDP, or $235,723 per capita.

The second approach considers **total liabilities**, which extend beyond debt to encompass all financial commitments, such as accounts payable, tax obligations, pensions, intercompany debts, and various other liabilities. The aggregate liabilities for nonfinancial sectors reach $109.1 trillion in 2025 Q4, or 347.1 percent of GDP.

The last approach looks at **foreign financial claims** on the US. From a net US wealth perspective, domestic liabilities to domestic creditors net out. It is therefore of interest to look at what is owed to foreign creditors. Foreign financial claims on the US total $65.5 trillion in 2025 Q4, translating to 208.4 percent of GDP, or $191,198 per capita.

Liabilities

share of GDP, percent *per capita, thousands of 2025 Q4 US dollars*



Source: Federal Reserve, Bureau of Economic Analysis

Liabilities

share of GDP, percent

	2025 Q4	'25 Q3	'24 Q4	'19 Q4	2010	1989
Total Liabilities (—)	347.1	347.1	352.7	362.6	351.7	260.1
Debt (—)	256.9	256.3	257.7	251.9	248.8	182.6
Debt Securities	135.7	135.3	135.0	123.0	104.4	72.1
Loans	121.2	120.2	122.8	128.8	143.9	110.0
Foreign Financial Claims (—)	208.4	205.6	191.4	165.5	118.4	34.3

Source: Federal Reserve, Bureau of Economic Analysis
Note: Domestic figures are for nonfinancial sectors and foreign financial claims on the US do not include US claims on the rest of the world.

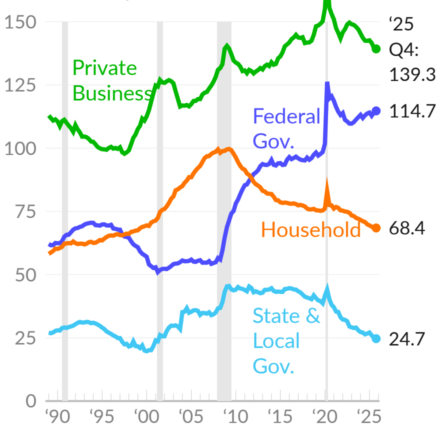
Liabilities vary **by sector** and vary over time within sectors. Households and nonprofits (see —) have $20.9 trillion in debt in 2025 Q4, equivalent to 66.6 percent of GDP. During the collapse of the housing bubble, in 2010, household and nonprofit debt was equivalent to 92.1 percent of GDP.

In 2025 Q4, private nonfinancial businesses (see —), corporate and noncorporate, have total liabilities of $43.8 trillion and debt of $22.2 trillion. In 2025 Q4, nonfinancial business debt is equivalent to 70.7 percent of GDP, slightly below the pre-COVID ratio of 76.9 percent. Nonfinancial corporations have $30.9 trillion in total liabilities and $14.2 trillion in debt.

Federal government debt (see —) is equivalent to 107.9 percent of GDP in the latest data, substantially above the pre-COVID ratio of 86.8 percent. State and local government debt (see —) is equivalent to 11.7 percent of GDP in 2025 Q4, slightly below 21.4 percent of GDP in 2010. Total liabilities for the sector, which include pensions, are 24.7 percent of GDP in the latest data, substantially below 44.5 percent in 2010.

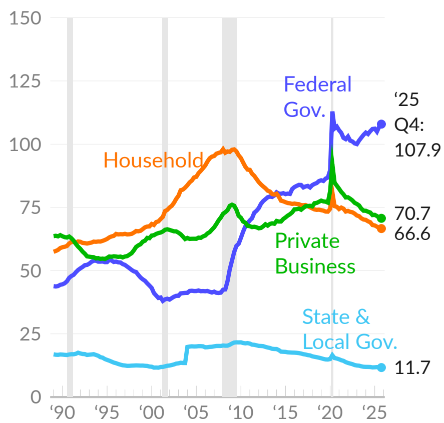
Liabilities by Sector

share of GDP, percent



Debt by Sector

share of GDP, percent, seasonally adjusted



Debt by Sector

share of GDP, percent

	2025 Q4	'25 Q3	'24 Q4	'19 Q4	2010	1989
Debt of Nonfinancial Sectors	256.9	256.3	257.7	251.9	248.8	182.6
Households & Nonprofits (—)	66.6	66.8	68.0	73.3	92.1	58.1
Home Mortgages	45.7	45.8	46.7	49.0	68.7	39.7
Consumer Credit	16.3	16.2	16.6	19.1	16.8	13.8
Nonfinancial Businesses (—)	70.7	70.9	72.0	76.9	69.2	63.7
Corporate	45.1	45.4	45.9	49.6	42.7	42.8
Debt Securities	28.0	28.1	28.6	31.9	26.6	20.7
Loans	17.2	17.1	17.4	17.7	16.0	22.2
Noncorporate	25.5	25.5	26.0	27.3	26.6	20.9
Commercial Mortgages	7.0	7.0	7.2	8.3	9.6	8.6
Government	119.6	118.7	117.7	101.7	87.6	60.8
State & Local (—)	11.7	11.8	11.7	14.8	21.4	16.8
Federal (—)	107.9	106.9	106.0	86.8	66.2	44.0

Source: Federal Reserve, Bureau of Economic Analysis

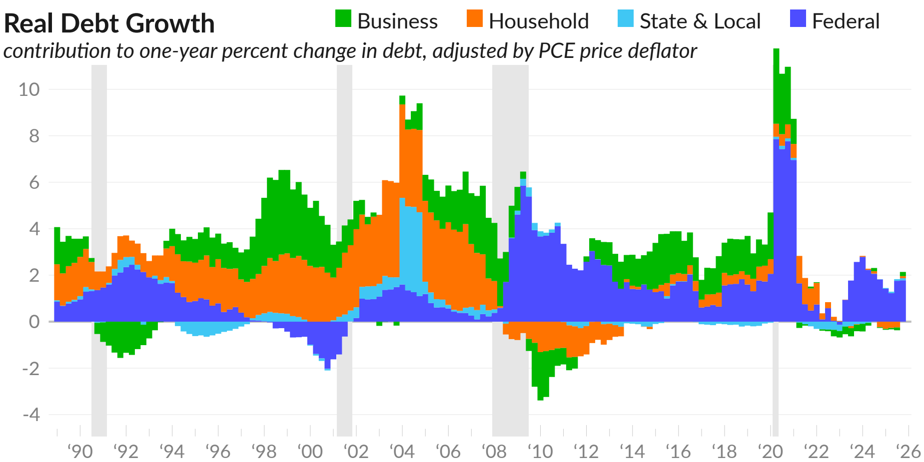
Higher rates of **real debt growth** may highlight economic risks. For example, the tech bubble that popped in 2001 showed up as an increase in corporate borrowing, and the housing bubble that popped in 2008 showed up as an increase in mortgage debt.

Since the fourth quarter of 2019, inflation-adjusted US debt increased at an annualized rate of 2.9 percent, slightly below the long-term rate of 3.7 percent. Over this six-year period, debt growth is driven largely by an increase in federal government debt. Federal government debt contributed 2.4 percentage points to annualized growth, and nonfinancial business debt contributed 0.3 percentage point.

Over the year ending 2025 Q4, real debt increased 2.1 percent, substantially below the long-term average. Federal government borrowing (see ■) contributed 1.8 percentage points to the overall change, while state and local governments contributed 0.1 percentage point (see ■). Households and nonprofits contributed 0.1 percentage point (see ■), and nonfinancial businesses contributed 0.2 percentage point (see ■).

Real Debt Growth

contribution to one-year percent change in debt, adjusted by PCE price deflator



Real Debt Growth by Sector

contribution to one-year real growth, percentage points

	2025 Q4	'25 Q3	'25 Q2	'25 Q1	'24 Q4	*long-term, annualized* 6-year	10-year	30-year
Total Real Debt Growth	2.14	1.46	0.96	1.10	1.55	2.89	2.94	3.69
■ Household & Nonprofit	0.09	-0.25	-0.27	-0.31	-0.24	0.28	0.34	0.81
Home Mortgages	0.05	0.07	0.10	0.06	0.04	0.26	0.24	0.55
Consumer Credit	0.03	-0.16	-0.14	-0.16	-0.22	0.00	0.08	0.21
■ Business	0.18	-0.12	-0.06	-0.04	-0.03	0.32	0.65	0.97
Corporate Business	0.12	-0.13	-0.09	-0.05	-0.03	0.17	0.39	0.57
Debt Securities	0.04	-0.02	0.05	0.12	0.07	0.03	0.16	0.37
Loans	0.08	-0.11	-0.15	-0.16	-0.10	0.14	0.23	0.20
Noncorporate Business	0.06	0.01	0.03	0.01	0.00	0.15	0.26	0.40
Commercial Mortgages	-0.03	-0.04	-0.04	-0.06	-0.05	-0.02	0.01	0.09
■ State & Local Government	0.09	0.07	0.06	0.03	0.01	-0.07	-0.08	0.11
■ Federal Government	1.78	1.76	1.23	1.42	1.82	2.36	2.03	1.80

Source: Federal Reserve, Bureau of Economic Analysis

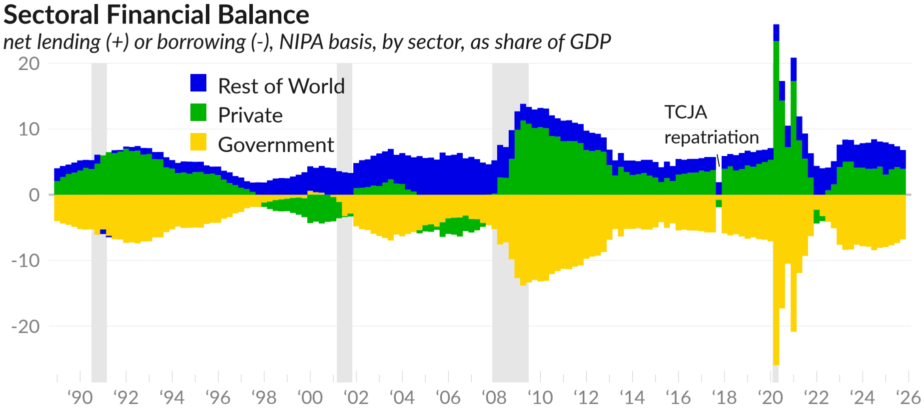
Sectoral Balances

The **sectoral financial balances** summarize US financial activities by dividing the world into three sectors: the US private sector (see ■), the US government (see ■), and the rest of the world (see ■). This framework analyzes the net lending and borrowing among these sectors. Since one sector's borrowing is another's lending, the sum of all sectors' balances is always zero.

A sector runs a surplus for a given accounting period when its income exceeds its expenditures, allowing it to lend out the resulting savings. Conversely, a sector that spends more than its income must borrow to cover the shortfall. For instance, when the public sector incurs a deficit, it becomes a net borrower, effectively generating a surplus for other sectors by spending beyond its tax revenues.

Sectoral Financial Balance

net lending (+) or borrowing (-), NIPA basis, by sector, as share of GDP



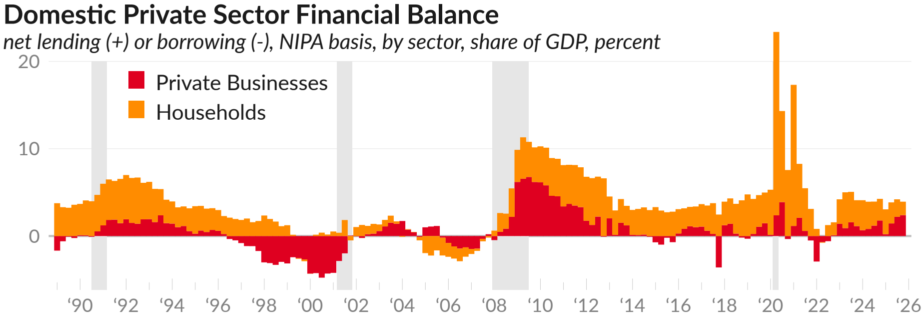
Source: Bureau of Economic Analysis

In 2025 Q4, the US private sector is a net lender (running a surplus) of the equivalent of 3.9 percent of GDP, slightly below the 4.6 percent surplus in 2019. The rest of the world is a net lender to the US, equivalent to 2.9 percent of GDP in 2025 Q4, compared to 2.1 percent in 2019. Balancing these transactions, the government (federal, state, and local combined) is a net borrower (running a deficit) of the equivalent of 6.8 percent of GDP in 2025 Q4, compared to 6.7 percent in 2019.

Breaking out the two main categories in the private sector, households are net lenders (running a surplus) of the equivalent of 1.5 percent of GDP in 2025 Q4 (see ■), while private businesses–corporate and noncorporate–are net lenders of the equivalent of 2.4 percent of GDP (see ■). In 2019, households were net lenders of 4.0 percent, and private businesses were net lenders of 0.6 percent.

Domestic Private Sector Financial Balance

net lending (+) or borrowing (-), NIPA basis, by sector, share of GDP, percent



Source: Bureau of Economic Analysis

Investment

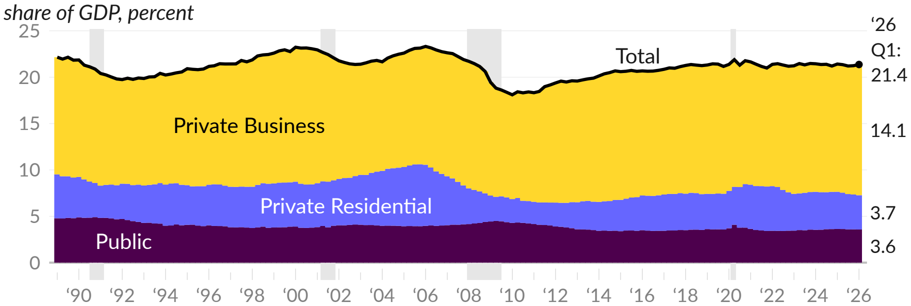
Investment creates and improves tangible assets. In the national accounts, investment assets have a useful life of more than one year and do not include consumer durable goods such as cars, furniture, or appliances. As such, investment is an exchange of assets, distinct from consumer spending.

In the first quarter of 2026, annualized US **gross fixed investment**, both public and private, totals $6.8 trillion, or 21.4 percent of GDP (see —). Gross fixed investment is equivalent to 21.4 percent of GDP one year prior, in 2025 Q1, and averages 21.3 percent of GDP in 2019.

In 2026 Q1, private nonresidential (business) fixed investment comprises 66 percent of the total and translates to 14.1 percent of GDP (see ■). Private residential makes up 17 percent of the total and 3.7 percent of GDP (see ■). Public investment is 17 percent of the total and 3.6 percent of GDP (see ■).

Gross Domestic Fixed Investment

share of GDP, percent



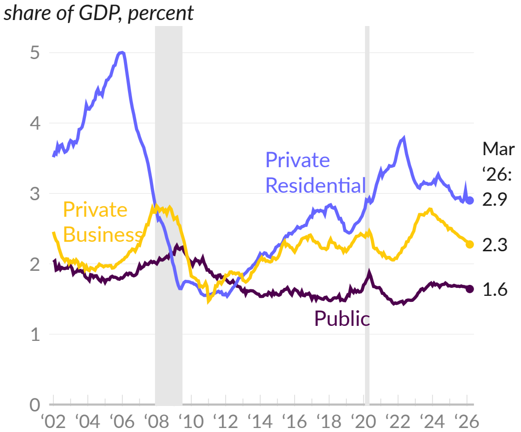
Source: Bureau of Economic Analysis

Construction Spending

Traditionally, **construction spending** makes up a large portion of fixed investment, and a substantial portion of GDP. Each month, the Census Bureau reports the dollar value of construction work done in the US. In March 2026, the annualized value of construction put-in-place is $2.2 trillion, equivalent to 6.8 percent of GDP.

Construction Spending

share of GDP, percent



Source: Census, BEA

Broken down by sector, private residential construction is 2.9 percent of GDP (see —) in March 2026, private nonresidential construction is 2.3 percent (see —), and government construction is 1.6 percent (see —).

Over the past year, construction spending contributed 0.11 percentage point to nominal GDP growth. Private residential construction contributed 0.11 percentage point, private nonresidential subtracted 0.05 point, and public construction added 0.06 point.

Investment Contribution to Growth

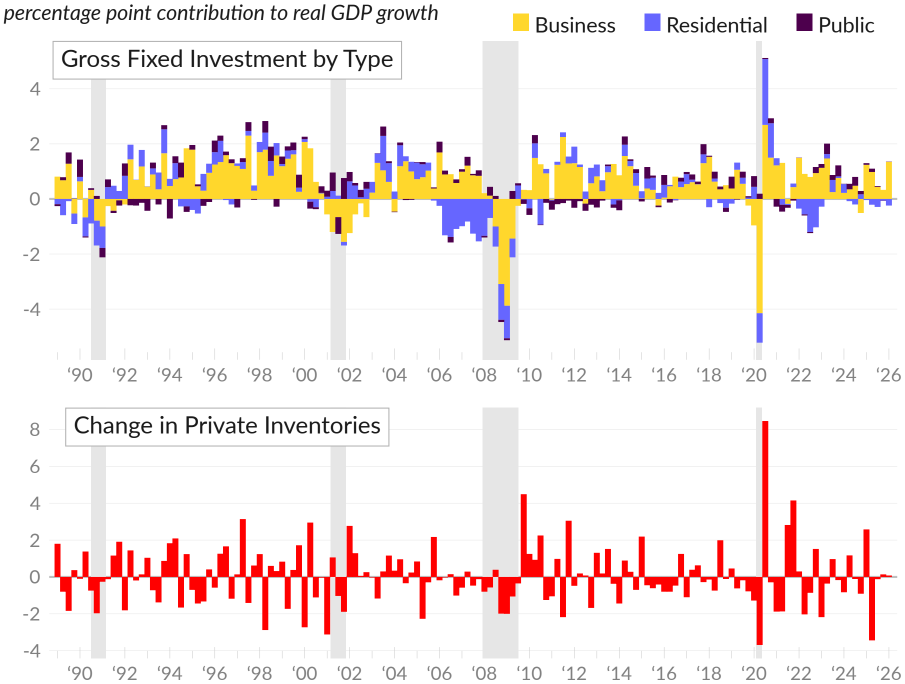
As gross investment usually represents a fifth of GDP or more, investment tends to also represent a sizable **contribution to GDP growth**. During periods of particularly strong investment, the category explains almost half of overall economic growth. For example, from 1996 to 1999, gross domestic fixed investment added an average of 1.75 percentage points to annual real GDP growth.

In the first quarter of 2026, gross domestic fixed investment contributed 1.12 percentage points to annualized real GDP growth, following a contribution of 0.25 point in 2025 Q4. Over the past year, gross fixed investment contributed 1.21 percentage points to real GDP growth.

In 2026 Q1, by type of gross fixed investment, private nonresidential contributed 1.35 percentage points to annualized real GDP growth (see ■), private residential subtracted 0.24 percentage point (see ■), and public contributed 0.01 percentage point (see ■). Over the past year, nonresidential or business gross fixed investment contributed 1.16 percentage points, residential subtracted 0.1 point, and public contributed 0.16 point.

Domestic Investment Contribution to Growth

percentage point contribution to real GDP growth



Source: Bureau of Economic Analysis

Gross domestic investment includes fixed investment, discussed above, and also the **change in private inventories**. Inventories are goods that were produced but not sold. Inventory swings tend to balance out over the long term, but in any given quarter they can meaningfully affect GDP growth.

In 2026 Q1, changes in private inventories contributed 0.08 percentage point to annualized real GDP growth (see ■), following a contribution of 0.14 percentage point in 2025 Q4. Over the past year, changes in private inventories subtracted 0.84 percentage point from real GDP growth.

Each of these categories of investment is discussed further, in the chartbook section for the relevant sector. The next subsection examines net fixed investment, which adjusts for the depreciation of assets over time, to capture new or expanded investment.

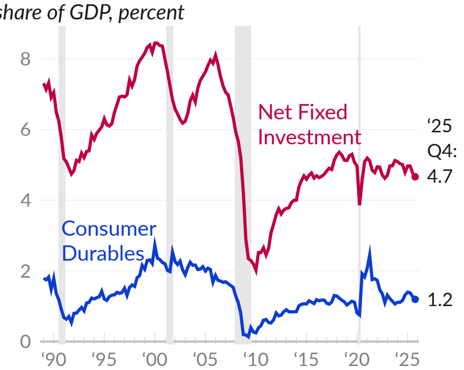
Net Fixed Investment

Gross investment includes new fixed investment as well as depreciation, the wearing down of existing assets. Gross investment less depreciation is **net investment**, representing new or expanded investment. The net investment figures below are derived from the US financial accounts.

In 2025 Q4, gross fixed investment is $6.7 trillion, depreciation is $5.2 trillion, and net fixed investment is $1.5 trillion, equivalent to 4.7 percent of GDP (see —). In 2019, net fixed investment was 5.2 percent of GDP.

The financial accounts also tabulate net spending on consumer durable goods, such as autos, furniture, and appliances. Net spending on consumer durables is $375 billion in 2025 Q4, or 1.2 percent of GDP (see —). Net consumer durable goods spending was 1.1 percent of GDP in 2019.

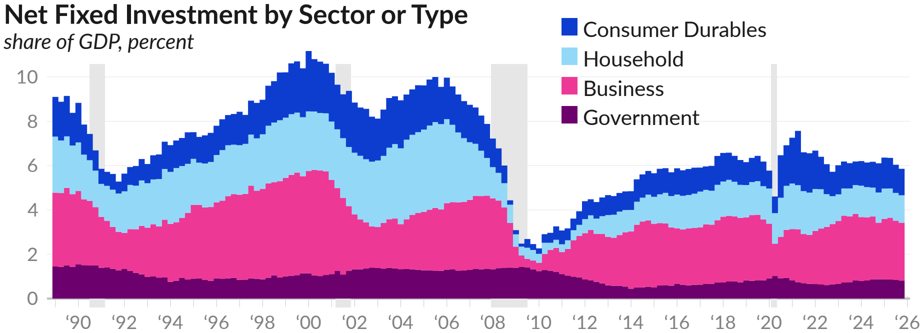
Net Fixed Investment
share of GDP, percent



Source: Federal Reserve, BEA

Levels of net fixed investment vary by sector and over time. In 2025 Q4, household sector net fixed investment, excluding consumer durables, is 1.2 percent of GDP, compared to 1.5 percent in 2019 (see ■). From 2003 to 2006, during the housing bubble, household net fixed investment averaged 3.5 percent of GDP. Business sector net fixed investment is equivalent to 2.6 percent of GDP in 2025 Q4, in line with 2.9 percent in 2019 (see ■). Government net fixed investment is 0.8 percent of GDP in 2025 Q4, in line with 0.8 percent in 2019 (see ■).

Net Fixed Investment by Sector or Type
share of GDP, percent



	2025 Q4	'25 Q3	'25 Q2	'24 Q4	2019	2003 –'06	1999 –'01
— Net Fixed Investment	4.66	4.77	4.97	4.79	5.19	7.33	8.03
■ Business	2.61	2.68	2.78	2.55	2.88	2.55	4.27
Nonfin. Noncorp. Business	0.30	0.33	0.38	0.39	0.46	0.58	0.61
Nonfin. Corporations	2.07	2.09	2.15	2.00	2.15	1.72	3.15
■ Government	0.81	0.84	0.87	0.87	0.82	1.31	1.10
State & Local Gov.	0.67	0.67	0.68	0.66	0.66	1.08	1.13
Federal Gov.	0.14	0.17	0.18	0.21	0.15	0.23	-0.03
■ Household & Nonprofit	1.24	1.25	1.32	1.36	1.49	3.46	2.67
— /■ Consumer Durables	1.19	1.27	1.38	1.32	1.09	1.97	2.27

Source: Federal Reserve, Bureau of Economic Analysis

Households

This section covers the household sector of the economy. Households are the source of labor for production and the source of saving for investment. Households are also the primary source of demand. Topics in the section include demographics, personal and household income and outlays, consumer sentiment, residential investment, household balance sheets, home ownership, housing, and poverty.

Demographics

Demographics provide a foundation for examining US households. Demographics measure the structure and characteristics of the population. The demographics subsection covers population, population growth, household formation and headship, age, life expectancy, and education.

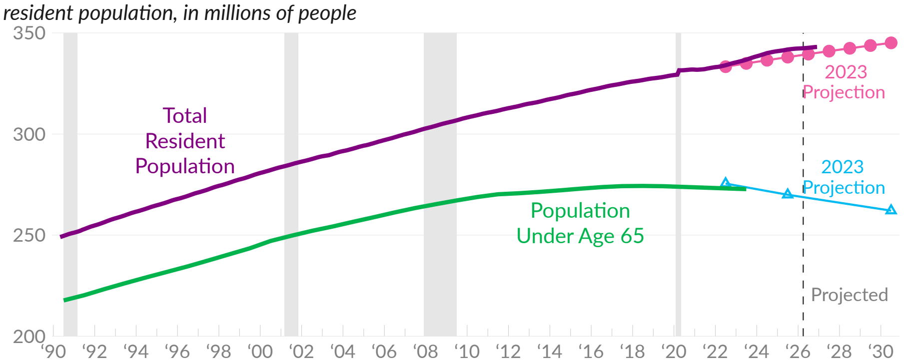
Population

The Census Bureau provides estimates and projections of the **US population**. Population levels and growth rates affect the economy and are critical for evaluating economic policies and outcomes. Population projections are based on assumptions, for example about the future level of net migration to the US, but are useful for thinking about future US demographics.

The US resident population is 342.4 million in April 2026, from the latest population estimates, released in January 2026 (see —). The 2023-based projections of the future US resident population show a 2030 population of 345.1 million people (see -●-). The resident population under age 65 was estimated to be 272.7 million in 2023 (see —) and is projected to decline to 262.1 million in 2030 (see -△-).

Population Estimates and Projections

resident population, in millions of people



Source: Census Bureau

Population Estimates and Projections

resident population, in millions of people

	Apr 2026	2023	2019	2010	2000	1990	*projected* 2030
Total Resident Population	342.4	336.8	328.2	309.3	282.2	249.6	345.1
Under Age 65	–	272.7	274.2	268.8	247.1	217.7	262.1
Age 65 Plus	–	64.0	54.1	40.5	35.1	31.9	83.0

Source: Census Bureau

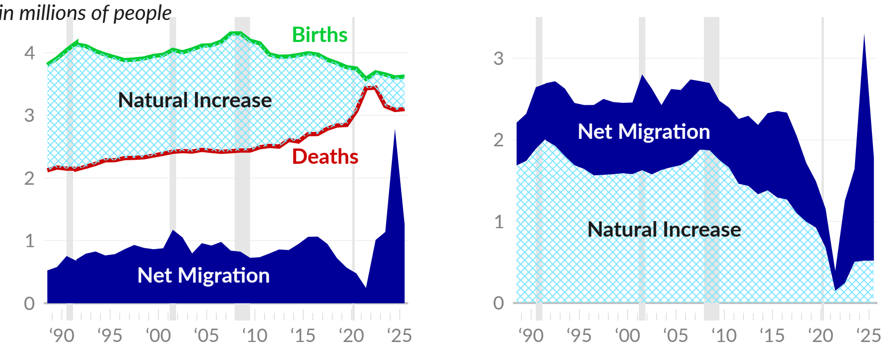
Population Growth

Population growth comes from two sources: natural increases and net migration. Natural increases are calculated as the number of births minus the number of deaths. Net migration is the number of people moving to the US (immigrants) minus the number of people moving out of the US (emigrants).

In the latest estimate, the US added 1.8 million people over the year ending July 2025, a population growth rate of 0.5 percent. There were 3.6 million births (see —), and 3.1 million deaths (see —), resulting in a natural increase of 520,000 people (see ▨). In the same period, net migration from abroad increased the resident population by 1.3 million people (see ■). For comparison, in 1989, there were 3.9 million births, 2.2 million deaths, and 580,000 net migrants to the US.

Components of Population Growth

in millions of people



Source: Census Bureau

Related Measures

There are multiple measures of population, based on different definitions. As of April 2026, the **resident** population is 342.4 million, while the more comprehensive resident population **including armed forces overseas** is 342.7 million, and the narrower **civilian noninstitutionalized** population, which is used in labor statistics, is 337.7 million. The Bureau of Economic Analysis (BEA) uses midyear resident population estimates from the Census Bureau for per capita measures. In the chartbook, per capita figures related to the national accounts use the resident population, while labor market figures use the civilian noninstitutionalized population.

The Census Bureau further divides the population into those living in households and those living in group quarters. As of April 2026, the **household** population is 334 million, or 97.5 percent of the total resident population. The **group quarters** population is measured in depth as part of the 2020 Census. The 2020 group quarters population is 8.2 million, of which 3.8 million are institutionalized. Of these, two million are in prisons and jails, and 1.6 million are in nursing and skilled-care facilities. An additional 2.8 million people live in dormitories or student housing, 328,000 live in barracks, and 1.4 million live in other noninstitutional facilities such as shelters and group homes.

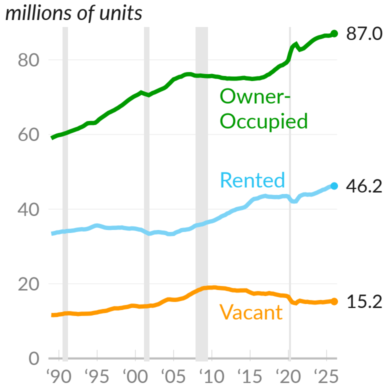
Lastly, an important related concept, **households**, are measured as occupied housing units. The number of households varies over time, separately from the population, as people make changes in their living arrangements. Over the year ending 2026 Q1, there were an average of 133.2 million households, compared to 94.2 million in 1990.

Household Formation

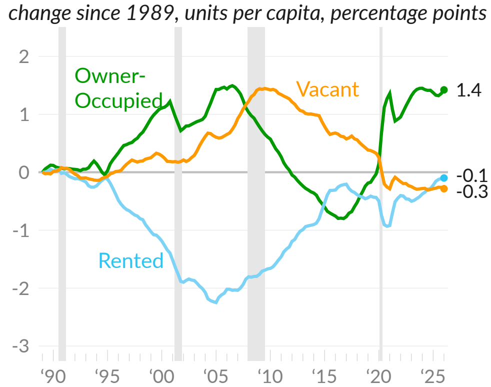
Households are measured as **occupied housing units**, whether occupied by the owner or rented. Over the year ending 2026 Q1, there were an average of 133.2 million total occupied housing units in the US, of which 46.2 million (34.7 percent) were rented, and 87.0 million (65.3 percent) were owner-occupied. Since 1989, the US has experienced the boom and bust of a major housing bubble. By 2016, housing units per capita had fallen back to 1995 levels, leaving the US with a housing shortage.

Housing by Type

one-year moving averages
millions of units



change since 1989, units per capita, percentage points



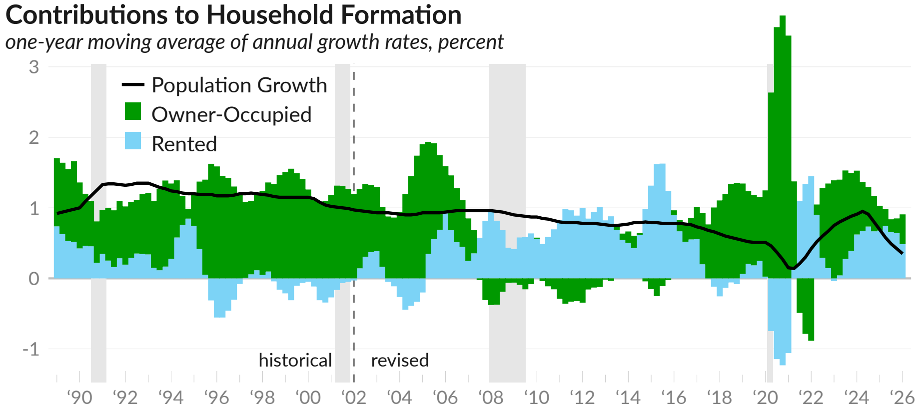
Source: Census Bureau

Household formation measures the change in occupied housing units. During the housing bubble, housing construction exceeded population growth and the homeownership rate increased. After the bubble's collapse, household formation was below population growth and homeownership decreased as foreclosures converted homeowners into renters.

From 2019 Q4 to 2026 Q1, the average annual **household formation rate** was 1.3 percent, while annual population growth averaged 0.6 percent. Changes in the number of owner-occupied households contributed one percentage point on an average basis (see ■), and changes in rented households contributed 0.3 percentage point (see ■). Over the year ending 2026 Q1, the household formation rate averaged 0.9 percent, of which owner-occupied households contributed 0.4 percentage point, and rented households contributed 0.5 percentage point.

Contributions to Household Formation

one-year moving average of annual growth rates, percent



Source: Census Bureau, Housing Vacancies and Homeownership

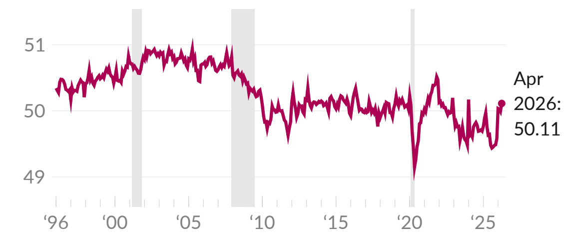
Headship Rate

Individual decisions about starting a household or living with family are influenced by economic conditions. The ratio of households to people age 16 and older is the aggregate headship rate. The headship rate is higher when people are more likely to head their own household.

The headship rate fell following the collapse of the housing bubble and during the COVID-19 pandemic, as more people moved in with family. The headship rate reached a low of 49.15 percent during May 2020, and is currently 50.11 percent, as of April 2026 (see –).

Aggregate Headship Rate

people age 16 and older, percent, seasonally adjusted



Source: Author's Calculations from CPS

Living with Family

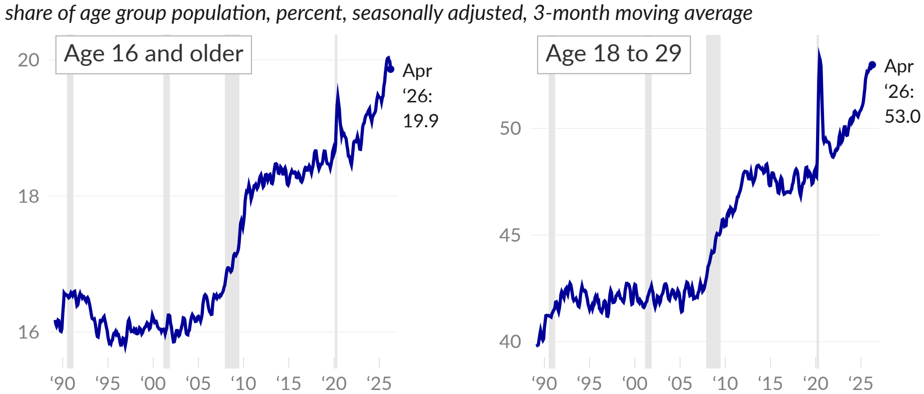
Changes in the headship rate partly reflect shifts in living arrangements, including the rate at which adults live with family members other than their spouses. Specifically, **living with family**, in this context, measures the share of people age 16 and older living with their parents, grandparents, kids, or other nonspouse relative.

Living with family became more common after the collapse of the housing bubble. An additional two percent of adults, or roughly 4.8 million people, lived with family in 2010 compared to 2003. Rates of living with family spiked early in the COVID-19 pandemic, particularly for young adults.

Over the three months ending April 2026, 19.9 percent of those age 16 and older, and 53.0 percent of those age 18 to 29, are living with family. Relative to 2019, an additional 2.8 million young adults now live with family, equivalent to 5.2 percent of the age group.

Living with Family

share of age group population, percent, seasonally adjusted, 3-month moving average



Source: Author's Calculations from CPS

Age

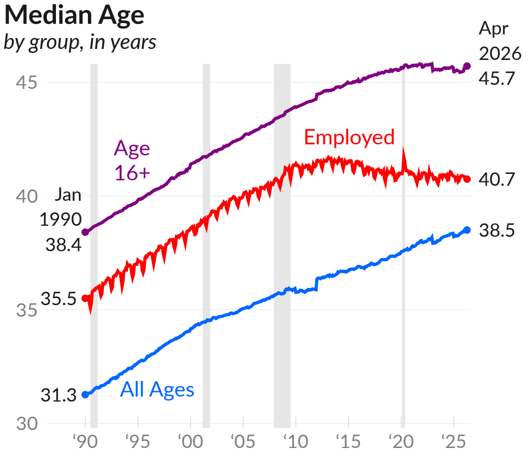
Researchers describe **aging** as a headwind to economic growth in major advanced economies. A larger retirement-age population means a smaller share of people are working and borrowing and a larger share are receiving pension benefits and lending to the financial system. These conditions can strain retirement systems such as Social Security. A more productive economy helps to overcome this demographic trend.

The **median age** is the midpoint for the age of a group; half of the group is older and half is younger. Tracking this point over time summarizes the age composition of the group. As a population ages, the median age will increase.

The median age of the overall civilian noninstitutionalized population, calculated from the Current Population Survey (CPS), is 38.5, as of April 2026, compared to 31.3 in January 1990 (see —). The median worker is 40.7 in April 2026, compared to 35.5 in January 1990 (see —).

Median Age

by group, in years

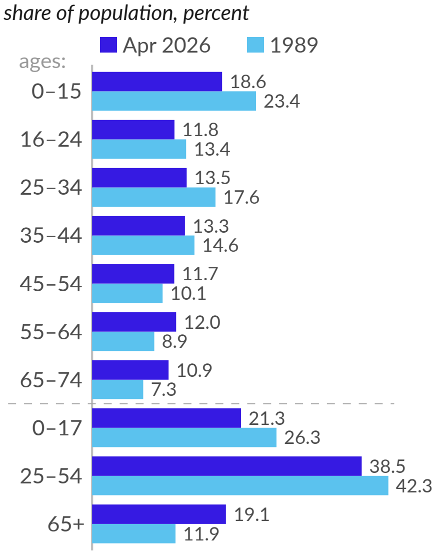


Source: Author's Calculations from CPS

Dividing the population into **age groups** helps to summarize the distribution. Further, economic indicators may include or exclude specific age groups. As examples, labor statistics generally exclude those under age 16, retirement statistics may include only those over age 64, while the age 25 to 54 employment rate serves as a key indicator of labor market slack. Examining changes to the age distribution over time can add context to these indicators.

Age Groups

share of population, percent



Source: Author's Calculations from CPS

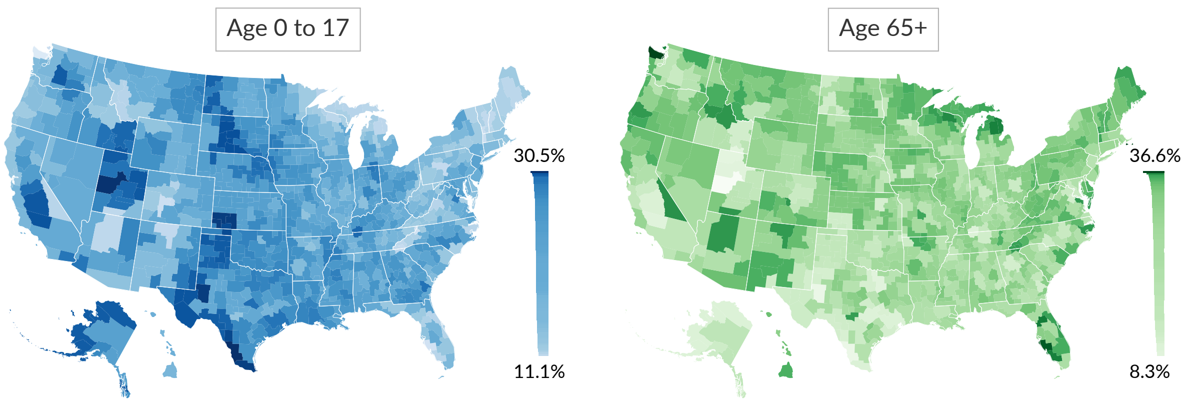
The noninstitutionalized civilian population used in most labor statistics totals 337.7 million in April 2026. Of this, 18.6 percent are under the working age of 16, equivalent to 62.7 million people. In 1989, the under-16 population was 23.4 percent of the total. The juvenile population, those under 18, is 71.9 million, equivalent to 21.3 percent of the population in April 2026, and compared to 26.3 percent in 1989.

Traditionally, the prime working age is between 25 and 54. In April 2026, 130.1 million people, 38.5 percent of the population, are age 25 to 54. In 1989, 42.3 percent of the population was age 25 to 54. The age 55 to 64 group is 12.0 percent of the population in the latest data and was 8.9 percent in 1989. Those above the age of 65 comprise 19.1 percent in April 2026 and 11.9 percent in 1989.

Mapping American Community Survey data to commuter zones (labor market areas that may cross county or state lines) gives insight on the **age composition of local areas**. In 2024, among commuter zones with a population of at least 100,000, the commuter zone (listed by largest city) with the highest share of its population under 18 is Laredo, TX (30.5 percent), followed by Provo, UT (30.3 percent), and Odessa, TX (29.5 percent). The commuter zones with the lowest share of the local population under 18 were Port Angeles, WA (13.7 percent), Sarasota, FL (14.9 percent), and Pittsfield, MA (15.5 percent).

The age 65 and older population is geographically concentrated. The commuter zone with the highest share of its population over 64 is Port Angeles, WA (36.6 percent), followed by Sarasota, FL (34.6 percent), and Ocala, FL (31.1 percent). The commuter zones with the lowest local over-64 population share were Provo, UT (8.3 percent), Odessa, TX (10.7 percent), and Laredo, TX (10.8 percent).

Age Group Share of Commuter Zone Population, 2024



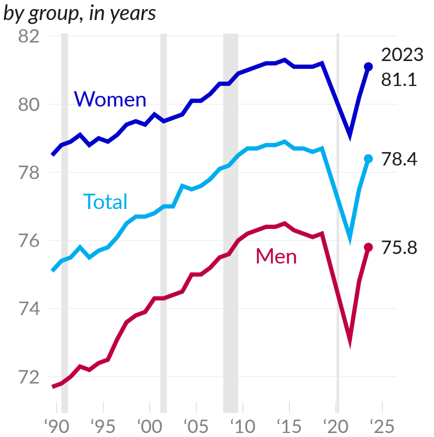
Source: American Community Survey, Dorn

Life Expectancy

Life expectancy at birth summarizes the health and mortality of a population. The measure indicates the number of years a newborn is expected to live if mortality rates do not change. Life expectancy estimates are produced by the National Center for Health Statistics.

Life Expectancy at Birth

by group, in years



Source: NCHS

In 2023, US life expectancy at birth is 78.4 years (see —), a decrease of 0.5 year since 2014, but an increase of 3.3 years since 1989. Life expectancy for men is 75.8 years in 2023, compared to 76.5 years in 2014 and 71.7 years in 1989 (see —). Women born in 2023 are expected to live 81.1 years, based on current mortality rates, compared to estimates of 81.3 years for 2014 and 78.5 years for 1989 (see —).

Falling life expectancy from 2014 to 2018 was generally associated with increased overdose deaths and the opioid epidemic. Life expectancy fell further during the COVID-19 pandemic, according to estimates.

Education

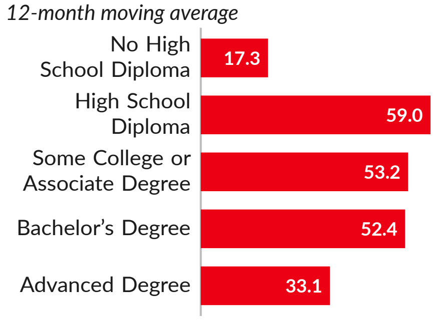
Education is central in many discussions of the future of the US economy. In recent decades, there has been a significant rise in both college tuition fees and enrollment rates. Households may be spending more on education as a response to changing job opportunities from globalization and other policy decisions. Consequently, the population is now more educated but also bears greater student debt burdens.

Over the year ending April 2026, 85.6 million people over the age of 25, or 39.8 percent of the total, have at least a bachelor's degree, with 33.1 million of those, or 15.4 percent of the total, holding an advanced degree such as a master's degree, medical or law degree, or PhD.

An additional 53.2 million people have some college coursework but no degree or have an associate degree. A total of 59.0 million have a high school diploma but no college, while 17.3 million have no high school diploma.

Highest Level of Education

millions of people, age 25+, April 2026
12-month moving average



Source: Author's Calculations from CPS

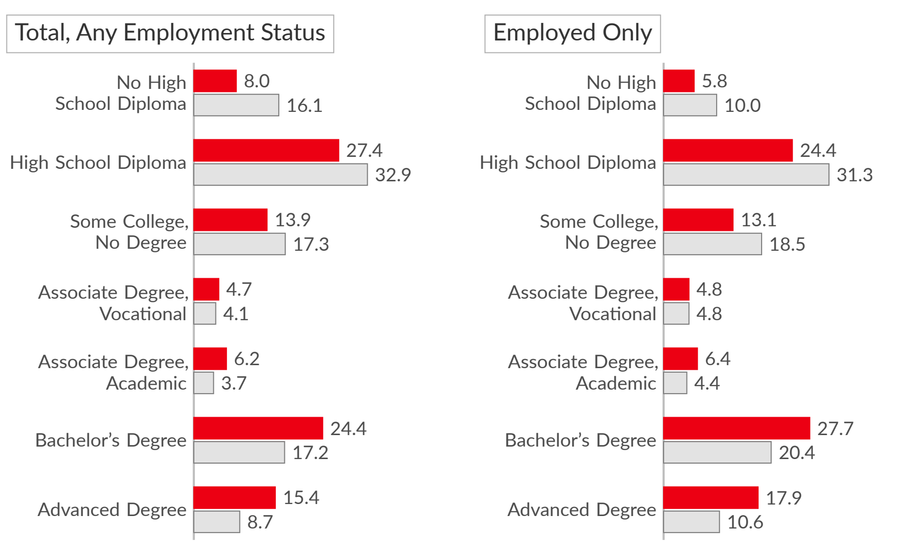
The share of the population with a bachelor's degree or advanced degree increased by 13.9 percentage points since 2000. The increase is even more pronounced among those who are employed; 45.5 percent have a college degree or advanced degree during the year ending April 2026, an increase of 14.6 percentage points since 2000.

The rise in educational attainment may reflect a changing labor market and weakened worker bargaining power. It has also been accompanied by a large increase in student debt, and the burden is significant: a more educated workforce does not necessarily earn the wage premium that education historically provided.

Education Distribution

share of age 25+ population, percent

April 2026 2000 Average



Source: Author's Calculations from CPS

Income, Spending, and Saving

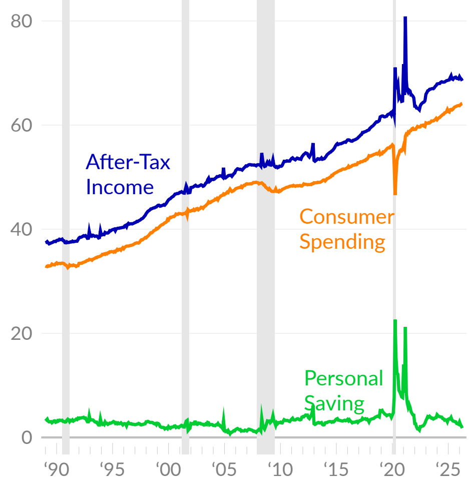
The next subsections cover household and personal income, consumer spending, and personal saving. This subsection offers an overview, with mean and median per capita measures, adjusted for inflation to April 2026 dollars.

In the national accounts, disposable personal income, or **after-tax income**, totals $23.5 trillion, on an annualized basis, in April 2026, equivalent to $68,496 per person (see —). Personal consumption expenditures, or **consumer spending**, totals $22.0 trillion in April 2026, or $64,140 per person (see —). **Personal saving**, calculated as after-tax income minus consumer spending and other outlays such as interest payments, totals $0.61 trillion, or $1,785 per person (see —).

The Consumer Expenditure Surveys report spending by income level, including for the median household. The median is not affected by the activities of the highest income households, which skew the average (mean). Personal saving is calculated as after-tax income minus spending, excluding spending on pensions.

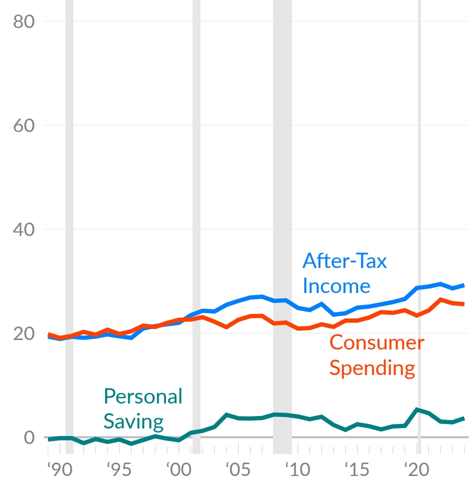
In 2024, inflation-adjusted after-tax income is $29,231 per person for the middle fifth of households (see —). Spending for these households is $25,578 per person (see —), and saving is $3,652 per person (see —).

Average Income, Spending, and Saving
per capita, thousands of April 2026 US dollars



Source: Bureau of Economic Analysis

Median (Middle Fifth Average)
per householder, thousands of April 2026 US dollars



Source: Census Bureau

Average Income, Spending, and Saving
per capita, seasonally adjusted annualized rate, April 2026 US dollars

	Apr '26	Mar '26	Feb '26	Jan '26	Apr '25	Apr '20
Personal Income	$77,981	78,305	78,446	78,809	79,158	78,857
Personal Current Taxes	9,485	9,466	9,487	9,522	9,683	7,785
— After-Tax Income	68,496	68,839	68,959	69,287	69,475	71,072
Personal Outlays	66,711	66,654	66,475	66,312	65,620	48,442
— Consumer Spending	64,140	64,081	63,888	63,718	63,015	46,546
Interest Payments	1,728	1,727	1,735	1,739	1,730	1,122
— Personal Saving	1,785	2,185	2,484	2,975	3,854	22,629

Source: Bureau of Economic Analysis

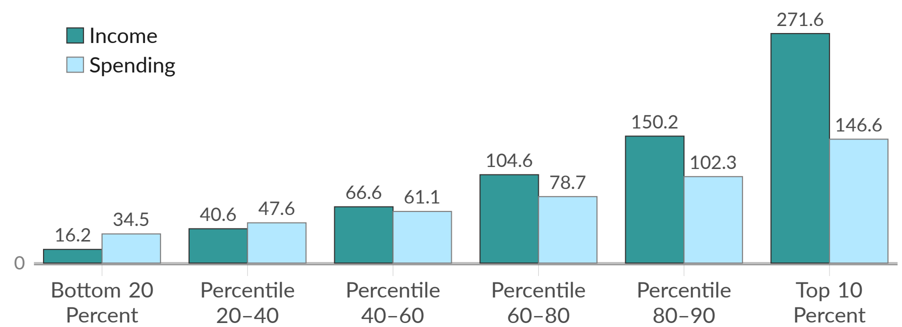
Distribution by Income

Income varies massively by household. While some spending is non-discretionary, spending increases with income. The bottom 40 percent of households, by total money income, have expenses exceeding after-tax income. This includes retirees dissaving and low-income families taking on debt to cover expenses. Meanwhile, the top ten percent of households save almost half of their income.

In 2024, after-tax household income (see ■) ranges from $16,200 for the bottom 20 percent to $271,600 for the top 10 percent. Spending, excluding pensions, (see □) ranges from $34,500 for the bottom 20 percent by income, to $146,600 for the top 10 percent income group.

Household Income and Spending, by Income Percentile

average, thousands of 2024 dollars



Income is after taxes; spending does not include spending on pensions
Source: Consumer Expenditure Surveys

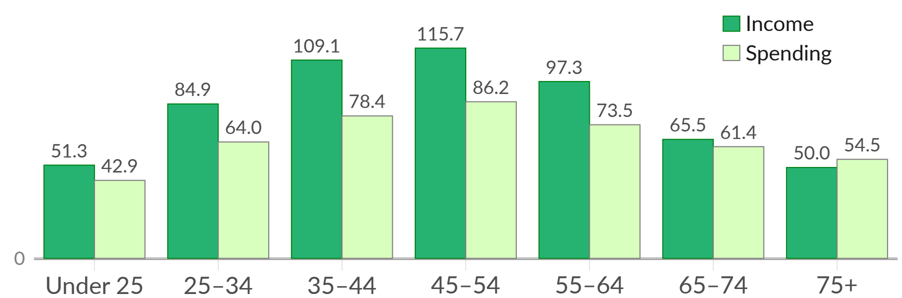
Distribution by Age

Income, spending, and saving all vary by age, tending to peak between ages 45 and 54. In 2019, the oldest and youngest age groups in the data had income near or below their expenses, resulting in low or negative saving rates. In contrast, during the pandemic in 2020, income was above average and spending was below average, and saving rates were positive and far above average.

In 2024, after-tax household income (see ■) ranges from $50,000 for the oldest age group to $115,700 for the 45 to 54 age group. Spending, excluding pensions, (see □) ranges from $42,900 for the youngest age group to $86,200 for the 45 to 54 age group.

Household Income and Spending, by Age of Reference Person

average, thousands of 2024 dollars



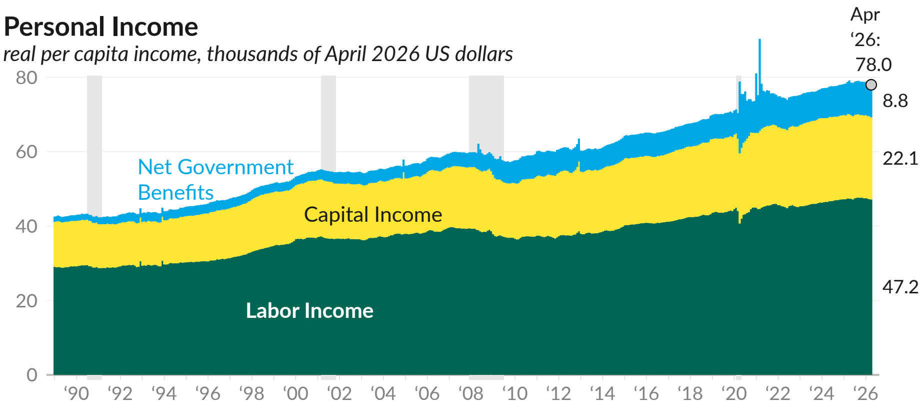
Income is after taxes; spending does not include spending on pensions
Source: Consumer Expenditure Surveys

Personal Income

Personal income—the income people get—can be grouped into three major categories: labor income, capital income, and net government benefits. Labor income (see ■) encompasses wages and salaries and other job benefits, and is measured as compensation of employees in the national accounts. Capital income (see ■) sums proprietor, rental, dividend, and interest income. Net government social benefits (see ■) are measured as government social benefits less contributions to social insurance.

Personal Income

real per capita income, thousands of April 2026 US dollars



Source: Bureau of Economic Analysis, Author

In April 2026, annualized personal income is $77,981 per capita (see ○). Labor income totals $47,161 per person, capital and proprietor income is $22,061 per person, and net government benefits total $8,759 per person.

Personal Income by Source

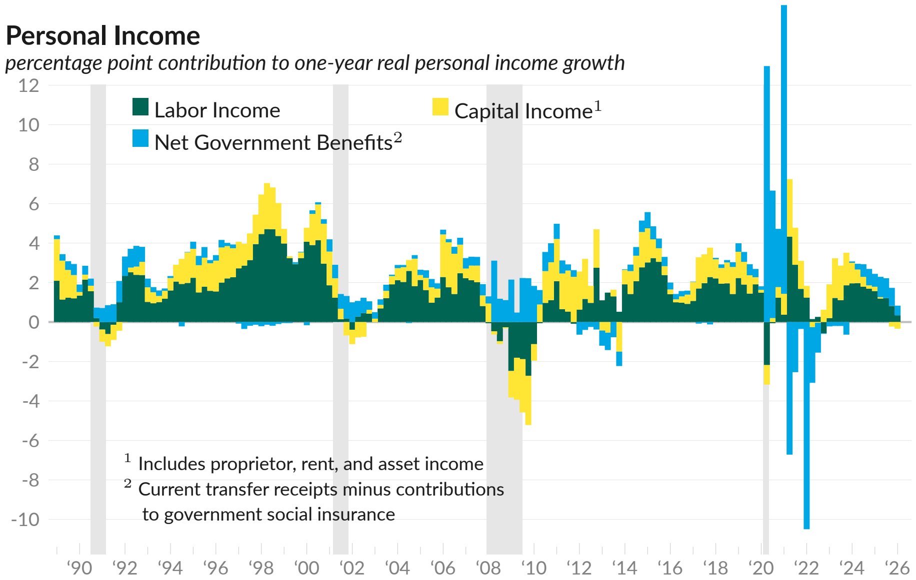
per capita, annualized, April 2026 US dollars

	Apr '26	Mar '26	Feb '26	Apr '25	Apr '20
Personal Income	$77,981	78,305	78,446	79,158	78,857
Labor (■)	47,161	47,241	47,399	47,383	40,698
Wages & Salaries	38,844	38,910	39,035	39,053	33,084
Supplements to Wages & Salaries	8,317	8,331	8,364	8,330	7,614
Capital (■)	22,061	22,283	22,186	22,690	18,856
Proprietors' Income	6,193	6,388	6,264	6,516	5,107
Rental Income	3,331	3,340	3,335	3,411	2,805
Personal Interest Income	5,867	5,862	5,894	5,949	5,773
Personal Dividend Income	6,669	6,693	6,693	6,814	5,170
Net Government Benefits (■)	8,759	8,781	8,861	9,084	19,303
Government Social Benefits	14,547	14,580	14,680	14,871	24,311
Social Security	4,796	4,797	4,805	5,099	4,085
Medicare	3,857	3,843	3,838	3,628	3,074
Medicaid	3,032	3,065	3,097	2,969	2,416
Unemployment Insurance	103	106	108	113	1,401
Veterans' Benefits	923	923	925	854	542
Other	1,835	1,848	1,908	2,207	12,794
Less: Social Insurance Contributions	-6,100	-6,110	-6,132	-6,089	-5,166

Source: Bureau of Economic Analysis

Personal Income

percentage point contribution to one-year real personal income growth



Source: Bureau of Economic Analysis

Aggregate real personal income increased 0.49 percent over the year ending 2026 Q1. Labor income contributed 0.34 percentage point to overall growth, capital income subtracted 0.34 percentage point, and net government benefits contributed 0.49 percentage point.

Personal Income by Source

percentage point contribution to one-year real personal income growth — *moving averages*

	2026 Q1	'25 Q4	'25 Q3	'25 Q2	'25 Q1	1-year	10-year	30-year
Personal Income (Pre-Tax Income)	0.49	1.51	2.21	2.29	2.44	1.62	2.62	2.70
Labor	0.34	0.81	1.21	1.19	1.57	0.89	1.32	1.51
Wages & Salaries	0.22	0.60	0.98	0.95	1.31	0.69	1.16	1.25
Supplements to Wages & Salaries	0.11	0.21	0.23	0.23	0.26	0.20	0.16	0.26
Capital	-0.34	-0.23	0.00	0.07	0.22	-0.12	0.79	0.77
Proprietors' Income	-0.11	-0.04	0.12	0.17	0.28	0.03	0.16	0.24
Rental Income	-0.07	-0.06	0.02	0.09	0.08	0.00	0.14	0.15
Personal Interest Income	-0.06	-0.04	-0.04	-0.06	0.00	-0.05	0.08	0.06
Personal Dividend Income	-0.09	-0.09	-0.10	-0.14	-0.13	-0.11	0.41	0.31
Net Government Benefits	0.49	0.92	1.01	1.03	0.65	0.86	0.51	0.42
Government Social Benefits	0.58	0.98	1.12	1.26	0.91	0.98	0.69	0.60
Social Security	0.20	0.26	0.32	0.52	0.26	0.32	0.19	0.17
Medicare	0.35	0.37	0.37	0.36	0.30	0.36	0.17	0.16
Medicaid	0.24	0.24	0.28	0.13	0.09	0.22	0.13	0.13
Unemployment Insurance	-0.01	0.00	0.00	0.00	0.00	0.00	0.03	0.01
Veterans' Benefits	0.13	0.19	0.23	0.23	0.21	0.20	0.08	0.04
Other	-0.34	-0.09	-0.08	0.01	0.04	-0.13	0.09	0.09
Less: Social Insurance Contributions	-0.08	-0.11	-0.17	-0.18	-0.25	-0.14	-0.19	-0.19

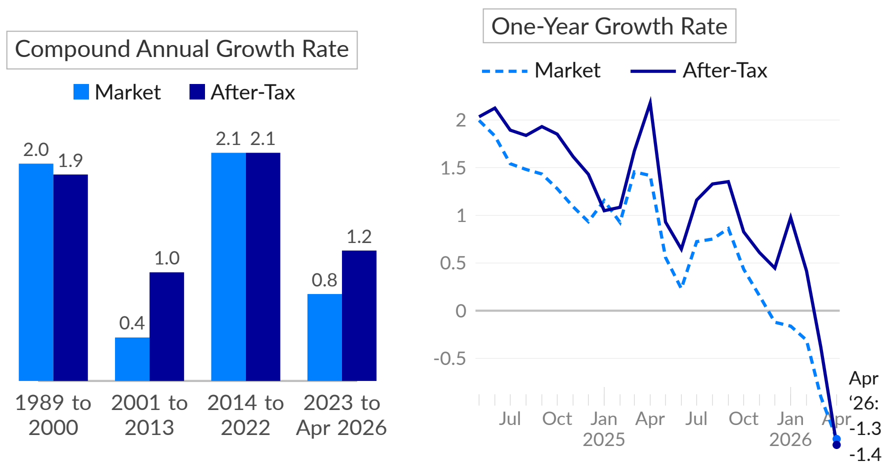
Source: Bureau of Economic Analysis

Next, we distinguish changes in market income from income changes after taxes and transfers. Market income is labor and capital income, excluding transfer payments. Income including transfer payments and taxes is after-tax income or disposable personal income. Additionally, adjusting for inflation and population helps isolate income growth.

The Bureau of Economic Analysis reports real per capita market income fell 1.3 percent over the year ending April 2026 (see). Real per capita income after taxes and transfers decreased 1.4 percent (see). Since 2023, market income increased at an annual rate of 0.8 percent and after-tax income grew at an annual rate of 1.2 percent.

Real Personal Income Growth

inflation-adjusted per capita growth, percent



Source: Bureau of Economic Analysis

Distribution of Personal Income

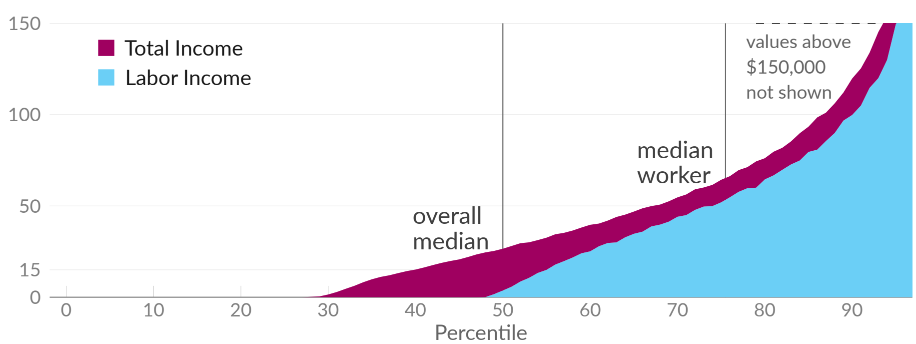
Labor income, which includes wages and salaries as well as self-employment income, is the vast majority of personal income. Over calendar year 2024, 51 percent of people have any labor income (see). Only 43 percent of people have labor income above the single-person poverty threshold of $15,060.

Total income, which includes after-tax labor income plus welfare and capital income, (see) reaches 71 percent of people in 2024. People who did not receive any income by the total income measure typically live with people who receive income.

In 2024, 6.5 percent of people have total income of more than $150,000. Note that the chart cuts off income above $150,000.

Distribution of Personal Income, 2024

by percentile of income, thousands of US dollars



Source: Author's Calculations from CPS ASEC

Personal Income

number of recipients in thousands, income in 2024 US dollars

	2024			2019		
	Total with Income	Median Income	Mean Income	Total with Income	Median Income	Mean Income
Total	246,500	$45,140	$67,080	235,292	$44,277	$66,616
Earnings	175,800	51,370	71,930	169,802	51,119	71,091
Social Security	59,250	19,670	20,700	54,985	19,104	20,302
Supplemental Security Income	5,653	10,530	10,380	5,715	10,370	10,415
Public Assistance	1,759	3,467	4,894	1,383	3,336	4,989
Veterans' Benefits	5,519	19,500	23,960	4,406	16,927	21,701
Survivor Benefits	3,138	11,570	21,000	3,197	11,980	21,094
Disability Benefits	2,876	10,710	15,120	2,729	10,899	17,078
Unemployment Compensation	3,567	4,423	6,936	3,345	4,588	6,489
Workers' Compensation	1,429	7,084	13,720	1,485	9,887	17,536
Property Income	158,900	1,834	8,113	146,025	2,092	7,654
Retirement Income	31,790	16,940	30,280	30,731	17,866	31,758
Pension Income	21,560	17,250	26,920	20,850	19,590	31,449
Alimony	206	13,830	22,000	216	16,374	22,740
Child Support	3,336	4,441	7,061	3,788	5,120	7,241
Educational Assistance	7,794	6,218	10,450	7,848	6,430	10,685
Outside Financial Assistance	3,514	5,500	11,370	2,587	4,950	11,077

Source: Census Bureau, Bureau of Labor Statistics

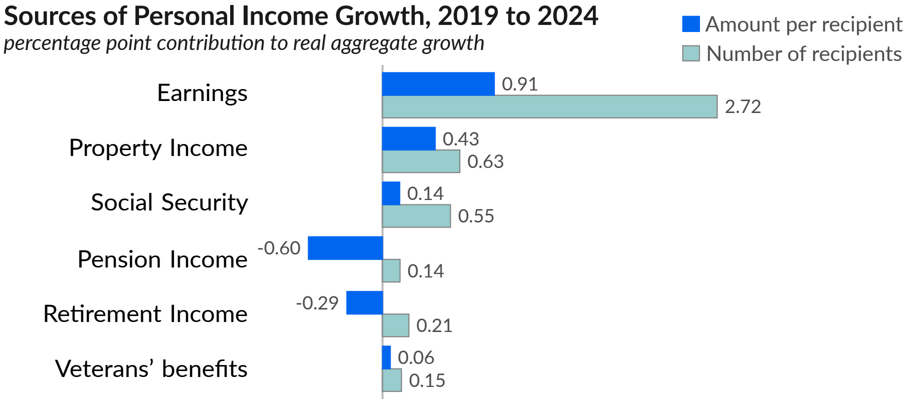
Contributions to Personal Income Growth

Annual data on personal income describe the number of people receiving various categories of income, and the average payment. As a result, changes in aggregate personal income can be matched to changes in payment amounts (see ■) and changes in how many people are receiving payments (see ■).

From 2019 to 2024, aggregate pre-tax personal income increased by a total of 5.49 percent, after adjusting for changes in prices. Earnings contributed 3.66 percentage points to this change, followed by property income (1.09 percentage points), Social Security (0.70 percentage point), and Veterans' benefits (0.23 percentage point). Pension income subtracted 0.48 percentage point. The increase in earnings was driven primarily by a larger working population; average real earnings increased by a total of 1.2 percent.

Sources of Personal Income Growth, 2019 to 2024

percentage point contribution to real aggregate growth



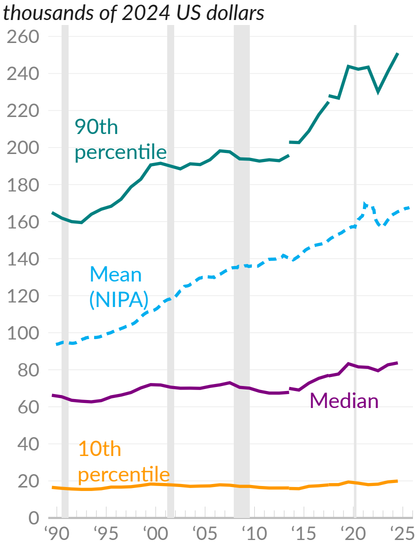
Source: Census Bureau, Bureau of Labor Statistics

Household Income

Given the variance in personal income, with many people receiving no income at all, individuals often live together and combine their income and expenses. This subsection covers household income, the combined income of all people in a given housing unit.

When calculated using national accounts (NIPA), after-tax income per household is $167,040 in 2024 (see - -). However, as with personal income, household income is distributed very unevenly in the US. The Census Bureau reports the distribution of household income, which adds a more complete picture.

Real Household Income
thousands of 2024 US dollars



Source: Census Bureau, BEA

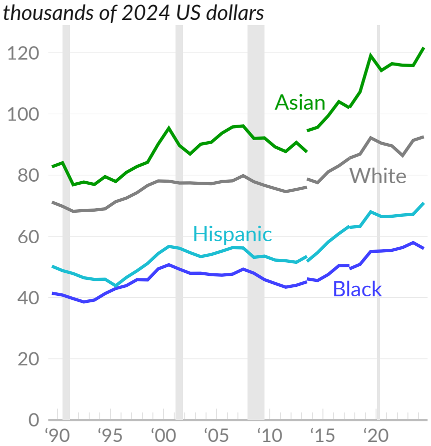
Real median household income (see —), the price-adjusted midpoint among household incomes, is $83,730 in 2024, $82,690 in 2023, and $79,500 in 2022. For comparison, real median household income was $71,790 in 2000. Since 2000, real median income increased by a total of 16.6 percent.

The price-adjusted 90th percentile income limit is $251,000 in 2024 (see —), $241,000 in 2023, $230,200 in 2022, and $191,500 in 2000. Ten percent of households make more than this level.

On the opposite end of the income distribution, the 10th percentile income limit is $19,900 in 2024 (see —), $19,470 in 2023, $18,230 in 2022, and $18,090 in 2000. Ten percent of households make less than this level.

The Census Bureau also reports household income based on the race or ethnicity of the householder. Household income varies substantially by race in the US, and the racial income gap has been persistent over time.

Real Median Household Income
thousands of 2024 US dollars



Source: Census Bureau

Black median household income is $56,020 in 2024, compared to an inflation-adjusted equivalent of $57,950 in 2023 (see —). Non-Hispanic white median household income is $92,530 in 2024 and $91,360 in 2023 (see —).

Hispanic (any race) median household income is $70,950 in 2024 and $67,240 in 2023 (see —). Asian median household income is $121,700 in 2024 and $115,800 in 2023 (see —).

Two values are shown for 2013 and 2017 to mark revisions to the survey design (2013) and the processing of survey data (2017). These data are not perfectly comparable over time.

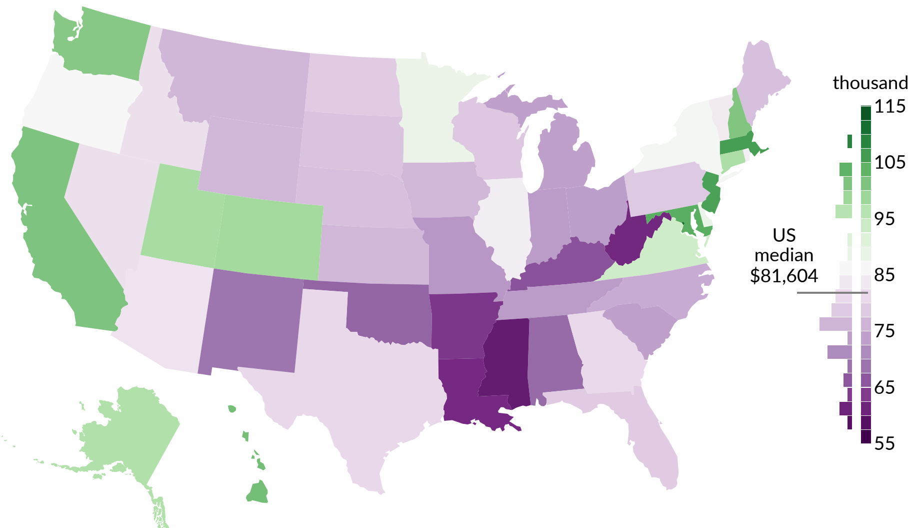
Finally, the Census Bureau reports **median household income by state** from the American Community Survey. In 2024, the median US household income, using this measure, is $81,604. In the same year, the median income in 19 states and the District of Columbia is above the national median, and the median income in 31 states is below the national median.

In 2024, the District of Columbia tops the list, with a median household income of $109,707. Massachusetts has the second highest income ($104,828), followed by New Jersey ($104,294). Other high-income states include Maryland ($102,905), Hawaii ($100,745), California ($100,149), New Hampshire ($99,782), Washington ($99,389), Colorado ($97,113), and Utah ($96,658).

The state with the lowest 2024 median household income is Mississippi ($59,127), followed by West Virginia ($60,798), Louisiana ($60,986), Arkansas ($62,106), Kentucky ($64,526), and Oklahoma ($66,148). Median household income in Puerto Rico is $27,213.

Household Income, 2024

median household income by state, 2024 US dollars



Source: Census Bureau, American Community Survey

Household Spending and Saving

The preceding subsection focused on household income, whereas this subsection covers household **spending and saving**. Consumer spending encompasses household outlays on goods and services, including government-provided benefits like Medicare and Medicaid, and imputed services such as the assumed rental value of owner-occupied housing.

Personal saving occurs when households have income in excess of their expenses. Savings are invested, often providing additional income, and are used for future expenses, such as costs incurred during retirement. Both topics are covered in more depth below.

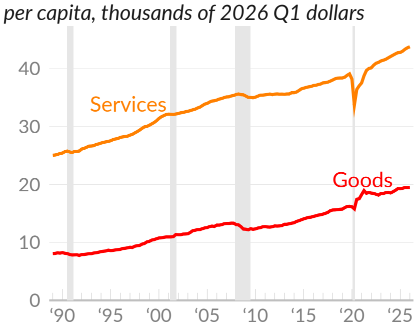
Consumer Spending

Over the last three decades, the expansion of **consumer spending** has been a primary driver of economic growth. Consumer spending usually increases when households have more income and falls when households have less income. This effect is visible in both the long run and during a business cycle, with consumer spending generally falling or slowing during a recession. Some categories of spending fell sharply during COVID-19 business closures and restrictions.

Consumer spending comprises two broad types: goods and services. Spending on goods includes durable goods (goods with a useful life of at least three years), such as cars, furniture, or recreational goods, and nondurable goods, such as groceries, clothing, and gasoline. Spending on services includes housing, health care, restaurants and bars, transportation services, financial services, and other services.

Expenditures, by Type

per capita, thousands of 2026 Q1 dollars

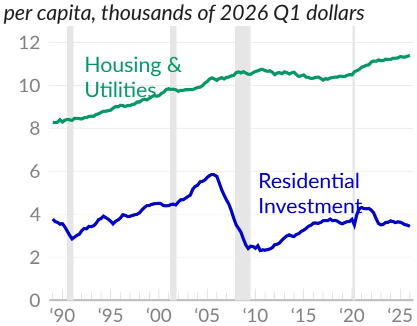


Source: Bureau of Economic Analysis

Consumer spending totals $21.7 trillion in 2026 Q1, compared to a price-adjusted $21.6 trillion in 2025 Q4 and $18.3 trillion in 2019 Q4. On a per person basis, consumer spending is $63,277 in 2026 Q1, of which $19,491 are spent on goods (see —) and $43,786 on services (see —). In the fourth quarter of 2019, before the pandemic, consumer spending on goods was $16,239 per person, and spending on services was $39,101 per person, after adjusting for inflation.

Shelter Costs

per capita, thousands of 2026 Q1 dollars



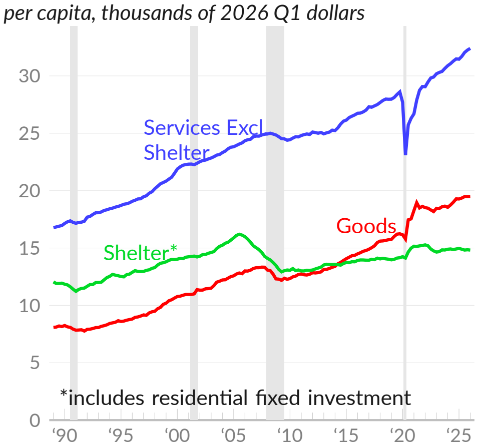
Source: Bureau of Economic Analysis

Within consumer spending on services, housing and utilities spending totals $11,389 on an annualized and per person basis in 2026 Q1 (see —) and $10,496 in 2019 Q4. Construction or improvement of housing is considered residential fixed investment, not consumer spending, but can be combined with spending to analyze patterns in shelter costs. In 2026 Q1, residential investment totals $3,431 per person (see —), compared to $3,659 in the pre-COVID data covering 2019 Q4.

Consumer Spending and Residential Fixed Investment

The previous two charts cover spending on goods, spending on services other than shelter, and spending on housing, utilities, and residential fixed investment. Investment is not typically grouped with spending, as investment is a form of saving. Spending reduces a household's cash balance, while investment exchanges cash for another asset. The two categories are grouped in the following charts to provide a broader overview of what households do with their income.

Expenditures, by Type
per capita, thousands of 2026 Q1 dollars



Source: Bureau of Economic Analysis

Consumer spending on services other than housing and utilities totals $32,397 per person, on an annualized basis, in 2026 Q1 (see —), compared to an inflation-adjusted $32,248 in 2025 Q4, and $28,605 in 2019 Q4. Spending on non-housing services has increased 13.3 percent since 2019 Q4.

Shelter costs, which combine housing, utilities, and residential fixed investment, are $14,820 per person in 2026 Q1 (see —), $14,847 in 2025 Q4, and $14,155 in 2019 Q4. Shelter spending peaked at $16,200 per person in the third quarter of 2005, during the housing bubble.

Expenditures, by Type
per capita, seasonally adjusted annualized rate, 2026 Q1 dollars

	2026 Q1	2025 Q4	2025 Q1	2019 Q4	2000 Q1	1989 Q1
Consumer Spending	$63,277	63,085	62,066	55,282	41,655	32,545
— Goods	19,491	19,479	19,271	16,239	10,771	8,082
Motor Vehicles & Parts	2,191	2,170	2,210	2,096	1,763	1,326
Furniture & HH Equipment	1,523	1,514	1,542	1,243	619	429
Recreational Durable Goods	2,145	2,188	2,084	1,284	267	78
Groceries	4,522	4,532	4,536	4,264	3,458	3,435
Clothes & Shoes	1,709	1,709	1,645	1,357	975	724
— Services Excluding Shelter	32,397	32,248	31,456	28,605	21,885	16,781
Health Care Services	10,760	10,748	10,410	9,009	5,916	5,357
Transportation	2,167	2,148	2,087	2,029	1,799	1,249
Recreational	2,488	2,496	2,417	2,340	1,802	1,286
Food & Accommodations	4,438	4,474	4,423	4,156	3,211	2,949
Financial & Insurance	5,282	5,228	5,092	4,760	4,881	2,892
— Shelter Including Investment	14,820	14,847	14,967	14,155	14,025	12,045
Housing Services & Utilities	11,389	11,359	11,340	10,496	9,516	8,270
Residential Fixed Investment	3,431	3,489	3,627	3,659	4,510	3,775

Source: Bureau of Economic Analysis

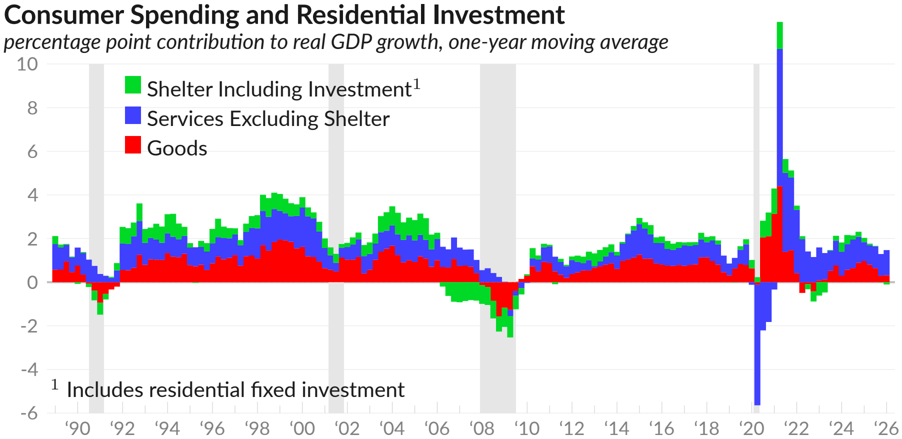
Contribution to Economic Growth

Next, we examine the effect on GDP growth from consumer spending on goods (see ■), services excluding housing and utilities (see ■), and shelter and residential fixed investment (see ■). These categories are 71.8 percent of GDP in 2026 Q1.

Consumer spending contributes 0.9 percentage point to growth in 2026 Q1, after adding 1.3 percentage points in 2025 Q4. In 2019, consumer spending and residential investment added 1.9 points to GDP growth. The Atlanta Fed GDPNow estimates a contribution of 1.8 percent in 2026 Q2.

Consumer Spending and Residential Investment

percentage point contribution to real GDP growth, one-year moving average



Source: Bureau of Economic Analysis

In the first quarter of 2026, consumer spending on goods does not contribute to GDP growth, consumer spending on services other than housing and utilities adds 0.7 point, and shelter spending and investment does not contribute.

Consumer Spending and Residential Investment

percentage point contribution to real GDP growth

	2026 Q1	'25 Q4	'25 Q3	'25 Q1	*moving average* 1-year	10-year	30-year
Consumer Spending	0.95	1.30	2.34	0.42	1.57	1.92	1.85
Goods ■	0.09	0.06	0.64	0.04	0.31	0.81	0.80
Motor Vehicles & Parts	0.10	-0.20	-0.17	-0.31	-0.01	0.06	0.08
Furniture & HH Equipment	0.04	0.00	-0.07	0.04	-0.02	0.08	0.09
Recreational Durable Goods	-0.18	0.20	0.33	0.02	0.07	0.20	0.22
Groceries	-0.03	-0.06	0.10	0.05	0.01	0.12	0.10
Clothes & Shoes	0.00	0.08	0.12	0.14	0.07	0.07	0.08
Services Excluding Shelter ■	0.71	1.00	1.67	0.04	1.16	0.92	0.86
Health Care Services	0.07	0.33	0.75	0.33	0.42	0.39	0.33
Transportation	0.08	0.05	0.08	0.01	0.09	0.06	0.05
Recreational	-0.03	0.11	0.17	-0.18	0.09	0.05	0.06
Food & Accommodations	-0.15	-0.06	0.06	-0.04	0.03	0.11	0.10
Financial & Insurance	0.24	0.25	0.15	-0.01	0.22	0.08	0.11
Shelter Including Investment ■	-0.09	0.17	-0.26	0.29	-0.10	0.20	0.21
Housing Services & Utilities	0.15	0.23	0.03	0.33	0.10	0.19	0.19
Residential Fixed Investment	-0.24	-0.06	-0.29	-0.04	-0.20	0.01	0.02

Source: Bureau of Economic Analysis

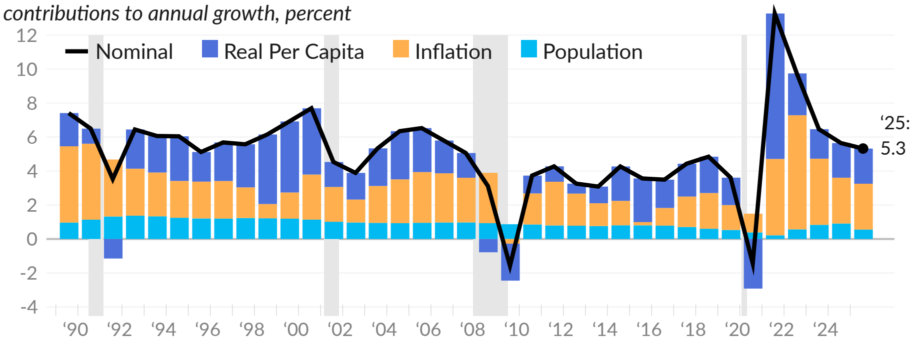
Consumer Spending Growth

While the previous charts are inflation- and population-adjusted, actual transactions in the economy are not. The following charts consider changes in all three factors: real per capita consumer spending (see ■), inflation (see ■), and population growth (see ■).

Since 1989, total US consumer spending increased at an annual rate of 5.1 percent. Real per capita spending increased by 1.8 percent per year, inflation added 2.3 percentage points, and population growth added 0.9 percentage point. In the latest full year of data, 2025, nominal consumer spending growth is 5.3 percent, real per capita growth is 2.1 percent, inflation is 2.7 percent, and population growth is 0.6 percent.

Consumer Spending Growth

contributions to annual growth, percent



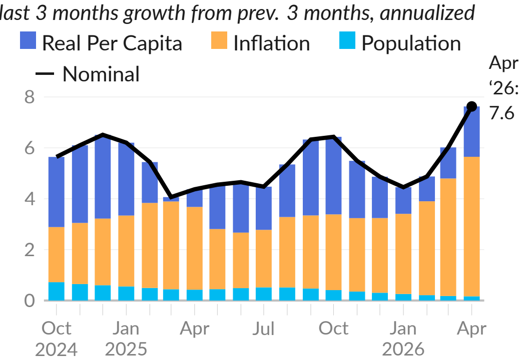
Source: Bureau of Economic Analysis

Next, recent growth is calculated as the latest three months growth from the previous three (3M/3M). This measure reflects newer data than annual growth rates and is steadier than monthly rates.

Using this measure, nominal consumer spending increased at an annual rate of 7.6 percent in April 2026. Real per capita growth was two percent, inflation contributed 5.5 points, and population growth added 0.2 point.

Recent Consumer Spending Growth

last 3 months growth from prev. 3 months, annualized



Source: Bureau of Economic Analysis

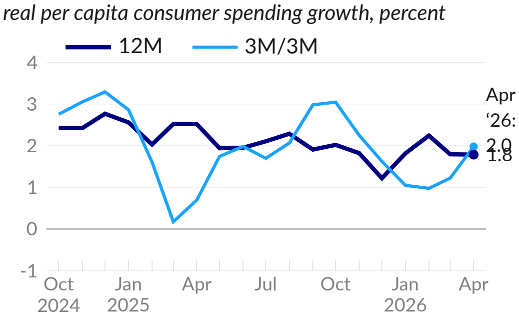
Real per capita consumer spending growth is a key economic indicator, and is presented below as both 12-month growth (12M) and the last three months growth from the prior three (3M/3M).

Over the 12 months ending April 2026, real per capita consumer spending increased 1.8 percent, following increases of 1.8 percent in March and 2.5 percent in April 2025 (see —).

The three month growth rate (3M/3M) is two percent in April, 1.2 percent in March, and 0.7 percent one year prior (see —).

Recent Real Per Capita Growth

real per capita consumer spending growth, percent



Source: Bureau of Economic Analysis

Sources of Consumer Spending Growth

Researchers typically decompose changes in spending based on categories of spending, but we can also view **spending as the result of income and saving**. Ultimately, spending comes from income. Income, however, is more volatile than spending, and households use saving to smooth their consumption across spikes in income and across their lifespan.

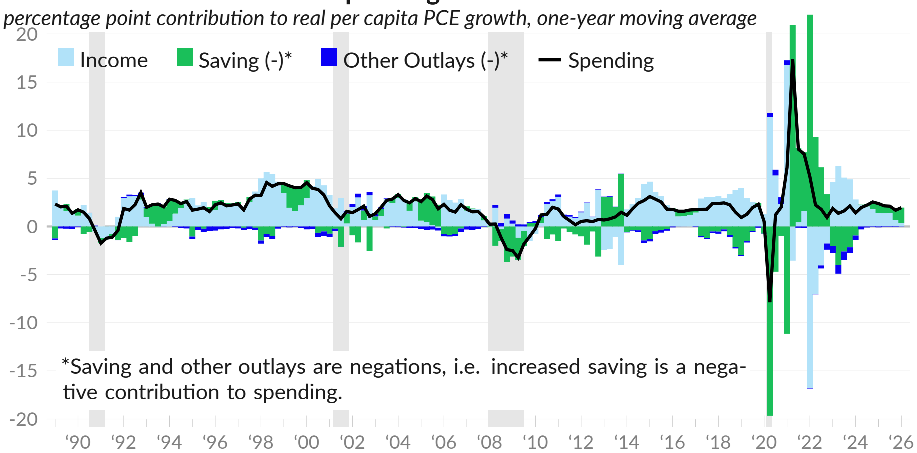
To see this pattern, the following charts show the contribution to changes in real per capita consumer spending (see —) from changes in income (see ■), changes in personal saving (see ■), and changes in other outlays (see ■) such as interest payments, fines, fees, and charitable giving. Changes in spending and other outlays are negations in this approach, as increased saving means reduced spending. In the charts below, a *reduction* in saving or other outlays positively contributes to spending.

Since 1989, annualized real per capita consumer spending growth of 1.8 percent is explained by a 1.9 percent increase in disposable income. Saving was virtually unchanged, while increases in other outlays subtracted 0.1 percentage point per year.

Spending increased at an average rate of two percent over the four quarters ending 2026 Q1. Higher income added 0.4 percentage point, decreased saving added 1.6 percentage points, and decreases in other outlays didn't affect the total.

Contributions to Consumer Spending Growth

percentage point contribution to real per capita PCE growth, one-year moving average



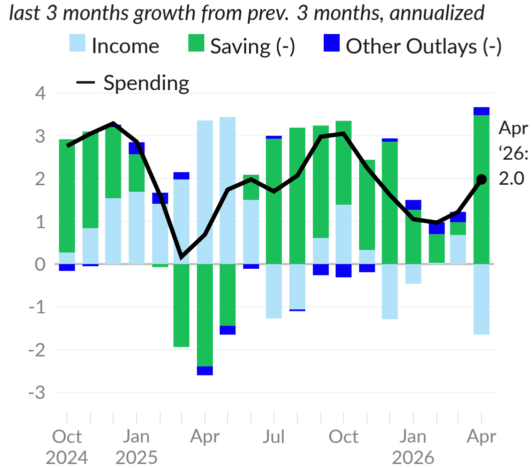
Source: Bureau of Economic Analysis

Real per capita consumer spending over the past three months versus the prior three shows annualized growth of two percent in April 2026. Lower income subtracted 1.6 percentage points, reduced saving contributed 3.5 percentage points, and decreases in other outlays contributed 0.2 percentage point.

Higher interest rates, which count as other outlays, reduce consumer spending. Since early 2022, increases in other outlays have reduced consumer spending by 0.3 percentage point per year.

Recent Contributions

last 3 months growth from prev. 3 months, annualized



Source: Bureau of Economic Analysis

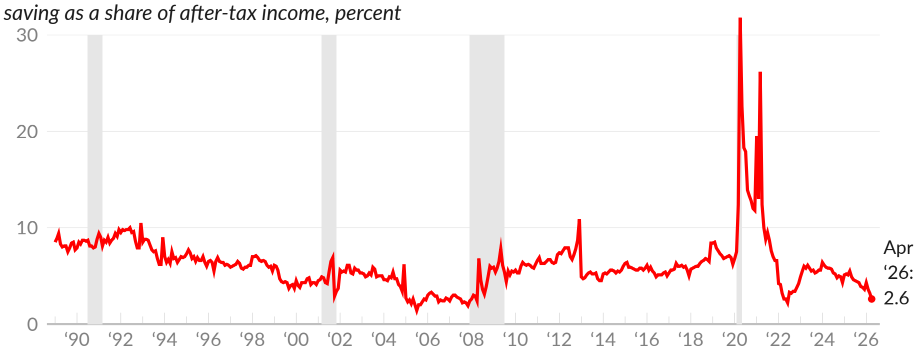
Personal Saving

The after-tax income that people do not spend is considered **personal saving**, from an economic accounting perspective. People's savings are invested through the financial system and become the current fixed investment or consumption activities of other groups in the economy. Savers generally receive a return from this investment.

In April 2026, the Bureau of Economic Analysis reports a personal saving rate of 2.6 percent (see —), following 3.2 percent in March 2026, and 5.5 percent in April 2025. The personal saving rate decreased by a total of 4.9 percentage points since February 2020.

Personal Saving Rate

saving as a share of after-tax income, percent



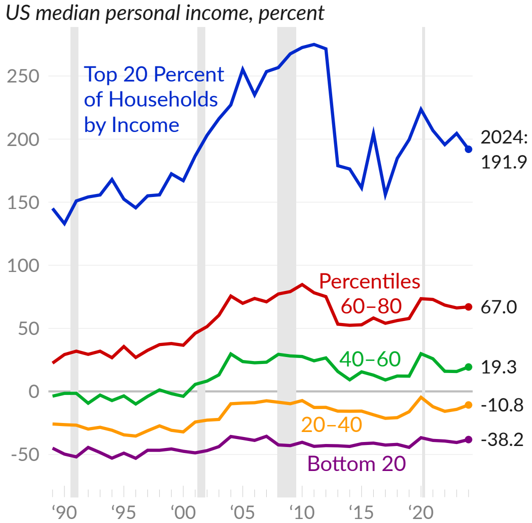
Source: Bureau of Economic Analysis

Distribution of Saving

With such a wide distribution of after-tax income, **saving rates vary massively between households**. Some households dissave and others save more than two typical incomes. Saving by income quintile is calculated using the Consumer Expenditure Surveys (CE) as after-tax income minus spending (other than spending on pensions). The following chart shows the average saving of each group divided by the US median personal income, thus reporting saving, or dissaving, in terms of a typical annual US income.

Saving Rate by Income Quintile

income quintile average saving, as share of US median personal income, percent



Source: Author's Calculations from CE

The 20 percent of households with the least income dissave the equivalent of 38.2 percent of the US median personal income in 2024 (see —). This group includes people going into debt and retirees dissaving. In the same period, the top 20 percent of households save the equivalent of 191.9 percent of the median income (see —).

The middle fifth of households by income, percentiles 40–60, saved the equivalent of 19.3 percent of the median income (see —). The fifth of households below the middle group, in percentiles 20–40, did not save in 2024, but dissaved less than in previous years (see —).

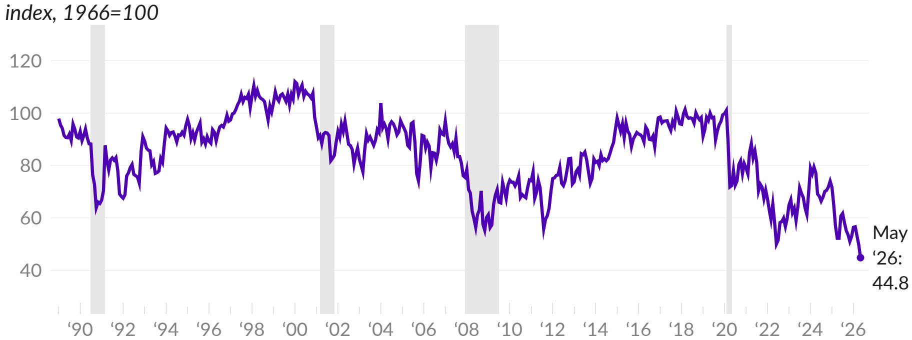
Consumer Sentiment

The University of Michigan conducts a monthly survey of **consumer sentiment** (see —). The survey asks about personal finances, business conditions, and buying conditions. An increase in consumer sentiment means individuals feel more confident about economic conditions and are more willing to make large purchases or take on debt.

As of May 2026, the latest value of the consumer sentiment index is 44.8, following 49.8 in April 2026, and compared to 52.2 one year prior, in May 2025. As a pre-COVID baseline, the index average value was 97.3 during the year ending February 2020; the consumer sentiment index is currently 54.0 percent below this level.

Consumer Sentiment

index, 1966=100



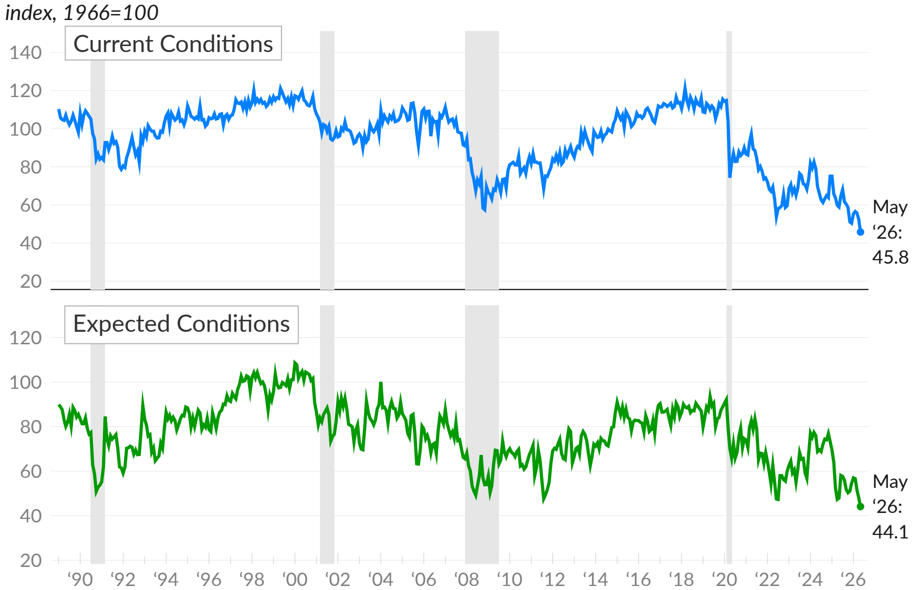
Source: University of Michigan

The consumer sentiment index combines views on current and future economic conditions. In May 2026, the index tracking views on current economic conditions was 45.8, compared to 52.5 in April 2026, and 110.8 in 2019 (see —).

In May 2026, the index tracking consumer expectations for future economic conditions was 44.1, compared to 48.1 in April 2026, and 86.5 in 2019 (see —).

Consumer Sentiment Index Components

index, 1966=100



Source: University of Michigan

Household Balance Sheets

The vast majority of US wealth is found on private **household balance sheets**. Households own residential real estate and consumer durable goods, but also own equity in businesses, directly and indirectly, and hold financial claims on businesses and on the public sector. This subsection discusses household liabilities, assets, and wealth.

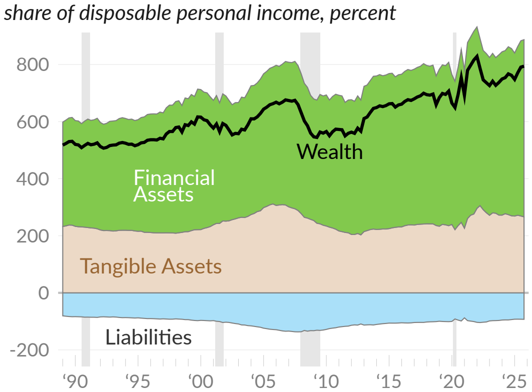
Overview

According to the US financial accounts, the combined household and nonprofit sectors have $205.6 trillion in assets and $21.5 trillion in liabilities, resulting in a net worth of $184.1 trillion, as of 2025 Q4.

Household balance sheets have grown relative to income. In 2025 Q4, assets are equivalent to 887.1 percent of disposable personal income, compared to 607.8 percent in 1989. Household liabilities are currently 92.8 percent of income, compared to 82.3 percent in 1989 (see ■).

Household wealth—assets minus liabilities—is equivalent to 794.3 percent of DPI in 2025 Q4, 696.2 percent in 2019, and 525.5 percent in 1989 (see —).

Household & Nonprofit Balance Sheets
share of disposable personal income, percent



Source: Federal Reserve

Household averages can add context to aggregate household sector balance sheets. In 2025 Q4, average wealth, across all households, is $1.29 million per household. Assets per household are $1.44 million and liabilities per household are $147,400.

Using the distributive financial accounts from the Federal Reserve, households are split into a higher-income group, containing the top 40 percent of households by income, and a lower-income group, containing the bottom 60 percent of households by income. Wealth averages $2.76 million for the higher income group, compared to $318,000 for the lower income group.

Household Balance Sheets, 2025 Q4
per household, thousands of USD

		Average, by Income Group	
	Average, All Households	Top 40 Percent	Bottom 60 Percent
Household Assets	$1,442.1	$3,031.9	$382.3
Real Estate	354.0	664.6	146.9
Consumer Durables	63.9	107.8	34.7
Corporate Equity & Mutual Funds	426.1	1,000.8	42.9
Defined Contribution Pensions	99.1	225.2	15.1
Defined Benefit Pensions	135.8	263.0	51.0
Household Liabilities	147.4	272.1	64.3
Home Mortgages	101.7	195.9	38.9
Consumer Credit	37.7	57.7	24.4
Household Wealth (Assets minus Liabilities)	1,294.7	2,759.8	318.0
Excluding Home Equity	1,042.4	2,291.1	210.0

Source: Federal Reserve

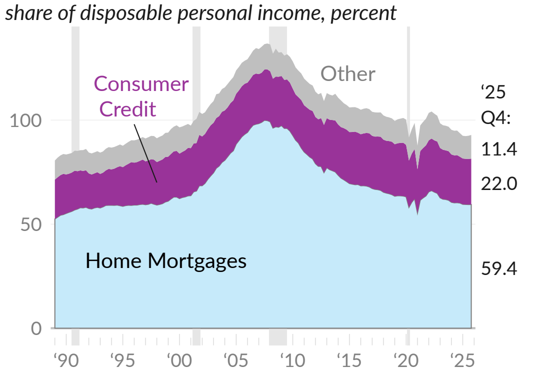
Liabilities

Household liabilities affect consumer behavior and can signal potential economic risks. The main type of household debt is home mortgages, but consumer credit is also important to the US economy. This subsection examines household debt using the financial accounts and the Federal Reserve Bank of New York's consumer credit panel.

Starting with the financial accounts, household and nonprofit liabilities total $21.5 trillion in 2025 Q4. Home mortgages are $13.8 trillion (see ■). Consumer credit, which includes auto loans, credit card debt, student loans, and other personal loans, totals $5.1 trillion (see ■). Remaining liabilities primarily belong to nonprofits (see ■).

Household and Nonprofit Debt by Type

share of disposable personal income, percent



Source: Federal Reserve

The ratio of household and nonprofit debt to disposable personal income has fallen to 92.8 percent in 2025 Q4 from the housing bubble peak of 136.8 percent in 2007.

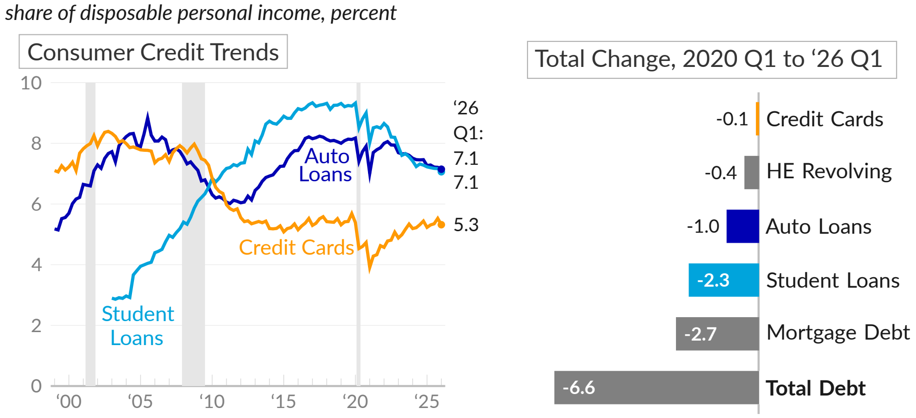
Since 2019, household and nonprofit debt increased 30.1 percent while disposable personal income increased 41.6 percent. As a result, the debt-to-income ratio fell by 8.2 points. Over the past year, the ratio fell by 0.8 point.

Next, the consumer credit panel samples credit reports to offer more detail on household debt, including by category. According to this measure, household debt totals $18.8 trillion in 2026 Q1, equivalent to 79.9 percent of disposable personal income. Mortgages, including credit lines, total $13.6 trillion, or 58 percent of income.

Consumer credit totaling $5.2 trillion includes $1.7 trillion in student loans, equal to 7.1 percent of income (see —), $1.7 trillion in auto loans (7.1 percent of income, see —), and $1.2 trillion in credit card debt (5.3 percent of income, see —).

Household Debt

share of disposable personal income, percent



Source: Federal Reserve Bank of New York and Bureau of Economic Analysis

Over the past six years, the ratio of total mortgage and home equity debt to disposable personal income fell by 3.1 percentage points, compared to a decrease of 2.3 percentage points for student loans, a decrease of one percentage point for auto loans, and virtually no change for credit card debt. Total debt fell by 6.6 points over the period.

The following table summarizes both measures of household debt. The financial accounts are a long-standing measure that integrate with data from other sectors. The consumer credit panel is timely and offers more detail on types of consumer credit. To gauge ability to repay, liabilities are presented as a share of disposable personal income.

Household Debt Outstanding
trillions of US dollars

	2026 Q1	2025 Q4	*share of disposable personal income* '26 Q1	'25 Q4	'20 Q1	'13 Q1	'03 Q1
Financial Accounts Total	–	$21.51T	–	92.8	100.2	113.0	109.1
Mortgage Debt Total	–	$13.77T	–	59.4	63.2	77.1	74.7
Consumer Credit	–	$5.11T	–	22.0	24.9	23.8	24.0
Other	–	$2.63T	–	11.4	12.2	12.0	10.4
Consumer Credit Panel Total	$18.79T	$18.78T	79.9	81.1	86.6	91.6	87.3
Mortgage Debt Total	$13.64T	$13.60T	58.0	58.7	61.2	69.2	62.5
Mortgage	$13.19T	$13.17T	56.1	56.9	58.8	64.7	59.6
Home Equity Revolving	$0.45T	$0.43T	1.9	1.9	2.4	4.5	2.9
Consumer Credit	$5.15T	$5.17T	21.9	22.3	25.5	22.4	24.7
Auto Loan	$1.68T	$1.67T	7.1	7.2	8.2	6.4	7.7
Credit Card	$1.25T	$1.28T	5.3	5.5	5.4	5.4	8.3
Student Loan	$1.66T	$1.66T	7.1	7.2	9.3	8.1	2.9
Other	$0.56T	$0.56T	2.4	2.4	2.6	2.5	5.8

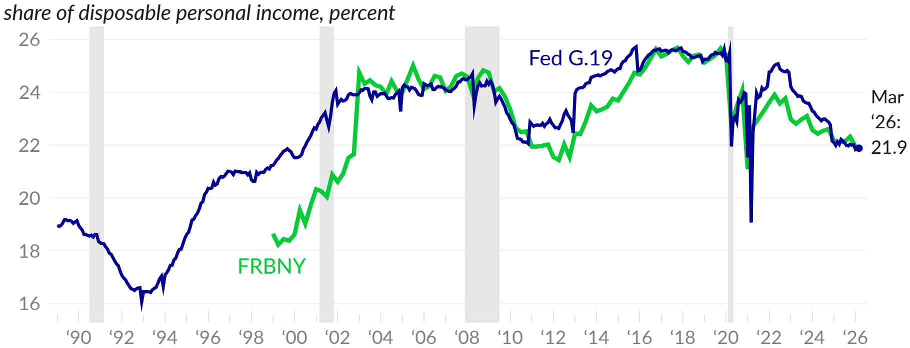
Source: Federal Reserve, Federal Reserve Bank of New York, Bureau of Economic Analysis
Financial Accounts include debt of nonprofit institutions and the Consumer Credit Panel does not include people without a social security number.

Consumer Credit

The Federal Reserve also reports **consumer credit** monthly. Consumer credit totals $5.14 trillion on a seasonally adjusted basis in March 2026. Over the past year, consumer credit increased by 2.3 percent, while after-tax income increased by 2.6 percent. As a result, the ratio of consumer credit to disposable income decreased by a total of 0.2 percentage point. In March 2026, consumer credit equals 21.9 percent of disposable income (see —).

The latest comparable figure from the FRBNY data discussed in the previous section, which covers 2026 Q1, shows consumer credit equal to 22.0 percent of annual disposable personal income (see —). Over the past year, the ratio decreased by a total of 0.2 percentage point.

Consumer Credit
share of disposable personal income, percent



Source: Federal Reserve, FRBNY

Assets

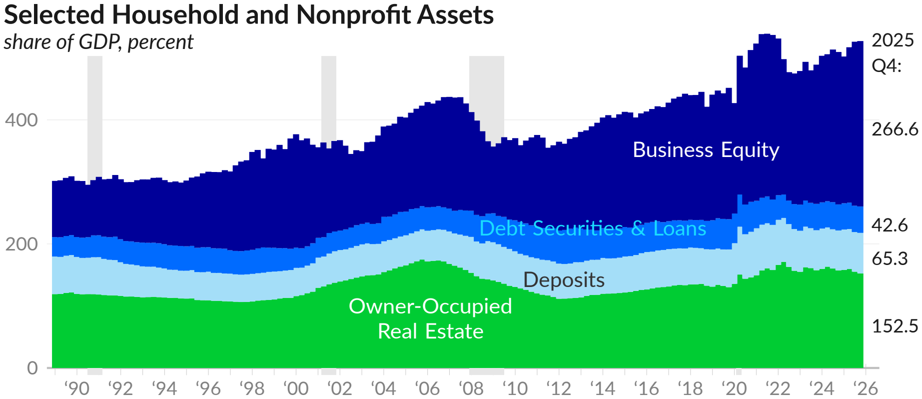
According to the US Financial Accounts produced by the Federal Reserve, the market value of **household and nonprofit assets** is $205.6 trillion in 2025 Q4, equivalent to 654 percent–or 6.54 years–of GDP. Of this, $61.7 trillion, or 30.0 percent of the total, are tangible (non-financial) assets and $143.9 trillion, or 70.0 percent, are financial assets.

Tangible assets include peoples' homes as well as consumer durable goods, such as cars, furniture, and appliances. Owner-occupied real estate is valued at $47.9 trillion in 2025 Q4, equal to 152 percent of GDP (see ■). The replacement value of consumer durable goods is $8.7 trillion, or 28 percent of GDP.

Financial assets include equity in businesses–corporate and non-corporate–with a market value of $83.8 trillion, or 267 percent of GDP (see ■), in 2025 Q4. Debt securities and loan assets total $13.4 trillion, or 43 percent of GDP (see ■). Cash and deposits, including money market accounts, total $20.5 trillion, or 65 percent of GDP (see ■). Other financial assets total $26.2 trillion.

Selected Household and Nonprofit Assets

share of GDP, percent

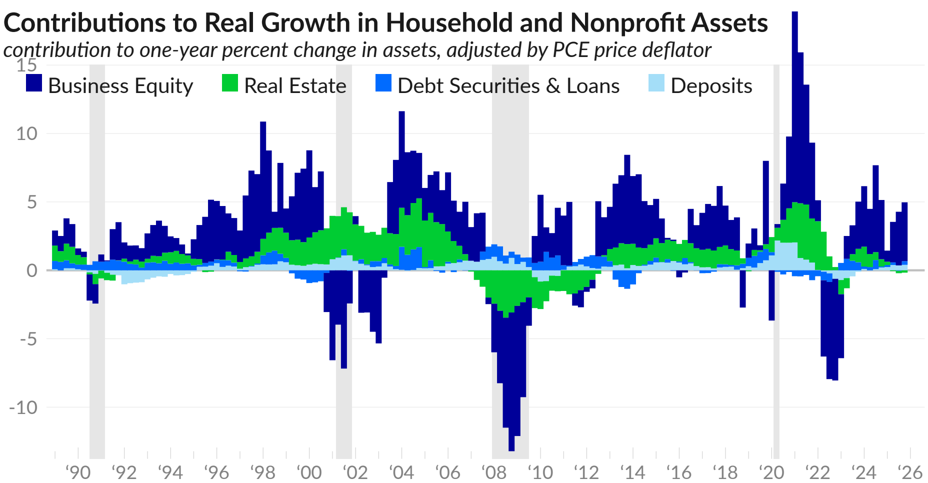


Source: Federal Reserve, Bureau of Economic Analysis

The inflation-adjusted value of household and nonprofit assets grew five percent over the year ending 2025 Q4. The growth is driven largely by an increase in the market value of business equity.

Contributions to Real Growth in Household and Nonprofit Assets

contribution to one-year percent change in assets, adjusted by PCE price deflator



Source: Federal Reserve, Bureau of Economic Analysis

Household and Nonprofit Assets

various measures:	*trillions of USD*	*share of GDP*		*real annual growth rate*		
	2025 Q4	2025 Q4	2024 Q4	One-year	Three-year	20-year
Total Assets	$205.6	654.3	638.6	5.0	5.0	2.9
Nonfinancial Assets	61.7	196.5	201.5	0.0	1.3	1.5
Owner-Occupied Real Estate	47.9	152.5	157.3	-0.7	1.7	1.5
Consumer Durable Goods	8.7	27.5	27.2	3.8	1.5	1.6
Nonprofit Assets	5.2	16.5	16.9	-0.1	-2.9	1.8
Financial Assets	143.9	457.8	437.2	7.3	6.8	3.6
Deposits, Incl. Money Market	20.5	65.3	64.4	4.0	1.7	3.7
Debt Securities & Loans	13.4	42.6	42.0	4.1	4.6	2.8
Business Equity	83.8	266.6	245.8	11.2	11.1	4.7
Corporate Equities	67.8	215.7	192.7	14.7	15.6	6.0
Noncorporate Business Equity	16.0	50.9	53.1	-1.7	-2.6	1.5

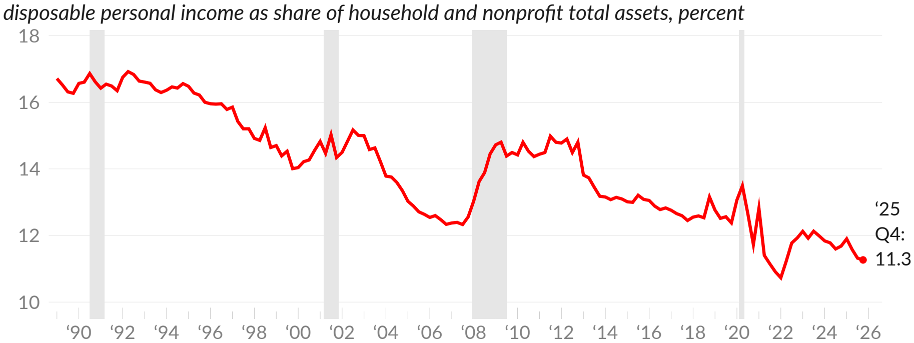
Source: Federal Reserve, Bureau of Economic Analysis

Income-to-Wealth Ratio

The ratio of disposable income to household assets measures how household income compares to the value of household wealth. A falling ratio indicates that asset values are growing faster than income. In 2025 Q4, disposable income is equivalent to 11.3 percent of the market value of US household assets (see —), compared to an average of 16.0 percent during the 1990s.

Income-to-Wealth Ratio

disposable personal income as share of household and nonprofit total assets, percent



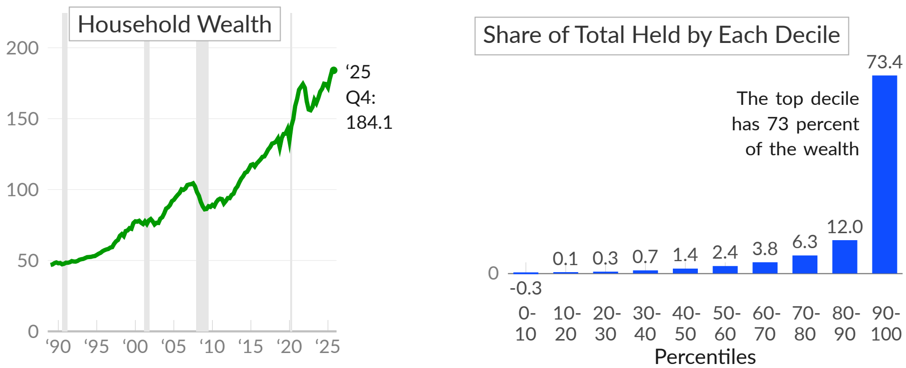
Source: Federal Reserve, Bureau of Economic Analysis

Household Wealth

In the aggregate, US households are very wealthy. **Household wealth**, calculated as assets minus liabilities, totals $184.1 trillion in 2025 Q4 (see —), equivalent to $537,600 per capita or $1.4 million per household. The vast majority of this wealth, however, is held by the wealthiest families. In the 2022 Survey of Consumer Finances, 73.4 percent of wealth is held by the wealthiest ten percent of families (see ■).

Household Wealth Summary

trillions of 2025 Q4 US dollars (left), and percent of US wealth held by each decile, 2022 (right)



Source: Federal Reserve, Survey of Consumer Finances

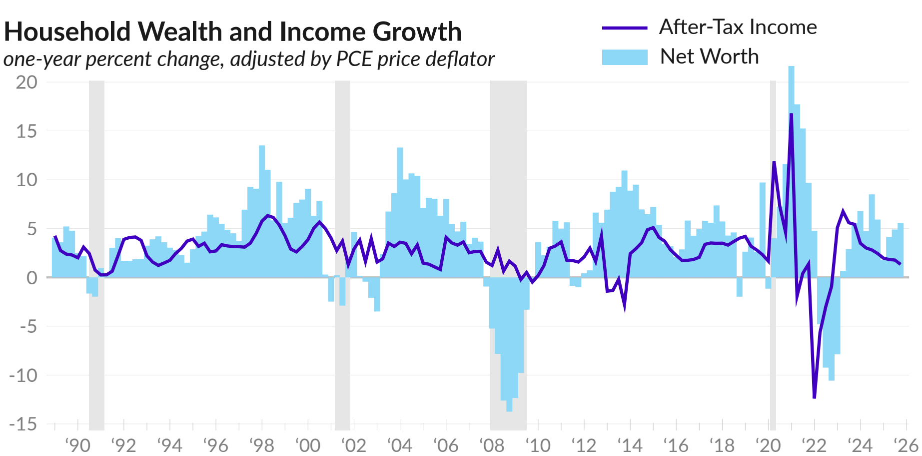
Household Wealth Growth

The large increase in wealth is mechanically the result of household asset values rising much faster than household debt. Over the past 30 years, the market value of household and nonprofit assets increased at an inflation-adjusted rate of 3.9 percent per year, while liabilities increased 2.7 percent per year. Wealth grew four percent per year, over the period.

Wealth has also, typically but not always, grown faster than income. Over the past 30 years, real income grew 2.7 percent per year. In 2025 Q4, inflation-adjusted wealth increased by 5.6 percent (see ■), and inflation-adjusted income increased by 1.3 percent (see —). Over the past three years, inflation-adjusted wealth grew at an annual rate of 5.7 percent, while real income rose by 3.1 percent per year.

Household Wealth and Income Growth

one-year percent change, adjusted by PCE price deflator



Source: Federal Reserve, Bureau of Economic Analysis

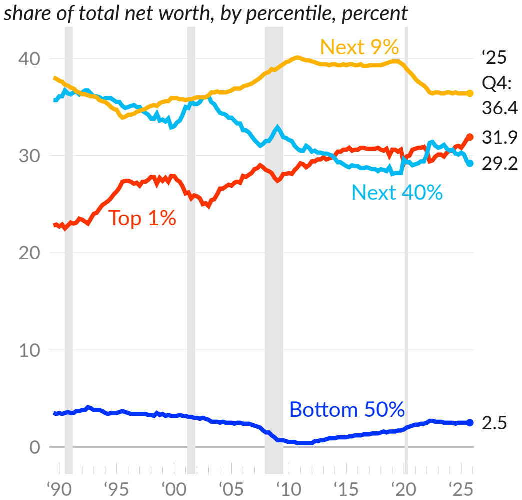
Distribution of Wealth

The Federal Reserve reports **net worth by percentile**. The top one percent of households by wealth own 31.9 percent of US wealth, as of 2025 Q4 (see —), while the top 10 percent of households own 68.3 percent. The bottom half of households own 2.5 percent of US wealth (see —).

Since 1989, the wealth share of the top one percent increased nine percentage points, while the share held by the bottom 50 percent decreased one percentage point. The wealth share of the 40 percent of households in wealth percentiles 50 through 90 decreased 6.5 percentage points since 1989.

Share of US Wealth

share of total net worth, by percentile, percent



Source: Federal Reserve

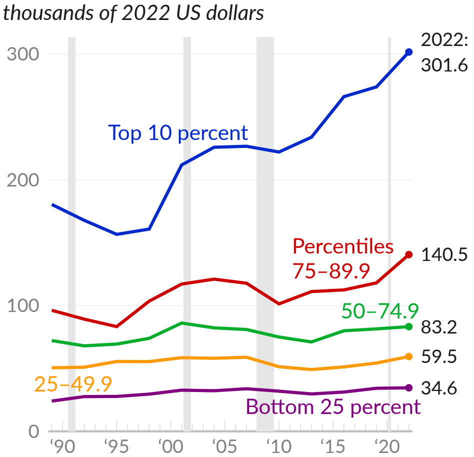
Wealth and Income

While wealth can be a source of income, wealth does not correspond perfectly to income. For example, early-career professionals with student debt may have a negative net worth and a high income. Despite corner cases, data on **family income by wealth percentile** clearly shows that income tends to increase with wealth.

Additionally, the before-tax income of the wealthiest ten percent of families (see —) has increased substantially more than the income of other groups. The top ten percent of families by wealth, percentiles 90 to 100 with a mean wealth of $7.8 million and a median wealth of $3.8 million in 2022, have a typical annual income of $301,600 in 2022 and $180,400 in 1989, after adjusting for inflation. Income for the group increased $121,200, or 1.6 percent per year, over the 33-year period.

Pre-Tax Income by Wealth Percentile

median inflation-adjusted annual family income
thousands of 2022 US dollars



Source: Federal Reserve (SCF)

Families in the third wealth quartile (50th to 74.9th percentiles, mean wealth of $373,800 in 2022), have a typical income of $83,200 in 2022 and $72,200 in 1989 (see —), an increase of $11,100 (0.4 percent per year).

Second quartile (25th to 49.9th percentile, mean wealth of $98,800) family income increased $8,900 (0.5 percent per year) to $59,500 in 2022, from $50,500 in 1989 (see —).

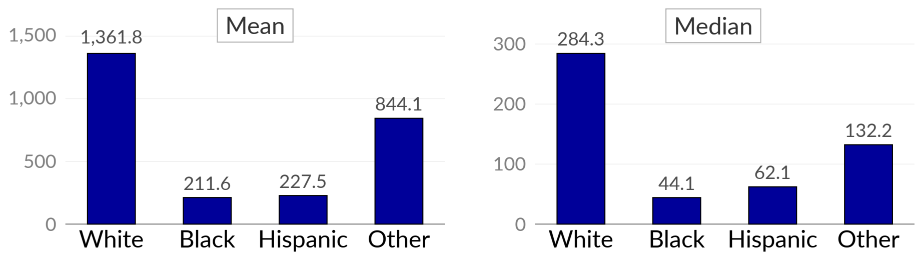
For the bottom quarter of families by wealth (see —), typical income increased $10,500 or 1.1 percent per year to $34,600, over the 33 years ending 2022. The bottom quarter of families have no wealth.

Wealth and Race

In the US, **wealth varies substantially by race and ethnicity**. In 2022, white non-Hispanic families' average net worth was $1,361,800, compared to $211,600 for black non-Hispanic families, and $227,500 for Hispanic families of any race. Additionally, typical (median) family wealth is much lower than average (mean) family wealth, as the result of a concentration of wealth among the wealthiest families.

Racial Wealth Gap

net worth by race/ethnicity, thousands of US dollars, 2022

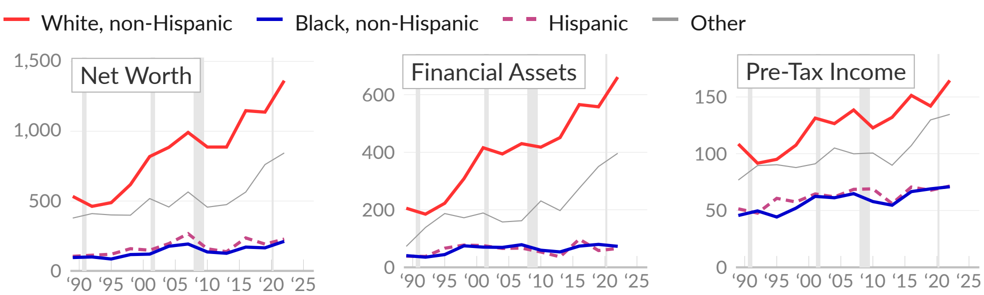


Source: Federal Reserve, Survey of Consumer Finances

White families have substantially more financial assets, including stocks, and are much more likely to receive inheritance and lifetime gifts. Income for black families is also substantially lower–about half of white family income. Persistent structural inequalities are seen in income data, but are also evident from measures of wealth and assets.

Measures of Wealth and Income by Race or Ethnicity

by family, mean, thousands of 2022 USD

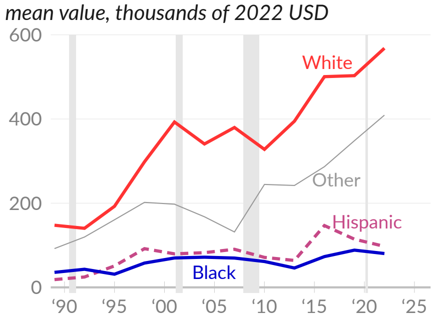


Source: Federal Reserve

In 2022, among the 65.6 percent of white families who own stocks, the average value of stock holdings is $568,136. The return on these assets is a source of income and the assets themselves provide cushion against unexpected expenses. Meanwhile, black families have relatively few financial assets; only 39.2 percent of black families own stocks, with average stock holdings of $80,400.

Stock Holdings

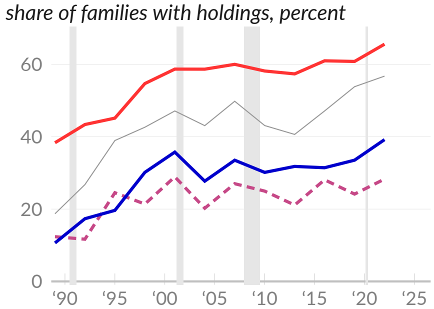
mean value, thousands of 2022 USD



Source: Federal Reserve

Stock Holdings

share of families with holdings, percent



Source: Federal Reserve

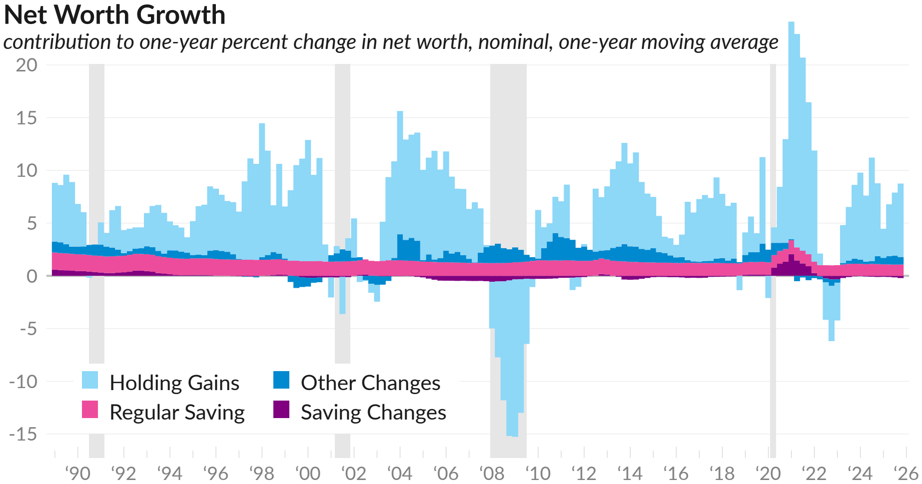
Changes in Wealth

Household wealth growth is largely determined by capital gains (see ■), but is also the result of new saving. The portion of aggregate household income that isn't consumed by the household sector becomes net investment in the economy and adds to household wealth. Since 1989, household net investment averages about eight percent of after-tax income.

In the following chart, income invested at the historical-average rate (see ■) is shown separately from above- or below-trend investment (see ■). The separation distinguishes changes in disposable personal income from changes in decisions about how to use that income. Separately, other changes (see ■) include capital transfers, statistical discrepancies, and other volume changes.

Net Worth Growth

contribution to one-year percent change in net worth, nominal, one-year moving average



Source: Federal Reserve, Bureau of Economic Analysis

Over the year ending 2025 Q4, holding gains contribute seven percentage points to the 8.5 percent change in household net worth. Income invested at the 1989-onward average rate of 7.9 percent would have contributed 1.1 percentage points, but 0.2 percentage point was subtracted as household net investment is 6.4 percent of disposable personal income over the year ending 2025 Q4. Other changes contributed 0.7 percentage point.

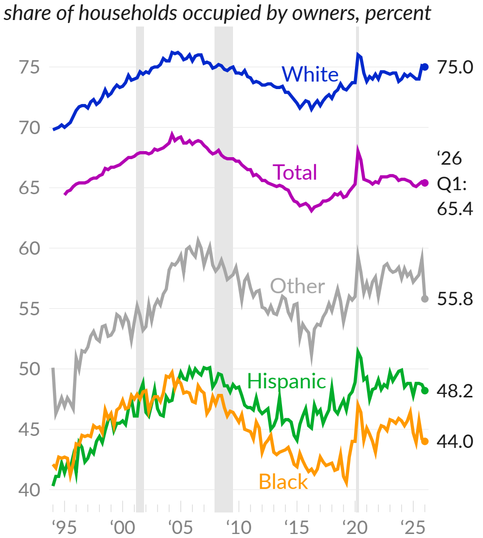
Over the past six years, net worth grew at an average annual rate of 8.1 percent. Holding gains contribute 6.5 percentage points to this total, on average. Net investment of income contributes 1.3 percentage points and other changes added 0.3 percentage point.

Homeownership

The **homeownership rate** measures the share of occupied housing units that are owner-occupied, rather than rented. In 2004, near the peak of the housing bubble, homeownership reached 69.2 percent. As of 2026 Q1, the Census Bureau reports a homeownership rate of 65.4 percent (see —). Over the past year, the rate rose by 0.2 percentage point.

Homeownership Rate

share of households occupied by owners, percent



Source: Census Bureau

Census data show large differences in homeownership by race and ethnicity. Around three-quarters (75 percent in 2026 Q1) of non-Hispanic white households own their homes (see —), compared to fewer than half of black and Hispanic households.

During the housing bubble, the homeownership rate for black households increased by nearly ten percentage points. Black homeownership peaked at 49.7 percent in the second quarter of 2004 but fell to 40.6 percent in 2019 Q2. The 2026 Q1 rate is 44 percent (see —).

The 2026 Q1 rate for Hispanic households is 48.2 percent, substantially below the 50.1 percent rate in 2007 Q1 (see —).

Use caution when interpreting homeownership data during the COVID-19 pandemic. The measure counts heads of households; when some renters (such as college students) moved in with family during the pandemic, they lost their status as heads of household, causing the homeownership rate to spike.

Homeowners' Equity

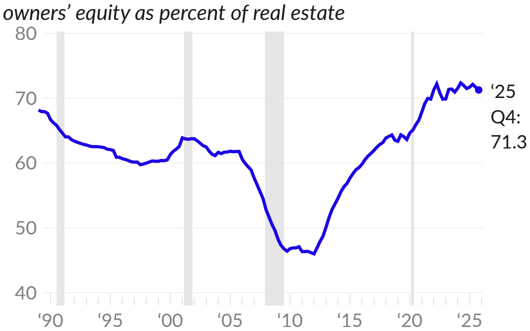
As seen during the collapse of the housing bubble, it is possible for a homeowner to have no equity in their home, for example if the market price of the home falls below the principal remaining on the mortgage. Owners' equity in their homes has increased substantially since the collapse of the housing bubble.

As of 2025 Q4, the Federal Reserve reports **owners' equity** is 71.3 percent of residential real estate (see —). Over the past three years, the owners' equity share increased by a total of 1.4 percentage points.

Over the past year, the share decreased by a total of 0.2 percentage point. The current share is substantially above the 1989 average of 67.9 percent.

Owners' Equity Share of Real Estate

owners' equity as percent of real estate



Source: Federal Reserve

Housing Construction

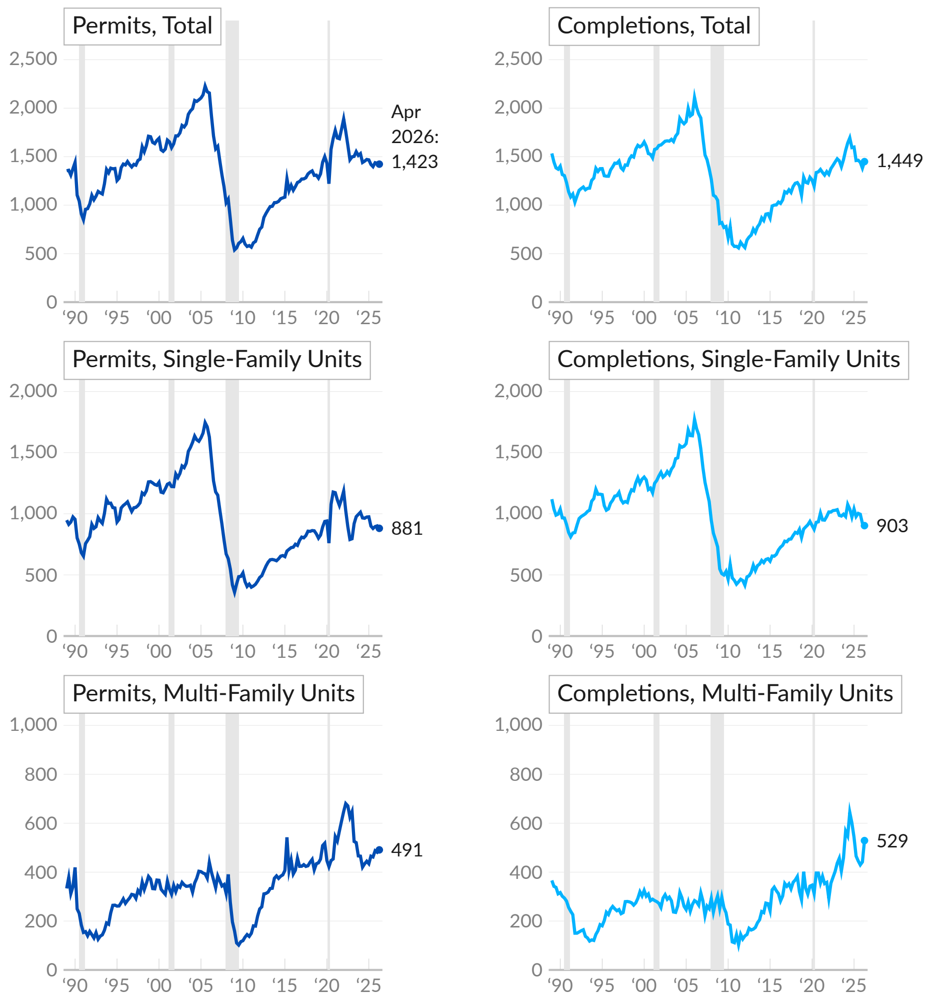
The Census Bureau tracks **new residential building permits**, which offer insight into planned residential construction. In April 2026, a seasonally adjusted annual rate of 1,423,000 new residential housing units were authorized by building permits (see —). Permits issued increased by 60,000 (4.4 percent) over the previous month, decreased by 22,000 (-1.5 percent) over last April, and decreased by 59,000 (-4.0 percent) total over the past three years.

In addition to data on permits, the Census Bureau also reports how many residential construction projects are started and completed. Not all permitted projects are built and completion can be affected by economic conditions. In April 2026, a seasonally adjusted annual rate of 1,449,000 new residential units were completed (see —), compared to 1,382,000 in March and 1,324,000 in April 2025.

The Census Bureau distinguishes between single-family homes and multi-unit housing. In April 2026, a seasonally adjusted annual rate of 881,000 new single-family residential units were permitted and 903,000 were completed. In the same month, an annual rate of 491,000 new multi-family residential units were permitted and 529,000 were completed.

Residential Construction Permits and Completions

number of housing units permitted or completed, seasonally adjusted annual rate, in thousands



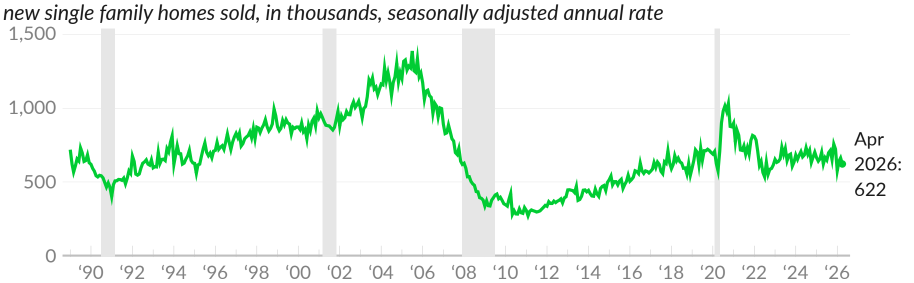
Source: Census Bureau

New Residential Sales

In April 2026, seasonally adjusted **annualized sales** of new single-family homes total 622,000 (see —), as reported by the Census Bureau. Over the past year, new home sales decreased 0.1 percent. Pre-COVID, in February 2020, the annualized rate of single-family new home sales was 707,000. Since February 2020, new home sales have decreased 12.0 percent.

New Home Sales

new single family homes sold, in thousands, seasonally adjusted annual rate

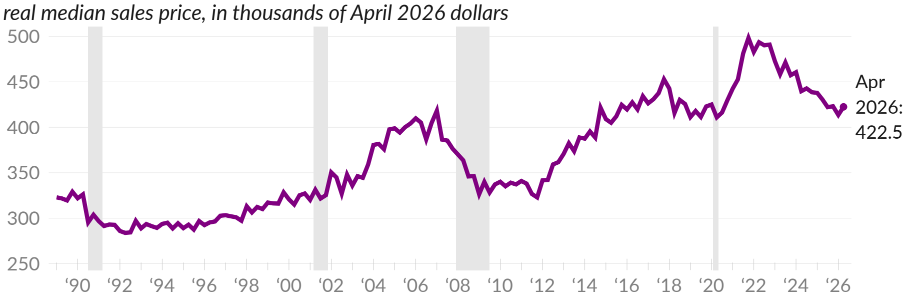


Source: Census Bureau

The Census Bureau also tracks the **sales price** of new single-family homes. In April 2026, the median new home sold for $422,500 (see —), and the average sales price was $508,800. The inflation-adjusted median sales price has decreased 1.6 percent over the past year, and decreased 7.7 percent over the past three years. Since 1989, the inflation-adjusted median new home sales price increased 36.0 percent.

Real New Home Sales Price

real median sales price, in thousands of April 2026 dollars

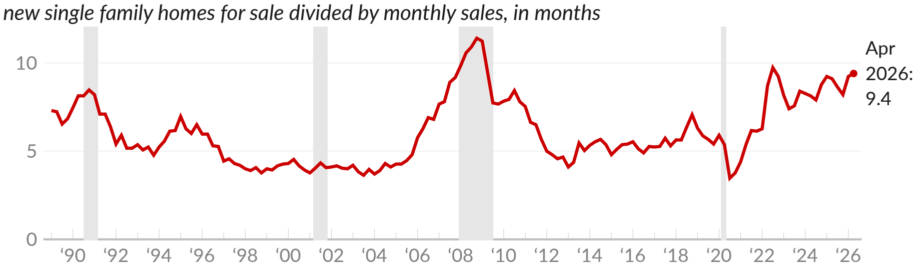


Source: Census Bureau, Bureau of Labor Statistics

The **inventory** of new homes for sale affects housing prices. The Census Bureau reports a seasonally adjusted total of 489,000 new houses for sale in April 2026, a decrease of 11,000 since April 2025. At the current pace of new home sales, it would take 9.4 months to exhaust the supply of unsold homes (see —). The current months of supply is slightly above the year-prior level of 8.6 months and far above the long-term average supply of 6.1 months.

New Homes, Months of Supply

new single family homes for sale divided by monthly sales, in months

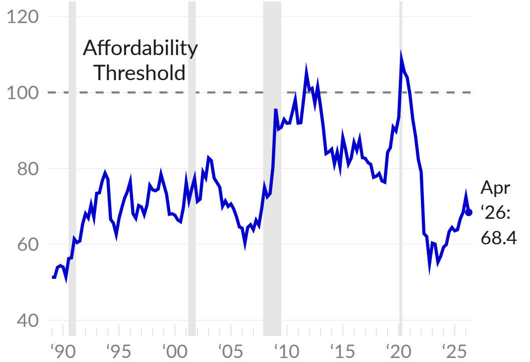


Source: Census Bureau

The monthly payment associated with new single-family home sales typically reflects both the sales price and the current mortgage interest rate. The monthly principal and interest payment for a 30-year fixed-rate mortgage on the median new home sold is $2,362, as of April 2026, compared to an average of $2,219 over the prior three months, and an average of $1,361 in 2019.

New House Affordability

index, new house monthly principal and interest payment relative to 1/3rd median usual full-time earnings



Source: Author's Calculations

The **affordability of a new house** depends on both the monthly payment and people's ability to make the payment, usually determined by their income. New homes are affordable when the monthly payment is a third of income, or less.

The new house affordability index (see —) compares the monthly payment with one-third of the median full-time wage. The median full-time wage is sufficient to afford the median new home when index values are 100 or greater.

New House Affordability

index components

	May '26	Apr '26	Mar '26	Feb '26	Mar '25	2019
Affordability Index	–	68.4	75.0	72.3	65.6	87.6
Monthly Payment ($)	–	2,362	2,151	2,236	2,386	1,361
Median Home Price ($)	–	422,500	391,100	412,300	412,900	319,267
Mortgage Rate (%)	6.44	6.33	6.18	6.05	6.65	3.93
Median Monthly Earnings ($)	–	5,380	5,370	5,384	5,215	3,964

Source: Author's Calculations, Census Bureau, Freddie Mac, CPS
See also the more comprehensive Home Ownership Affordability Monitor from the Federal Reserve Bank of Atlanta.

Housing Prices

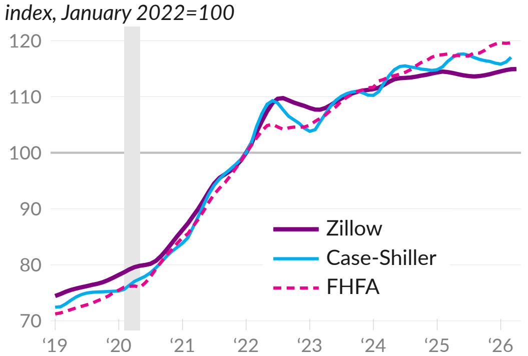
Housing prices are a particularly important topic in the US. To get a sense of recent trends, we can compare the results from different housing price indices. Measures include the Zillow Home Value Index (see —), Case-Shiller Home Price Index (see —), and the Federal Housing Finance Agency House Price Index (see - -).

Despite differences in methods and data sources, the three measures return similar results. All three measures show a sharp increase from mid-2020 to early 2022, with annual growth between 17.3 and 19.3 percent.

Since mid-2022, the indices have increased at an annualized rate of between 1.7 and 3.5 percent. The Zillow measure was virtually unchanged over the year ending April 2026.

Housing Price Indices

index, January 2022=100



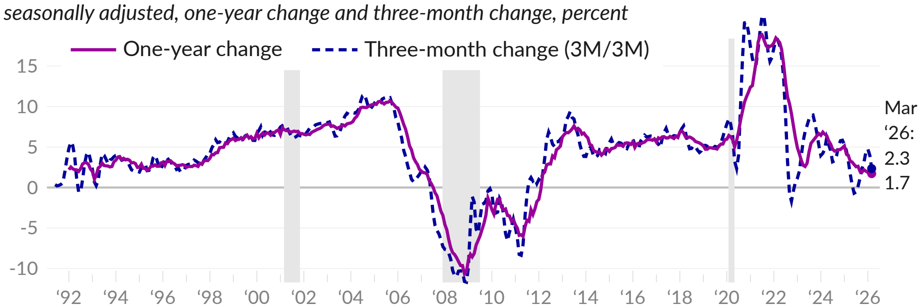
Source: Zillow, S&P CoreLogic, FHFA

The Federal Housing Finance Agency (FHFA) **house price index** measures changes in the price of the same home. The seasonally adjusted index increased 1.7 percent over the year ending March 2026 (see —), following an increase of 1.7 percent in February, and an increase of four percent in March 2025. The average of the latest three months compared to the previous three months shows an annualized increase of 2.3 percent in March 2026 and an increase of 3.9 percent in February (see - -).

House prices in the East North Central region, which includes Illinois, Indiana, Michigan, Ohio, and Wisconsin, increased 5.1 percent over the year ending March 2026, the highest one-year growth rate.

House Price Index

seasonally adjusted, one-year change and three-month change, percent



Source: Federal Housing Finance Agency

House Price Growth by Region

seasonally adjusted, one-year percent change

	Mar '26	Feb '26	Jan '26	Dec '25	Mar '25	Mar '24	Mar '23	*period average* 2003 –'05	*period average* 2009 –'12
East North Central	5.1	3.8	4.5	5.5	6.0	8.6	5.1	4.2	-2.4
Middle Atlantic	3.7	4.2	4.5	4.8	6.6	10.2	4.4	11.3	-2.3
West North Central	3.3	3.2	3.6	3.9	4.1	6.5	4.9	5.4	-1.2
New England	2.5	3.4	3.9	3.3	6.8	9.3	5.6	10.3	-2.3
East South Central	2.1	3.6	3.2	2.0	5.0	4.6	5.9	5.1	-1.7
United States	1.7	1.7	1.9	2.0	4.0	6.6	3.4	9.1	-2.5
Mountain	0.7	-0.6	0.0	-0.4	2.6	5.9	-2.3	11.0	-4.2
South Atlantic	0.5	0.9	0.5	0.2	3.3	6.7	5.6	11.3	-3.8
Pacific	0.0	-0.2	-0.1	-0.2	1.7	5.6	-3.1	18.3	-3.9
West South Central	-0.9	-0.2	-0.2	0.8	2.5	2.9	4.8	4.3	0.3

Source: Federal Housing Finance Agency

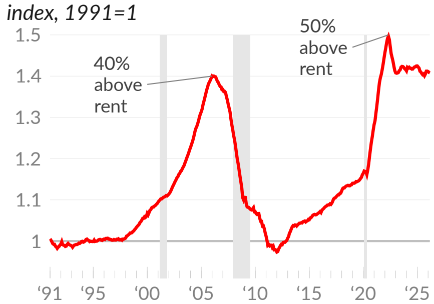
Housing Price to Rent Ratio

The purchase price of housing should move with the rental price. When housing prices exceed the rental equivalent, it suggests that housing is overvalued.

During the housing bubble that caused the Great Recession, housing prices reached more than 40 percent above the rental equivalent. As of March 2026, housing prices are 40.8 percent above the rental equivalent (see —).

Housing Price to Rent Ratio

index, 1991=1

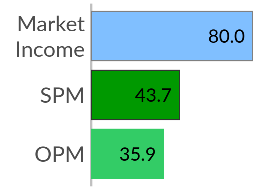


Source: FHFA, BLS

Poverty

In 2024, market income, or total payments from working and investment, is below the poverty line for about one quarter (23.7 percent) of US households. Government programs reduce the poverty rate to 12.9 percent, pulling 36.3 million people out of poverty in 2024. This subsection discusses poverty definitions, who is in poverty, and trends over time.

In Poverty, 2024
millions of people



Source: CPS ASEC

Definitions

For purposes of program eligibility and economic statistics, poverty is defined as having income below the poverty threshold. The Official Poverty Measure (OPM) defines poverty as cash income below three times a price-adjusted 1963 minimal food budget. Under this definition, 35.9 million people are in poverty in the US in 2024.

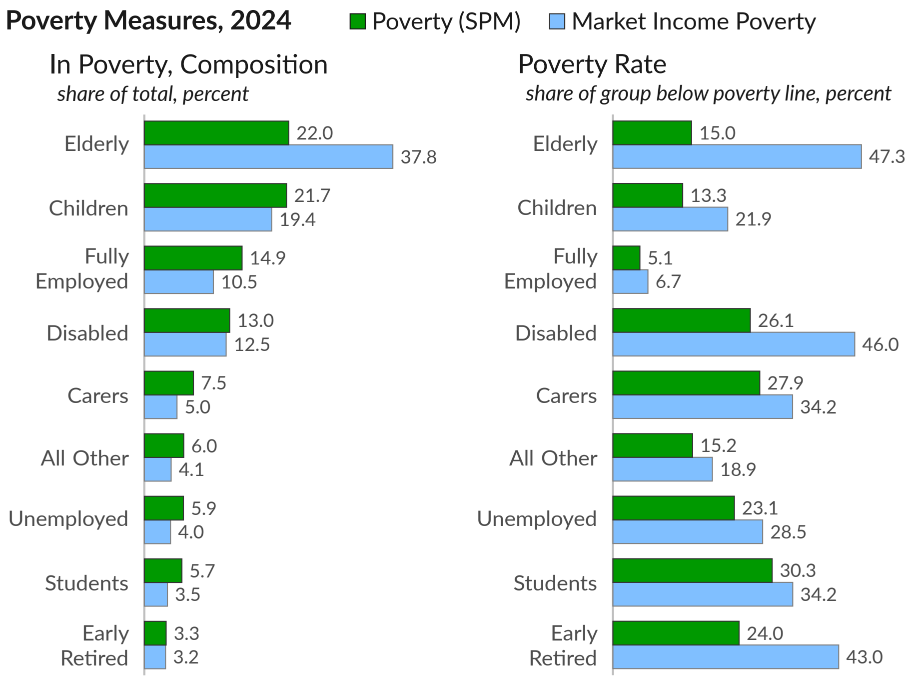
The more comprehensive Supplemental Poverty Measure (SPM) is based on food, shelter, clothing, and utilities costs and additionally captures program benefits and taxes, along with other adjustments. The SPM poverty level in 2024 is 43.7 million people.

Who is in poverty?

While some fully employed people are in poverty, **the vast majority of poor people are either children, elderly, disabled, caregivers, or students**. Groups that are work-limited in some way cannot rely on labor markets and must rely on others and government programs to avoid poverty. These groups make up roughly 50 percent of the population but roughly 80 percent of those in poverty before taxes and transfers.

While poverty is far more likely for some groups than others, government programs also reduce market poverty for some groups more than others. These trends are summarized in the following charts, which show the breakdown of poverty by group (left) and the poverty rates for each group (right).

Poverty Measures, 2024



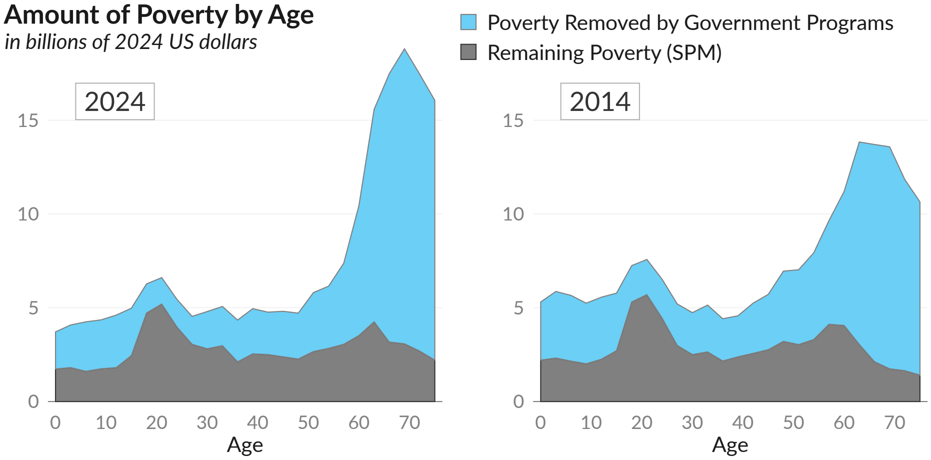
Source: CPS ASEC, Author's Replication of Bruenig, see
SPM = Supplemental Poverty Measure; Market Income Poverty = excluding taxes and transfers.

Poverty by Age

The poverty rate for a group is the share of that group whose combined labor, capital, and welfare income falls below the poverty line. In 2024, students, caregivers, and the disabled had the highest poverty rates. The poverty rate is low for the fully employed.

By age, market income (see ■) leaves older people particularly vulnerable to poverty, as they are not as likely to have labor income or to live with those who do. After government social benefits (see ■), the elderly have lower rates of poverty than other age groups. Young people and those just below Social Security and Medicare age (late 50s and early 60s) remain particularly vulnerable to poverty, relative to other ages.

Amount of Poverty by Age
in billions of 2024 US dollars

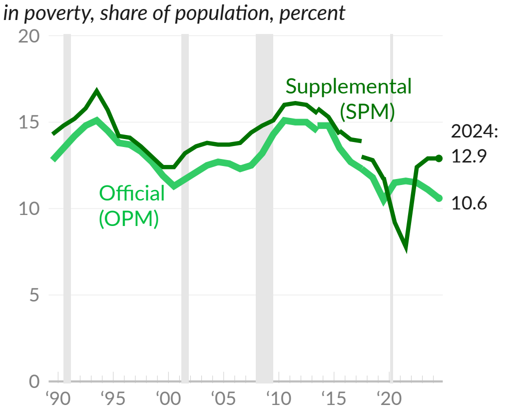


Source: CPS ASEC, 2014 adjusted for inflation with CPI-U-RS

Poverty Rate

Since 1989, the official poverty measure (see —) shows between 10.5 percent and 15.1 percent of people in poverty each year, with an average poverty rate of 12.8 percent during the period. Poverty rates were above average after the recession of 1991 and after the Great Recession, and below average around 2000.

Poverty Rate
in poverty, share of population, percent



Source: Census Bureau

In 2019, both the official US poverty rate and the more comprehensive supplemental rate (SPM, see —) reached new lows of 10.5 percent and 11.8 percent, respectively.

In 2021, the official rate increased to 11.6 percent, while the SPM fell further, to a new low of 7.8 percent. The official poverty rate does not include stimulus checks, housing assistance, or tax credits, while the supplemental rate does. In 2022, the SPM bounced back to 12.4 percent, as stimulus expired, followed by 12.9 percent in 2023 and 2024.

Businesses

The factories, offices, and equipment that workers use to produce goods and services are all important to the economy. This section covers the private business sector, with data on business investment, retail sales, industrial production, corporate profits, and financial activities.

Investment

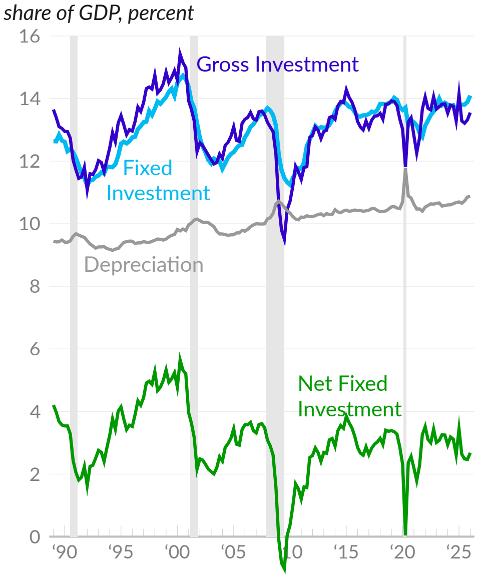
Private business production relies on capital goods, such as buildings, equipment, and software. These items, with a useful life exceeding one year, are categorized as fixed investment. From an accounting perspective, these transactions are an exchange of assets–cash for capital goods–rather than expenses.

Over time, capital goods deteriorate, a process called depreciation. From an accounting standpoint, depreciation represents the cost of using capital goods. Businesses must decide whether to replace or add to the existing stock of capital goods, and their new purchases of capital goods and inventory investment are considered gross investment. Net investment, which is gross investment minus depreciation, measures whether the stock of capital goods is expanding.

Net investment is important for many reasons. In the short run, producing and installing capital goods adds directly to GDP. In the long run, **investments in fixed assets make workers more productive**, as they allow businesses to produce more goods and services with the same hours of work.

Investment and Depreciation

share of GDP, percent



Source: Bureau of Economic Analysis

In the first quarter of 2026, gross private business investment totals $4,312 billion on a seasonally adjusted annualized basis, which is 13.6 percent of GDP (see —). Private business depreciation totals $3,459 billion in the quarter, or 10.9 percent of GDP (see —). As a result, net fixed investment is $853 billion, or 2.7 percent of GDP (see —).

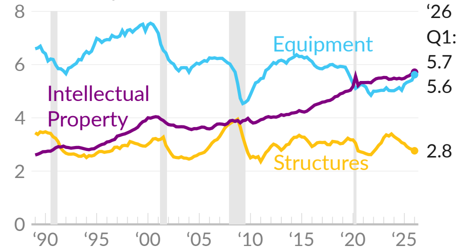
In 2019 Q4, prior to the COVID-19 pandemic, private business gross investment was $2,926 billion. Since 2019 Q4, gross investment increased at an annual rate of 6.4 percent. Net fixed investment was $627 billion in 2019 Q4, and increased at an annual rate of five percent from 2019 Q4 to 2026 Q1, as growth of depreciation costs outpaced the increase in gross investment.

Note that gross investment includes fixed investment and inventory investment, or the change in private inventories. Changes to private inventories capture the difference between sales and production. Reduced production of new inventory explains much of the overall reduction in gross investment during the COVID-19 pandemic.

Business fixed investment encompasses structures, equipment, and intellectual property, such as software and R&D. Annualized investment in structures is $879 billion in 2026 Q1, representing 2.8 percent of GDP (see —). Equipment investment is $1,788 billion or 5.6 percent of GDP (see —), and intellectual property investment is $1,818 billion, which is 5.7 percent of GDP (see —).

Gross Fixed Investment by Type

share of GDP, percent



Source: Bureau of Economic Analysis

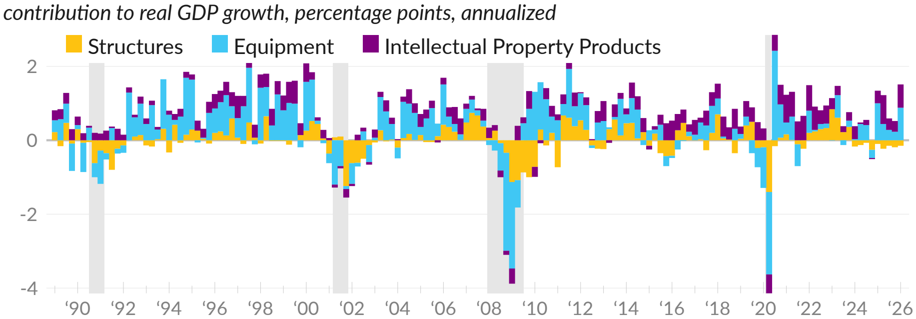
Contribution to Growth

Business fixed investment plays an **outsized role in GDP growth**. From 1992 to 2000, business fixed investment contributed an average of 1.1 percentage points to GDP growth. Over the past three decades, the category contributed 0.6 percentage point, on average. Business investment added an average of 0.6 percentage point since 2019, and contributed 0.8 percentage point over the past year.

Private business gross fixed investment contributed 1.35 percentage points to annualized GDP growth in 2026 Q1. Within the category, investment in structures subtracted 0.15 percentage point from growth (see ■), equipment investment contributed 0.88 percentage point (see ■), and investment in intellectual property added 0.63 percentage point (see ■).

Business Gross Fixed Investment

contribution to real GDP growth, percentage points, annualized



Source: Bureau of Economic Analysis

Business Gross Fixed Investment

contribution to real GDP growth, percentage points, annualized

	2026 Q1	'25 Q4	'25 Q3	'25 Q1	'24 Q1	*moving average* 1-year	10-year	30-year
Total	1.35	0.33	0.44	1.24	0.22	0.78	0.60	0.58
Structures ■	-0.15	-0.19	-0.15	-0.10	-0.17	-0.18	0.04	0.03
Equipment ■	0.88	0.23	0.28	1.00	0.03	0.46	0.18	0.28
Information Processing	0.87	0.66	0.17	0.89	-0.01	0.48	0.15	0.20
Computers & Peripherals	0.63	0.57	0.34	0.48	0.14	0.48	0.09	0.10
Industrial Equipment	0.05	-0.04	0.02	0.05	0.04	0.03	0.02	0.02
Transportation Equipment	-0.16	-0.37	-0.05	0.05	-0.05	-0.08	0.00	0.04
Intellectual Property Products ■	0.63	0.29	0.31	0.34	0.35	0.50	0.37	0.27
Software	0.49	0.12	0.09	0.41	0.24	0.32	0.23	0.17
Research & Development	0.12	0.19	0.22	-0.05	0.11	0.19	0.14	0.09

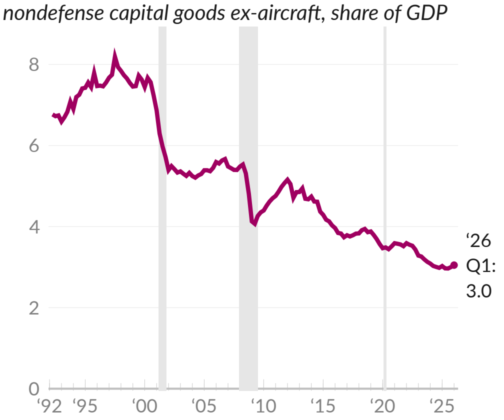
Source: Bureau of Economic Analysis

Productive business investments also show up as **new orders for core capital goods**. The category excludes the more volatile aircraft orders as well as defense-related orders, and is derived from the Census Bureau survey of shipments, inventories, and orders.

New orders for manufactured core capital goods excluding aircraft total $82 billion in April 2026, equivalent to 3.0 percent of GDP (see —). New orders increased 10.4 percent over the past year, and increased by 31.4 percent since February 2020.

New Orders for Core Capital Goods

nondefense capital goods ex-aircraft, share of GDP



Source: Census Bureau

Inventories

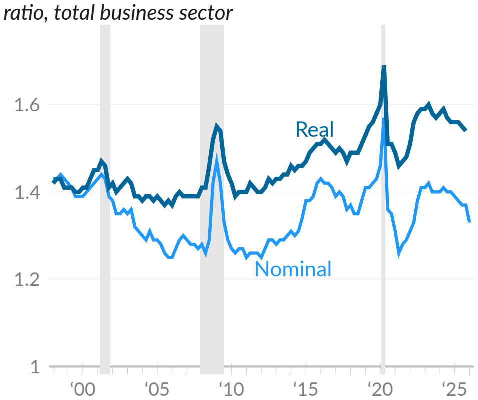
In the national accounts, **inventories** are the stock of goods held by firms, encompassing goods for sale, goods used in production and sales, and goods requiring further processing prior to sale. When economic activity is measured using spending on final goods, it must be adjusted for changes in inventories. For example, a rise in inventories indicates goods were produced but not sold, and therefore were not measured by consumer spending or investment.

One tool for measuring changes in inventories is the inventories-to-sales ratio. The Bureau of Economic Analysis reports an inflation-adjusted ratio of inventories to sales in manufacturing and trade sectors (see —).

When examining trends in the ratio, note that business sales include services, whereas inventories account only for goods. In the three decades before the COVID-19 pandemic, a shift towards service-based sales led to a naturally lower inventories-to-sales ratio. Post-COVID-19, a rebound in goods sales, in turn, pushed this ratio higher, all else equal, masking some of the inventory shortages of the period.

Inventories to Sales Ratio

ratio, total business sector



Source: FRED, BEA

The Census Bureau reports the nominal **ratio of inventories to sales** for the total business sector (see —). In March 2026, the ratio of total business inventories to sales was 1.32, compared to 1.33 in February 2026, 1.38 in March 2025, and 1.43 in February 2020.

The inflation-adjusted version from BEA shows inventories at 1.53 times sales in December 2025, following a ratio of 1.54 in November 2025, and 1.55 one year prior, in December 2024. In 2019, real monthly inventories were 1.55 times real monthly sales, on average.

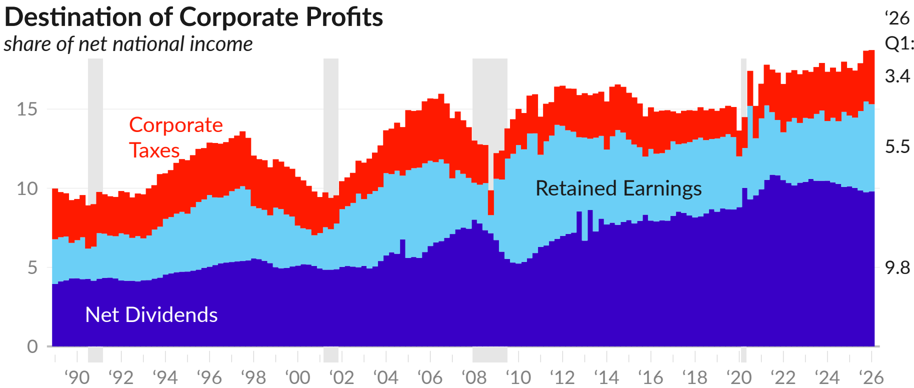
Corporate Profits

The national accounts include detailed information on **aggregate** corporate profits. In the first quarter of 2026, corporate profits were $4.39 trillion, equivalent to 18.7 percent of the income paid to US nationals after depreciation costs (net national income). Of this, $2.30 trillion, equivalent to 9.8 percent of net national income, was paid out as dividends (see ■), $1,291 billion was retained (corporate saving, see ■), and $802 billion, 18.3 percent of corporate profits, went to corporate income tax (see ■).

In 2019, corporate profits were 15.1 percent of net national income. Dividends were equivalent to 8.6 percent, corporate saving was 4.6 percent, and corporate income taxes were 1.8 percent of net national income and 12 percent of corporate profits.

Destination of Corporate Profits

share of net national income

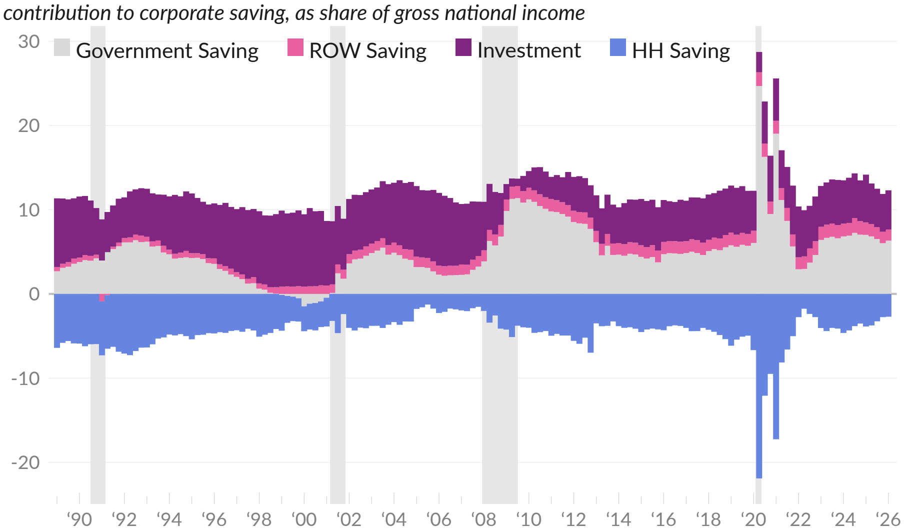


Source: Bureau of Economic Analysis

Aggregate corporate saving (corporate profits less dividends and corporate profit tax) is the result of net investment and non-business saving. Investment (see ■) is a source of aggregate profit because it is revenue for one party but not an expense for the other. Non-business saving, which includes household (see ■), government (see ■), and rest of world saving (see ■), necessarily reduces aggregate corporate profits because it is money that did not return to businesses as revenue.

Sources of Corporate Saving

contribution to corporate saving, as share of gross national income



Source: Bureau of Economic Analysis

Business Balance Sheets

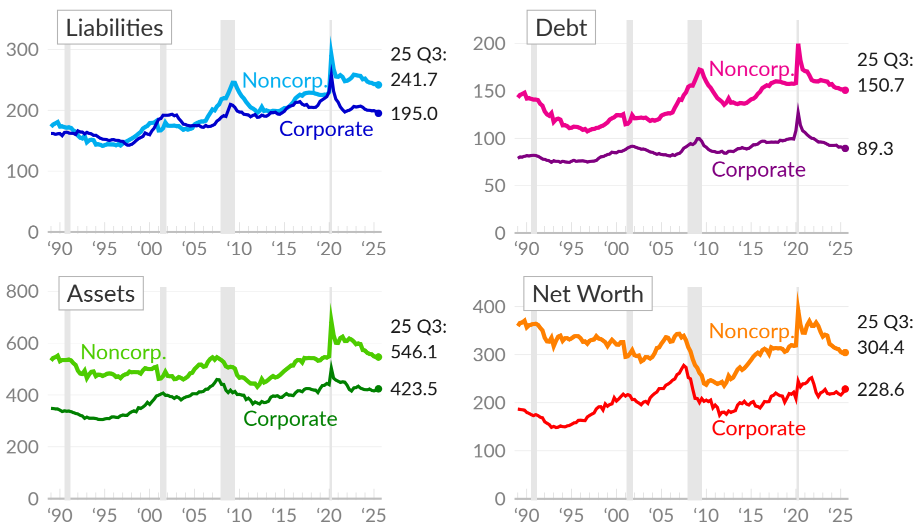
Next, we look at the **balance sheets** of US private businesses. The Financial Accounts report assets, liabilities, and net worth for corporate and noncorporate businesses, each of which is discussed in this subsection.

The following charts cover nonfinancial businesses and show the ratio of balance sheet components to sector output, measured as the sector's gross value added–essentially its GDP. For example, the corporate liabilities-to-sector-GDP ratio is 195.0 percent in 2025 Q3 (see —), as corporate liabilities total $30.9 trillion and corporate sector gross value added is $15.8 trillion. Noncorporate business liabilities equal 241.7 percent of the sector GDP (see —).

Corporate assets are equivalent to 423.5 percent of sector GDP in 2025 Q3 (see —), and corporate sector net worth, assets minus liabilities, is equivalent to 228.6 percent of sector GDP (see —). Noncorporate assets are equal to 546.1 percent of sector GDP (see —), and noncorporate business net worth equates to 304.4 percent of sector GDP (see —).

Nonfinancial Business Balance Sheets

share of sector output, percent

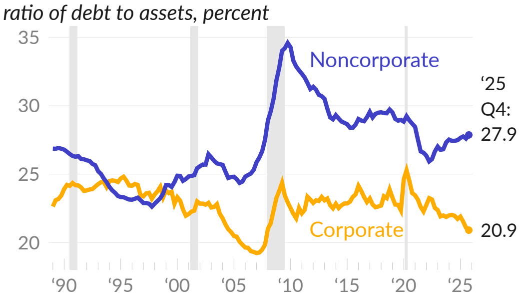


Source: Federal Reserve

Analysis of private business balance sheets can help researchers understand risks in the sector. A high ratio of debt to assets, for example, can suggest businesses have borrowed too much. The following chart shows the **ratio of debt to assets** for nonfinancial businesses, separated by corporate and noncorporate businesses.

Nonfinancial Business Debt-to-Asset Ratio

ratio of debt to assets, percent



Source: Federal Reserve

The ratio of corporate business debt to assets is 20.9 percent in 2025 Q4 (see —). One year prior, in 2024 Q4, the ratio was 21.7 percent, and, in 2019, the ratio averaged 22.8 percent.

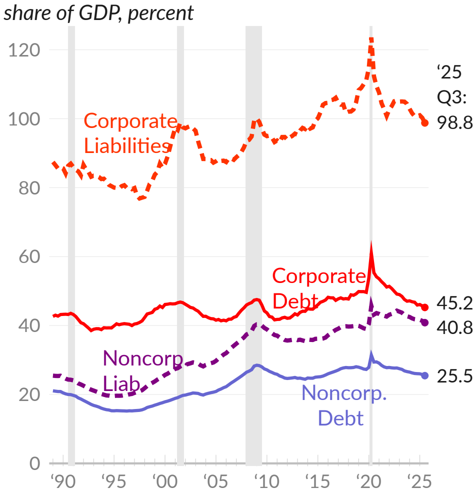
The noncorporate business debt-to-asset ratio is 27.9 percent in 2025 Q4 (see —), and was 27.5 percent one year prior. In 2019, the ratio was 29.1 percent.

Business Liabilities

This subsection looks at types of **business liabilities**. Corporate nonfinancial businesses issue bonds, and have loans and mortgages, pension liabilities, and accounts payable. Noncorporate businesses primarily have mortgages and other loans. Both sectors have substantial miscellaneous liabilities, calculated as the unidentified residual of other aggregate balance sheet measures.

Nonfinancial Business Liabilities

share of GDP, percent



Source: Federal Reserve

Corporate liabilities total $30.9 trillion in the third quarter of 2025, equivalent to 98.8 percent of GDP (see). Of this, corporate debt is equivalent to 45.2 percent of GDP (see —). In 2019, corporate liabilities were 111.2 percent of GDP and corporate debt was 49.6 percent.

Noncorporate business sector liabilities are equivalent to 40.8 percent of GDP in the third quarter of 2025 and 39.0 percent in 2019 (see). Noncorporate business debt is 25.5 percent of GDP in the latest data and 27.3 percent in 2019 (see —).

The following table details nonfinancial business liabilities relative to the economy.

Nonfinancial Business Liabilities

share of GDP, percent

	2025 Q4	'25 Q3	'25 Q2	'24 Q4	'19 Q4	2010	1989
Corporate Liabilities ()	98.4	98.8	100.3	100.7	111.2	94.4	86.4
Corporate Debt (—)	45.1	45.2	45.7	45.9	49.6	42.6	42.9
Corporate Bonds	23.5	23.6	23.8	24.1	26.6	22.0	16.5
Bank Loans & Mortgages	8.2	8.2	8.2	8.5	9.6	9.3	15.3
Nonbank Loans	8.9	8.9	9.0	8.8	8.2	6.7	6.9
Trade & Taxes Payable	14.6	14.5	14.5	14.1	14.5	11.5	11.1
Miscellaneous Liabilities	37.6	38.0	38.9	39.5	45.2	37.6	30.7
Noncorporate Liabilities ()	40.9	40.8	41.3	41.7	39.0	38.0	25.4
Noncorporate Debt (—)	25.5	25.5	25.8	26.0	27.3	26.6	20.9
Mortgages	18.3	18.3	18.5	18.6	19.3	19.0	16.3
Other Loans	7.2	7.2	7.3	7.4	7.9	7.6	4.7
Trade & Taxes Payable	3.7	3.7	3.8	3.8	3.2	3.4	1.7
Miscellaneous Liabilities	11.6	11.6	11.8	11.9	8.5	8.0	2.8

Source: Federal Reserve, Bureau of Economic Analysis

Business Debt

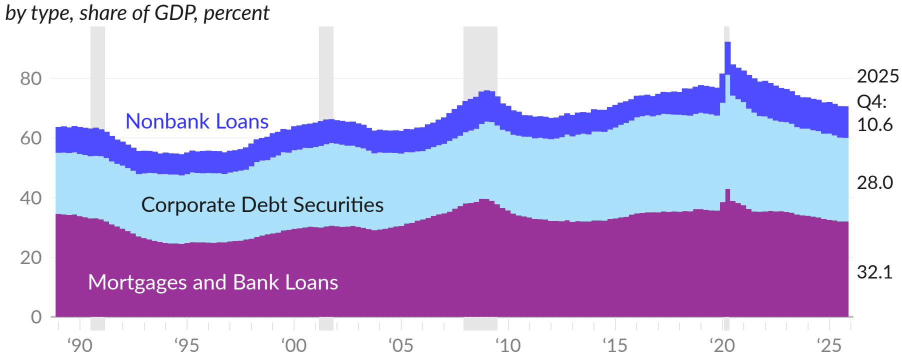
Businesses often finance expansion by borrowing or issuing debt securities, such as corporate bonds, rather than redirecting existing resources. The ratio of business debt to output measures this leverage.

As of 2025 Q4, **nonfinancial business debt**–the debt security and loan liabilities of nonfinancial private businesses–totals $22.2 trillion. Of this, $14.2 trillion, or 63.9 percent of the total, is held by corporate businesses. The remaining $8 trillion is held by noncorporate businesses.

Over the past three years, nonfinancial business debt has fallen relative to overall economic activity. As a share of GDP, nonfinancial business debt fell by 6.1 percentage points to 70.7 percent in 2025 Q4 from 76.8 percent in 2022 Q4. The overall change was partially driven by a decrease of 0.7 percent of GDP in nonbank loans (see ■).

Nonfinancial Business Debt

by type, share of GDP, percent



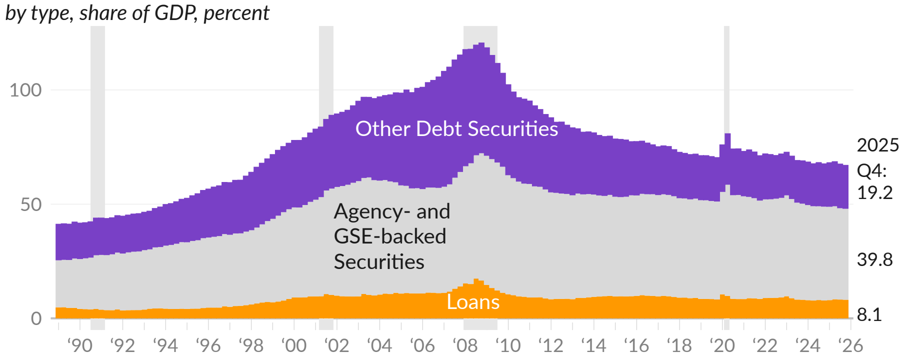
Source: Federal Reserve, Bureau of Economic Analysis

The debt of financial businesses includes agency and government-sponsored enterprise (GSE) backed securities (see ■), corporate and foreign bonds, loans (see ■), and open market paper. The long-term increase in financial sector debt reflects the emergence and growth of various asset-backed securities. In addition to home-mortgage-backed securities, the financial sector issues debt securities based on commercial mortgages, auto loans, credit cards, student debt, and more.

Financial business debt has fallen as a share of GDP to 67.2 percent in 2025 Q4 from a housing-bubble peak of 120.7 percent in 2008 Q4. Agency and GSE mortgage-backed securities are valued at $12.5 trillion, or 39.8 percent of GDP, in 2025 Q4.

Financial Sector Debt

by type, share of GDP, percent



Source: Federal Reserve, Bureau of Economic Analysis

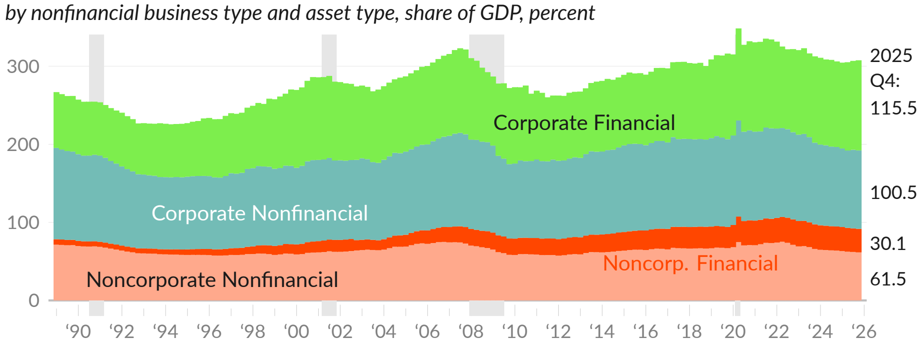
Business Assets

Combined **assets of private nonfinancial businesses** are valued at $96.7 trillion in the fourth quarter of 2025, which is 307.6 percent of GDP. These include financial and nonfinancial assets. Financial assets include cash and deposits, equity in other businesses, trade receivables, and other financial assets, and total $45.7 trillion. Nonfinancial, or tangible, assets include real estate, equipment, inventories, and intellectual property products, and total $50.9 trillion.

Nonfinancial corporations have assets valued at $67.8 trillion, or 215.9 percent of GDP. These include nonfinancial assets (see ■) valued at 100.5 percent of GDP and financial assets (see ■) valued at 115.5 percent, as of 2025 Q4. Noncorporate business assets are valued at $28.8 trillion, equivalent to 91.7 percent of GDP. Tangible assets (see ■) are equivalent to 61.5 percent of GDP, and include $10.4 trillion in rental housing. Financial assets for the sector (see ■) total 30.1 percent of GDP.

Business Assets

by nonfinancial business type and asset type, share of GDP, percent



share of GDP, percent

	2025 Q4	'25 Q3	'25 Q2	'24 Q4	'19 Q4	2010	1989
Corporate Total	215.9	214.5	212.2	211.4	222.0	191.6	185.8
Nonfinancial Assets (■)	100.5	100.7	99.1	101.8	112.4	98.0	114.8
Real Estate	51.2	51.6	50.0	52.8	63.2	49.6	61.7
Equipment	23.0	22.8	22.8	22.7	24.3	25.1	29.9
IP Products	14.6	14.4	14.3	14.2	12.9	11.4	7.7
Inventories	11.7	11.9	12.0	12.0	12.1	11.9	15.4
Financial Assets (■)	115.5	113.8	113.1	109.6	109.7	93.7	71.0
Noncorporate Total	91.7	92.2	92.9	94.7	94.1	79.9	77.9
Nonfinancial Assets (■)	61.5	62.1	62.4	63.8	66.9	59.0	71.0
Real Estate	55.0	55.4	55.8	57.2	60.2	51.7	62.0
Residential	33.1	33.4	34.2	34.6	34.9	29.7	34.9
Equipment	3.7	3.7	3.8	3.9	4.1	4.5	5.8
IP Products	1.6	1.6	1.6	1.6	1.5	1.3	0.7
Inventories	1.2	1.3	1.2	1.1	1.2	1.5	2.5
Financial Assets (■)	30.1	30.2	30.5	30.9	27.2	20.9	6.9

Source: Federal Reserve, Bureau of Economic Analysis
Notes: Includes only nonfinancial businesses. Tangible assets are market values or current replacement values.

Industrial Production

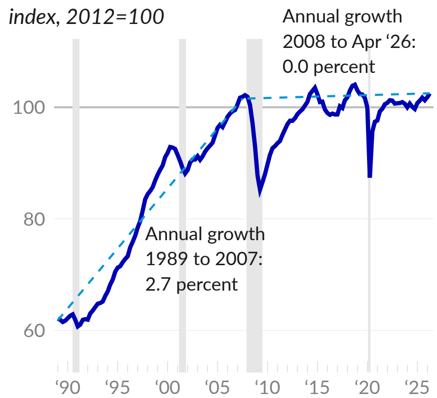
The Federal Reserve industrial production index measures the real output of the industrial sector, which includes manufacturing, mining, and electric and gas utilities. Industrial production growth has slowed since the 2000s.

Industrial production increased 1.4 percent over the year ending April 2026, following an increase of 0.8 percent in March. The manufacturing-only index grew 1.3 percent over the year ending April, and contributed one percentage point to the growth of the total index. Mining did not add, and utilities contributed 0.3 point.

By market group, finished consumer goods did not add to growth in April. Business equipment contributed 0.7 percentage point, nonindustrial supplies contributed 0.3 point, and materials added 0.5 point.

Industrial Production

index, 2012=100



Source: Federal Reserve

Industrial Production Growth

one-year growth, seasonally adjusted

	contribution to total				*rate, percent*			
	Apr '26	Mar '26	Feb '26	Apr '25	Apr '26	Mar '26	Feb '26	Apr '25
Total Index	1.4	0.8	1.0	0.9	1.4	0.8	1.0	0.9
Manufacturing	1.0	0.4	0.7	0.5	1.3	0.6	0.9	0.6
Durable Manufacturing	1.3	0.8	1.0	0.2	3.2	2.0	2.4	0.5
Motor Vehicles & Parts	0.1	-0.1	0.0	-0.2	2.5	-1.4	0.7	-3.1
Nondurable Manufacturing	-0.2	-0.2	-0.1	0.4	-0.6	-0.7	-0.4	1.2
Mining	0.0	0.0	0.3	0.1	0.2	0.1	2.6	0.7
Utilities	0.3	0.3	0.0	0.3	2.7	2.5	-0.2	2.7
Consumer Goods	-0.1	-0.3	-0.3	0.0	-0.2	-1.3	-1.1	-0.1
Consumer Durables	-0.1	-0.1	-0.1	-0.3	-0.9	-2.3	-2.0	-4.5
Automotive Products	-0.1	-0.1	-0.1	-0.2	-1.8	-4.0	-3.4	-5.3
Consumer Nondurables	0.0	-0.2	-0.2	0.3	0.0	-1.0	-0.9	1.2
Foods & Tobacco	-0.1	-0.1	-0.1	0.0	-0.6	-1.1	-0.8	0.4
Chemical Products	-0.1	-0.1	0.0	0.3	-2.5	-2.4	-0.3	5.9
Consumer Energy Products	0.2	0.1	0.0	0.0	4.2	1.6	-0.4	0.8
Business Equipment & Supplies	0.9	0.6	0.8	0.4	3.1	2.2	2.6	1.3
Equipment	0.7	0.5	0.6	0.1	5.6	4.0	5.5	1.1
Industrial Equipment	0.0	0.1	0.1	0.0	1.6	1.9	1.8	0.0
Nonindustrial Supplies	0.3	0.2	0.1	0.3	1.5	0.9	0.6	1.5
Construction Supplies	0.1	0.0	0.0	0.2	1.2	0.3	0.2	3.0
Business Supplies	0.2	0.1	0.1	0.1	1.7	1.3	0.8	0.7
Materials	0.5	0.5	0.6	0.5	1.2	1.1	1.4	1.2
Consumer Parts	0.1	0.0	0.0	-0.1	3.3	-0.7	1.0	-4.3
Equipment Parts	0.3	0.3	0.3	0.2	5.9	4.9	4.6	4.2
Chemical Materials	0.0	0.1	0.0	0.2	0.4	1.0	0.8	3.0
Energy Materials	0.2	0.3	0.3	0.2	1.2	1.6	1.6	1.4

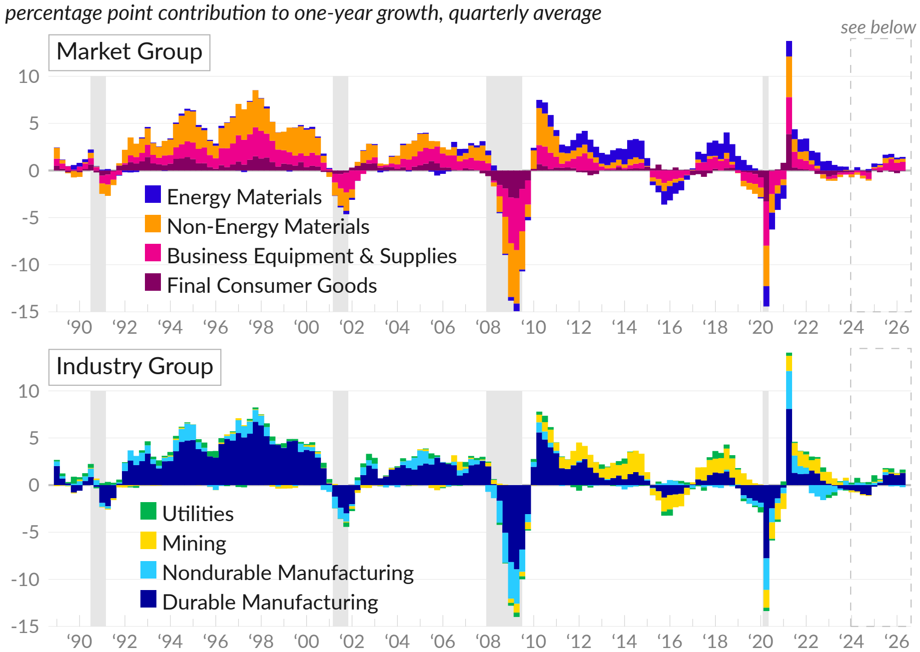
Source: Federal Reserve

Economic conditions and shifts in how production is organized have affected industrial growth over the past 30 years. Much of industrial growth over the period is attributed to materials production – parts, chemicals, and energy – and to business equipment and supplies. In contrast, there has been virtually no growth in domestic production of finished consumer goods, particularly from 2000 to 2020.

While the manufacturing industry dominated industrial growth in the 1990s, mining and utilities have played a relatively larger role since 2010. Manufacturing growth was relatively weak from 2013 to 2020, but increased starting in 2021.

Contributions to Industrial Production Growth

percentage point contribution to one-year growth, quarterly average

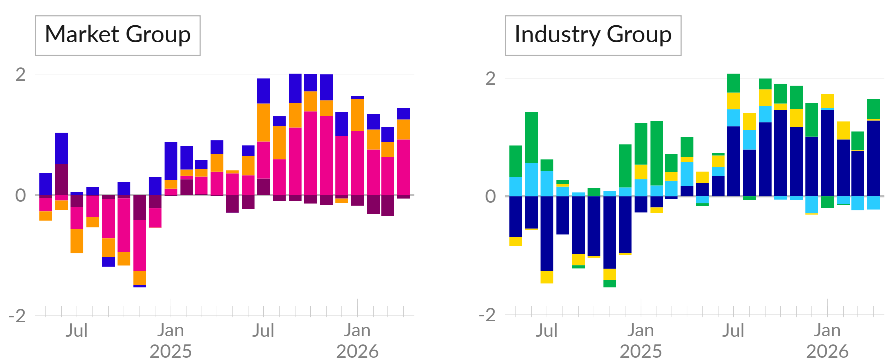


Source: Federal Reserve

Looking more closely at recent industrial production growth, the latest one-year growth rate, covering April 2026, is in line with the five-year average, and slightly above the March growth rate.

By market group, the latest growth is relatively broad-based. The main contribution is an increase in business equipment and non-industrial supplies and non-energy materials. By industry group, the latest growth is driven largely by an increase in durable manufacturing.

Recent Data in Detail



Source: Federal Reserve

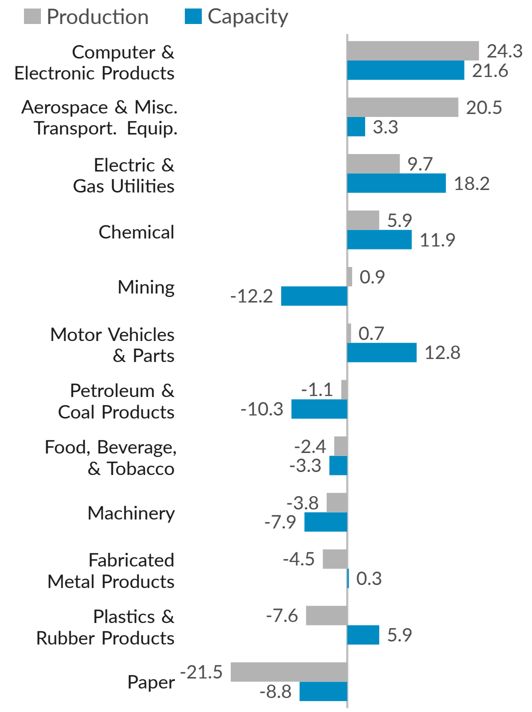
As of April 2026, of a subset of 12 industries that contribute the majority of industrial production, six increased **production** since February 2020, and six decreased production (see ■).

Since February 2020, production of computer and electronic products increased by 24.3 percent, paper production decreased by 21.5 percent, aerospace and miscellaneous transportation equipment production increased by 20.5 percent, and electric and gas utilities production increased by 9.7 percent.

Since February 2020, seven of the 12 industries increased **capacity**, five decreased capacity (see ■). Production capacity for computer and electronic products increased by 21.6 percent, electric and gas utilities capacity increased by 18.2 percent, and motor vehicles and parts capacity increased by 12.8 percent.

Industrial Production and Capacity

As of April 2026, percent change since February 2020



Source: Federal Reserve

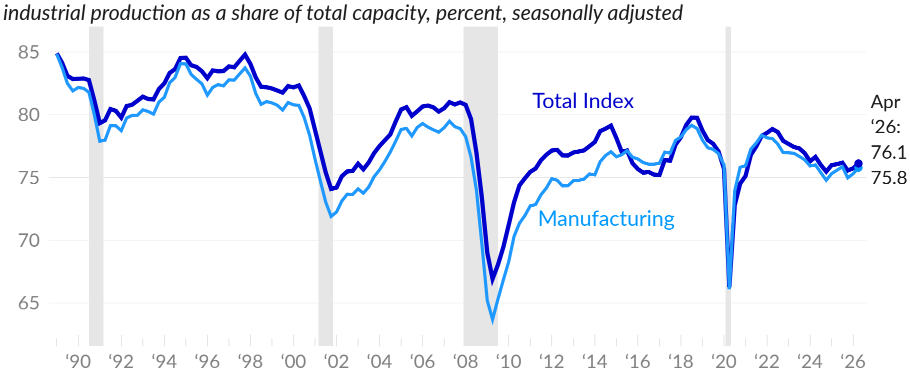
Capacity Utilization

The Federal Reserve also reports the US industrial capacity, based on estimates of the maximum sustainable output. Industrial production as a share of total capacity is called **capacity utilization**. From the 1990s to the 2010s, capacity utilization fell substantially, as many domestic industrial facilities reduced output or closed.

In April 2026, the US utilizes 76.1 percent of total industrial capacity (see —), and 75.8 percent of manufacturing capacity (see —). In 2019, the total capacity utilization rate averaged 77.9 percent, and the manufacturing capacity utilization rate averaged 77.4 percent. Total capacity utilization has decreased by 1.7 percentage points since 2019, and decreased by 7.6 percentage points since 1989.

Capacity Utilization

industrial production as a share of total capacity, percent, seasonally adjusted



Source: Federal Reserve

Energy Production and Use

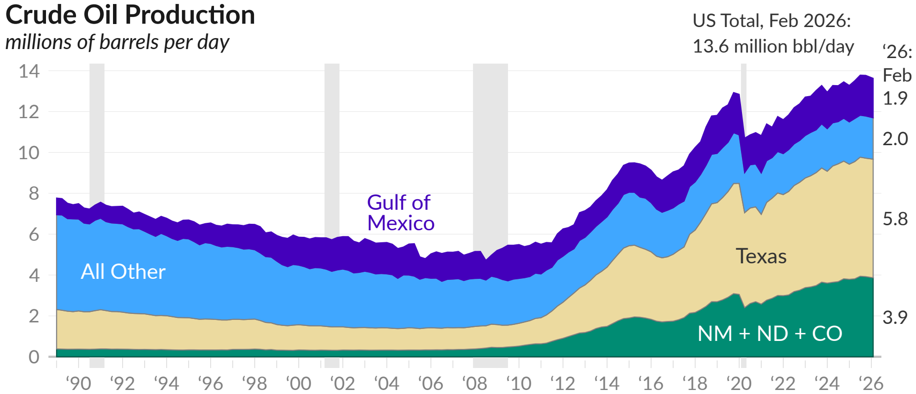
The US is a major energy producer, and energy is critical to the economy as an intermediate input to production. This subsection covers oil production, electricity generation, and electricity sales.

Crude Oil Production

The Energy Information Administration reports a large increase in US **crude oil production**, from around five million barrels per day in 2007 to nearly 13 million barrels per day at the end of 2019. Much of the increase comes from either Texas (see ■), or New Mexico, North Dakota, and Colorado (see ■).

During February 2026, the US produced 13.6 million barrels of crude oil per day, compared to 13.2 million barrels per day in February 2025. Over the past year, production increased by 141,000 barrels per day in Texas, and increased by 152,000 barrels per day in New Mexico.

Crude Oil Production
millions of barrels per day

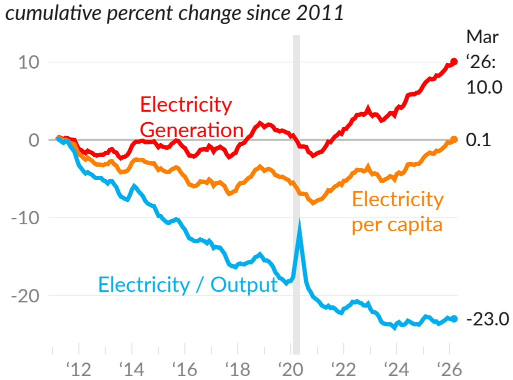


Source: Energy Information Administration

Electricity Generation

Electricity production can provide insight into the economy's structure, recent growth, and overall efficiency. Over the past 100 years, electricity production has increased roughly in line with industrial production and GDP. Beginning in the late 2000s, electricity production and industrial production both plateaued.

Electricity Generation, Relative Measures
cumulative percent change since 2011



Source: EIA, BEA

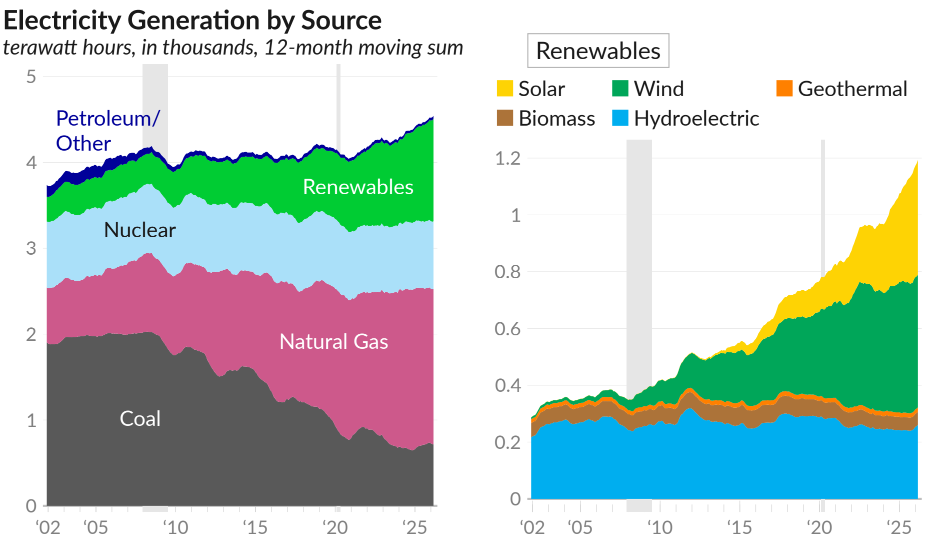
Since 2011, annualized US **electricity generation** has increased ten percent (see —), rising from 4,128 terawatt hours (TWh) in 2011 to 4,541 TWh over the year ending March 2026.

Over the same period, the population has increased by 10.1 percent and real GDP has increased by 43.1 percent. As a result, electricity generated per person is near the 2011 level (see —). Moreover, the electricity used to produce a unit of GDP fell by 23 percent (see —).

Electricity Generation by Source

The source of electricity has evolved over time. Over the past 20 years, electricity production has shifted away from coal and towards natural gas, wind, and solar.

During the year ending March 2026, the US generated 4,541 TWh of electricity. By source, 1,812 TWh were generated using natural gas (see ■), 715 TWh from coal (see ■), 786 TWh from nuclear (see ■), and 1,194 TWh from renewable sources (see ■). Over the past year, renewables increased by 104 TWh, natural gas decreased by 40 TWh, and coal increased by 26 TWh.

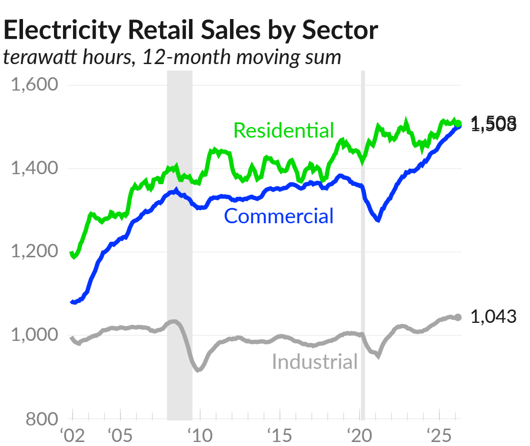


Source: Energy Information Administration

Among renewable energy sources, over the year ending March 2026, 261 TWh of electricity were generated with conventional hydroelectric (see ■), 46 TWh from biomass (see ■), 16 TWh from geothermal (see ■), 467 TWh from wind (see ■), and 404 TWh from solar (see ■).

Electricity Sales by Sector

The Energy Information Administration reports the **retail sales of electricity** to each major sector. Electricity sales to the commercial and industrial sectors fell during the pandemic, and were partially offset by increased electricity sales to the residential sector.



Source: Energy Information Administration

Over the year ending March 2026, retail sales of electricity to the residential sector total 1,508 TWh, compared to 1,440 TWh during 2019 (see —).

Commercial sector electricity sales total 1,503 TWh over the year ending March 2026, a substantial increase over 1,361 TWh in 2019 (see —). Industrial sector sales total 1,043 TWh in the latest 12 months of data, and 1,002 TWh in 2019 (see —).

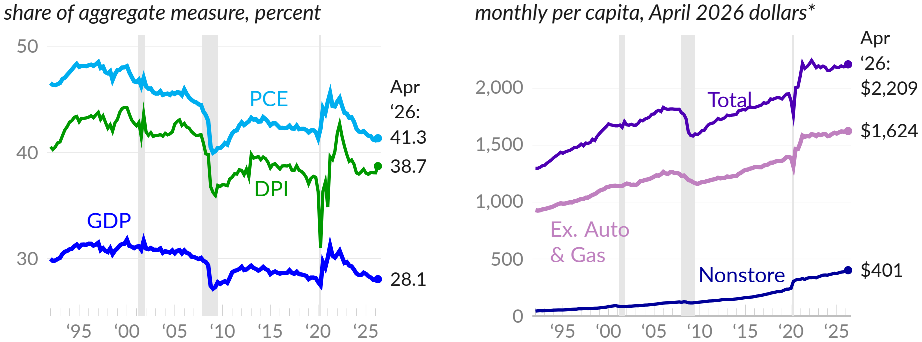
Retail Sales

The Census Bureau reports the monthly sales of retail businesses, restaurants, and bars. These retail trade figures can be a useful economic indicator. Retail trade includes brick and mortar stores as well as e-commerce and other nonstore sales to the general public.

In April 2026, **retail and food services sales** total $757.1 billion. On an annualized basis, this is equivalent to 38.7 percent of disposable (after-tax) income (see –), 41.3 percent of consumer spending (see –), and 28.1 percent of GDP (see –). During the first two months of the US COVID-19 pandemic, retail sales were a smaller portion of overall economic activity, as many businesses were closed. After the initial reopening, retail sales comprised a larger share of economic activity, in part as other activities, like transportation, recovered less.

Retail and food service sales, **adjusted for population growth and inflation**, provide additional context on economic developments. Per capita retail and food services sales, adjusted by the personal consumption expenditure (PCE) price index, are $2,209 during April 2026 (see –). Prior to the pandemic, in 2019, real per capita retail and food service sales averaged $1,933 per month. Excluding automotive and gasoline sales, per capita sales were $1,624 in April 2026 and $1,381 per month in 2019, after adjusting for inflation (see –).

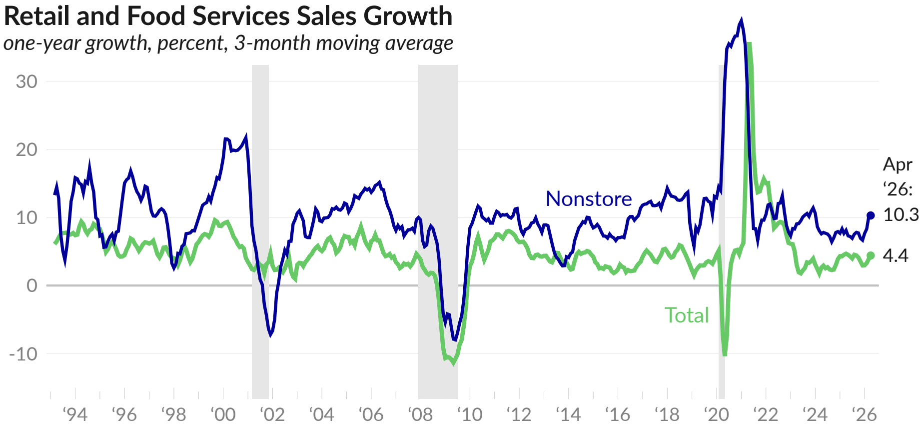
Retail and Food Services Sales



Source: Census Bureau, Bureau of Economic Analysis

Changes in retail and food services sales can indicate shifts in consumer behavior. One-year retail and food services **sales growth** is 4.9 percent in April 2026, and averages 4.4 percent over the past three months (see –). Nonstore sales, for example from online retailers, have increased at a faster rate than other sales, since 1992. Over the past three months, one-year nonstore sales growth averages 10.3 percent (see –).

Retail and Food Services Sales Growth



Source: Census Bureau

Since 1992, the share of after-tax income spent at different **kinds of businesses** has diverged wildly. In large part, this is due to the growth of e-commerce, with online sales replacing brick and mortar sales. However, there have also been shifts in other consumer preferences and relative prices.

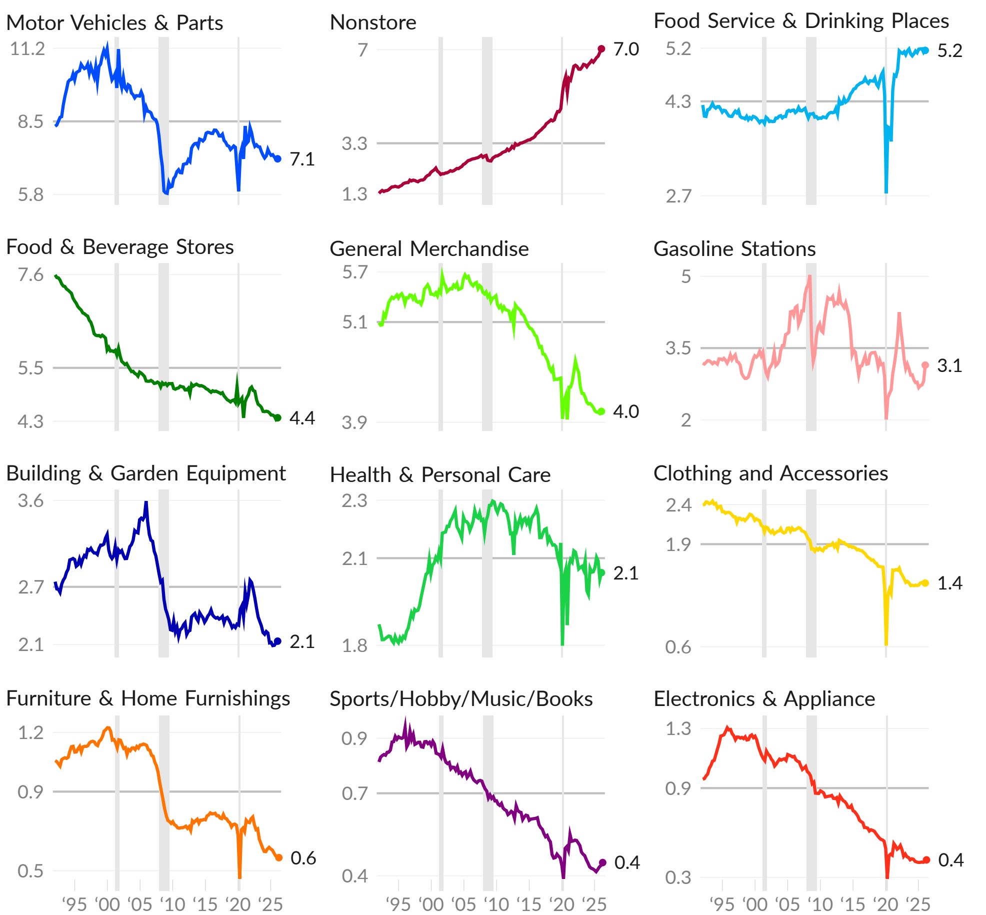
Nonstore sales were 1.4 percent of after-tax income in January 1992 and 7.0 percent in April 2026, a shift that is equivalent to $1.3 trillion per year. Since 1992, sales as a share of after-tax income have decreased in food and beverage stores (-3.3 percentage points), motor vehicles and parts stores (-1.3 percentage points), and general merchandise stores (-1.0 percentage point).

Some sales categories were boosted by the housing bubble during the 2000s and its associated wealth effects, then fell sharply following the collapse of the bubble. Building and garden equipment, furniture and home furnishings stores, and motor vehicle sales all claimed a larger share of income during the 1990s and 2000s than during the 2010s. Meanwhile, food service and drinking places and health and personal care stores received a relatively stable share of income from 2000 until the COVID-19 pandemic, which hit restaurants and bars particularly hard.

Finally, some categories are more affected by changes in relative prices. Sales at gasoline stations, for example, move with gasoline prices. Likewise, an increase in building material prices during the pandemic partially boosted the share of income spent at building and garden equipment stores.

Retail Sales by Kind of Business

share of disposable personal income, percent, January 1992 to April 2026, quarterly average



Source: Census Bureau, Bureau of Economic Analysis

Government

Public institutions are collectively called the *public sector* or the *government*. In the United States, the government operates many critical pieces of the economy and has the authority to spend, tax, and create money, as well as to regulate economic and financial activity. The government also enforces and determines the ownership of property. Spending, taxation, regulation, and property rights are all fundamental to production and distribution in the economy.

This chartbook section covers government contributions to current economic activity, receipts and expenditures, assets and liabilities, and government jobs.

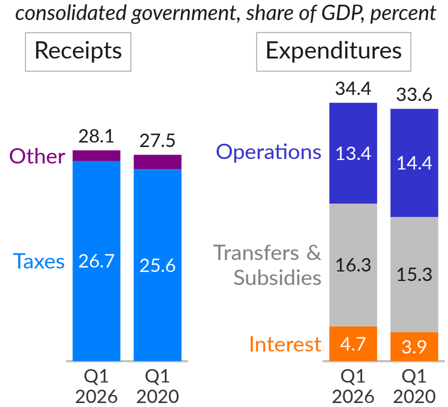
Current Economic Activity

There are multiple ways to measure the government's contribution to *current* economic activity: 1) government receipts and expenditures; 2) production minus intermediate inputs (value added); 3) income payments to people, net of taxes and social insurance contributions; or 4) the sum of government consumption and investment.

As an overview of the consolidated government's effect on GDP, government receipts are equivalent to 28.1 percent of GDP in 2026 Q1, compared to 27.5 percent in 2020 Q1. The vast majority of these receipts are taxes, including social insurance contributions.

Government spending is equivalent to 34.4 percent of GDP in the latest data and 33.6 percent in 2019. This includes consumption expenditures, which are the government's operating costs, transfers and subsidies, and interest payments. These are covered in more detail in the following subsections.

Government Receipts and Spending
consolidated government, share of GDP, percent

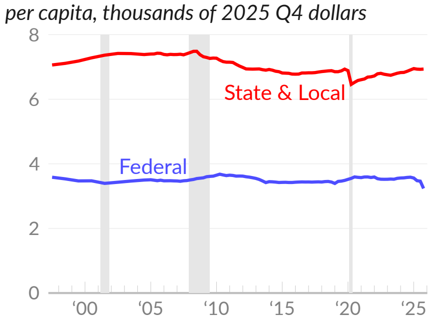


Source: Bureau of Economic Analysis

Government Production

Governments provide many services, including education, health care, transportation, utilities, sanitation, and administration. For purposes of national accounting, the production value added by government is primarily measured as the compensation of government employees, and also includes the government gross operating surplus.

Government Production
per capita, thousands of 2025 Q4 dollars



Source: Bureau of Economic Analysis

In the fourth quarter of 2025, the federal government value added in domestic production is $1,109 billion, equivalent to $3,237 per capita (see —). In 2019 Q4, the federal government added $3,487 in value to domestic production, per capita, after adjusting for inflation.

State and local governments added $2,374 billion in production value in 2025 Q4 and $1,851 billion in 2019 Q4, equivalent after inflation to $6,934 and $6,933 per capita, respectively (see —).

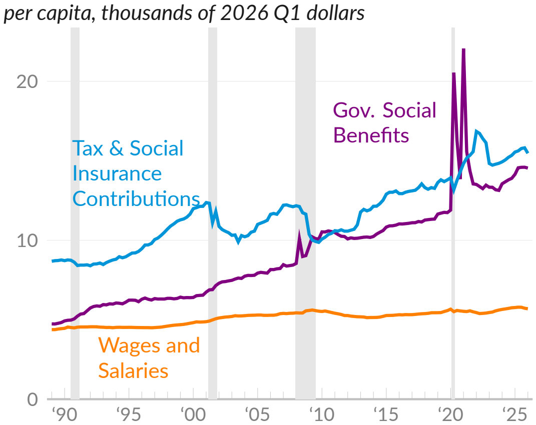
Income Approach

The government pays people in two ways: wages and salaries for government workers and transfer payments, also called government social benefits or welfare.

Over the past thirty years, government social benefit spending has mostly kept pace with consumer spending, while tax collection lagged behind income growth. Higher per capita social benefits reflect expanded access to health insurance and a larger share of the population receiving social security benefits. During the COVID-19 pandemic, the federal government expanded social benefits, reducing poverty rates to all-time lows in 2021.

Personal Income and Outlays

per capita, thousands of 2026 Q1 dollars



Source: Bureau of Economic Analysis

In 2026 Q1, government worker wages and salaries were equivalent to $5,690 per capita, following a price-adjusted $5,573 in 2019 Q4 (see —). Net government benefits were equivalent to $14,543 per capita in 2026 Q1, compared to $11,739 per capita in 2019 Q4 (see —). In 1989 Q1, net benefits were equivalent to $4,738 per person.

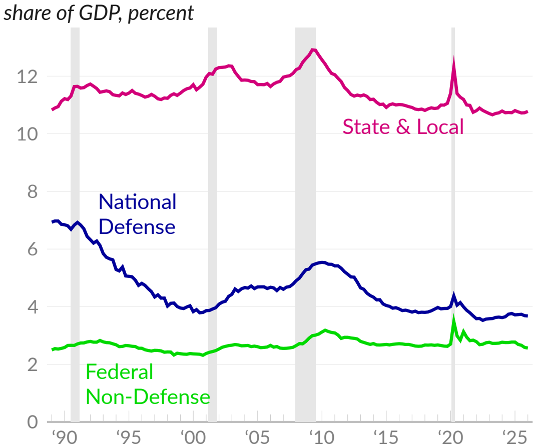
Personal current taxes and social insurance contributions total $15,470 per capita in 2026 Q1, $13,799 in 2019 Q4, and $8,680 in 1989 (see —).

Consumption and Investment

Another approach to calculating the government sector effect on current economic activity is to add up spending on final goods and services, excluding transfer payments (which mostly become consumer spending). Government consumption and investment tends to be more stable than consumer spending or private investment, and thus tends to rise as a share of economic activity during recessions.

Consumption and Investment

share of GDP, percent



Source: Bureau of Economic Analysis

In 2026 Q1, federal non-defense spending and investment was $816.5 billion, equivalent to 2.6 percent of GDP (see —), compared to 2.6 percent of GDP in 2019 Q4. Federal spending on national defense was equivalent to 3.7 percent of GDP in the latest quarter and 3.9 percent in 2019 Q4 (see —). National defense spending was 6.9 percent of GDP in 1989 Q1.

In 2026 Q1, state and local government spending and investment was equivalent to 10.8 percent of GDP, compared to 11.1 percent in 2019 Q4 (see —).

Contribution to Growth

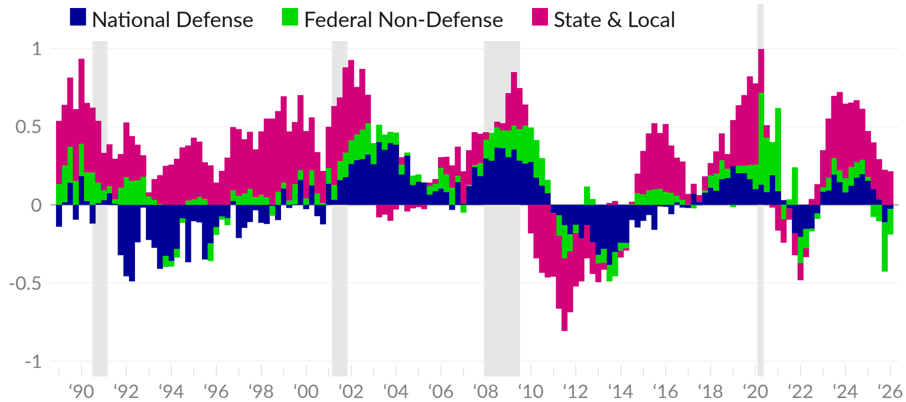
Government spending and investment directly affect economic growth in the short term. Government spending and investment are traditionally steady sources of demand in the economy, with some exceptions. Government austerity during the early 2010s delayed recovery from the Great Recession.

In the first quarter of 2026, government consumption spending and investment contributed 0.73 percentage point to the real GDP growth rate of 1.6 percent. Over the last four quarters, government consumption and investment contributed 0.02 percentage point to economic growth, on average. Since 1989, the average contribution has been 0.25 percentage point.

Over the four quarters ending 2026 Q1, by level of government, national defense subtracted 0.03 percentage point (see ■), federal non-defense subtracted 0.17 percentage point (see ■), and state and local government added 0.21 percentage point (see ■).

Government Consumption and Investment

percentage point contribution to real GDP growth, one-year moving average



Source: Bureau of Economic Analysis

Government Consumption and Investment

percentage point contribution to real GDP growth

	2026 Q1	'25 Q4	'25 Q3	'25 Q1	'24 Q1	*annual contribution* 1-year	6-year	15-year
Consolidated Government Total	0.73	-0.99	0.38	-0.17	0.39	0.02	0.23	0.18
Federal Total	0.57	-1.16	0.17	-0.37	0.05	-0.19	0.08	0.03
■ National Defense	0.08	-0.42	0.21	-0.27	-0.10	-0.03	0.03	-0.01
Consumption Expenditures	0.18	-0.42	0.19	-0.31	0.00	-0.01	0.01	-0.01
Gross Investment	-0.09	-0.01	0.02	0.04	-0.09	-0.02	0.02	0.01
■ Federal Non-Defense	0.49	-0.73	-0.04	-0.11	0.15	-0.17	0.05	0.04
Consumption Expenditures	0.44	-0.69	-0.02	-0.08	0.09	-0.15	0.03	0.02
Gross Investment	0.04	-0.04	-0.01	-0.03	0.06	-0.01	0.02	0.02
■ State & Local Total	0.16	0.16	0.21	0.20	0.34	0.21	0.15	0.15
Consumption Expenditures	0.10	0.12	0.19	0.16	0.30	0.15	0.12	0.12
Gross Investment	0.06	0.04	0.02	0.05	0.04	0.06	0.03	0.03

Source: Bureau of Economic Analysis

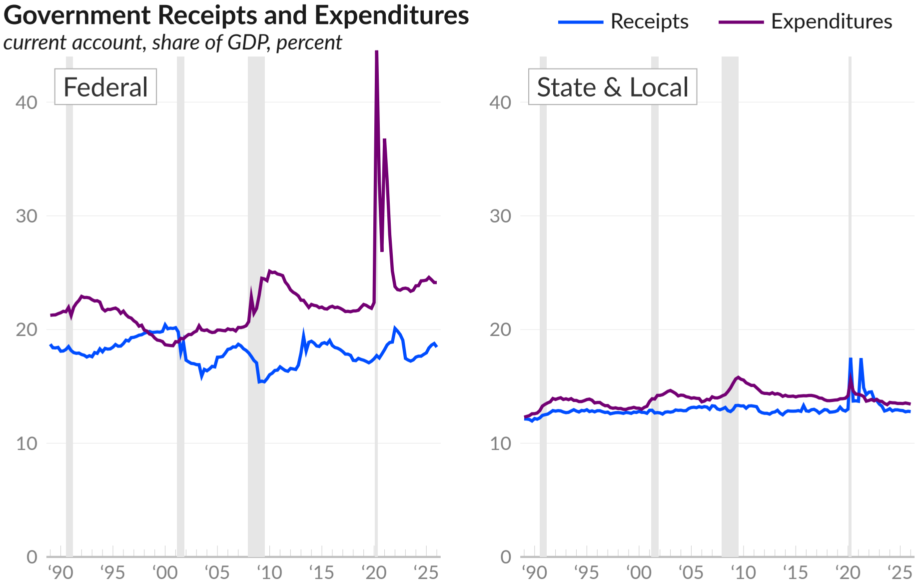
Government Receipts and Expenditures

Government current expenditures include consumption, current transfers, such as government social benefits to persons, interest payments, and subsidies. Government spending provides services and income to people. Government current receipts come primarily from taxes. When government expenditures exceed receipts, the gap is called a *government deficit*, and corresponds to a private sector surplus. A large government deficit, relative to GDP, increases current household income and corporate profits.

Federal government expenditures total $7.7 trillion, or 24.1 percent of GDP, in 2026 Q1. Receipts for the same period total $5.9 trillion or 18.5 percent of GDP. In 2026 Q1, the federal government deficit was $1,806 billion or 5.7 percent of GDP.

Combined state and local government expenditures total $4.3 trillion, or 13.4 percent of GDP, in 2026 Q1. Receipts for the same period total $4.1 trillion or 12.8 percent of GDP. In 2026 Q1, the combined state and local government deficit was $211 billion or 0.7 percent of GDP.

Government Receipts and Expenditures
current account, share of GDP, percent



Source: Bureau of Economic Analysis

Government Receipts and Expenditures
percent of GDP

	'26 Q1	'25 Q4	'25 Q3	'25 Q1	'24 Q1	'20 Q1	*moving average* 4-year	10-year	30-year
Federal Government									
Receipts	18.5	18.8	18.6	18.0	17.6	17.4	18.2	18.0	18.0
Expenditures	24.1	24.1	24.4	24.3	23.8	22.4	23.9	24.6	22.3
Surplus (+) / Deficit (-)	-5.7	-5.4	-5.7	-6.4	-6.3	-4.9	-5.7	-6.6	-4.3
State & Local Government									
Receipts	12.8	12.8	12.8	12.9	13.0	13.0	13.2	13.4	13.1
Expenditures	13.4	13.5	13.5	13.5	13.6	14.2	13.6	13.9	14.0
Surplus (+) / Deficit (-)	-0.7	-0.7	-0.8	-0.6	-0.6	-1.2	-0.4	-0.5	-1.0

Source: Bureau of Economic Analysis

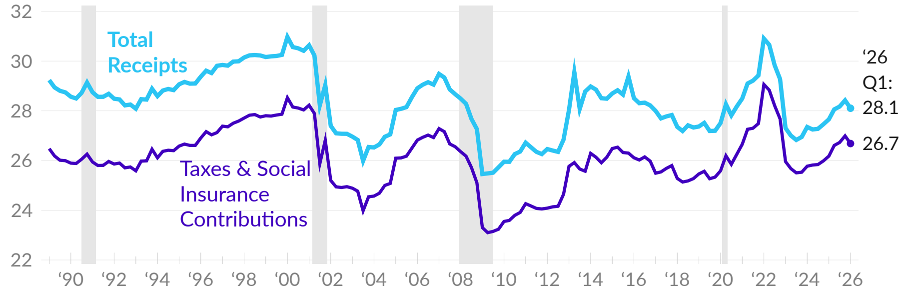
Government Receipts

The national accounts report the combined revenue of the federal, state, and local governments as government current receipts. This subsection describes government current receipts by level of government and by type.

At an aggregate level, the vast majority of government receipts are tax receipts and contributions for social insurance programs. Government receipts total $8.9 trillion in 2026 Q1, representing 28.1 percent of GDP (see —). Taxes and social insurance contributions comprise 94.9 percent of receipts and are equivalent to 26.7 percent of GDP in 2026 Q1 (see —).

Government Current Receipts

consolidated government, share of GDP, percent



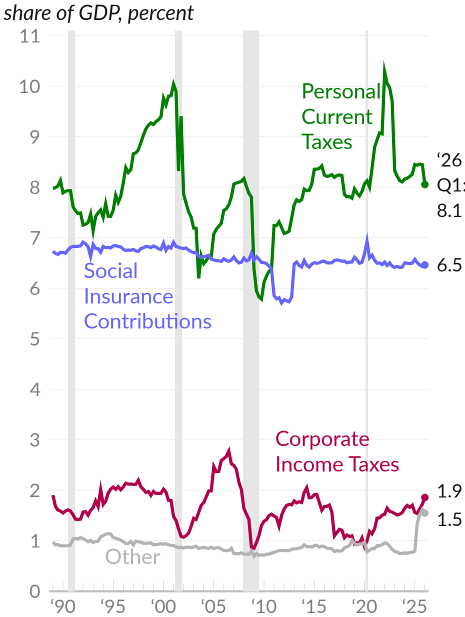
Source: Bureau of Economic Analysis

Federal Government Receipts

Taxes and social insurance contributions are the main federal government receipts, and total $5.7 trillion in 2026 Q1, equivalent to 17.9 percent of GDP. These receipts include personal current taxes, primarily individual income taxes, taxes on corporate income, and other taxes such as the federal excise tax on gasoline. Tax receipts are grouped with social insurance contributions, such as payroll taxes for Social Security and Medicare.

Federal Gov. Current Tax Receipts

share of GDP, percent



Source: Bureau of Economic Analysis

As of 2026 Q1, federal personal current tax receipts are equivalent to 8.1 percent of GDP (see —). Some volatility in these receipts comes from swings in yearly capital gains. Since 1989, these tax receipts average eight percent of GDP.

Social insurance contributions are relatively stable over time and comprise 6.5 percent of GDP in 2026 Q1 (see —), compared to an average of 6.6 percent since 1989.

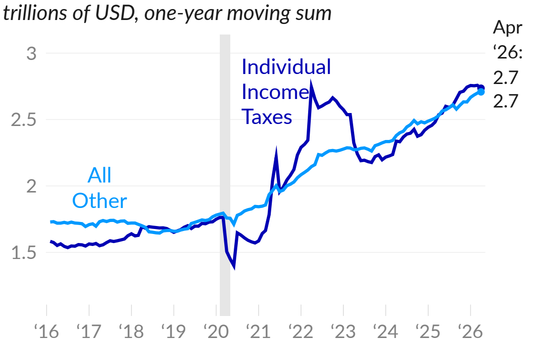
Corporate income tax receipts are typically two percent of GDP during economic expansions, but were cut to one percent in 2019. In 2026 Q1, these receipts are equivalent to 1.9 percent of GDP (see —).

Other tax receipts, including excise taxes and customs duties total 1.5 percent of GDP in the latest data (see —).

The United States Treasury reports federal government current receipts and outlays, by type, in the Monthly Treasury Statement. To smooth seasonal patterns in tax payments, the receipts from the previous 12 months are combined, in each month, below.

Federal Government Receipts

trillions of USD, one-year moving sum



Source: Treasury

Over the 12 months ending April 2026, **federal government receipts** total \$5.4 trillion, compared to \$5.1 trillion one year prior, in April 2025.

Over the past 12 months, 50 percent of receipts, totaling \$2.7 trillion, are from individual income taxes (see —). The remaining receipts (see —) are largely social insurance contributions (\$1.8 trillion) and corporate income taxes (\$0.4 trillion).

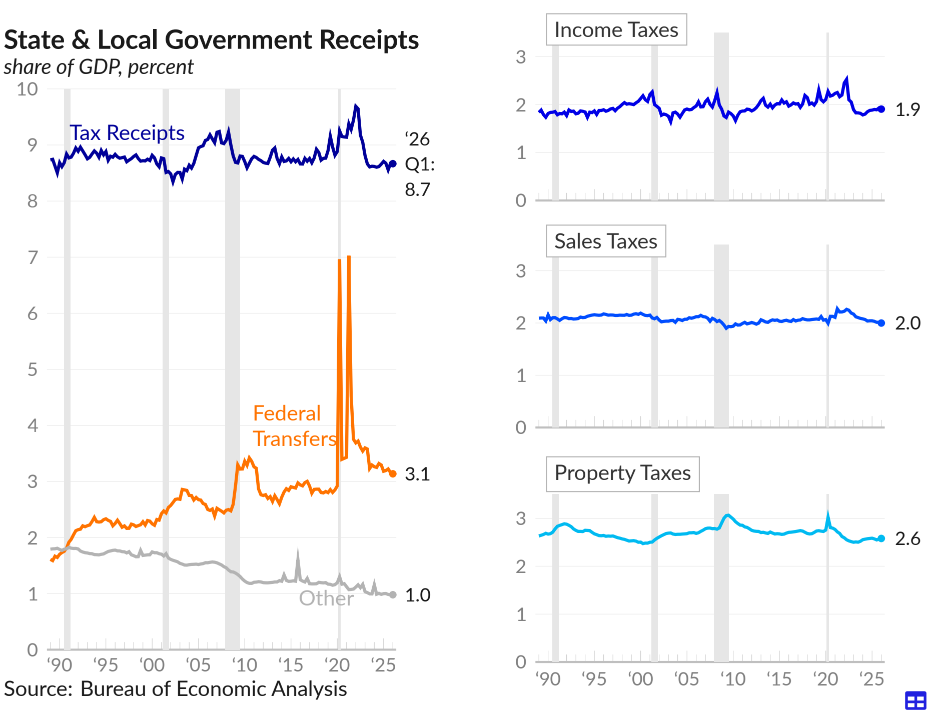
State and Local Government Receipts

State and local government current receipts are a combination of taxes, transfers from the federal government, and other receipts, such as fines and fees. In 2026 Q1, combined state and local government tax receipts total 8.7 percent of GDP (see —), following 8.7 percent of GDP one year prior. Since 2019, these tax receipts decreased by 0.3 percent of GDP. State and local government income tax receipts fell by 0.2 percent of GDP over the same period.

Federal government transfers to state and local governments total 3.1 percent of GDP in 2026 Q1 (see —), and 3.2 percent one year prior. These transfers peaked during COVID-19 relief efforts. Over the longer term, the share has grown from 1.6 percent of GDP in 1989. Other receipts are equivalent to one percent of GDP in 2026 Q1 (see —).

State & Local Government Receipts

share of GDP, percent



Source: Bureau of Economic Analysis

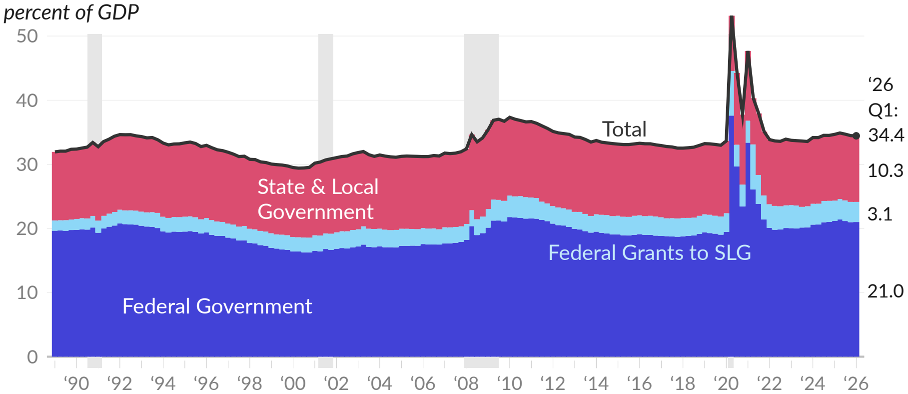
Government Expenditures

Consolidated government current expenditures combine federal, state, and local levels of government, and include consumption expenditures, government social benefits, interest payments, subsidies, and other transfers. Federal government grants to state and local governments are separated to avoid double counting.

As of 2026 Q1, government current expenditures total $11.0 trillion, which is 34.4 percent of GDP (see —). One year prior, in 2025 Q1, government current expenditures totaled 34.7 percent of GDP. Government spending peaked during the COVID-19 pandemic, averaging 41.2 percent of GDP from 2020 to 2021. Since 1989, government spending has averaged 33.4 percent of GDP.

Government Current Expenditures

percent of GDP



Source: Bureau of Economic Analysis

By level of government, federal current expenditures are equivalent to 21 percent of GDP in 2026 Q1, and 21.2 percent in 2025 Q1 (see ■). Federal government transfers to state and local governments comprise 3.1 percent of GDP in the latest data (see ■). State and local government current expenditures, excluding transfers from the federal government, are equivalent to 10.3 percent of GDP in 2026 Q1 (see ■).

By category, consumption expenditures represent 13.4 percent of GDP in 2026 Q1, and 13.7 percent of GDP one year prior. Over the past 30 years, consumption expenditures have averaged 14.7 percent of GDP. Current transfer payments, which are largely government social benefits, total 15.9 percent of GDP in 2026 Q1, compared to 15.9 percent one year prior, and a long-term average of 13.9 percent.

Consolidated government interest payments are 4.7 percent of GDP in the latest data, compared to 4.7 percent one year prior. Interest payments have averaged 4.3 percent over the past 30 years. Government subsidies to businesses total 0.4 percent of GDP in 2026 Q1 and 0.4 percent in 2025 Q1.

Government Current Expenditures

share of GDP, percent

						moving averages		
	2026 Q1	'25 Q4	'25 Q3	'25 Q1	'24 Q1	1-year	10-year	30-year
Current Expenditures (—)	34.4	34.5	34.7	34.7	34.2	34.6	35.1	33.4
Consumption Expenditures	13.4	13.4	13.5	13.7	13.6	13.5	13.9	14.7
Current Transfer Payments	15.9	16.0	16.0	15.9	15.5	16.0	16.2	13.9
Interest Payments	4.7	4.8	4.7	4.7	4.7	4.7	4.1	4.3
Subsidies	0.4	0.3	0.4	0.4	0.3	0.4	0.9	0.6

Source: Bureau of Economic Analysis

Composition of Federal Government Spending

Over the long term, there have been important shifts in the **composition of federal spending**. Short-term departures from these long-term trends are also important.

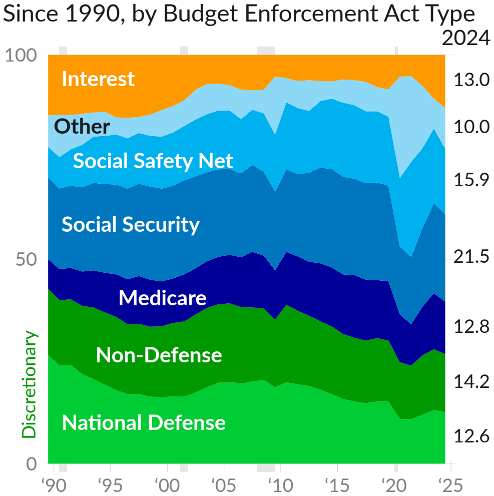
Over the long term, Office of Management and Budget (OMB) data show national defense spending fell to 15.2 percent of outlays in 2019 from 26.6 percent in 1989 (see ■). Discretionary non-defense spending maintained a relatively stable share of spending over the period (see ■). Net interest expense, the cost of federal borrowing, fell along with long-term interest rates, to 8.4 percent of outlays in 2019 from 14.8 percent in 1989 (see ■).

Offsetting reduced discretionary spending, Medicare and Social Security now make up a larger share of federal spending, as a larger share of people are retirement age. Likewise, spending on the social safety net (means-tested benefits and Medicaid) increased when employment rates fell and when Medicaid was expanded. Medicare (see ■), Social Security (see ■), and the social safety net (see ■) combine to comprise 54.8 percent of federal spending in 2019, compared to 34.7 percent in 1989.

Composition of Federal Government Outlays

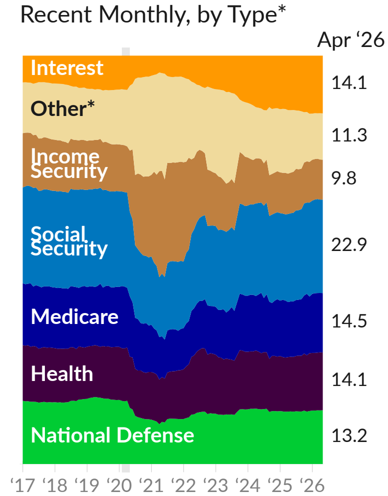
share of total, percent

Since 1990, by Budget Enforcement Act Type



Source: Office of Management and Budget

Recent Monthly, by Type*



Source: Treasury

* The two charts use different data sources with different categories and therefore do not match.

The Treasury Bureau of Fiscal Service reports federal outlays by type monthly (see right chart above). The categories used in the Treasury monthly report are not the same as those used in the OMB data, so the two charts above should not be compared. The higher-frequency Treasury data, however, are helpful for showing short-term changes, and **recent changes in federal spending composition**.

Income security, which includes economic impact payments, the child tax credit, unemployment compensation, food and nutrition assistance, federal employee retirement and disability, and housing assistance, was 9.8 percent of federal spending over the 12 months ending April 2026 (see ■). At its peak, over the 12 months ending March 2021, income security comprised 26.0 percent of federal spending. Pre-pandemic, in 2019, the category comprised 11.5 percent.

The category labeled "other" in the above-right chart includes several subcategories worth examining. The category decreased to 11.3 percent of federal spending during the 12 months ending April 2026, from 24.2 percent during the 12 months ending March 2021 (see ■). Prior to the pandemic, in 2019, the category was 12.8 percent of spending.

Within the "other" category, the biggest changes during the pandemic came from business and housing subsidies (commerce and housing credit) and transfers to state and local governments (general government). The category is described in the following table.

Composition of Federal Government Outlays

share of total, percent

	Apr 2026	Mar 2026	Feb 2026	Apr 2025	Mar 2021	2017 to '19
■ Income Security	9.8	9.8	9.9	9.9	26.0	12.3
■ Health	14.1	14.2	14.1	13.4	10.9	13.1
■ Medicare	14.5	14.5	14.6	13.5	10.4	14.8
■ Social Security	22.9	22.9	23.0	21.6	14.7	23.7
■ National Defense	13.2	13.1	13.1	12.9	9.7	15.6
■ Net Interest	14.1	14.1	14.1	13.4	4.1	7.5
■ Other:	11.3	11.3	11.1	15.3	24.2	13.1
Administration of Justice	1.4	1.3	1.3	1.2	1.0	1.5
Agriculture	0.7	0.8	0.7	0.6	0.7	0.6
Commerce & Housing Credit	-0.5	-0.5	-0.4	-0.5	9.8	-0.5
Community & Regional Development	0.8	0.9	0.9	1.5	1.3	0.8
Educ., Training, Employment, & Social Serv.	0.8	0.8	0.8	4.0	3.2	2.9
Energy	0.3	0.3	0.3	0.3	0.1	0.1
General Government	0.4	0.4	0.2	0.5	2.4	0.5
General Science, Space, & Technology	0.6	0.6	0.6	0.6	0.5	0.8
International Affairs	0.6	0.5	0.6	0.9	0.9	1.2
Natural Resources & Environment	0.9	0.9	0.9	1.2	0.5	0.9
Transportation	2.0	2.0	2.0	2.0	2.2	2.3
Undistributed Offsetting Receipts	-2.2	-2.2	-2.2	-2.1	-1.5	-2.3
Veterans Benefits & Services	5.6	5.5	5.5	5.0	3.0	4.5

Source: Treasury Bureau of Fiscal Service

Major Federal Programs

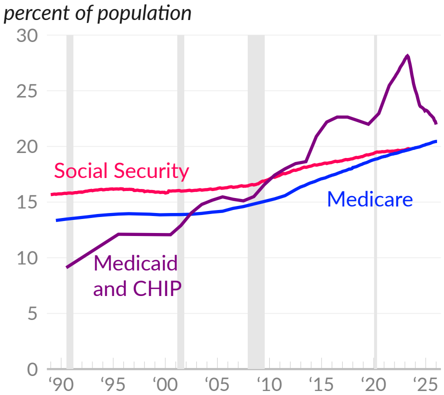
The three main federal government social benefits in the US are Social Security, Medicare, and Medicaid. Social Security provides income in old age and to disabled people. Medicare provides health insurance in old age, and Medicaid provides health insurance to many low-income people.

As discussed in the household section, Social Security is by far the main anti-poverty program in the US, removing 28.6 million people from poverty in 2024. The number of Social Security beneficiaries has increased from 53.4 million in 2010, or 17.2 percent of the population, to 66.7 million in August 2023, equivalent to 19.8 percent of the population.

Medicare enrollment has grown from 15.3 percent of the population in 2010 to 20.4 percent. Total Medicare enrollment is 70.1 million in February 2026. Medicaid, which was expanded in 2014, and the Children's Health Insurance Program (CHIP), increased enrollment from 17.4 percent of the population in 2010 to 22 percent in January 2026. The total enrollment for Medicaid and CHIP is 75.3 million people.

Enrollment / Beneficiaries

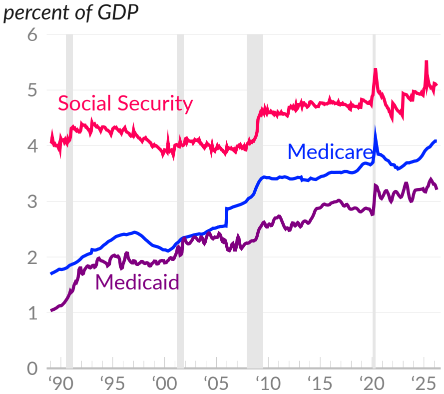
percent of population



Source: CMS, SSA, Census

Expenditures

percent of GDP



Source: BEA

The overall increase in the cost of Social Security, Medicare, and Medicaid since 2010 has been modest, despite the aging of the population and the major expansion of Medicaid. Payments to Social Security beneficiaries, combined with government spending on Medicare and Medicaid, comprise 10.6 percent of GDP in 2010. In the latest data, covering April 2026, these programs combined are equivalent to 12.4 percent of GDP. Social Security benefits are 5.1 percent of GDP, and government spending on Medicare and Medicaid is 4.1 percent and 3.2 percent of GDP, respectively.

Effect of Government Programs on Poverty

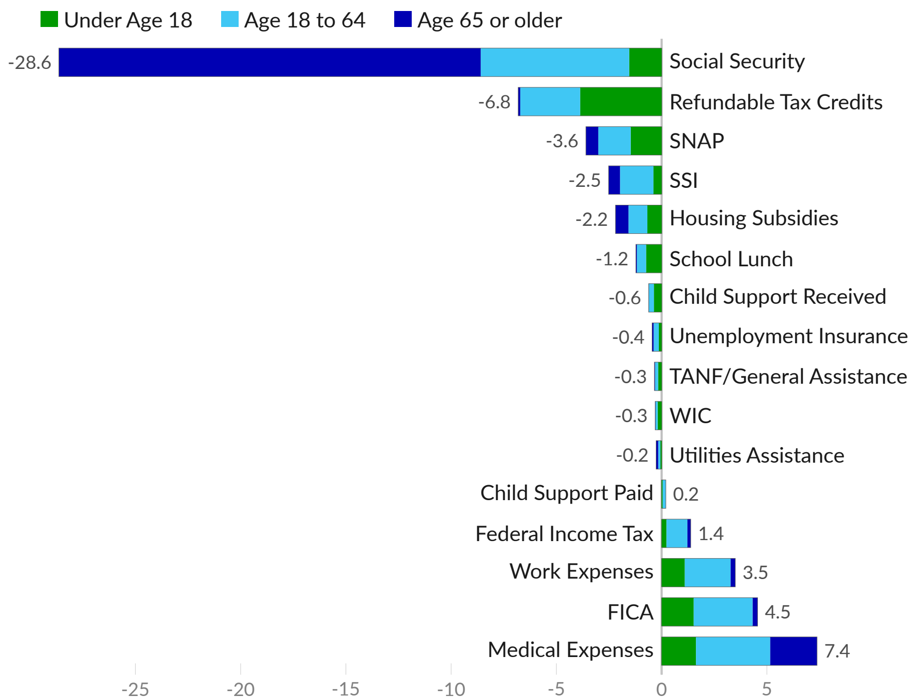
The Census Bureau reports **the number of people taken out of poverty by various government programs**, along with how many people are put in poverty by various expenses. In 2024, Social Security payments lift income above the poverty line for 28.6 million people, by far the most effective program for reducing poverty.

Refundable tax credits, which include the refundable portion of the child tax credit and the earned income tax credit, remove 6.8 million people from poverty, including 3.9 million children. Supplemental nutrition assistance (SNAP) removes 3.6 million people from poverty, while school lunch programs remove 1.2 million. Public assistance and welfare programs take 331,000 people out of poverty.

Several elements add to the number of people in poverty. Medical expenses are the most significant, and push 7.4 million people into poverty. Federal payroll taxes for Social Security and Medicare put 4.5 million people in poverty. Work expenses additionally put 3.5 million people in poverty.

Effect of Individual Elements on Poverty Headcount

individual element effect on number of people in poverty, in millions of people, 2024



Refundable tax credits include the refundable portion of the child tax credit and the earned income tax credit. SNAP is the Supplemental Nutrition Assistance Program, SSI is Supplemental Security Income, TANF is Temporary Assistance for Needy Families, WIC is special supplemental nutrition assistance for women, infants, and children, and FICA is Federal Insurance Contributions Act payroll taxes.

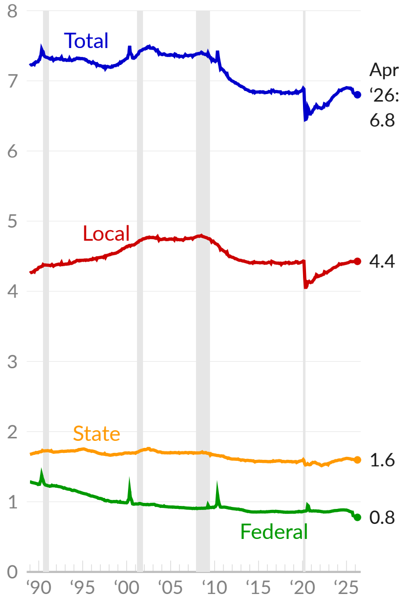
Source: Author's Replication of Census Bureau Report

Government Jobs

Government workers provide public services to the population. As examples, federal government jobs include mail carriers and park rangers; state government jobs include teachers and social workers; and local governments employ firefighters, police, and utilities workers. Additionally, government employment is traditionally a relatively stable source of aggregate household income. Government jobs are also disproportionately likely to provide health insurance and retirement benefits.

Government Employment

government jobs per 100 people



Source: Bureau of Labor Statistics

In April 2026, there were 23.3 million **government jobs**, equivalent to 6.8 for every 100 people (see —). The previous year, in April 2025, there were 23.6 million government jobs, equivalent to 6.9 per 100 people. During the 1990s, there were 7.3 government jobs per 100 people. If the rate were the same today, there would be 1.7 million additional government jobs.

By level of government, there were 15.2 million local government jobs in April 2026, equivalent to 4.4 per 100 people (see —). In the same period, there were 5.5 million state government jobs (1.6 per 100 people, see —), and 2.7 million federal government jobs (0.8 per 100 people, see —).

Since 2019, the US has gained 696,000 total government jobs. During the same period, local governments added 592,000 jobs, state governments added 270,000 jobs, and the federal government lost 166,000 jobs.

Government Employment

in thousands of employees

	Apr '26	Mar '26	Apr '25	Apr '24	2019	2005
Government Total	23,308	23,316	23,568	23,297	22,612	21,804
Federal	2,665	2,674	2,976	2,992	2,831	2,732
Federal Hospitals	–	352	372	388	355	248
Department of Defense	–	477	563	557	544	487
US Postal Service	596	598	599	606	607	775
State Government	5,472	5,471	5,522	5,421	5,202	5,032
State Education	2,604	2,602	2,646	2,606	2,511	2,260
State Hospitals	–	465	457	452	387	350
General Admin.	–	1,908	1,922	1,887	1,824	1,862
Local Government	15,171	15,171	15,070	14,884	14,580	14,041
Local Education	8,231	8,236	8,204	8,123	8,003	7,856
Utilities	–	263	260	255	247	238
Transportation	–	308	307	298	290	252
Local Hospitals	–	718	701	696	682	654
General Admin.	–	4,518	4,475	4,403	4,255	4,013

Source: Bureau of Labor Statistics

Government Balance Sheets

Government balance sheets reflect the scope of the public sector and how the government funds and organizes itself. This subsection first summarizes the combined balance sheet of federal, state, and local governments, then examines public wealth, liabilities, interest expense, debt sustainability, assets, and net investment.

The main components of government balance sheets are assets (other than public lands), liabilities, and net worth (public wealth), summarized below for the combined federal, state, and local governments. Since 1989, government assets have remained stable as a share of GDP, while liabilities have increased, driving down public wealth.

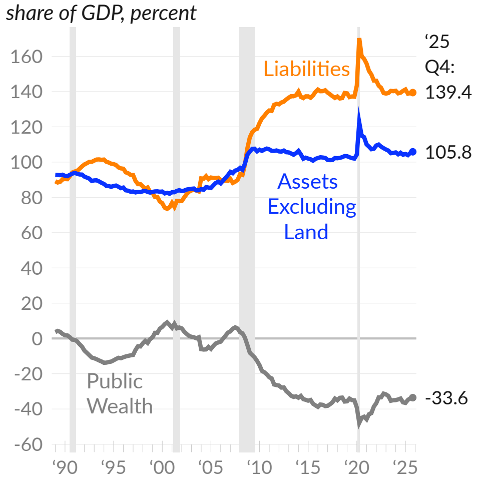
Combined government liabilities total $43.8 trillion in 2025 Q4, equivalent to 139.4 percent of GDP (see —). Liabilities were 140.4 percent of GDP one year prior, in 2024 Q4, and 137.5 percent in 2019.

Government assets, excluding public land, are valued at $33.3 trillion in 2025 Q4, or 105.8 percent of GDP (see —). Assets were 104.2 percent of GDP one year prior, and 102.6 percent in 2019.

Public wealth is government assets minus liabilities, and is equivalent to negative 33.6 percent of GDP in the latest data (see —). Each balance sheet component is discussed in the following subsections.

Government Balance Sheet

combined federal, state, and local governments
share of GDP, percent



Source: Federal Reserve

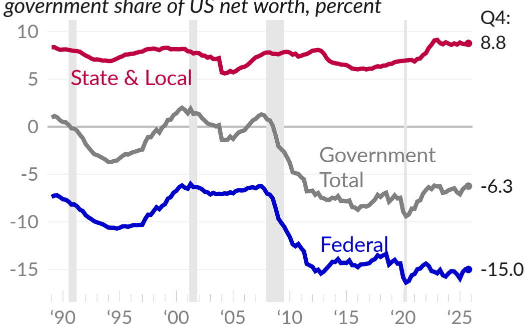
Public Wealth

Government balance sheets can be summarized and put into broader context by examining the **government share of US wealth**, calculated from the Federal Reserve financial accounts. Wealth, or net worth, is calculated as assets minus liabilities, and summarizes an overall financial position. The wealth of an individual group is then divided by total US wealth to determine the group's share of the total.

Excluding public land, the federal government's sizable debt exceeds the market value of its assets, therefore its financial position is negative. At an aggregate level, state and local governments own a small portion of US wealth, as the value of assets is greater than the amount of debt.

Government Share of US Wealth

government share of US net worth, percent



Source: Federal Reserve

The consolidated government net worth is negative $10.5 trillion, as of 2025 Q4, equivalent to negative 6.3 percent of national wealth (see —).

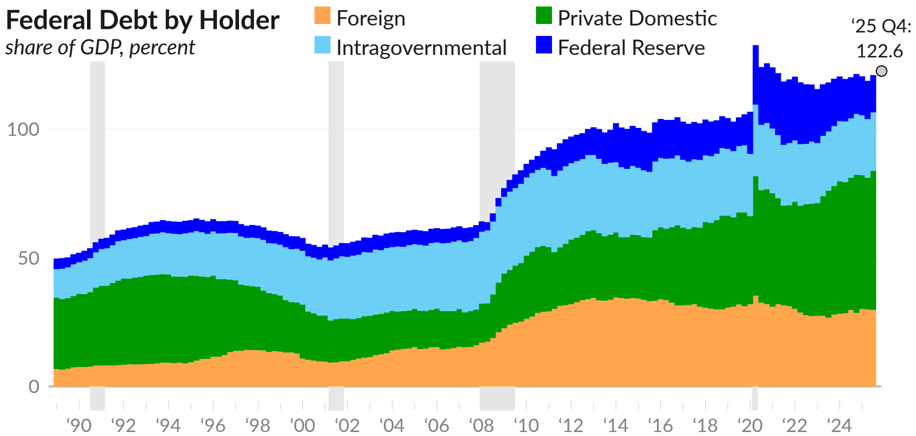
Federal government net worth (excluding land) equals negative 15 percent of national wealth (see —), while state and local governments own 8.8 percent of US wealth (see —).

Liabilities

Federal government public debt totals $38.5 trillion in 2025 Q4, equivalent to 122.6 percent of GDP (see ◎). This debt is **held by a mixture of investors**, including private domestic investors, overseas investors, the Federal Reserve, and government agencies and trusts (intragovernmental holdings).

As of the third quarter of 2025, the most recent quarter for which holder-level data are available, $16.8 trillion, or 44.7 percent of the total, is held by private domestic investors (see ■). An additional $9.2 trillion, or 24.6 percent of the total, is held by foreign investors (see ■). The remainder is held by the Federal Reserve (see ■) and various government agencies and trusts (see ■), such as the Social Security Trust Fund.

Federal Debt by Holder
share of GDP, percent



Source: Treasury

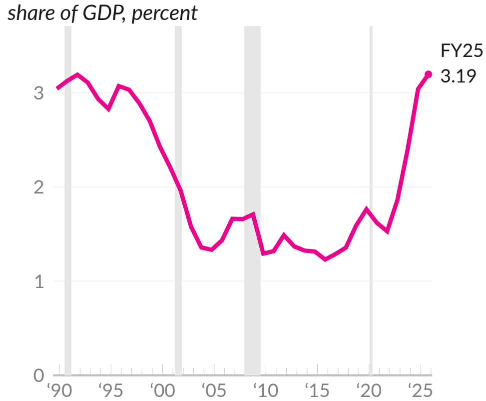
Interest Expense

The ratio of public debt to GDP increased during the COVID-19 response, while the typical interest income from holding public debt initially fell because of lower interest rates. Treasuries and other government debt securities provide a safe asset for the balance sheets of domestic households and businesses, and for foreign investors. The Federal Reserve also initially absorbed some of the newly issued treasuries. More recently, the Federal Reserve has raised interest rates and reduced the size of its balance sheet, which has increased interest income in the economy.

The Office of Management and Budget reports **federal interest outlays** of $970 billion in fiscal year 2025 (the year beginning October 1, 2024), compared to $880 billion in fiscal year 2024.

Put into the context of the size of the economy, federal interest outlays in fiscal year 2025 were equivalent to 3.19 percent of GDP (see —), following 3.04 percent of GDP in FY2024 and 2.40 percent in FY2023, and compared to an average of 2.9 percent in the 1990s, when interest rates were substantially higher.

Federal Interest Outlays
share of GDP, percent



Source: OMB

Debt Sustainability

Changes in the ratio of federal government debt to GDP can be decomposed to understand how various economic forces affect the trajectory of the debt relative to our ability to service it. Specifically, **debt sustainability** is affected not only by borrowing but also by changes in real interest rates and economic growth.

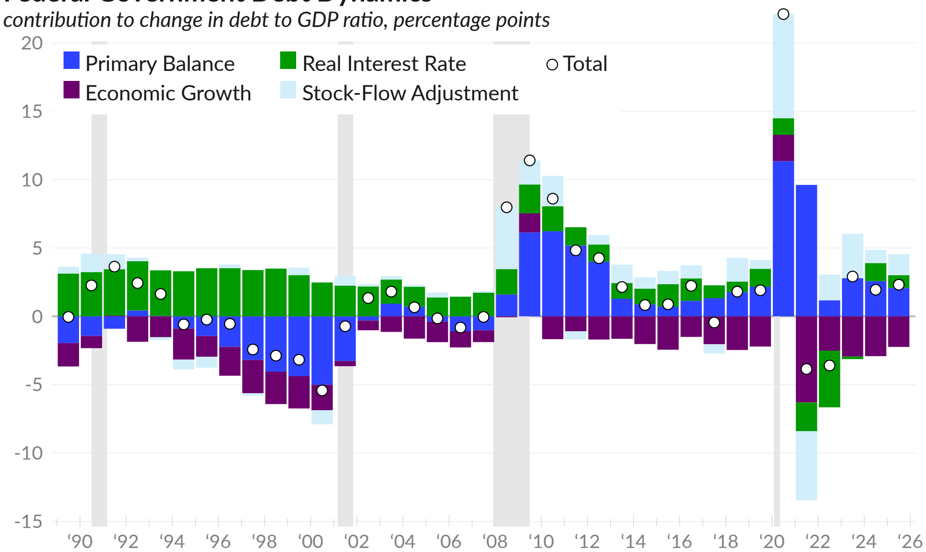
Mechanically, government debt is the accumulation of past deficits. When the government spends more than it takes in through taxes, it borrows the difference, which adds to the debt. Importantly, some government spending is interest payments on the debt. The *primary balance* measures the gap between spending, excluding interest payments, and revenue. Interest payments are a product of the interest rate and the existing debt. Higher real interest rates mean larger interest payments which increase deficits and, in turn, increase debt.

Federal debt is often divided by GDP to capture the ability to repay. The basic idea is that **a growing economy gradually erodes the burden of its debt**. As the economy grows, it is better able to produce the resources needed to repay its debt. Finally, there are often discrepancies between when borrowing occurs and when spending occurs, and the account balances at the Treasury vary over time. For example, the Treasury Secretary made more cash available to cover any potential short-term needs during the peak of the COVID-19 pandemic. Stock-flow adjustments correct for the difference between the change in liabilities (the stock) and the current federal deficit or surplus (the flow).

In 2025, the debt to GDP ratio increased by 2.3 percentage points (see o). The primary balance added 2.1 percentage points to the debt to GDP ratio (see ■), economic growth subtracted 2.2 percentage points (see ■), and real interest rates added 0.9 percentage point (see ■). These combined factors were less than the actual change in liabilities; the adjustment to reconcile stocks and flows added 1.5 percentage points (see ■).

Federal Government Debt Dynamics

contribution to change in debt to GDP ratio, percentage points



Source: Author's Calculations, Federal Reserve, Bureau of Economic Analysis

Assets

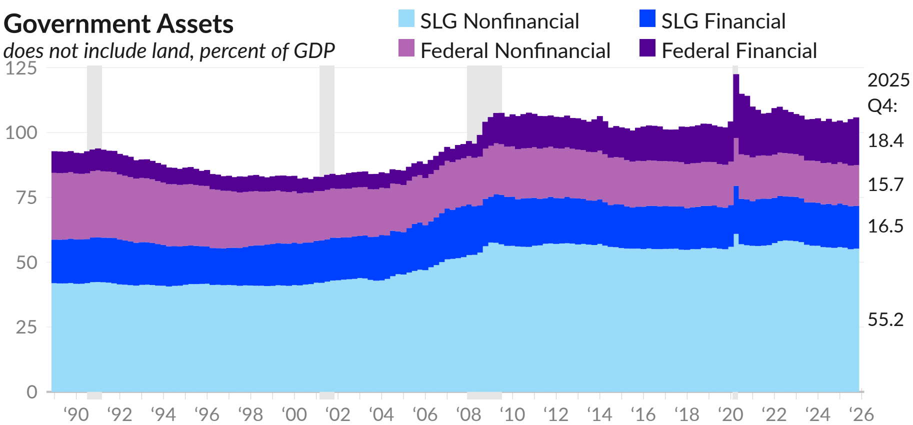
US government assets include financial assets but are mostly comprised of the nonfinancial assets of state and local governments (SLG), such as buildings and equipment. Land is not included in US measures of government assets.

In the fourth quarter of 2025, the market value of government assets, excluding land, is $33.3 trillion, equivalent to 105.8 percent of GDP. Of this, state and local government nonfinancial assets, such as buildings and equipment, are equivalent to 55.2 percent of GDP (see ■), and state and local government financial assets, such as insurance trust funds, equate to 16.5 percent of GDP (see ■).

The market value of federal government nonfinancial assets is equivalent to 15.7 percent of GDP in 2025 Q4 (see ■). Federal government financial assets are valued at 18.4 percent of GDP (see ■).

Government Assets

does not include land, percent of GDP



Source: Federal Reserve

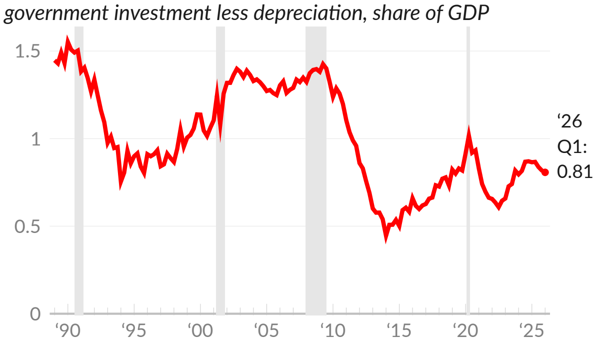
Government Net Investment

Government gross investment, less depreciation, is the government's net investment in the tangible assets that make the economy more productive. Government investment includes infrastructure, buildings, equipment, intellectual property, and other capital goods.

In the latest data, covering 2026 Q1, annualized government net investment is $256.9 billion, the result of gross investment of $1,138.8 billion and $881.9 billion in depreciation. Government net investment is equivalent to 0.81 percent of GDP in 2026 Q1 (see —), compared to 0.87 percent in 2025 Q1, and 0.80 percent in 2024 Q1.

Government Net Investment

government investment less depreciation, share of GDP



Source: Bureau of Economic Analysis

External Sector

Transactions between US residents and the rest of the world are recorded in two main categories: the current account, which tracks trade, income, and transfers, and the financial account, which records lending, borrowing, and investment. This section covers both accounts, focusing on the balance of payments – the difference between payments from and to residents. It also covers international trade and exchange rate trends.

Balance of Payments

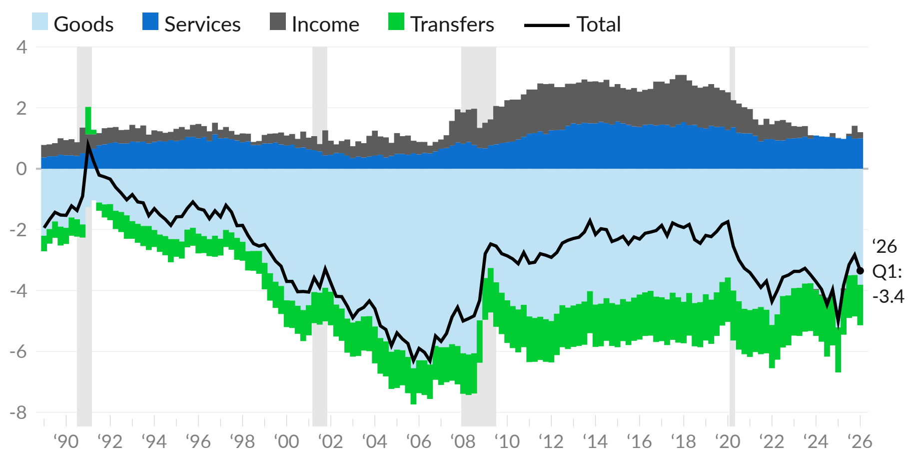
The **current account balance** reflects international trade in goods and services, net income from foreign investments, and net transfers such as remittances. It comprises current receipts–payments to US residents primarily for exports of goods and returns on foreign assets–and current payments–payments from US residents to the rest of the world for imports, returns on foreign investment in the US, and transfers such as remittances.

This balance is further broken down into four components: the trade balance for goods (see ■), the trade balance for services (see ■), the primary income balance (covering wages and asset income, see ■), and the secondary income balance (including remittances and taxes, see ■).

As of 2026 Q1, the US runs a current account deficit of 3.4 percent of GDP, primarily as the result of a trade deficit on goods of 3.8 percent of GDP. In 2025 Q4, the current account deficit was equivalent to 2.8 percent of GDP, and the trade deficit on goods was equivalent to 3.5 percent.

Current Account Balance

balance on individual current account component, as percent of GDP



Source: Bureau of Economic Analysis

US current payments exceed current receipts and the US runs a persistent current account deficit. Economic theory suggests that capital flows towards countries with lower labor costs and less capital per worker, as those countries have higher marginal productivity from additional capital. However, in the case of the US, the opposite is happening. Capital is flowing from less developed countries with lower wages into the US, largely to finance additional US consumer spending on imported goods.

Components of Current Account

share of GDP, percent

	2026 Q1	'25 Q4	'25 Q3	'25 Q2	'25 Q1	'24 Q4	3-year (moving averages)	10-year (moving averages)
Current Account Balance	-3.35	-2.83	-3.15	-3.83	-5.00	-3.97	-3.73	-2.98
Current Receipts	16.73	16.53	16.54	16.36	16.49	16.73	16.64	17.09
Exports	11.08	10.66	10.83	10.72	10.96	10.89	10.91	11.34
Goods	7.12	6.75	6.86	6.83	7.04	6.88	7.01	7.43
Durable	4.14	3.85	3.90	3.88	3.99	3.83	3.94	4.29
Non-Durable	2.98	2.90	2.97	2.94	3.05	3.05	3.07	3.13
Services	3.96	3.92	3.97	3.89	3.92	4.01	3.91	3.91
Income Receipts	5.05	5.26	5.12	5.00	4.84	5.19	5.07	5.01
Transfer Receipts	0.60	0.60	0.60	0.64	0.68	0.66	0.66	0.74
Current payments	20.08	19.36	19.69	20.19	21.49	20.70	20.37	20.06
Imports	13.89	13.16	13.26	13.67	15.17	14.04	13.88	14.34
Goods	10.94	10.24	10.36	10.76	12.25	11.07	11.01	11.62
Durable	7.72	7.03	6.88	7.06	7.68	7.15	7.22	7.55
Non-Durable	3.22	3.21	3.48	3.70	4.57	3.92	3.78	4.06
Services	2.96	2.92	2.90	2.91	2.92	2.96	2.88	2.72
Income Payments	4.85	4.85	5.03	5.07	4.84	5.05	4.98	4.23
Transfer Payments	1.33	1.36	1.40	1.46	1.48	1.61	1.51	1.50

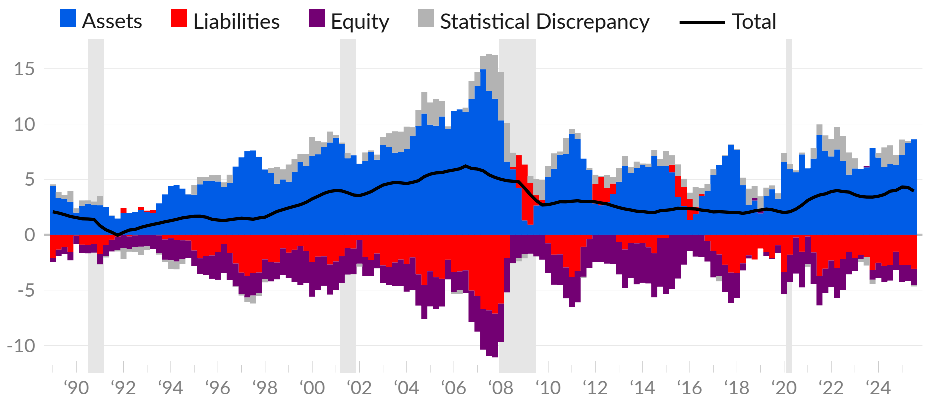
Source: Bureau of Economic Analysis

The financial account tracks cross-border changes in asset ownership. The **financial account balance** captures the difference between capital inflows and capital outflows, and offsets the current account balance. Each quarter, on balance, the US acquires foreign goods and services, and the rest of the world acquires US assets.

In the third quarter of 2025, the rest of the world acquired $1.63 trillion in US assets, equivalent to 8.6 percent of GDP (see ■). The rest of the world reduced liabilities by the equivalent of 3.1 percent of US GDP (see ■) and reduced equity in foreign businesses by the equivalent of 1.5 percent of US GDP (see ■).

Financial Account Balance

percent of GDP, one-year moving average



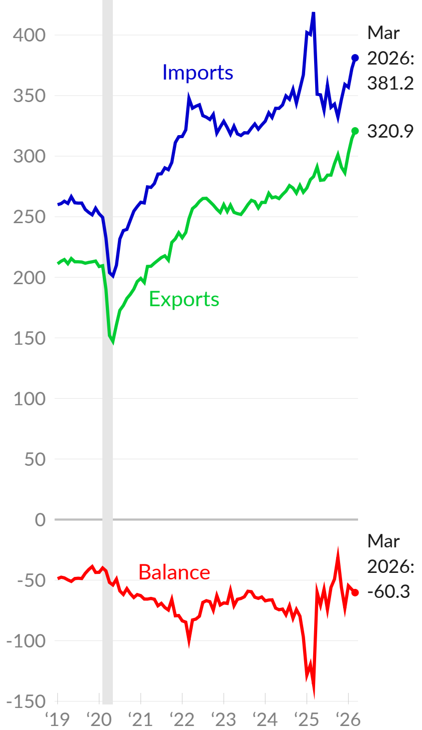
Source: Federal Reserve

International Trade

Each month, the Census Bureau reports **goods and services trade** between the US and the rest of the world. US purchases of foreign goods and services are classified as imports and foreign purchases of US goods and services are exports. The trade of goods includes consumer goods, industrial equipment, and agricultural products. Services trade includes travel and tourism, business services, and charges for the use of intellectual property, among other services.

US Imports and Exports

goods and services,
billions of US dollars, seasonally adjusted



Source: Census Bureau

US goods and services imports total $381.2 billion in March 2026, following $372.4 billion in February (see —). Imports average $370.2 billion over the latest three months of data, and $407.2 billion during the same months, one year prior. In 2019, monthly US imports averaged $259.4 billion. For additional context, imports are equivalent to $1,112 per capita, in the latest month.

The US exported $320.9 billion of goods and services in March 2026, following $314.7 billion in February (see —). The three-month average was $312.6 billion in March, and $279.2 billion one year prior. Exports were $212.8 billion per month, on average, in 2019. In the latest month, exports are equivalent to $936 per capita or $1,970 per worker.

Spending on imports exceeds payments received for exports, resulting in a trade deficit. In March, the trade deficit was $60.3 billion, following $57.8 billion in February (see —). Over the past three months, the average trade deficit is $57.6 billion, compared to $128.0 billion one year prior. In 2019, the average monthly trade deficit was $46.6 billion.

International Trade

billions of US dollars, seasonally adjusted

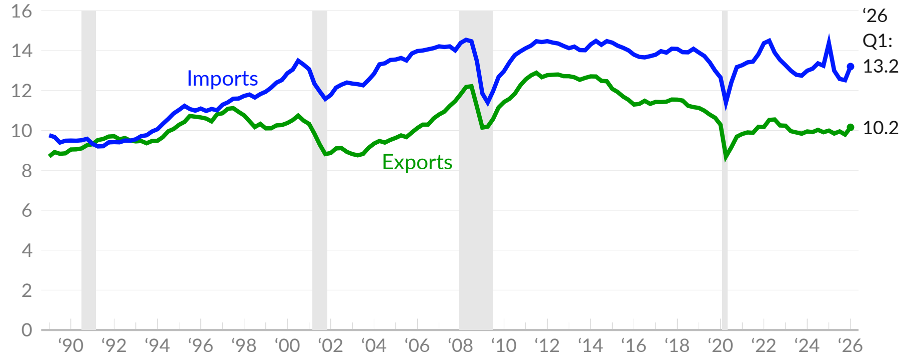
	Mar 2026	Feb 2026	Jan 2026	Mar 2025	Mar 2024	quarterly average 2026 Q1	2025 Q4	2025 Q3
Total Balance (—)	-60.3	-57.8	-54.7	-135.9	-66.3	-57.6	-53.3	-59.8
Goods Balance	-88.7	-84.6	-82.1	-162.1	-93.1	-85.2	-80.5	-88.6
Services Balance	28.4	26.8	27.5	26.2	26.9	27.6	27.1	28.8
Total Exports (—)	320.9	314.7	302.2	283.1	265.6	312.6	292.8	287.5
Goods Exports	213.5	207.0	195.4	183.9	171.5	205.3	187.9	182.3
Services Exports	107.4	107.7	106.8	99.2	94.1	107.3	104.9	105.1
Total Imports (—)	381.2	372.4	356.9	419.0	331.9	370.2	346.1	347.3
Goods Imports	302.2	291.6	277.5	346.0	264.6	290.4	268.3	271.0
Services Imports	79.0	80.9	79.4	73.0	67.3	79.7	77.8	76.3

Source: Census Bureau

Nonpetroleum goods and services imports (see —) were equivalent to 13.2 percent of GDP in the first quarter of 2026, while exports of nonpetroleum goods and services (see —) were equivalent to 10.2 percent of GDP. In 2019 Q4, nonpetroleum imports were 13 percent of GDP, and exports were 10.6 percent.

Imports and Exports, Nonpetroleum

includes goods and services, but excludes petroleum products, share of GDP



Source: Bureau of Economic Analysis

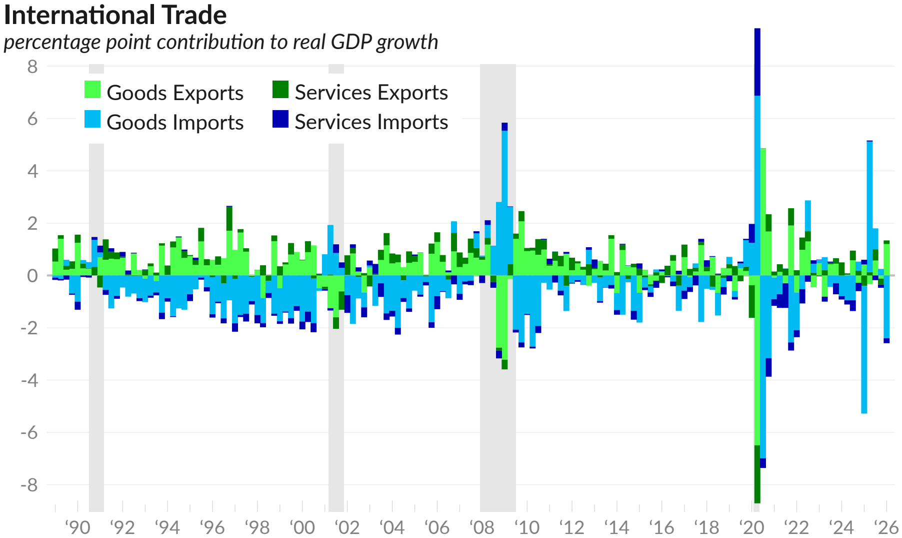
Contribution to Overall Growth

The **trade balance** (exports of goods and services minus imports of goods and services) acts as an adjustment to consumption and investment when calculating domestic production using the expenditure approach. A country with a positive trade balance, or trade surplus, produces more exports than its residents purchase in imports, therefore its trade balance is added to domestic purchases to calculate domestic production. The US runs a persistent trade deficit, which is instead subtracted from spending data to calculate domestic production.

Goods exports contributed 1.20 percentage points to GDP growth in the first quarter of 2026 while services exports contributed 0.14 percentage point. Goods imports subtracted 2.40 percentage points from GDP growth and services imports subtracted 0.19 percentage point.

International Trade

percentage point contribution to real GDP growth



Source: Bureau of Economic Analysis

Trade by Type

Many factors influence trade, including shifts in domestic and foreign preferences and incomes, fluctuations in exchange rates, and changes in trade policy. The table below shows major types of trade as a share of GDP in selected time periods. Patterns in trade by type can help explain overall trends.

In 2026 Q1, US exports of goods are equivalent to 7.1 percent of GDP while services exports total four percent of GDP. Goods imports are 10.9 percent of GDP while services imports are three percent. Imports of capital goods, excluding autos, equal 4.4 percent of GDP in 2026 Q1 and 3.6 percent of GDP one year prior.

Exports and Imports by Type

share of GDP, percent

				period averages				
	'26 Q1	'25 Q4	'25 Q1	2016	2012 –13	2005 –06	1998 –99	1989 –93
Exports of Goods & Services	11.08	10.66	10.96	11.89	13.60	10.31	10.41	9.42
Exports of Goods	7.12	6.75	7.04	7.70	9.34	7.30	7.52	6.84
Foods, Feeds, & Beverages	0.55	0.53	0.54	0.69	0.81	0.46	0.50	0.60
Industrial Supplies & Materials	2.37	2.22	2.39	2.06	2.94	1.92	1.55	1.65
Petroleum & Products	0.93	0.87	0.97	0.53	0.89	0.28	0.11	0.12
Capital Goods, Except Automotive	2.52	2.29	2.34	2.77	3.21	2.84	3.27	2.61
Automotive Vehicles, & Parts	0.48	0.48	0.57	0.80	0.90	0.77	0.79	0.67
Consumer Goods, Ex. Food & Auto	0.80	0.87	0.88	1.03	1.11	0.91	0.86	0.74
Durable Goods	0.34	0.35	0.39	0.55	0.61	0.49	0.44	0.39
Nondurable Goods	0.46	0.51	0.49	0.47	0.50	0.41	0.42	0.35
Exports of Services	3.96	3.92	3.92	4.19	4.26	3.01	2.90	2.58
Transport	0.35	0.34	0.35	0.43	0.54	0.46	0.49	0.59
Travel	0.66	0.67	0.71	1.03	0.98	0.71	0.93	0.90
Intellectual Property Charges	0.56	0.56	0.58	0.60	0.67	0.50	0.40	0.29
Other Business Services	2.30	2.26	2.15	2.00	1.92	1.19	0.92	0.60
Imports of Goods & Services	13.89	13.16	15.17	14.56	16.71	15.99	12.65	10.38
Imports of Goods	10.94	10.24	12.25	11.80	13.85	13.48	10.59	8.45
Foods, Feeds, & Beverages	0.65	0.64	0.79	0.70	0.69	0.54	0.46	0.43
Industrial Supplies & Materials	1.94	1.76	2.25	2.32	4.24	4.24	2.22	2.16
Petroleum & Products	0.69	0.64	0.80	0.85	2.49	2.15	0.65	0.87
Capital Goods, Except Automotive	4.40	3.87	3.63	3.16	3.35	3.00	3.03	2.04
Automotive Vehicles, & Parts	1.25	1.26	1.57	1.87	1.84	1.84	1.74	1.46
Consumer Goods, Ex. Food & Auto	2.10	2.15	3.49	3.11	3.17	3.20	2.47	1.83
Durable Goods	1.02	0.95	1.36	1.63	1.70	1.75	1.29	0.97
Nondurable Goods	1.08	1.20	2.13	1.48	1.47	1.46	1.18	0.86
Imports of Services	2.96	2.92	2.92	2.77	2.86	2.51	2.06	1.93
Transport	0.52	0.49	0.54	0.49	0.59	0.60	0.54	0.55
Travel	0.61	0.63	0.62	0.58	0.55	0.57	0.63	0.61
Intellectual Property Charges	0.17	0.16	0.17	0.22	0.21	0.18	0.13	0.06
Other Business Services	1.56	1.54	1.47	1.32	1.32	0.91	0.57	0.38

Source: Bureau of Economic Analysis

Import Share

Goods can be produced domestically, imported, or some combination of the two. The import share of total US demand for goods is measured as imports divided by domestic demand, where domestic demand equals US production plus imports minus exports. This measure has risen considerably over the past thirty years, as imports have replaced domestic manufacturing. The majority of the long-term increase involves consumer goods, while the decrease after 2011 comes primarily from petroleum and related products.

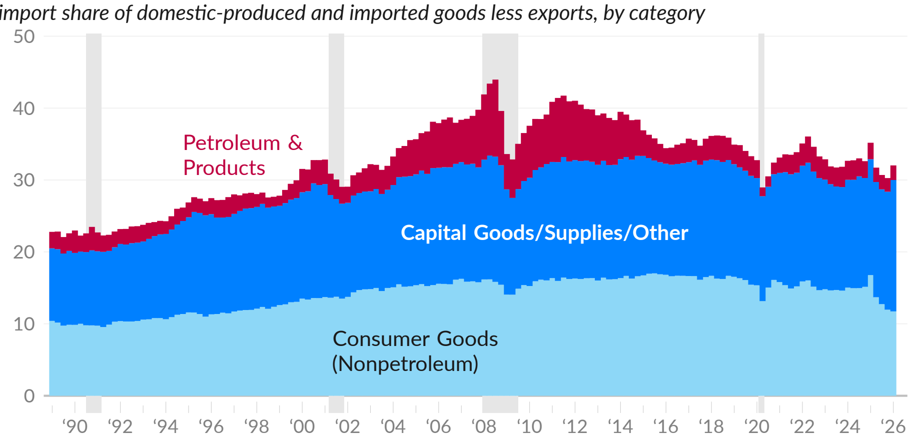
From 1989 to 2011, imports of consumer goods excluding petroleum increased by the equivalent of 5.9 percent of domestic consumption of goods, petroleum-related imports increased by the equivalent of 6.1 percent, and all other goods imports increased by the equivalent of 6.1 percent.

Since 2011, imports of consumer goods decreased by the equivalent of 4.6 percent of domestic goods demand, imports of petroleum products decreased by the equivalent of 6.3 percent, and other imports increased by the equivalent of 2.1 percent.

In 2026 Q1, the US imported nonpetroleum consumer goods equivalent to 11.7 percent of domestic consumption of goods (see ■). Petroleum-related imports claim 2.0 percent (see ■), and imports of all other goods, primarily capital goods, industrial supplies, and materials, are equivalent to 18.3 percent (see ■).

Import Share of Goods

import share of domestic-produced and imported goods less exports, by category



Source: Bureau of Economic Analysis

Trade by Partner

The US Census Bureau reports international **trade in goods by partner country**, each month. In March 2026, trade with the top 25 trading partners (see table) comprises 86 percent of total US trade in goods. The top three US trading partners are Mexico, Canada, and China. These three countries account for 34.7 percent of US goods trade in March 2026 and 34.8 percent in March 2025.

US Trade in Goods

census basis, millions of USD, not seasonally adjusted

	March 2026			March 2025		
	Imports	Exports	Total	Imports	Exports	Total
Total, All Countries	$302,285	221,393	523,679	342,602	190,974	533,577
Mexico	51,202	32,775	83,978	47,981	29,362	77,344
Canada	34,089	31,438	65,528	35,667	31,790	67,457
China	20,859	11,102	31,962	29,383	11,458	40,841
Taiwan	24,605	5,539	30,144	12,403	4,643	17,046
Vietnam	20,536	1,563	22,099	14,774	1,227	16,002
Germany	13,545	8,100	21,646	15,654	8,129	23,783
South Korea	12,853	8,181	21,034	12,135	5,804	17,940
Japan	12,582	8,113	20,696	13,458	7,290	20,749
United Kingdom	5,985	12,526	18,512	7,039	8,727	15,767
Thailand	11,877	2,311	14,188	7,066	1,846	8,912
Switzerland	4,136	9,687	13,824	18,565	4,164	22,729
India	8,364	4,346	12,711	11,190	3,768	14,958
Netherlands	2,073	9,489	11,563	4,042	8,525	12,567
France	6,515	4,414	10,929	7,797	4,324	12,122
Italy	6,514	3,998	10,513	7,229	2,914	10,144
Malaysia	6,906	2,659	9,566	5,638	2,153	7,791
Brazil	2,974	4,630	7,604	3,898	4,654	8,552
Singapore	2,648	4,944	7,593	2,951	3,477	6,428
Ireland	5,002	2,052	7,055	30,726	1,401	32,127
Hong Kong	237	6,340	6,578	243	2,184	2,428
Belgium	2,783	3,329	6,112	3,394	3,401	6,795
Australia	1,431	3,943	5,374	3,888	2,947	6,835
Spain	1,824	2,167	3,992	2,476	2,395	4,872
Indonesia	2,663	1,117	3,781	2,970	922	3,893
Chile	1,881	1,668	3,550	1,832	1,698	3,530

Source: Census Bureau

Over the year ending March 2026, nominal total trade increased among 11 of the top 25 trading partners. The largest one-year increase in total trade was with Taiwan. Monthly trade with Taiwan rose by $13.1 billion, or 76.8 percent. The largest one-year decrease is with Ireland, with monthly trade falling by $25.1 billion, which is a drop of 78.0 percent. Total trade with all countries fell 1.9 percent over the year.

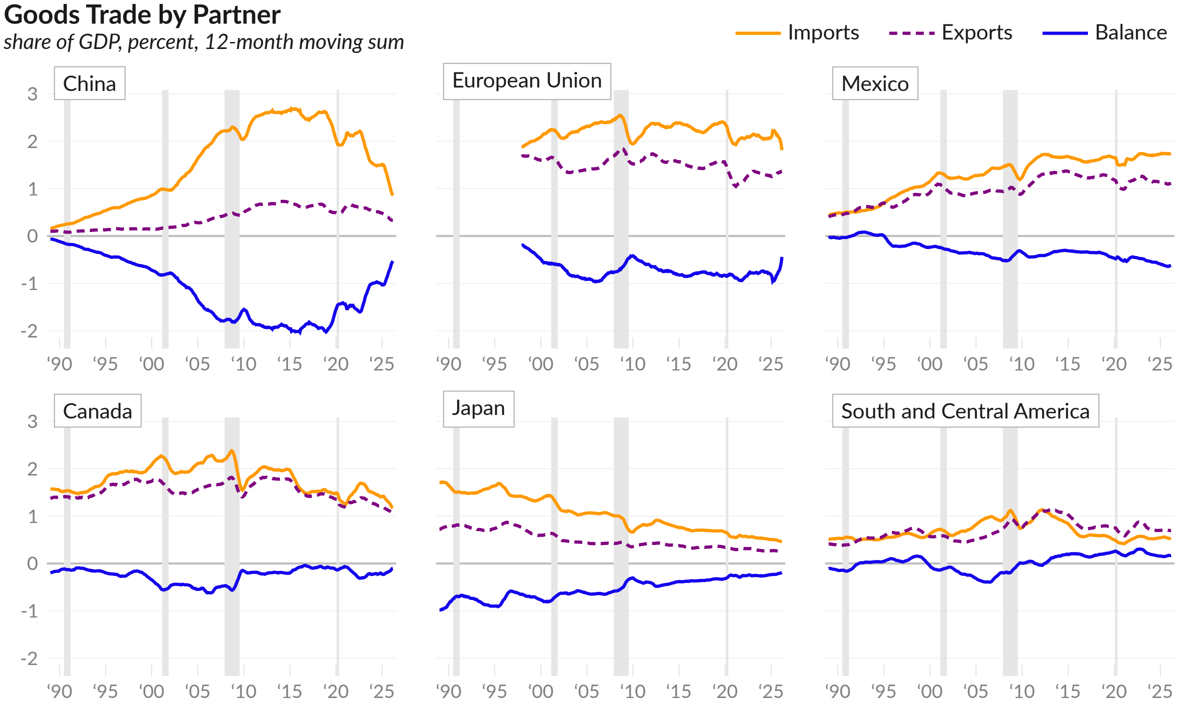
Trade follows seasonal patterns and can swing from month to month for various reasons. The next subsection sums trade in goods by partner over the trailing 12 months to smooth seasonal and short-term factors and display medium-term trends.

Imports of goods have increased from 8.4 percent of GDP in 1989 to 10.5 percent of GDP in the year ending March 2026. Goods imports from China increased by 2.5 percent of GDP from 1989 to 2015, and have since fallen by 1.8 percentage points to 0.9 percent of GDP. Goods imports from Mexico have increased by 1.3 percent of GDP since 1989. Goods imports from Japan have fallen by 1.2 percent of GDP.

Exports of goods have increased by 0.8 percent of GDP since 1989. The largest buyers of US-made goods are Mexico, Canada, and China. Exports to these three countries make up 34.5 percent of exports and are equivalent to 2.5 percent of GDP over the year ending March 2026. Exports to the European Union currently total 1.4 percent of GDP.

Goods Trade by Partner

share of GDP, percent, 12-month moving sum

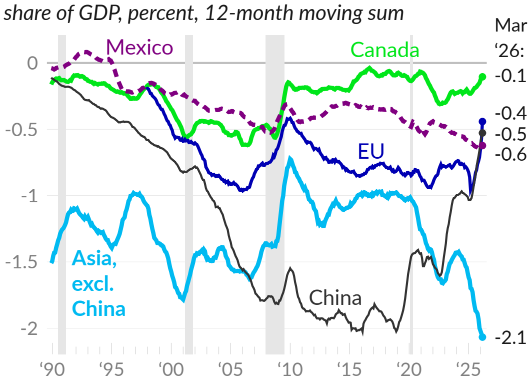


Source: Census Bureau

The trade balance, exports minus imports, has particular economic significance. Since 1989, the US goods trade deficit has increased by 1.3 percent of GDP, to 3.3 percent of GDP. In 2018, the deficit with China was two percent of GDP, but it has fallen to 0.5 percent of GDP.

Trade Balance on Goods by Partner

share of GDP, percent, 12-month moving sum



Source: Census Bureau

The US also runs a trade deficit with the European Union. In 1997, trade between the EU and US was relatively balanced. In the latest data, the goods trade deficit with the EU is 0.4 percent of GDP.

The US trade deficit with Mexico is currently 0.6 percent of GDP. In the early 1990s, the US had a trade surplus with Mexico. The US has a surplus with South and Central American countries, equivalent to 0.2 percent of GDP.

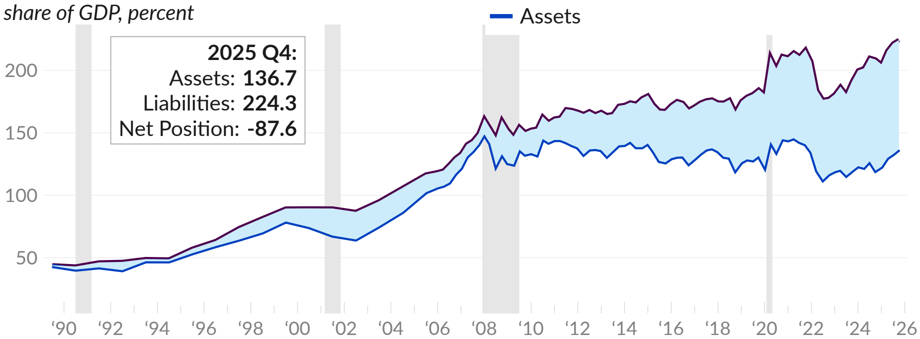
International Investment Position

The **international investment position** (IIP) offers a snapshot of US residents' foreign assets and liabilities. The Bureau of Economic Analysis reports the end of quarter value of cross-border financial positions; data are reported annually prior to 2006.

In 2025 Q4, domestic holdings of foreign assets total $43.0 trillion, or 136.7 percent of GDP (see —). These assets translate to 132.9 percent of GDP in 2025 Q3, and 128.7 percent in 2019. Domestic liabilities to the foreign sector total $70.5 trillion, or 224.3 percent of GDP, in 2025 Q4, following 221.5 percent in 2025 Q3, and 180 percent in 2019 (see —).

The overall result of these financial positions, net IIP, or holdings of foreign assets minus liabilities, identifies the US as a net debtor to the rest of the world, to the equivalent of 87.6 percent of GDP in 2025 Q4, following 88.6 percent in 2025 Q3, and 51.4 percent in 2019 (see).

International Investment
share of GDP, percent



Source: Bureau of Economic Analysis

The following table shows types of international investment relative to GDP. Direct investment is defined as having control of 10 percent or more of the voting shares of an entity. Other investment primarily includes currency, deposits, and loans. Reserve assets are the external assets of the Fed.

International Investment
share of GDP, percent

	2025 Q4	'25 Q3	'24 Q4	'23 Q4	'22 Q4	2019	2006
Net Position ( )	-87.6	-88.6	-89.0	-71.8	-60.4	-51.4	-12.9
US Assets (—)	136.7	132.9	119.8	119.7	116.8	128.7	110.3
Direct Investment	44.3	42.6	37.3	37.0	34.2	38.5	33.1
Portfolio Investment	61.1	59.7	52.9	52.9	51.7	58.0	39.1
Derivatives	6.2	6.0	7.8	7.8	9.5	8.3	8.9
Other Investment	20.7	20.6	18.8	19.3	18.7	21.7	27.6
Reserve Assets	4.4	4.0	3.1	2.7	2.6	2.3	1.5
US Liabilities (—)	224.3	221.5	208.7	191.5	177.2	180.0	123.2
Direct Investment	64.6	64.1	59.7	52.3	45.8	45.4	25.5
Portfolio Investment	121.7	119.7	111.1	101.1	91.2	96.7	58.9
Derivatives	6.3	6.0	7.7	7.8	9.2	8.2	8.4
Other Investment	31.7	31.7	30.2	30.3	30.9	29.7	30.3

Source: Bureau of Economic Analysis

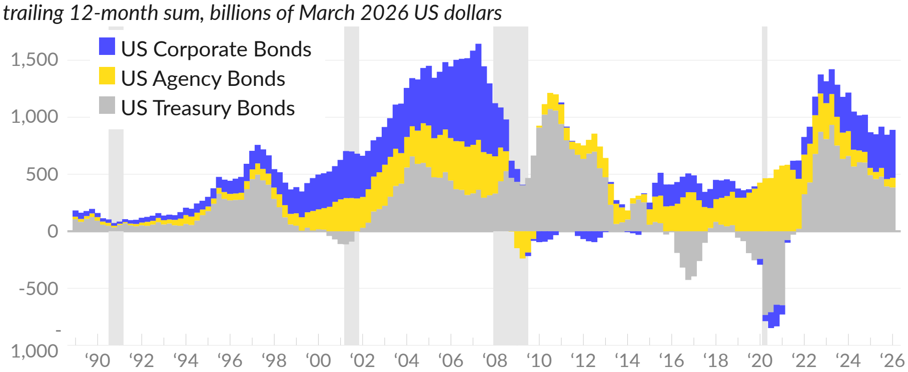
Capital Flows

The net purchases and sales of US bonds by the rest of the world give insight into overall **capital flows** and appetite for different types of debt. During the 2000s, other countries were accumulating US corporate and government bonds, as the US was borrowing from the rest of the world and running a very wide trade deficit.

Over the year ending March 2026, the rest of the world was a net buyer of $264 billion of US treasury bonds, equivalent to 0.8 percent of US GDP (see ■). Over the same period, the rest of the world was a net buyer of $95 billion of US agency bonds (see ■), and a net buyer of $435 billion of US corporate bonds (see ■).

Long-Term Bond Flows

purchases by foreigners minus sales by foreigners
trailing 12-month sum, billions of March 2026 US dollars



Source: Treasury International Capital, Setser

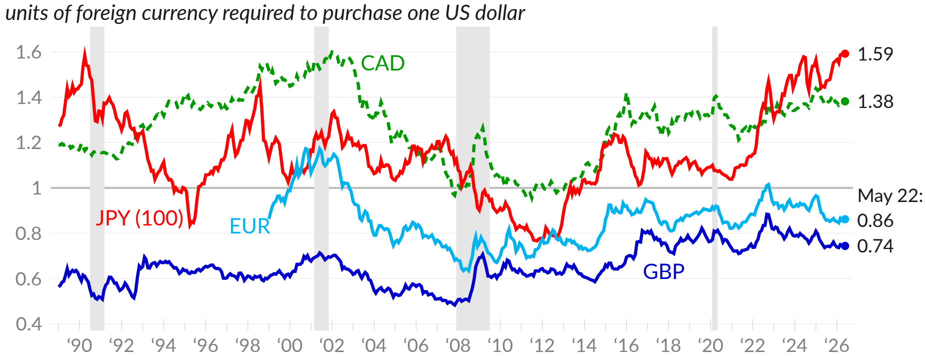
Exchange Rates

Changes in the strength or weakness of the US dollar (USD) can affect trade and financial flows. The dollar is said to be relatively strong when more units of foreign currency, for example Japanese yen (JPY), British pounds (GBP), euros (EUR), or Canadian dollars (CAD), are required to buy one USD.

As of May 22, 2026, one US dollar buys approximately: 1.38 Canadian dollars (see —), 159 Japanese yen (see —), 0.86 euros (see —), and 0.74 British pounds (see —). Over the past year, the nominal exchange rate between the US dollar and the Canadian dollar was virtually unchanged, the USD-JPY rate increased 10.8 percent, the USD-EUR rate decreased 2.2 percent, and the USD-GBP rate was virtually unchanged.

Selected Exchange Rates

units of foreign currency required to purchase one US dollar

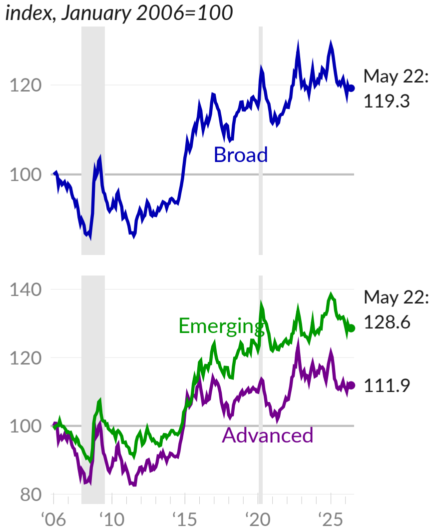


Source: Federal Reserve

The Federal Reserve **trade-weighted dollar** indices track weighted-average foreign exchange rates based on 26 currencies that are important to US trade. The weight of each currency in the index is based on the bilateral trade share of total trade in goods and services. These US dollar indices can simplify analysis of the overall role of foreign exchange rates on US trade.

Dollar Indices

trade-weighted foreign exchange rate, index, January 2006=100



Source: Federal Reserve

The **broad dollar index** (see —) summarizes foreign exchange rates between the US and trading partners by weighting foreign currencies in the index by the total amount of goods and services trade with the relevant countries.

As of May 22, 2026, the broad dollar index is 19.3 percent above its value at inception in 2006. Over the past three years, the index value has averaged 121.7, compared to an average of 117.4 over the previous three years.

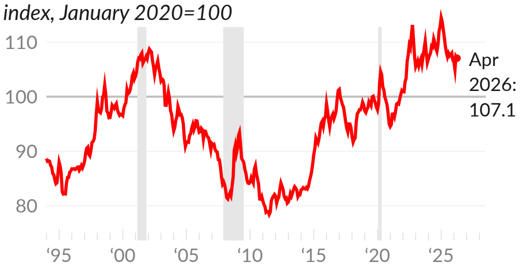
The Fed separately calculates the trade-weighted exchange rate with **advanced economies** and with **emerging markets**. Since 2006, the dollar has increased 28.6 percent against emerging market currencies (see —), and increased 11.9 percent against advanced economy currencies (see —).

Shifts in relative consumer prices between the US and trading partners complicate analysis of exchange rates. For example, the US dollar-Japanese yen exchange rate was relatively stable from 2000 to 2020, but Japan had less inflation in consumer prices over the period. At the end of the period, 100 yen bought more consumer goods in Japan than one dollar would buy in the US.

Real effective exchange rates incorporate the inflation rate in the US and in trading partners, and are again weighted by trade with each partner. The real effective exchange rate captures the basket of goods that can be purchased by a unit of currency, rather than the basket of other currencies it can buy.

USD Real Effective Exchange Rate

trade-weighted foreign exchange rate, index, January 2020=100



Source: BIS

The Bank for International Settlements (BIS) calculates **real effective exchange rates** for many countries. As of April 2026, the US dollar real effective exchange rate increased 7.1 percent since 2020, and decreased 3.4 percent over the past year. In 2019, the index average was 98.6. The average over the past three months is 106.5.

Selected Exchange Rates

units of foreign currency required to buy one US dollar, May 22, 2026

	latest	*moving average*		*period average*		*percent change*		
Currency	May 22	1-month	1-year	2019	2015	1-month	1-year	5-year
EUR	0.862	0.855	0.858	0.893	0.902	▲ 1.0	▼ -2.2	▲ 4.6
GBP	0.744	0.740	0.744	0.784	0.655	▲ 0.5	0.1	▲ 4.9
JPY	159.2	158.2	152.7	109.0	121.0	▼ -0.2	▲ 10.8	▲ 45.6
CAD	1.382	1.368	1.379	1.327	1.279	▲ 1.2	0.0	▲ 14.1
MXN	17.32	17.33	18.15	19.25	15.88	0.0	▼ -10.3	▼ -12.8
CNY	6.79	6.81	7.04	6.91	6.28	▼ -0.5	▼ -5.7	▲ 5.6
CHF	0.786	0.784	0.796	0.994	0.963	▲ 0.3	▼ -4.8	▼ -12.9
HKD	7.84	7.83	7.81	7.83	7.75	0.0	0.1	▲ 0.9
INR	95.69	95.25	89.64	70.39	64.12	▲ 2.0	▲ 11.7	▲ 30.7
AUD	1.402	1.392	1.488	1.439	1.332	▲ 0.4	▼ -9.3	▲ 9.0
NZD	1.708	1.695	1.703	1.518	1.435	▲ 0.9	▲ 1.9	▲ 23.7
BRL	5.02	4.97	5.34	3.94	3.34	▲ 1.1	▼ -11.2	▼ -4.4
KRW	1517.3	1483.2	1433.5	1165.3	1131.0	▲ 2.5	▲ 10.6	▲ 34.7
MYR	3.96	3.95	4.11	4.14	3.91	▲ 0.4	▼ -7.1	▼ -3.9
DKK	6.44	6.39	6.41	6.67	6.73	▲ 0.9	▼ -2.1	▲ 5.1
NOK	9.27	9.26	9.90	8.80	8.07	▼ -0.3	▼ -8.5	▲ 12.5
SEK	9.35	9.29	9.37	9.46	8.43	▲ 1.7	▼ -2.1	▲ 12.2
ZAR	16.45	16.55	17.05	14.44	12.78	▼ -0.1	▼ -8.1	▲ 16.5
SGD	1.280	1.275	1.284	1.364	1.375	▲ 0.3	▼ -0.6	▼ -4.0
TWD	31.45	31.53	30.84	30.90	31.75	-0.1	▲ 4.3	▲ 12.5

Source: Federal Reserve. Percent change as of May 22, 2026. ▲ = stronger USD.

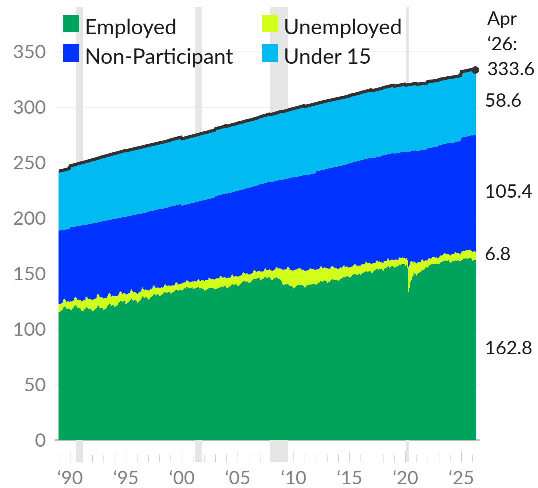
Labor Markets

Labor is the primary source of income for US households and essential to producing goods and services. When household members provide labor to others outside the household, this is considered *employment*. As of April 2026, 162.8 million people are employed (including self-employment).

The number of people who are employed divided by the total population is the employment rate, which is 48.8 percent as of April 2026. Note that these values are not seasonally adjusted and include children, while BLS published values refer to those 16 or older.

Labor Force Status of Population

millions of people, not seasonally adjusted



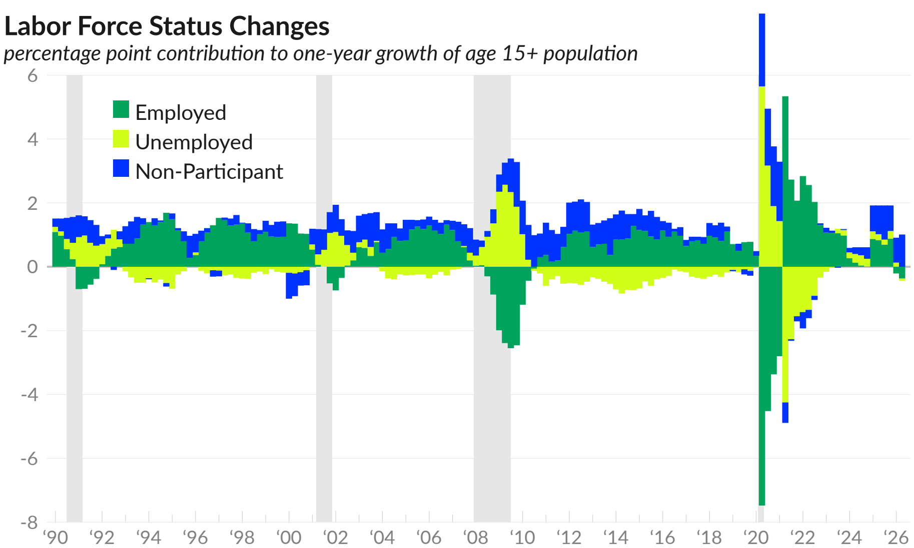
Source: Author's Calculations from CPS

When a member of a household is not employed but looked for a job during the past four weeks or is on temporary layoff, they are considered **unemployed**. As of April 2026, there are 6.8 million unemployed people. The combined group of employed and unemployed people is the labor force. The unemployment rate, unemployed people as a share of the labor force, is currently 4.0 percent. The labor force as a share of the population is the labor force participation rate, currently 50.8 percent.

People who are neither employed nor unemployed are *outside of the labor force*. Nonparticipants usually comprise about half of the population, and total 164.0 million in April 2026. The category includes children (58.6 million), students (15.8 million), unpaid caregivers (11.4 million), those unable to work due to disability or illness (13.9 million), those who want a job but have given up looking (6 million), and retirees and the elderly (56.6 million).

Labor Force Status Changes

percentage point contribution to one-year growth of age 15+ population



Source: Author's Calculations from CPS

The labor force status of the US population varies by age, sex, and over time. Employment is the main source of income in the economy and is particularly important to overall levels of economic activity.

Labor Force Status

April 2026, thousands of people, not seasonally adjusted

	Total	Men			Women		
Age group:	16+	16–29	30–59	60+	16–29	30–59	60+
Population	274,955	31,645	61,912	39,113	31,238	64,855	46,191
Employed	162,781	19,617	53,037	12,327	18,256	48,390	11,153
Multiple Jobs	8,393	762	2,651	545	983	2,915	537
Full-Time	139,333	16,052	51,680	9,593	12,347	41,967	7,694
Part-Time	30,215	5,106	3,176	3,106	7,133	7,942	3,754
Economic Reasons	4,753	959	1,299	252	913	1,117	214
Unemployed	6,768	1,540	1,819	372	1,223	1,519	295
Not in Labor Force	105,406	10,488	7,056	26,415	11,759	14,946	34,743
Discouraged	5,962	1,336	835	588	1,206	1,346	651
Disabled/Ill	13,908	970	3,302	2,425	711	3,671	2,830
Family/Care	11,430	335	733	84	2,078	7,418	782
School	15,760	7,391	433	41	7,381	477	37
Retirement	56,642	111	1,305	23,159	145	1,667	30,256

Source: Author's Calculations from CPS

Changes in labor force status can highlight both structural and cyclical trends in the economy. The following table presents the net seven-year change in labor force status, in number of people, from April 2019 to April 2026.

Labor Force Changes

Change from April 2019 to April 2026, thousands of people

	Total	Men			Women		
Age group:	16+	16–29	30–59	60+	16–29	30–59	60+
Population	16,262	1,171	612	5,773	992	1,189	6,524
Employed	6,071	634	638	746	480	2,547	1,027
Multiple Jobs	615	-37	254	41	-111	376	92
Full-Time	5,847	643	757	306	133	3,059	949
Part-Time	1,605	218	273	488	613	-111	124
Economic Reasons	264	121	122	-16	168	-103	-27
Unemployed	1,381	227	392	48	267	401	47
Not in Labor Force	8,810	310	-418	4,979	246	-1,759	5,451
Discouraged	1,024	276	33	39	317	294	65
Disabled/Ill	-839	80	-527	304	122	-828	10
Family/Care	-1,187	-7	56	-10	-304	-842	-80
School	32	2	42	11	104	-115	-10
Retirement	9,636	12	-84	4,607	-1	-275	5,378

Source: Author's Calculations from CPS

The next table provides the net one-year change in labor force status, in number of people. The table summarizes more recent changes in labor force status.

Labor Force Changes

Change from April 2025 to April 2026, thousands of people

	Total	Men			Women		
Age group:	16+	16–29	30–59	60+	16–29	30–59	60+
Population	1,759	621	-2,112	902	522	-165	1,992
Employed	-1,286	389	-1,879	-217	318	-15	117
Multiple Jobs	-442	-64	-280	3	-156	-36	91
Full-Time	-1,073	427	-1,528	-512	-14	442	111
Part-Time	-27	-106	-237	217	447	-378	30
Economic Reasons	267	45	10	30	180	56	-54
Unemployed	186	-68	114	-78	115	80	24
Not in Labor Force	2,860	299	-347	1,196	90	-230	1,851
Discouraged	433	138	-63	61	126	187	-15
Disabled/Ill	373	135	-111	223	79	-85	132
Family/Care	-359	-40	-22	-4	-14	-268	-11
School	55	51	-2	35	-19	-28	18
Retirement	2,333	25	-129	895	-14	-96	1,652

Source: Author's Calculations from CPS

Finally, long-term changes in labor force status can be summarized by comparing the tight labor market of 2000 with the most recent data. The following table presents the net change in labor force status, in number of people, from April 2001 to April 2026.

Labor Force Changes

Change from April 2001 to April 2026, thousands of people

	Total	Men			Women		
Age group:	16+	16–29	30–59	60+	16–29	30–59	60+
Population	60,429	5,132	4,743	19,805	4,765	4,991	20,995
Employed	25,759	1,416	3,417	6,993	2,090	4,903	6,940
Multiple Jobs	1,053	-74	-198	369	99	509	348
Full-Time	21,229	1,046	2,462	5,765	1,012	5,623	5,321
Part-Time	5,294	375	1,099	1,457	1,054	-507	1,817
Economic Reasons	1,590	345	309	155	428	233	121
Unemployed	763	4	144	229	-24	213	198
Not in Labor Force	33,907	3,712	1,182	12,583	2,699	-125	13,856
Discouraged	1,472	279	217	316	74	279	307
Disabled/Ill	4,059	526	147	1,460	283	339	1,304
Family/Care	-941	142	396	69	-654	-736	-159
School	5,779	2,584	182	38	2,886	65	24
Retirement	23,054	83	101	10,628	104	-122	12,261

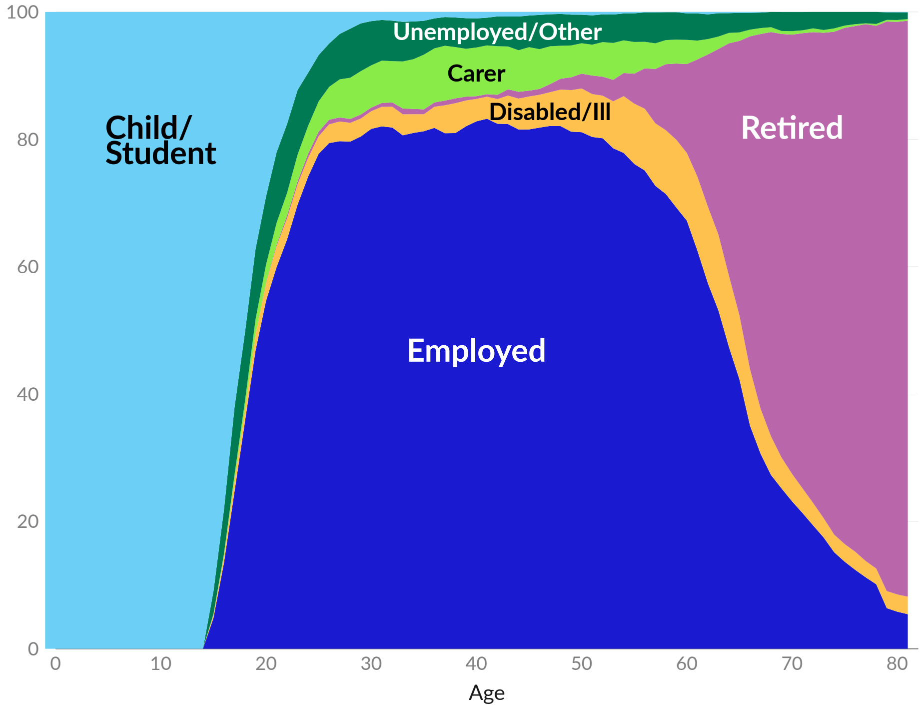
Source: Author's Calculations from CPS

Labor Force Status and Age

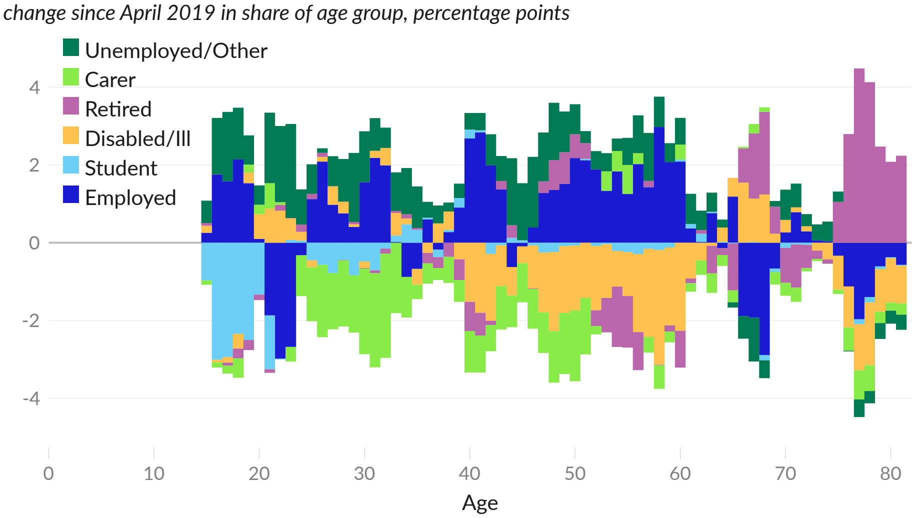
There is a strong relationship between employment and age. Children are not permitted to work, and many young people attend school full time. During ages 25 to 54, around 80 percent of the population is employed. The remaining 20 percent include caregivers and those unable to work due to disability or illness. Retirement becomes more likely as workers reach their 60s and 70s; less than 10 percent of people continue to work into their 80s.

Labor Force Status, by Age

share of same-age population, percent, April 2026



change since April 2019 in share of age group, percentage points



Source: Author's Calculations from CPS, Bruenig

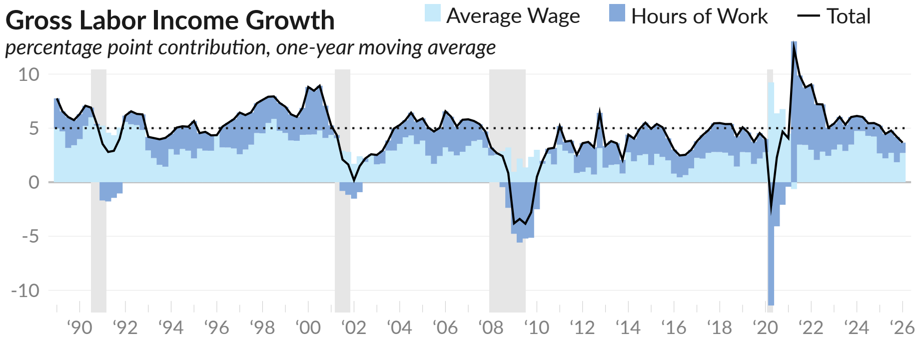
Gross Labor Income

Businesses do not usually cut wages in response to an economic downturn, and will instead typically employ fewer workers and/or cut hours. As a result, wage data give only a partial picture of the labor income received by households.

Gross labor income (compensation of employees in the national accounts), which captures both the amount of employment and the rate of compensation, increased at an average annualized rate of 3.7 percent over the year ending 2026 Q1. Changes in wages contributed 2.7 percentage points, and changes in total hours worked contributed one percentage point.

Gross Labor Income Growth

percentage point contribution, one-year moving average



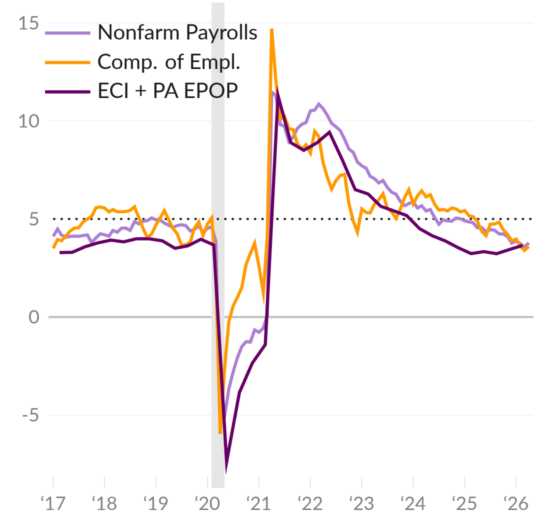
Source: BLS, BEA, Author's Calculations

Historically, the US economy can sustain gross labor income of at least five percent. For example, assuming a stable labor share of income, this could be inflation of two percent and real output growth of three percent. Gross labor income growth of under five percent may reduce overall spending in the economy.

Gross labor income has the added benefit that it can be calculated using multiple independent data sources: timely measures such as nonfarm payrolls and average earnings, compensation of employees from BEA, or more comprehensive measures that reduce composition effects, such as the employment cost index combined with the prime-age employment rate.

Gross Labor Income Growth

one-year growth, percent



Source: BLS, BEA, Author's Calculations

Using the nonfarm payrolls approach (see —), the one-year growth rate of gross labor income is 3.8 percent in April 2026, following 4.5 percent one year prior, in April 2025.

The monthly data on compensation of employees from BEA (see —) shows one-year gross labor income growth of 3.6 percent in April 2026 and 4.9 percent in April 2025.

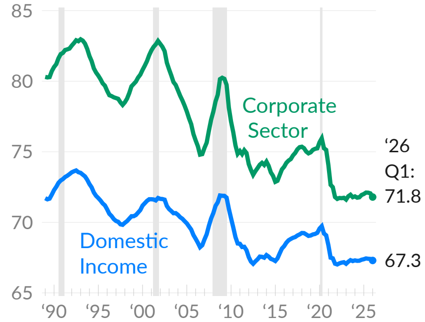
Calculating gross labor income from the employment cost index for private industries and the prime age employment rate (see —), one-year growth is 3.6 percent in 2026 Q1, following 3.2 percent one year prior.

Labor Share of Income

The **labor share** measures the portion of available income that is paid to workers. Labor income is measured in the national accounts as employee compensation, and net income is measured as employee compensation plus business profits. Net income, or income after depreciation, is used instead of gross income because depreciation expenses are not available to labor or capital.

Labor Share of Net Income

percent, one-year moving average



Source: Bureau of Economic Analysis

Over the year ending 2026 Q1, labor's share is 67.3 percent of net domestic income (see —). Labor's share decreased 0.1 percentage point over the past year. For context, one percent of net domestic income translates to $240 billion per year, which is $1,520 per worker.

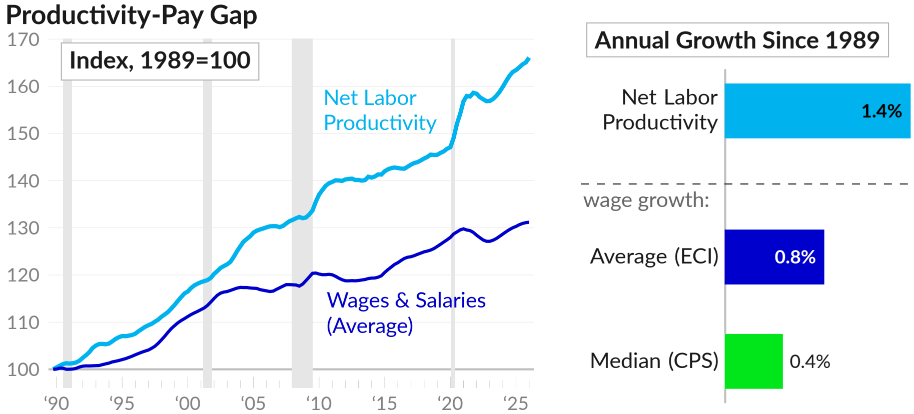
Labor's share in the corporate sector is 71.8 percent in 2026 Q1 (see —). The corporate sector has well-defined accounting, which is useful for this analysis. The corporate labor share is currently 11.2 percentage points below its 30-year high of 83 percent in 1993 Q1.

Productivity-Pay Gap

When analyzing the fall in labor share of income, it is useful to consider the **gap between labor productivity and pay**. Long-term output growth is driven by productivity growth and population growth. Since 1989, annualized net output growth is 2.3 percent, net productivity growth is 1.4 percent, and population growth is 0.9 percent.

While the US has moderate labor productivity growth over the past few decades, wages have not kept pace. The average wage has risen by 0.8 percent per year since 1989, and the median wage has increased by 0.4 percent per year.

Productivity-Pay Gap



Source: BEA, BLS, Author

Data notes: Net labor productivity is real net domestic product divided by total hours worked from the CPS. Average wages and salaries is from the ECI, and covers all civilian workers. Median usual weekly earnings from the CPS cover full-time civilian wage and salary workers. Average wages are deflated using the PCE price index and median wages are deflated with the CPI.

More complete analysis finds that the productivity-pay gap emerged around 1979; between World War II and 1979, employee compensation kept pace with productivity growth. Researchers argue that the post-1979 gap is tied to policies that weaken unions and reduce bargaining power for the typical worker.

Employment

Employment is critical to production and as a source of income. This subsection covers payrolls and employment rates for different groups and places. Related topics, such as work arrangements, hours worked, and wages, are covered in later subsections.

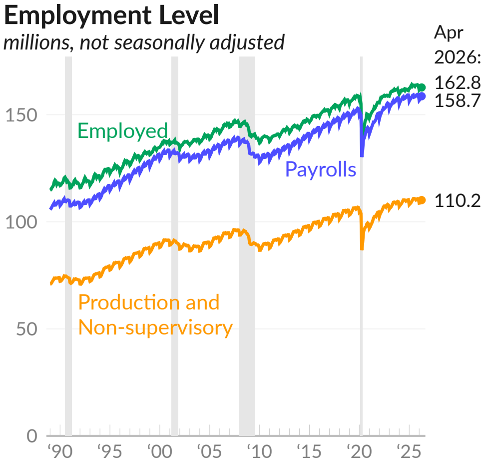
Overview

Two primary sources of employment data are households and employers. Households report activities, including employment and self-employment, while employers report payrolls.

In April 2026, establishments report 158.7 million **nonfarm payroll employees** (see —). The pre-COVID peak was 152.3 million in February 2020. Households report 162.8 million employed people, including the self-employed but not including armed forces, in the latest month, compared to a pre-COVID peak of 158.8 million (see —).

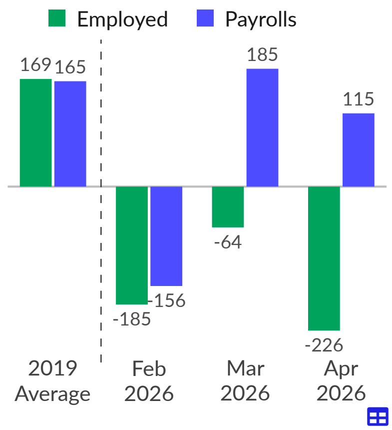
Private production and non-supervisory workers are those at or below the working supervisor level, whether engaged in production or other activities. In April 2026, this group totals 110.2 million, compared to a pre-COVID peak of 106.5 million (see —). Production and non-supervisory workers comprise 81.6 percent of private nonfarm payrolls in April 2026.

Employment Level
millions, not seasonally adjusted



Source: Bureau of Labor Statistics

Monthly Change
thousands, seasonally adjusted



In April 2026, seasonally adjusted civilian employment decreased by 226,000 (see ■), far below the 2019 average increase of 169,000 jobs per month. The US added a net total of 115,000 nonfarm payroll jobs in April 2026 (see ■), compared to a monthly average of 165,417 in 2019. The average of both surveys over the past three months shows a decrease of 55,200 employees per month.

Employment Level
millions

	seasonally adjusted		*not seasonally adjusted*				
	Apr 2026	Mar 2026	Apr 2026	Mar 2026	2019 Avg.	2017 Avg.	2000 Avg.
Employed	162.6	162.8	162.8	162.8	157.5	153.3	136.9
Nonfarm Payrolls	158.7	158.6	158.7	157.8	150.9	146.6	132.0
Private Nonfarm Payrolls	135.4	135.3	135.0	134.1	128.3	124.3	111.2
Production & Non-superv.	110.6	110.4	110.2	109.3	105.6	102.4	90.5

Source: Bureau of Labor Statistics

Payroll Employment

The Current Employment Statistics Program surveys around 130,000 businesses and government agencies each month. Payroll data from this survey provide insight into the overall health of the economy by indicating the pace of job growth.

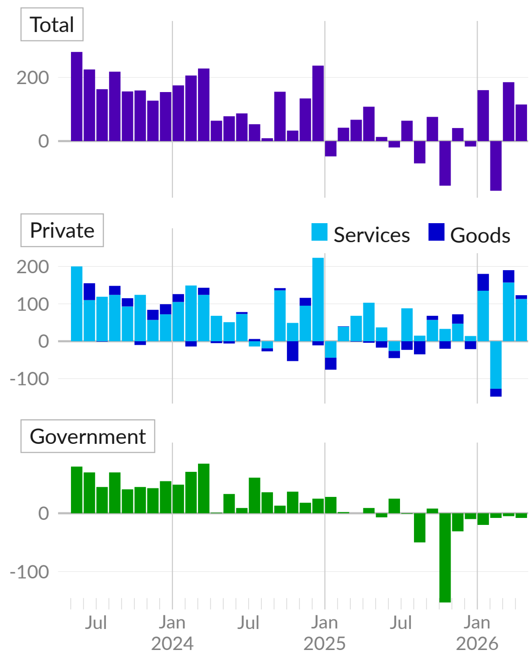
Nonfarm payrolls increased by 115,000 in April 2026, following 185,000 jobs added in March, and 156,000 lost in February (see ■). Average payroll growth was 48,000 over these three months, in line with the average of 61,300 during the previous three months.

To keep pace with population growth, the US needs to add around 80,000 jobs per month. Over the past three years, the US added an average of 93,400 jobs per month.

Over the past three months, private service-providing industries, which make up 71.8 percent of payroll employment, added an average of 47,700 jobs per month. Private goods-producing industries added 7,300 jobs per month, and the government lost 7,000 jobs per month.

Nonfarm Payroll Growth

one-month change, in thousands, seasonally adjusted



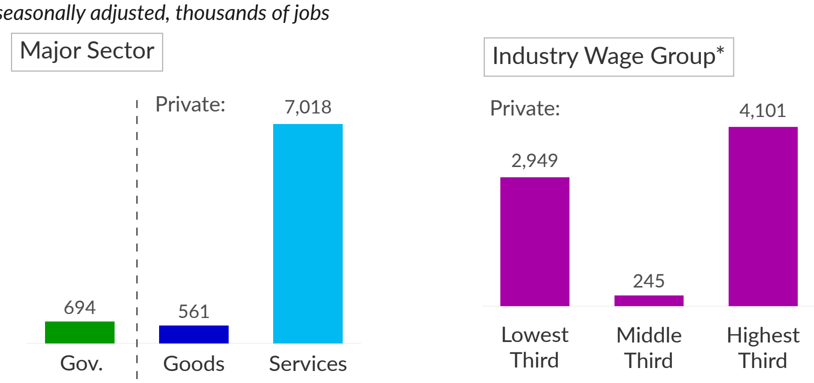
Source: Bureau of Labor Statistics

Over the seven years ending April 2026, nonfarm payrolls increased by a total of 8,273,000. By sector, combined government payrolls rose by 694,000 (see ■), and private payrolls increased by a total of 7,579,000 over the seven-year period. Private goods-producing industries added 561,000 jobs (see ■), and private service-providing industries added seven million jobs (see ■).

Dividing the private industries into three wage groups, the lowest-wage industries added 2,949,000 jobs since April 2019, the middle-wage industries gained 245,000 jobs, and the highest-wage industries added 4.10 million jobs (see ■).

Six-Year Change in Payrolls (April 2019 to April 2026)

not seasonally adjusted, thousands of jobs



*Wage groups are derived from 2019 average hourly earnings by 3-digit NAICS industry. Private industries without wage information added 294,100 jobs over the period.

Source: Bureau of Labor Statistics, Zipperer

The establishment survey provides reliable industry-level estimates of payroll employment. Household surveys have a higher potential to misclassify industries and are considered less reliable for industry-level estimates of payroll employment.

Over the seven years ending April 2026, the industry groups with the largest increase in payrolls were health care (+2,238,900), professional and technical services (+1,327,300), social assistance (+1,235,600), and transportation and warehousing (+947,600). The private industry groups with the least job growth were administrative and support (-286,800), manufacturing (-182,000), and accommodation (-150,500).

Nonfarm Payrolls by Industry Group

in thousands

	seasonally adjusted				*not seas. adjusted*	
	April 2026	1-month change	Feb '26–Apr '26 average	Nov '25–Jan '26 average	April 2026	7-year change
Total nonfarm	158,736	115	48	61	158,695	8,273
Total Private	135,428	123	55	82	135,049	7,579
Goods-Producing	21,523	10	7	16	21,401	561
Mining & Logging	606	3	1	-1	603	-127
Construction	8,321	9	1	25	8,248	870
Manufacturing	12,596	-2	5	-7	12,550	-182
Private Service-Providing	113,905	113	48	65	113,648	7,018
Wholesale Trade	6,066	6	7	-3	6,054	179
Retail Trade	15,466	22	13	-4	15,349	-60
Transportation & Warehousing	6,584	30	2	-14	6,486	948
Information	2,773	-13	-14	-13	2,762	-71
Financial Activities	9,119	-11	-9	-12	9,073	393
Real Estate & Rental & Leasing	2,436	-5	0	-3	2,414	124
Professional & Technical Services	10,817	12	9	12	10,848	1,327
Management	2,612	-4	-3	-2	2,606	106
Administrative & Support	8,491	-1	5	13	8,502	-287
Educational Services	4,025	-8	-9	2	4,186	285
Health Care	18,446	37	28	49	18,410	2,239
Social Assistance	5,362	17	10	20	5,366	1,236
Arts, Entertainment, & Recreation	2,703	12	11	-10	2,635	264
Accommodation	1,919	-15	-4	2	1,871	-150
Food Services & Drinking Places	12,356	17	-3	13	12,346	329
Other Services	6,032	10	2	9	6,028	146
Utilities & Waste Management	1,133	2	2	2	1,127	135
Government	23,308	-8	-7	-20	23,646	694

Source: Bureau of Labor Statistics

Summarizing employment changes by grouping industries can hide changes within these industry groups. Additionally, industry groups can be vague or overly broad. The government and business chartbook sections contain more information on industry-level employment trends.

Employment Rates

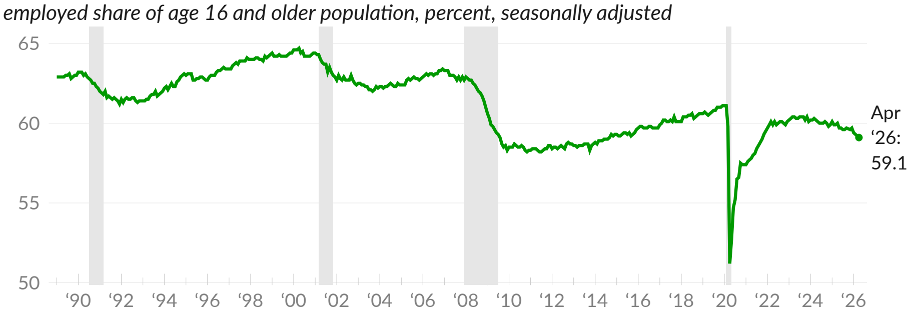
The **employment rate** is the share of a group that is employed. Employment rates can provide useful insight into macroeconomic conditions. A high employment rate means available labor is being used in production. All else equal, higher employment increases both supply (more labor used for production) and demand (higher income).

Economists are interested in both the overall employment rate and in the employment rates for individual groups of people. The overall employment rate provides insight into the overall utilization of labor of a society and is affected by demographic and macroeconomic factors. Employment rates for individual groups can tell us about macroeconomic conditions and even tell us about differences in local economic conditions.

As of April 2026, the Bureau of Labor Statistics reports an overall (age 16 and older) employment rate of 59.1 percent (see —), a one-year decrease of 0.9 percentage point, and a 1.7 percentage point decrease since 2019.

Employment Rate, Age 16 and Older

employed share of age 16 and older population, percent, seasonally adjusted



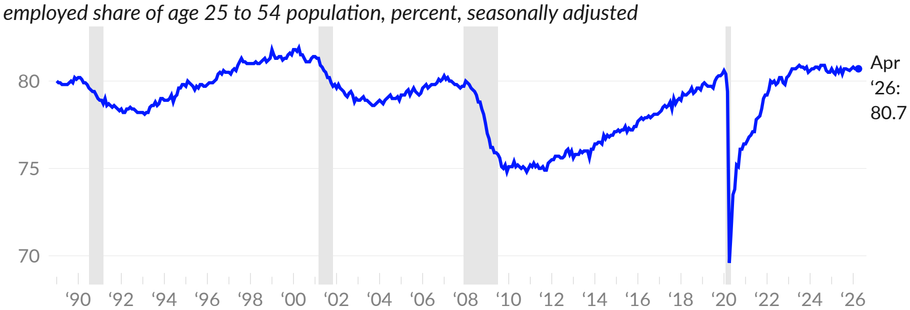
Source: Bureau of Labor Statistics

As discussed in the household section, population aging reduces the US employment rate. To examine macroeconomic conditions separate from demographic developments, BLS reports the employment rate for a narrower age group, specifically, those age 25 to 54. This group has the highest employment rate and is sometimes called the "prime" age for employment.

The **age 25 to 54 employment rate** is an important measure of labor market utilization. In a tight labor market, the age group is employed at a very high rate. In April 2026, 80.7 percent of 25- to 54-year-olds were employed (see —), compared to 80.7 percent in March 2026. Over the past year, the age 25 to 54 employment rate was virtually unchanged. The April 2026 rate is 0.7 percentage point (equivalent to 960,000 workers) below the average rate of 81.4 during the tight labor market of 1999–2000.

Employment Rate, Age 25 to 54

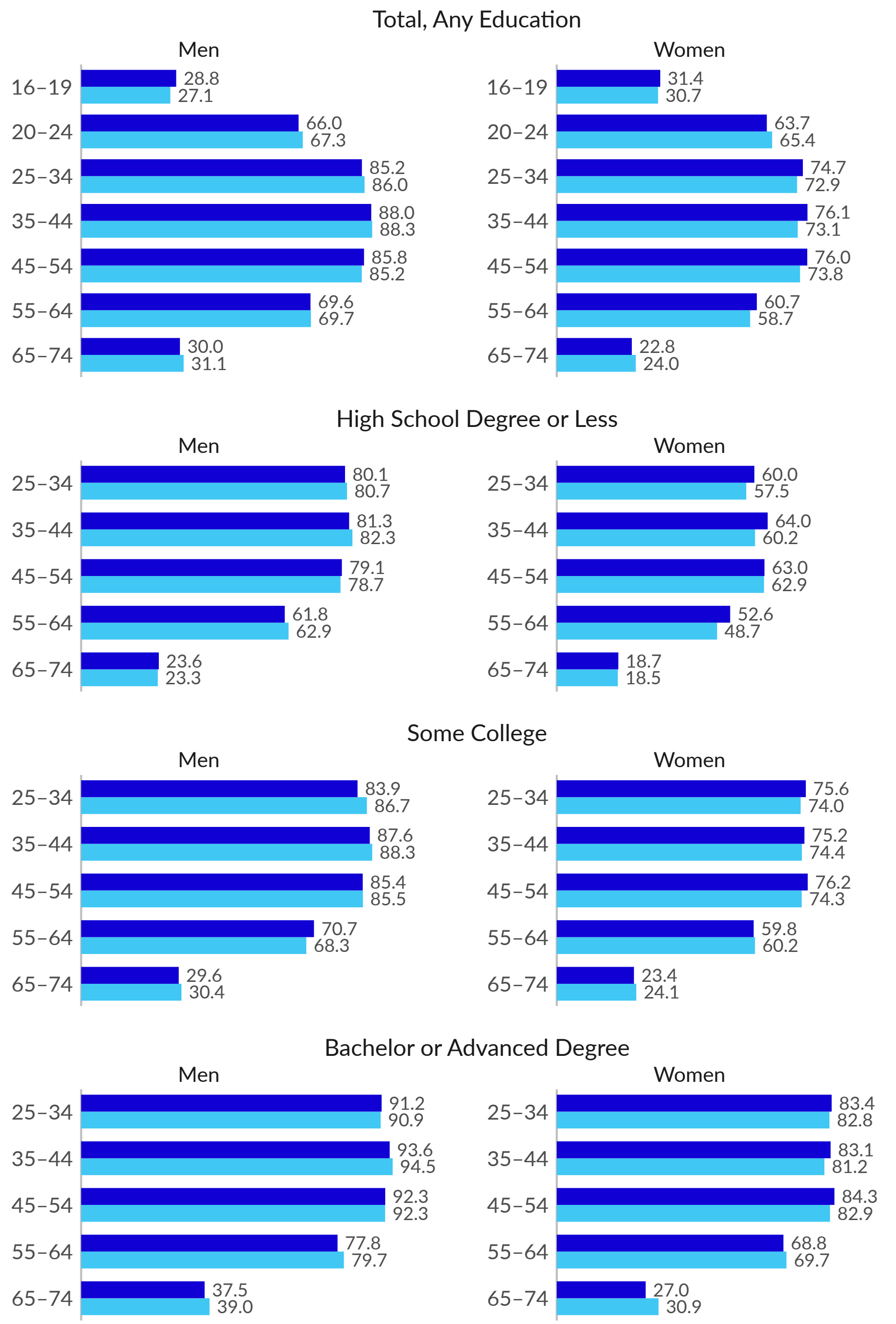
employed share of age 25 to 54 population, percent, seasonally adjusted



Source: Bureau of Labor Statistics

Employment rates vary over time, but also by age, gender, and education, among other factors. Over the three months ending April 2026, the employment rate for most subgroups is about the same as it was before the pandemic. At a given point in time, employment rates tend to increase with education and tend to peak during ages 25 to 54. Within most age groups, employment rates are higher for men, though the gap has narrowed over the long run.

Employment Rates April 2026 April 2019
employed share of age group, percent, three-month average



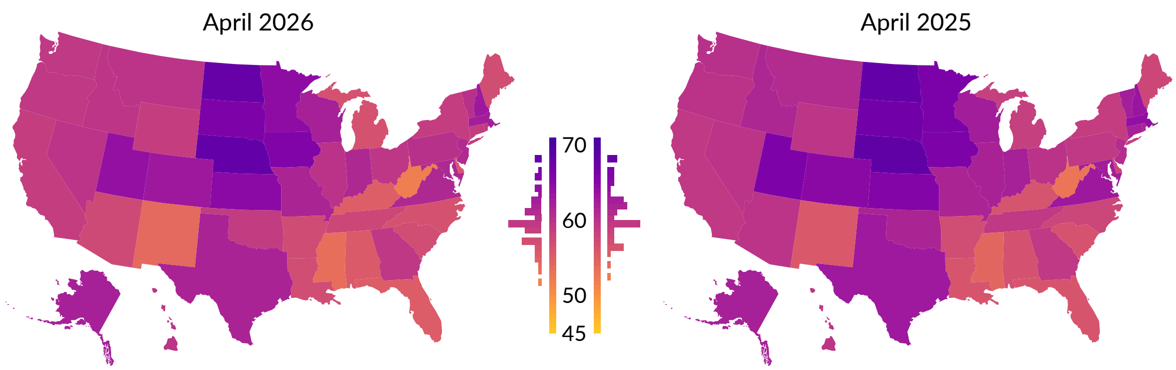
Source: Author's Calculations from CPS

Next, we examine how employment rates vary across states. In April 2026, the age 16 and older employment rate is below 60 percent in 30 states. One year prior, in April 2025, the employment rate was below 60 percent in 24 states. The rate is above 65 percent in five states, in the latest month, and in eight states in April 2025.

The states with the highest employment rates in April 2026 are Nebraska (67.9 percent), North Dakota (67.7 percent), and the District of Columbia (66.2 percent). The states with the lowest employment rates are West Virginia (51.6 percent), Mississippi (53.3 percent), and New Mexico (53.8 percent).

Employment Rate by State

employed share of age 16+ population, percent, not seasonally adjusted



Source: Bureau of Labor Statistics

Employment Rate and One-Year Change

age 16 and older employment rate, percent, not seasonally adjusted, as of April 2026 and one-year change, percentage points

Nebraska	67.9	(-0.3)	Indiana	61.1	(-0.8)	California	58.5	(-0.6)
North Dakota	67.7	(-0.1)	New Jersey	60.8	(+0.2)	Wyoming	58.5	(-1.0)
Distr. of Columbia	66.2	(-1.9)	Pennsylvania	60.1	(+1.0)	Tennessee	57.5	(-1.6)
South Dakota	65.8	(-1.0)	Vermont	60.0	(-2.2)	Arizona	57.2	(-2.5)
Iowa	65.5	(-0.3)	Illinois	59.8	(-1.9)	Arkansas	57.0	(+0.2)
Kansas	64.5	(-0.8)	Nevada	59.7	(unch.)	South Carolina	56.9	(+0.7)
Minnesota	64.3	(-1.8)	Montana	59.7	(-1.0)	Maine	56.9	(-0.6)
Utah	63.7	(-2.1)	Hawaii	59.6	(+0.1)	Louisiana	56.8	(+0.8)
Colorado	62.9	(-1.7)	Idaho	59.5	(-1.7)	North Carolina	56.4	(-1.2)
New Hampshire	62.9	(-0.3)	Ohio	59.4	(-0.4)	Michigan	56.3	(-2.1)
Massachusetts	62.2	(-1.7)	Rhode Island	59.3	(-2.1)	Delaware	55.8	(-1.8)
Wisconsin	62.0	(-0.4)	Georgia	59.3	(+0.2)	Alabama	55.5	(-0.9)
Alaska	62.0	(unch.)	Oregon	59.1	(-0.7)	Florida	55.0	(-1.0)
Texas	61.6	(-1.1)	Washington	59.1	(-1.0)	Kentucky	54.9	(-1.2)
Missouri	61.4	(-0.1)	Oklahoma	58.7	(-2.8)	New Mexico	53.8	(-1.8)
Virginia	61.1	(-1.7)	Connecticut	58.6	(-3.3)	Mississippi	53.3	(-0.8)
Maryland	61.1	(-1.3)	New York	58.6	(unch.)	West Virginia	51.6	(-0.9)

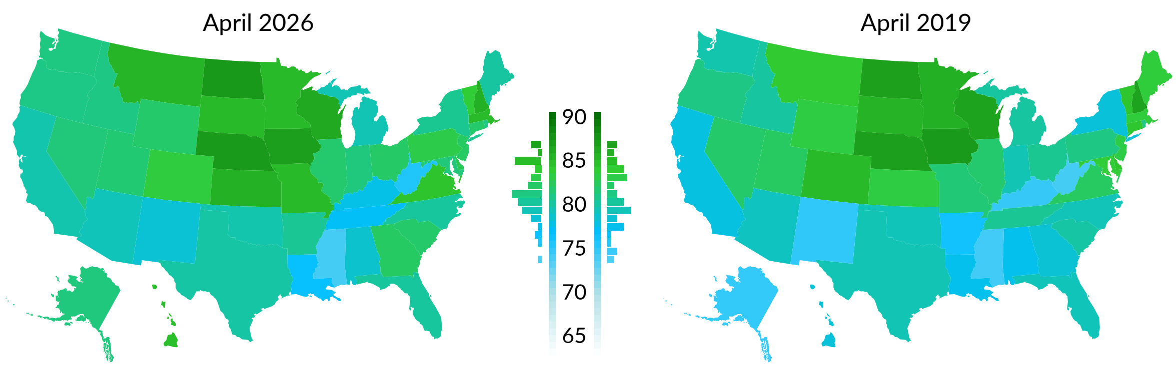
Source: Bureau of Labor Statistics

A tight local labor market will employ those ages 25 to 54 at a very high rate, barring any local labor supply constraints, for example availability or cost of child care or high rates of disability. In April 2026, the states with the highest employment rates for 25- to 54-year-olds are North Dakota (87.0 percent), Nebraska (86.9 percent), and Iowa (86.5 percent).

The age 25 to 54 employment rate is higher in April 2026 than it was in April 2019 in 30 states, and lower in 21 states. Comparing the latest three months to the previous three months, the seasonally adjusted age 25 to 54 employment rate increased in 27 states, decreased in 23 states, and was unchanged in one state.

Age 25 to 54 Employment Rate by State

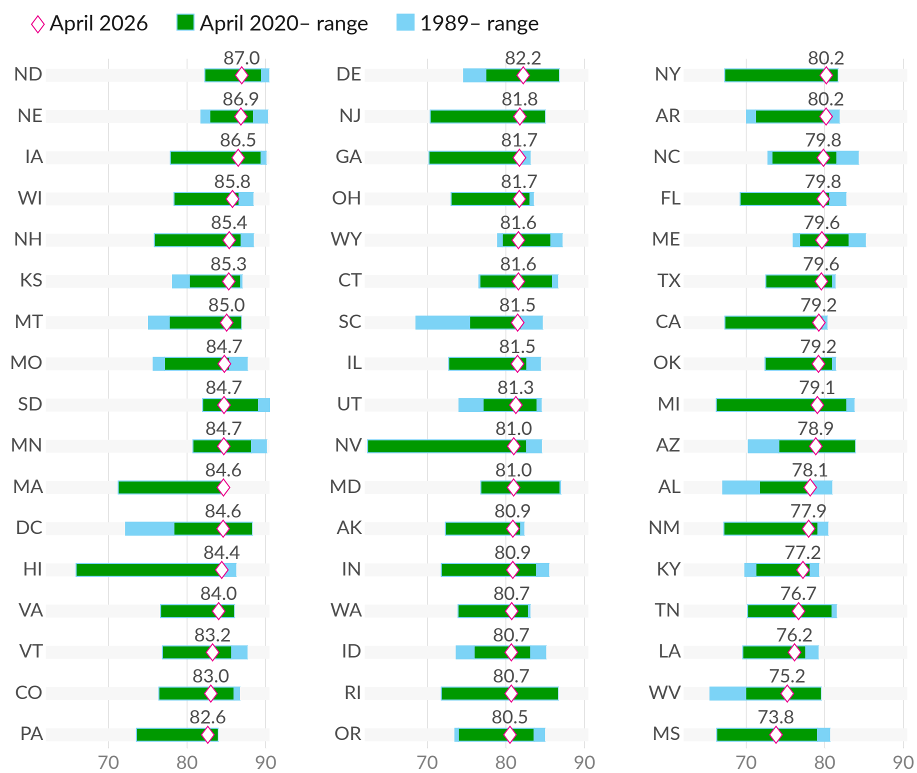
employed share of age 25 to 54 population, percent, seasonally adjusted, three-month moving average



Source: Author's Calculations from CPS

Employment Rate by State

employed share of age 25 to 54 population, percent, seasonally adjusted, three-month moving average



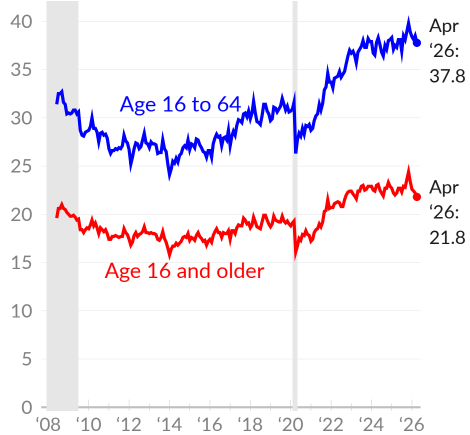
Source: Author's Calculations from CPS

The Bureau of Labor Statistics (BLS) also reports the **employment rate for people with disabilities**. People with disabilities may be limited in their ability to participate in labor markets and can also face discrimination during hiring. Labor market prospects for the group are also affected by economic conditions. A tight labor market pushes businesses to accommodate disabilities and to discriminate less in hiring.

Beginning in June 2008, the Current Population Survey (CPS) asks respondents age 16 and older whether they have difficulty with any of the following: hearing, seeing (even while wearing glasses), walking or climbing stairs, concentrating, remembering, making decisions, dressing or bathing, or running errands alone. In April 2026, 36.6 million people age 16 and older report at least one such disability, of which 17.1 million are under age 65.

Employment Rate, with Disability

employed share of age group, with disability, percent, not seasonally adjusted



Source: BLS; Author

As of April 2026, BLS reports a 21.8 percent employment rate for individuals aged 16 and over with at least one disability (see —). This marks a 0.4 percentage point decrease over the past year, and an increase of 2.5 percentage points since 2019.

For those age 16 to 64 with disabilities, the employment rate is 37.8 percent in April 2026 (see —), a one-year increase of 0.3 percentage point, and a 6.9 percentage point increase since 2019.

In 2013, during the sluggish recovery from the Great Recession, the employment rate for those age 16 to 64 with a disability averaged 26.8 percent.

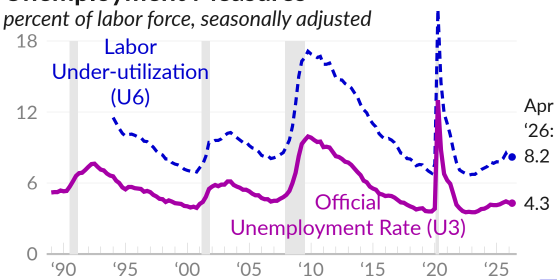
Unemployment

The headline unemployment rate, or the U3 rate, measures people who do not have a job but are looking for one or are on temporary layoff, as a share of the labor force (the employed and unemployed). BLS reports 7.4 million unemployed people in April 2026, and an unemployment rate of 4.3 percent (see —), in line with the March 2026 rate of 4.3 percent.

BLS also reports a broader unemployment measure, known as U6 or labor under-utilization. The U6 measure includes U3 unemployment, as well as those who have given up looking for work and part-time workers who want full-time work. In April 2026, U6 is 8.2 percent (see - -).

Unemployment Measures

percent of labor force, seasonally adjusted

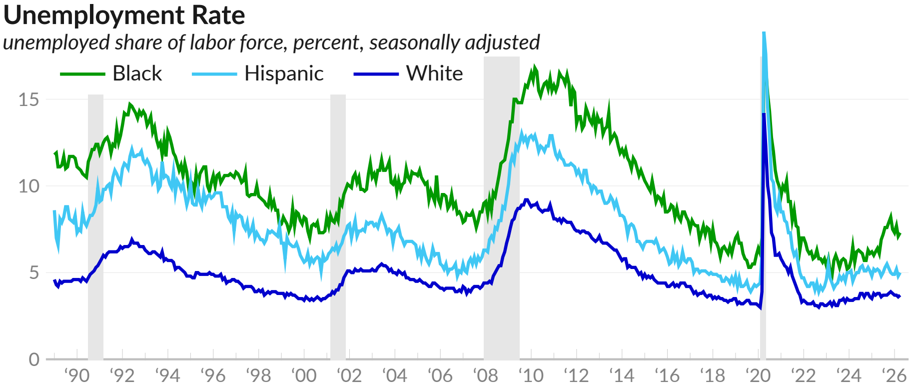


Source: Bureau of Labor Statistics

Periods of unemployment are more common for disadvantaged groups. The black or African American unemployment rate is typically double the white unemployment rate. Employment opportunities for disadvantaged groups depend more on current labor market conditions. Tight labor markets reduce racial discrimination in hiring, while disadvantaged groups are more likely to lose jobs in downturns. The black unemployment rate is 7.3 percent, 1.2 percentage points above the February 2020 rate (see —).

Unemployment Rate

unemployed share of labor force, percent, seasonally adjusted



Source: Bureau of Labor Statistics

Unemployment Measures

seasonally adjusted, percent

	Apr '26	Mar '26	Feb '26	Apr '25	Apr '24	Apr '23	*Great Recession* Peak rate	*Great Recession* Peak month
Under-utilization Rate (U6)	8.2	8.0	7.9	7.8	7.4	6.6	17.2	Dec '09
Unemployment Rate (U3)	4.3	4.3	4.4	4.2	3.9	3.4	10.0	Oct '09
Unemployed 15+ Weeks (U1)	1.7	1.8	1.8	1.6	1.3	1.1	5.9	Mar '10
by race/ethnicity:								
White	3.7	3.6	3.7	3.8	3.5	3.1	9.2	Oct '09
Black or African American	7.3	7.1	7.7	6.4	5.6	4.8	16.8	Mar '10
Hispanic or Latino	5.0	4.8	5.2	5.2	4.8	4.4	13.0	Aug '09
Asian	3.3	3.7	4.8	3.1	2.9	2.9	8.4	Dec '09

Source: Bureau of Labor Statistics

Reasons for Unemployment

There are several **reasons for unemployment**. In April 2026, 3.5 million people, or 2.1 percent of the labor force, were unemployed from losing their job (see ■). An additional 0.5 percent voluntarily left a job (see ■). Re-entrants, people who left the labor force but are looking for a new job, comprised 1.3 percent (see ■). Lastly, 0.5 percent of the labor force were new entrants to the labor market, looking for their first job (see ■).

The mixture of reasons for unemployment may reflect the existing economic conditions. In a downturn, workers who lose jobs are a larger share of the unemployed. A downturn also makes it harder for young people to find their first job, increasing their share of the total. In contrast, an economic boom reduces job losses and improves job-finding.

Other reasons for unemployment claim a larger share of the total during a boom. An economic boom can entice people to re-enter the job market, and encourage workers to quit and look for a new job. The overall prevalence of these categories, however, is also *reduced* during a boom, by an improved job-finding rate.

Unemployment by Reason
percent of labor force, annual average

Source: Bureau of Labor Statistics

Many job losses are temporary; this was especially apparent during the COVID-19 recession. Other job separations are permanent. In April 2026, temporary layoffs were 0.5 percent of the labor force. Permanent job losses were 1.1 percent of the labor force.

Unemployment by Reason
share of labor force, percent

	Apr '26	Mar '26	Feb '26	Apr '25	Apr '24	Apr '20	*period average* 2017 –'19	*period average* 2009 –'11
Unemployed, Any Reason	4.3	4.3	4.4	4.2	3.9	14.8	4.0	9.3
■ Job Loser	2.1	2.0	2.1	2.0	1.9	13.2	1.9	5.7
Temporary Layoff	0.5	0.5	0.5	0.5	0.5	11.6	0.5	0.9
Permanent Separation	1.1	1.1	1.2	1.1	1.0	1.3	0.9	3.9
■ Re-entrant	1.3	1.3	1.4	1.3	1.2	0.9	1.2	2.2
■ New entrant	0.5	0.4	0.5	0.4	0.3	0.2	0.4	0.8
■ Job Leaver	0.5	0.5	0.5	0.5	0.5	0.4	0.5	0.6
See also:								
Employed, Not at Work*	2.5	2.9	2.6	2.9	2.8	7.4	3.3	3.3

Source: Bureau of Labor Statistics, Author
* During the COVID-19 shutdowns some unemployed were incorrectly counted as employed but not at work.

Duration of Unemployment

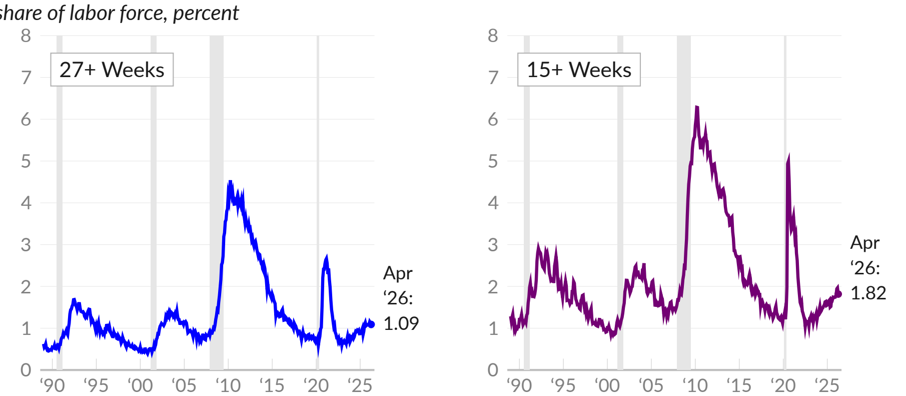
US unemployment benefits are available for a relatively short duration, compared with other advanced countries. Therefore, the long-term unemployed risk running out of unemployment benefits, causing a sharp reduction in income. Additionally, long periods of unemployment can make re-entering the workforce more challenging.

As of April 2026, BLS reports that 1.09 percent of the labor force have been unemployed for 27 weeks or longer, compared to 0.99 percent in April 2025 (see –). This measure of **long-term unemployment** peaked at 4.54 percent of the labor force in April 2010, but had fallen to 0.67 percent in December 2019.

In April 2026, 3.1 million people, equivalent to 1.82 percent of the labor force, have been unemployed for at least 15 weeks (see –), following 1.82 percent in March and 1.96 percent in February. One year prior, in April 2025, 1.67 percent were unemployed for 15 weeks or more.

Long-Term Unemployed

share of labor force, percent

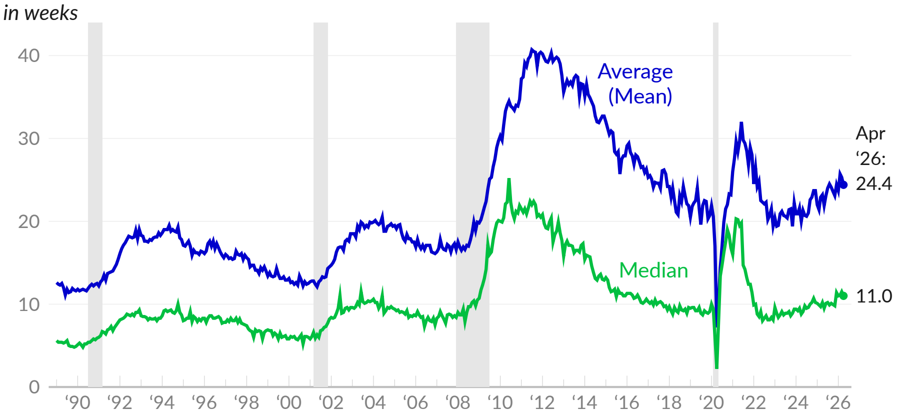


Source: Bureau of Labor Statistics

Among those who are unemployed in April 2026, the average (mean) **duration of unemployment** is 24.4 weeks (see –), and the typical (median) duration of unemployment is 11.0 weeks (see –). Over the year prior to COVID-19, ending February 2020, the average duration of unemployment was 21.7 weeks and the typical duration was 9.2 weeks.

Duration of Unemployment

in weeks



Source: Bureau of Labor Statistics

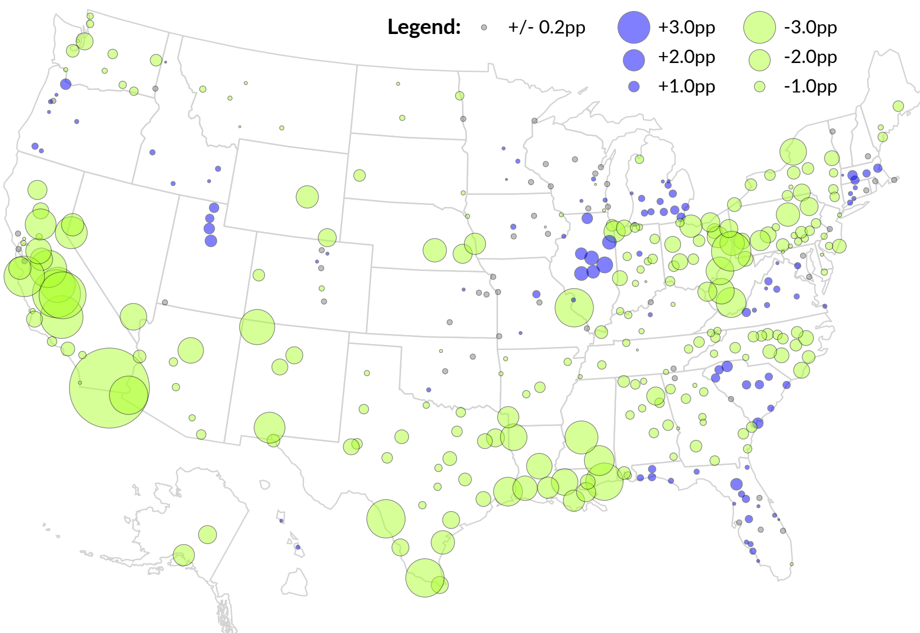
Unemployment by Metro Area

The Bureau of Labor Statistics produces local area estimates of unemployment, including the **unemployment rate for metro areas**. The following map shows changes since 2019 in metro area unemployment rates. An increase in the unemployment rate is shown by a blue circle and a decrease is shown by a light green circle; circle size is the magnitude of the change.

From March 2020 to March 2026, unemployment rates fell by 0.2 percentage point or more in 238 metro areas, and increased by 0.2 percentage point or more in 99 metro areas. Unemployment rates are virtually unchanged from the pre-pandemic level in 49 metro areas.

Change in Unemployment Rate by Metro Area

from March 2020 to March 2026, percentage points



Largest MSAs:

	Core City	Mar 26	Mar 20	Labor Force	Pct Ch*
-0.4	New York, NY	4.5	4.9	10,402,100	2.6
-1.3	Los Angeles, CA	4.8	6.1	6,688,600	-3.8
-1.1	Chicago, IL	5.1	6.2	4,985,800	2.2
-1.0	Dallas, TX	3.9	4.9	4,551,900	14.4
-1.4	Houston, TX	4.4	5.8	3,902,300	10.5
+0.6	Washington, DC	4.1	3.5	3,451,600	-2.5
-0.9	Atlanta, GA	3.3	4.2	3,351,000	6.0
-0.6	Philadelphia, PA	4.3	4.9	3,327,200	3.2
-0.3	Miami, FL	3.7	4.0	3,295,100	3.9
+0.8	Boston, MA	4.1	3.3	2,805,200	0.7
-0.7	Phoenix, AZ	4.0	4.7	2,705,400	9.0

Source: Bureau of Labor Statistics; Full Table:

*Pct Ch is percent change in labor force from March 2020 to March 2026

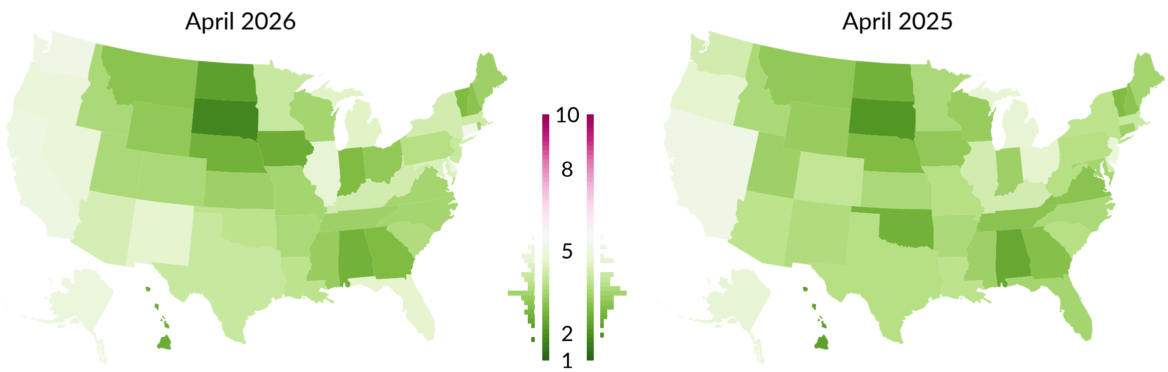
Unemployment by State

The Bureau of Labor Statistics reports the **state unemployment rate**–unemployed people as a share of the state labor force–each month, around three weeks after reporting the national unemployment rate. In April 2026, all 50 states and DC had unemployment rates below eight percent, and the unemployment rate was above five percent in three states. Three months prior, in January 2026, no states had an unemployment rate above eight percent, and 15 states were above five percent. In the peak of the COVID-19 pandemic shutdowns, in April 2020, the unemployment rate was above eight percent in 48 states, and above five percent in every state.

The states with the highest unemployment rates in April 2026 are the District of Columbia (5.5 percent), Connecticut (5.2 percent), and Washington (5.1 percent). The states with the lowest unemployment rates are South Dakota (1.7 percent), North Dakota (2.2 percent), and Iowa (2.5 percent).

Unemployment Rate by State

unemployed share of labor force, percent, not seasonally adjusted



Unemployment Rate and One-Year Change

age 16 and older unemployment rate, percent, not seasonally adjusted, as of April 2026 and one-year change, percentage points

South Dakota	1.7	(-0.3)	Tennessee	3.3	(+0.3)	West Virginia	4.2	(+0.5)
North Dakota	2.2	(-0.4)	Virginia	3.4	(+0.4)	New York	4.2	(+0.4)
Iowa	2.5	(-0.6)	Missouri	3.4	(-0.3)	Kentucky	4.2	(unch.)
Hawaii	2.5	(+0.3)	North Carolina	3.4	(-0.1)	Arizona	4.3	(+0.5)
Alabama	2.6	(+0.2)	Wisconsin	3.4	(+0.2)	Maryland	4.4	(+1.0)
Nebraska	2.6	(-0.2)	Colorado	3.5	(-0.4)	Michigan	4.5	(-0.2)
Georgia	2.8	(-0.1)	Utah	3.5	(+0.2)	Florida	4.6	(+1.2)
Indiana	2.8	(-0.5)	Idaho	3.5	(unch.)	New Mexico	4.6	(+1.0)
Vermont	2.8	(unch.)	Arkansas	3.5	(unch.)	Illinois	4.7	(+0.5)
Montana	3.0	(-0.1)	South Carolina	3.6	(-0.1)	Oregon	4.8	(+0.2)
New Hampshire	3.0	(unch.)	Pennsylvania	3.7	(unch.)	Nevada	4.8	(-0.3)
Ohio	3.1	(-1.5)	Oklahoma	3.8	(+1.2)	Delaware	4.8	(+0.6)
Wyoming	3.1	(-0.1)	Louisiana	3.8	(unch.)	Alaska	4.9	(+0.2)
Mississippi	3.2	(-0.1)	Minnesota	4.0	(+0.5)	California	5.0	(-0.1)
Maine	3.3	(-0.1)	New Jersey	4.0	(-0.8)	Washington	5.1	(+0.9)
Kansas	3.3	(-0.2)	Texas	4.0	(+0.3)	Connecticut	5.2	(+1.9)
Rhode Island	3.3	(-0.7)	Massachusetts	4.1	(+0.1)	Distr. of Columbia	5.5	(unch.)

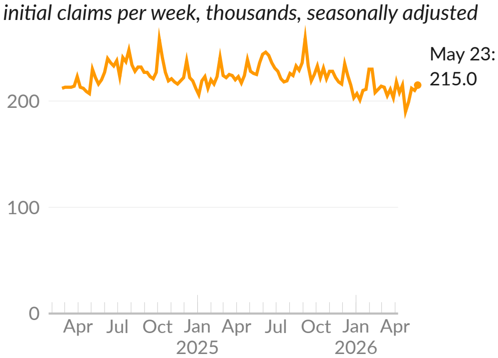
Source: Bureau of Labor Statistics

Jobless Claims

Each week, the Department of Labor presents the unemployment insurance (UI) claims reported by state unemployment offices. An initial claim for UI is filed by an unemployed person, after a separation from an employer, to determine eligibility for benefits.

New Jobless Claims

initial claims per week, thousands, seasonally adjusted



Source: Department of Labor

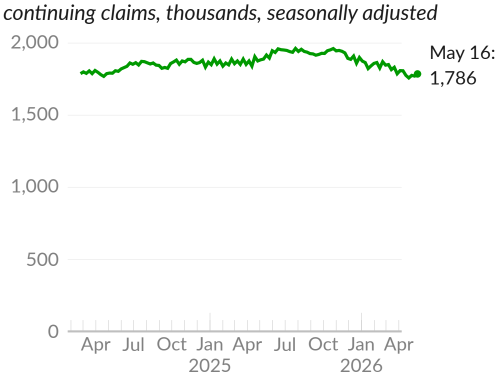
In the week ending May 23, 2026, seasonally adjusted initial claims for UI total 215,000 (see —), virtually no change from the previous week. Initial claims average 209,000 per week over the past four weeks, 220,900 per week over the past year, and 217,700 per week during 2019.

Initial claims for unemployment insurance are a leading indicator of labor market conditions. An increase in jobless claims suggests a deterioration in economic conditions.

The Labor Department additionally reports continued claims for UI, also called insured unemployment. Insured unemployment is the number of people receiving UI benefits during a given week.

Insured Unemployed

continuing claims, thousands, seasonally adjusted



Source: Department of Labor

During the week ending May 16, 2026, seasonally adjusted insured unemployment totals 1,786,000 (see —), an increase of 15,000 from the previous week. These continued claims average 1,772,800 over the past four weeks, 1,890,100 over the past year, and 1,682,300 during 2019.

UI only covers some workers. In April 2026, the Bureau of Labor Statistics classifies 7.4 million people as unemployed, and identifies another 6.0 million who want a job but do not count as unemployed.

Jobless Claims

thousands per week

				period averages			
	May 23, 2026	May 16, 2026	May 9, 2026	Apr 2026	Mar 2026	May 2025	May 2024
Initial Claims (SA)	215	210	212	208	208	232	222
Initial Claims (NSA)	191	186	191	201	193	206	199
Continued Claims (SA)	–	1,786	1,771	1,788	1,822	1,907	1,799
Continued Claims (NSA)	–	1,660	1,669	1,809	2,014	1,784	1,678

Source: Department of Labor

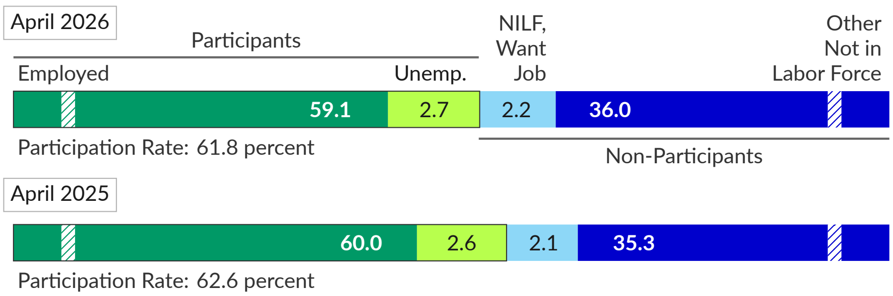
Labor Force Participation

Those employed, actively seeking employment, or on temporary layoff participate in the labor force. The **participation rate** is the share of the age 16 and older population that is either employed or unemployed. Participation is affected by many factors, including economic conditions and demographics.

In April 2026, the US labor force has 170 million participants, and the participation rate is 61.8 percent. One year prior, in April 2025, labor force participants totaled 171.1 million, or 62.6 percent of the age 16 and older population.

Labor Force Participation Overview

share of age 16 and older population, percent, seasonally adjusted



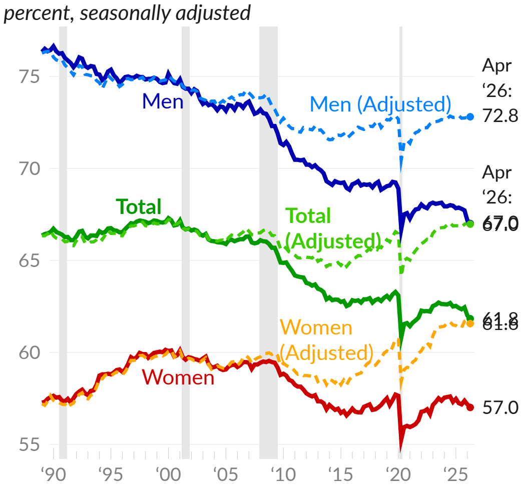
Source: Bureau of Labor Statistics

Participation has fallen over the past three decades. Much of the trend is explained by demographics. Population aging has lowered participation, with a larger share of the population retired. Adjusting the population to match the age composition in 2000 shows aging of the US population since 2000 reduced participation by 5.1 percentage points, or 14.1 million workers.

The next chart shows labor force participation rates overall and for men and women. Adjusted rates show participation without the effect of population aging. Participation is lower for women but has fallen more since 2000 for men.

Labor Force Participation Rates

labor force as share of age 16 and older population, percent, seasonally adjusted



Source: BLS (April 2026); CPS (April 2026)
Adjusted: Weighted to January 2000 demographics

As of April 2026, 61.8 percent of those aged 16 and over are in the labor force (see —), following 61.9 percent in March and 62.0 percent in February. The 2024 average participation rate of 62.6 percent is 1.7 percentage points above the December 2015 forecast. Pre-pandemic, in February 2020, the rate stood at 63.3 percent.

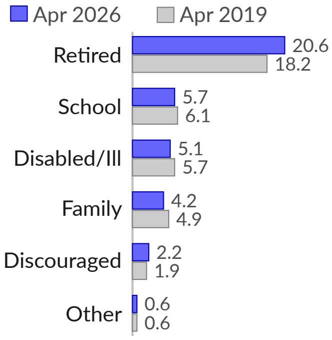
In April 2026, 67.0 percent of men age 16 and older are in the labor force (see —), compared to 57.0 percent of women (see —). Since February 2020, participation has decreased 2.2 percentage points among men, and decreased 0.8 percentage point among women.

Reasons for Labor Force Non-Participation

The Current Population Survey (CPS) asks those who are not employed or looking for work about their major activities and **reasons for not participating in the labor market**. Answers vary by age in intuitive ways, and are influenced by labor market conditions.

Nonparticipants

share of age 16+ population, percent



Source: Author's CPS Calculation

Nonparticipants age 16 and older total 105.4 million in April 2026, and make up 38.3 percent of the age 16+ population, compared to 37.3 percent in April 2019. About half of nonparticipants, and 20.6 percent of the population, are retirees in April 2026 (see ■), compared to 18.2 percent in April 2019 (see ■).

Disability or illness keeps 5.1 percent of people out of the labor force in April 2026, compared to 5.7 percent in 2019. Students who are out of the labor force make up 5.7 percent in April 2026 and 6.1 percent in April 2019, while unpaid caregivers are 4.2 percent this April and 4.9 percent in 2019.

While the recession of 2001 appears mild by expenditure measures, it initiated a major decrease in labor force participation. The economy was losing jobs at an alarming rate long after the 2001 recession had officially ended, though labor market weakness was partially masked by a major housing bubble. Seven years after the recession of 2001, the housing bubble collapsed, causing the Great Recession and pushing many more people out of the labor force.

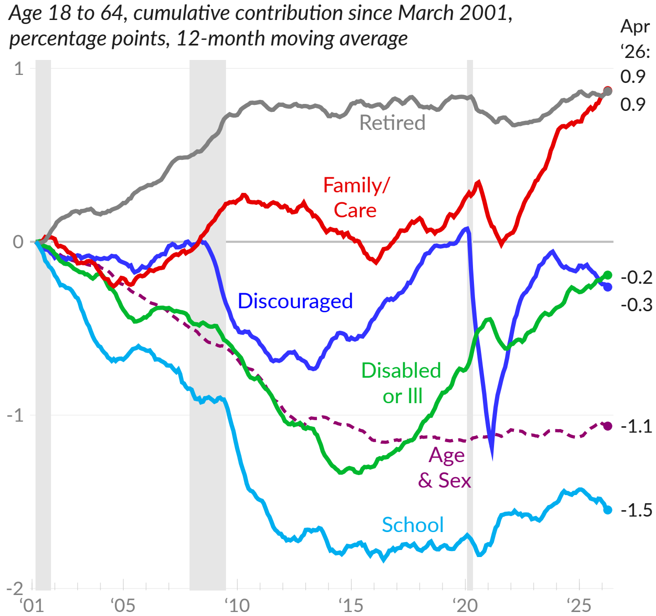
From March 2001 to 2015, four percent of people age 18 to 64 left the labor force. Conditions have since improved. As of April 2026, the labor force participation rate for those age 18 to 64 is 1.5 percentage points below its March 2001 peak.

Demographic shifts partially account for the decline. Notably, the sizable post-World War II birth cohort enters retirement age during this timeframe. Changes in the age and sex distribution within the age group explain 1.1 percentage points of the cumulative decrease in participation since March 2001 (see - -).

Beyond demographics, young people are staying in school longer, on average, reducing the age 18 to 64 labor force by 1.5 percent (see —). Disability and illness reduce the labor force by another 0.2 percent (see —). Less retirement among those age 18 to 64 increases participation by 0.9 percent over the period (see —).

Contribution to Labor Force Participation

Age 18 to 64, cumulative contribution since March 2001, percentage points, 12-month moving average



Source: Author's Calculations from CPS

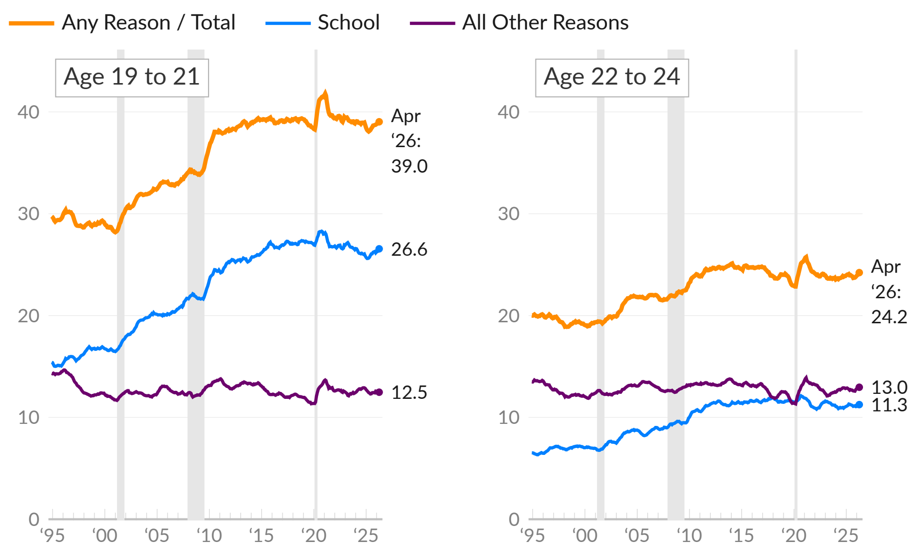
Series in the chart are adjusted so that the distribution of the age 18 to 64 population by age and sex is constant and equal to its March 2001 value. The total effect of this adjustment on labor force participation is included separately in the chart, as **Age/Sex**.

Young people's participation in the labor market, by working or looking for work, is affected by trends in educational attainment and by economic conditions. From 1994 to 2000, labor force participation among young people increased slightly. Following the recession of 2001, and carrying through the Great Recession, participation rates dropped sharply. From 2000 to 2014, labor force non-participation increased from 28.2 percent to 39.3 percent for 19- to 21-year-olds and from 19.3 percent to 24.6 percent for 22- to 24-year-olds (see —). The overall increase is almost entirely accounted for by increased college enrollment (see —).

By February 2020, the labor market had improved and the annual non-participation rate was 38.3 percent for 19- to 21-year-olds and 22.9 percent for 22- to 24-year-olds. In the latest data, covering the 12 months ending April 2026, the rate of non-participation is 39.0 percent for 19- to 21-year-olds and 24.2 percent for 22- to 24-year-olds.

Reason for Labor Force Non-Participation, by Age

share of age group population, percent, 12-month moving average



Source: Author's Calculations from CPS

Non-Participation Due to School

share of age group population, percent, 12-month moving average

	Apr 2026	Mar 2026	Feb 2026	Mar 2025	2019	2015	2010	1994
Total, 19 to 21	26.6	26.4	26.3	25.6	27.1	27.0	24.5	15.4
Men	26.0	25.9	25.8	25.2	26.6	27.0	24.2	15.8
Women	27.1	27.0	26.8	26.1	27.5	27.0	24.7	15.1
Total, 22 to 24	11.3	11.2	11.1	11.2	11.5	11.7	10.6	6.5
Men	11.0	11.0	11.1	11.3	11.7	12.0	10.8	6.7
Women	11.5	11.4	11.2	11.0	11.4	11.3	10.4	6.4
Total, 25 to 27	4.6	4.5	4.5	4.6	4.6	5.2	4.6	2.9
Men	4.3	4.3	4.3	4.2	4.7	5.0	4.4	2.5
Women	4.8	4.7	4.7	5.0	4.4	5.4	4.7	3.2

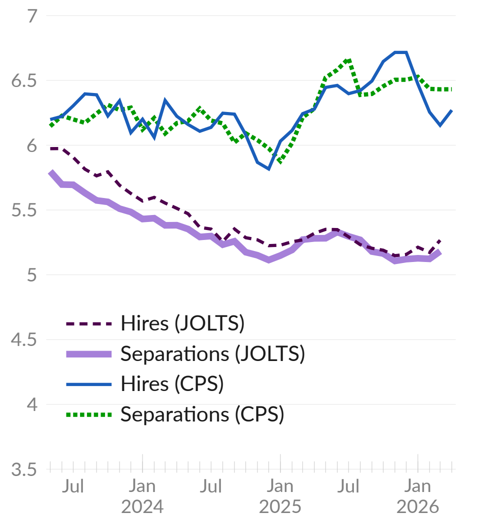
Source: Author's Calculations from CPS

Labor Force Flows

This subsection covers **labor force flows**–the movement of people between jobs and in and out of employment. Topics include job openings, hires, separations (including layoffs and quits), and job switching.

Hires and Separations

in millions, three-month moving average



Source: Bureau of Labor Statistics

Flows into and out of employment provide an overview of labor force flows. Each month, employers hire new workers while some existing workers leave jobs. The March 2026 Job Openings and Labor Turnover Survey (JOLTS) shows a three-month average of 5.3 million new hires (see) and 5.2 million job separations (see), compared to 5.3 million hires and 5.3 million separations in March 2025.

The Current Population Survey (CPS), which includes self-employment among other differences, shows 6.3 million newly employed people (see —) in April 2026, and 6.4 million job leavers (see). One year prior, in April 2025, there were 6.3 million newly employed and 6.3 million job leavers.

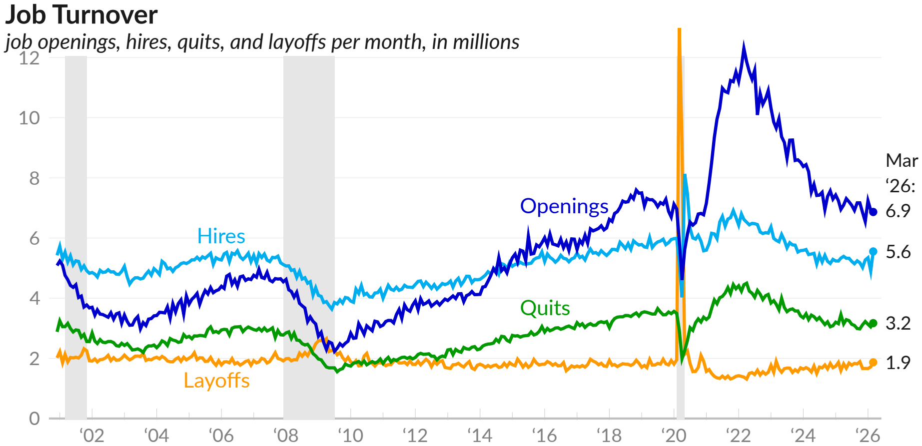
Job Openings and Turnover

Labor market **turnover** enables workers to find a new job if they are dissatisfied. Moreover, job opportunities outside a firm can improve the bargaining power of employees. Measures of turnover include job openings, hires, and separations. Separations cover layoffs, voluntarily leaving a job (quits), and other separations such as retirements, transfers to other locations, or separations due to death or disability.

In March 2026, there are 6.9 million open nonfarm jobs (see —) and 5.6 million hires completed (see —). In the same month, there are 5.4 million separations, including 1.9 million layoffs (see —), 3.2 million quits (see —), and 339,000 other separations. In 2019, there were a monthly average of 5.8 million hires and 5.7 million separations.

Job Turnover

job openings, hires, quits, and layoffs per month, in millions



Source: Bureau of Labor Statistics

A high ratio of **job openings to unemployment** indicates a tight labor market. In March 2026, there were 7.2 million unemployed people and 6.9 million job openings, therefore the ratio of job openings per unemployed person was 0.95 (see –). One year prior, in March 2025, the ratio was 0.97. The ratio averaged 1.19 in 2019.

Job Openings Per Unemployed Person

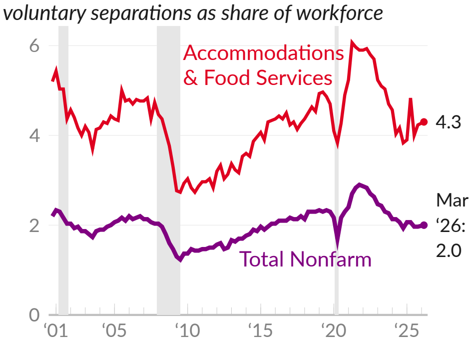
job openings divided by total unemployment

Source: Bureau of Labor Statistics

The **quits rate** measures the share of workers who voluntarily separate from a job in a given month. The rate typically increases when workers are confident enough to leave one job for another, and a high quits rate, particularly in low-paying industries, can be a sign of a tight labor market.

Quits Rate

voluntary separations as share of workforce



Source: Bureau of Labor Statistics

The quits rate is cyclical within the accommodations and food services industries (which includes restaurants), and tends to rise when a tight labor market pulls people out of restaurant jobs and into higher paying jobs in other industries.

In March 2026, the total quits rate in all industries is 2.0 percent (see –). The accommodations and food services quits rate is 4.3 percent (see –); the series high for the industry group was 6.3 percent in January 2001.

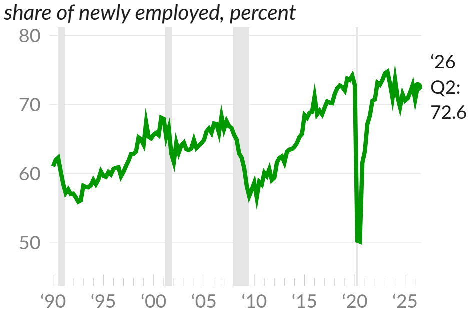
Job Finding

Next, we examine trends in **job finding**. Among newly employed workers, some were considered unemployed the month prior, while others were not in the labor force. More job finders bypassing unemployment indicates a tight labor market.

Job Finders Bypassing Unemployment

not looking for work the month prior

share of newly employed, percent



Source: Bureau of Labor Statistics

Of those newly employed in April 2026, 72.6 percent were out of the labor force the month prior (see –), compared to 71.2 percent in April 2025; the rest were previously unemployed.

When unemployment is low, the newly employed are more likely to come from outside of the labor force. In April 2023, when the unemployment rate was 3.4 percent, 74.5 percent of the newly employed had not looked for work the previous month.

The Great Recession worsened job-finding prospects for people without jobs. As an example, the flow into employment for those out of the labor force due to a disability or illness slowed considerably. These prospects took over a decade to recover.

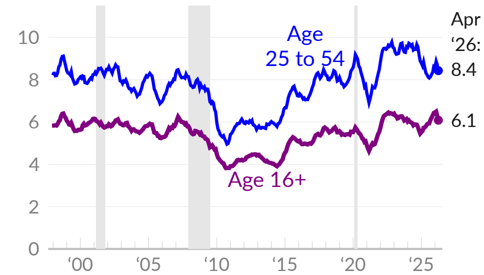
Over the year ending April 2026, 8.4 percent of 25- to 54-year-olds who were out of the labor force due to disability or illness one year prior became employed (see —).

In 2019, eight percent of those in the category found a job. The one-year job-finding rate rebounded from a 2010–2013 average of 5.8 percent.

For those age 16 and older, the comparable rate is 6.1 percent in April 2026 (see —), and 5.5 percent in 2019.

Flow, Disability to Work

one-year moving average, percent



Employed share of individuals out of the labor force from disability or illness one year prior

Source: Author's Calculations from CPS

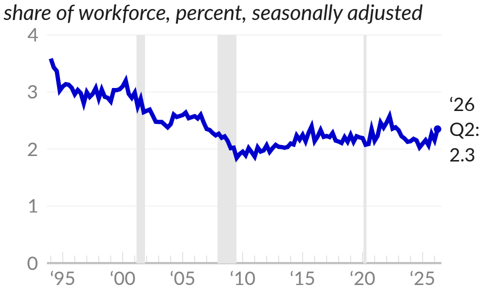
Job Switching

Job switching can improve productivity when workers move to a more productive industry or switch from a less productive firm to a more productive firm.

New Employer

different employer than prior month

share of workforce, percent, seasonally adjusted



Source: Author's Calculations from CPS

The CPS asks whether workers have the same employer as the previous month. The rate at which people **change employers** fell below two percent after the Great Recession, from an average of around three percent during the late 1990s.

In April 2026, 2.3 percent of the workforce had a different employer than the previous month (see —), compared to two percent in April 2025, and 2.1 percent in April 2024.

Expected Separations

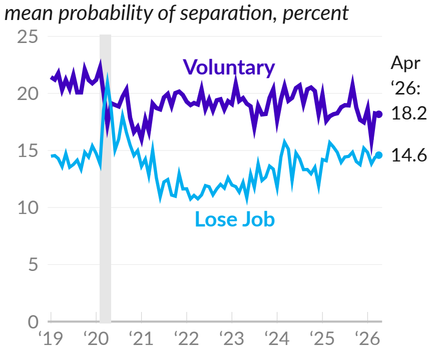
Each month, the Survey of Consumer Expectations asks how likely people are to lose or leave a job. **Expected separations** are the average perceived likelihood of separating from a job in the next 12 months.

In April 2026, the perceived likelihood of leaving one's job voluntarily in the next 12 months is 18.2 percent, compared to 21 percent in 2019 (see —). In the latest month, the perceived probability of losing one's job is 14.6 percent, compared to 14.3 percent in 2019 (see —).

During the pandemic, in April 2020, job loss expectations exceeded job leaving expectations. In April 2026, job leaving expectations exceed job loss expectations by 3.6 percentage points, compared to 6.8 points in 2019.

Expected Separations

mean probability of separation, percent



Source: FRB of New York

Nonstandard Work Arrangements

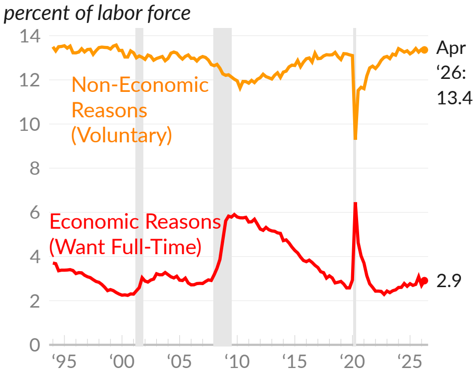
Many workers do not have standard work arrangements, either by choice or because they cannot find them. Many workers are employed part-time, part-year, or both. Some workers have more than one job. Additionally, a portion of the workforce is considered self-employed.

Part-Time Work

Around 28 million people work part-time, defined as fewer than 35 hours per week, and the reasons for doing so vary. The Bureau of Labor Statistics classifies part-time workers who would prefer full-time work as involuntary or **part time for economic reasons**. This group comprises people who don't have enough hours because of slack business conditions or who are unable to find full-time work.

Voluntary part-time workers, or those **part-time for non-economic reasons**, do not necessarily want more hours of work. The category includes those who work fewer hours for health, childcare, personal or family reasons, those who are retired or have a limit on earnings, and those with jobs where full-time is less than 35 hours per week.

Part Time, by Reason
percent of labor force



Source: Bureau of Labor Statistics

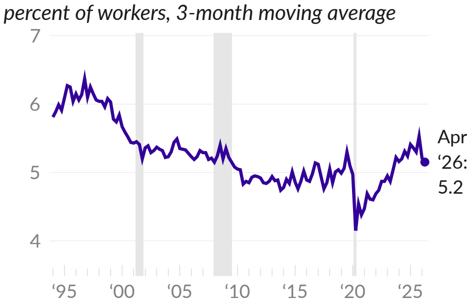
In April 2026, 4.9 million people worked part-time for economic reasons, equivalent to 2.9 percent of the labor force (see —). In 2019, an average of 2.7 percent of the labor force worked part-time for economic reasons. In 2010, following the Great Recession, the rate was 5.8 percent.

Voluntary part-time workers total 22.7 million in April 2026, or 13.4 percent of the labor force (see —). The category was 13.1 percent of the labor force in 2019, on average.

More Than One Job

Over a given period of time, some people work more than one job. The household survey identifying people with more than one job asks about employment during a specific reference week. Respondents who work more than one job during the reference week are considered multiple jobholders; those who work multiple jobs over a month or year, but work one job in the survey reference week, are not.

Multiple Jobholders
percent of workers, 3-month moving average



Source: Bureau of Labor Statistics

In April 2026, a seasonally adjusted total of 8.4 million people **worked more than one job** during the survey reference week, equivalent to 5.2 percent of workers.

Over the three months ending April 2026, an average of 5.2 percent of workers were multiple jobholders (see —). In 2019, an average of 5.1 percent of workers had more than one job during the survey reference week.

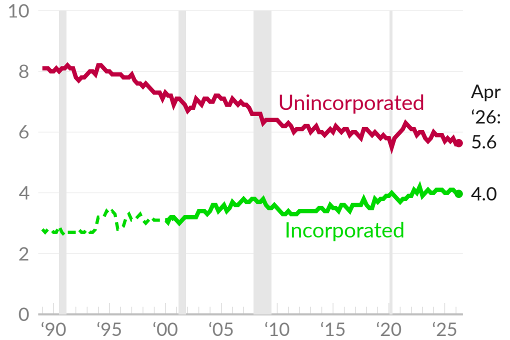
Self-Employment

Workers are considered **self-employed** if they work for profit or fees in their own business, profession, trade, or farm. Some self-employed have incorporated their business, and are similar to wage and salary workers in that they are paid by their business. Self-employment can offer more flexibility than traditional jobs, in some cases, but can also be less stable. The category includes people who work for profit but do not make any profits, for example.

As of April 2026, there are 9.6 million **unincorporated self-employed**, equivalent to 5.6 percent of the labor force (see —). Over the past year, the unincorporated self-employed made up an average of 5.7 percent of the labor force, compared to an average of 5.8 percent in 2019. From 1989 to 1994, the category made up an average of eight percent of the labor force.

Self-Employed

percent of labor force



Source: Bureau of Labor Statistics, Author

The **incorporated self-employed** total 6.7 million in April 2026, equivalent to 4.0 percent of the labor force (see —). In 2019, the category made up 3.8 percent of the labor force.

Incorporated self-employed are not reported by BLS prior to 2000, but can be calculated from the CPS, and make up an average of three percent of the labor force from 1989 to 1999.

Wages

Economists view wages as an important economic indicator. Wages are the majority of personal income and the main expense of businesses. Wage growth is particularly closely monitored as it affects quality of life and can affect inflation rates.

The US measures wages in several ways. As two examples, average hourly earnings come from the monthly establishment survey, and usual weekly earnings are derived from three combined months of household surveys. This subsection first overviews wage measures and recent results, then discusses individual measures.

Overview

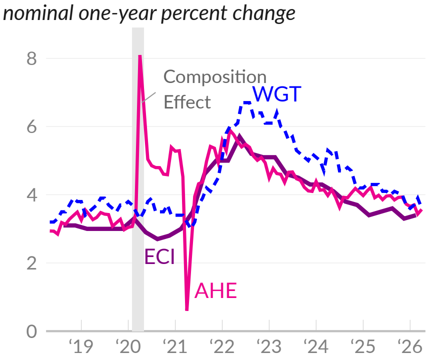
The various US wage measures each have advantages; average hourly earnings from the payroll survey are timely and cover detailed industry groups, while median earnings from the household survey are unaffected by outliers and cover demographic groups.

Likewise, wage measures come with caveats. For example, both average and median wages are subject to *composition effects* during and after a recession. Low-wage workers are more likely to lose a job during a recession, and therefore move out of (and later into) the sample of a wage survey. This drives up the average and median wage during a recession and drives down the average and median wage after a recession.

Illustrating the composition effect, several measures show nominal one-year wage growth of three to four percent during 2018 and 2019. During the COVID-19 recession in 2020, average hourly earnings (AHE) growth (see —) jumped to eight percent, while wage growth was stable when tracked (WGT) at the level of individuals (see - -), or calculated from the industry- and occupation-adjusted employment cost index (ECI, see —).

In the latest data, most measures show one-year nominal wage growth that is stable and in line with the pre-pandemic rate.

Wage Growth Measures
nominal one-year percent change



Source: BEA, BLS, Atlanta Fed

The following tables consolidate recent wage growth rates from different measures. In addition to measures discussed above, the table includes average wages and salaries per worker, calculated as national accounts aggregate wages and salaries divided by the number of employees on nonfarm payrolls.

Wage Growth Measures
nominal one-year percent change

	Apr '26	Mar '26	Feb '26	Jan '26	Dec '25	Nov '25	Apr '25	Apr '24
Average Hourly Earnings (AHE), Private	3.6	3.4	3.7	3.7	3.7	3.9	3.9	4.0
Production & Nonsupervisory	3.7	3.5	3.7	3.7	3.8	4.0	4.2	4.0
Goods-Producing Industries	4.7	4.3	4.6	4.3	4.4	4.6	4.6	5.3
Service-Providing Industries	3.4	3.4	3.6	3.6	3.7	3.9	4.1	3.7
Usual Weekly Earnings, Median	3.2	3.7	2.6	1.4	1.5	3.1	6.6	3.6
Usual Weekly Earnings, Median (3M Avg)	3.2	2.6	1.9	2.0	2.5	2.8	5.7	3.0
Wage Growth Tracker, Median (3M Avg)	3.6	3.9	3.7	3.6	3.7	4.0	4.3	5.3
Wages & Salaries, Average (NIPA)	3.4	3.1	3.4	3.7	3.6	3.8	4.2	4.4
Wages & Salaries, Average (3M Avg)	3.3	3.4	3.6	3.7	3.8	4.1	4.4	4.5

Source: BLS, BEA, Federal Reserve Bank of Atlanta, Author

The second wage growth summary table captures quarterly measures, such as the ECI discussed above, which is particularly high quality. Lastly, unit labor costs measure the cost a business pays to produce one unit of output.

Wage Growth Measures
nominal one-year percent change

	'26 Q1	'25 Q4	'25 Q3	'25 Q2	'25 Q1	'24 Q1	'23 Q1	'22 Q1
Wages & Salaries (ECI)	3.4	3.3	3.6	3.5	3.4	4.3	5.1	5.0
Usual Weekly Earnings, Median	3.4	2.7	4.2	4.6	4.8	3.5	6.1	4.9
Unit Labor Cost	1.2	2.4	2.0	2.0	3.0	2.6	2.7	6.1

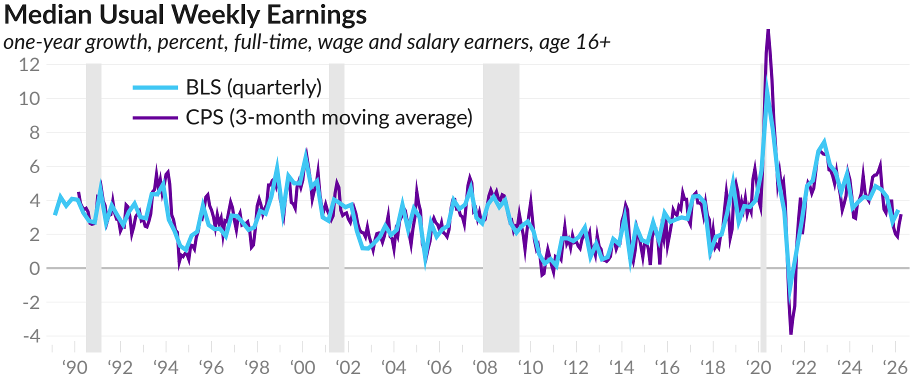
Source: BLS

Usual Weekly Earnings

The Bureau of Labor Statistics (BLS) reports the **usual wages of full-time workers** at various points in the income distribution, including by decile and by quartile. The most commonly used of these measures is median usual weekly earnings, which represents the middle wage; half of wages are above and half are below.

In the first quarter of 2026, median usual earnings of full-time wage and salary workers are $1,235 per week, compared to $1,194 per week in 2025 Q1, a nominal one-year increase of 3.4 percent (see —). In 2025 Q4, the median full-time worker receives $1,224 per week, a one-year increase of 2.7 percent.

Median Usual Weekly Earnings
one-year growth, percent, full-time, wage and salary earners, age 16+



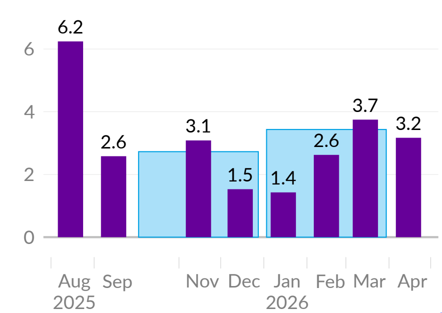
Source: Bureau of Labor Statistics, Author's Calculations

The primary source for BLS quarterly estimates of usual weekly earnings is the Current Population Survey (CPS). Using the CPS, more volatile monthly estimates can be calculated before the next BLS quarterly estimate (see ■) is available.

In April 2026, the median full-time worker receives $1,242 per week, following $1,239 per week in March and $1,242 per week in February. The average over these three months is $1,241 per week, a 3.2 percent increase over the same three months, one year prior (see —).

Median usual weekly earnings increased 3.2 percent over the year ending April 2026 (see ■), following increases of 3.7 percent in March and 2.6 percent in February.

Median Usual Weekly Earnings
one-year growth, percent



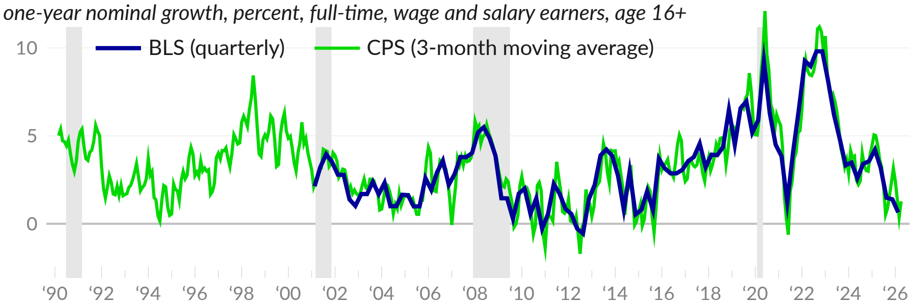
Source: BLS, Author

The income distribution also tells us the earnings of low-wage workers, represented here by the first decile. Ten percent of workers earn less than the first-decile wage. BLS reports first decile usual earnings for full-time workers of $623 per week in 2026 Q1 and $619 per week in 2025 Q1, a nominal one-year increase of 0.6 percent (see —). Over the year ending 2025 Q4, first decile usual weekly earnings increased 1.4 percent.

The more volatile CPS-based monthly measure shows first decile usual earnings of $635 per week in April 2026, $630 per week in March 2026, and $637 per week in February 2026. The three-month average is $634 per week; first decile earnings increased 1.3 percent over the same months, one year prior (see —). By month, over the year ending April 2026, first decile earnings increased 3.4 percent, following a decrease of 0.8 percent in March, and an increase of 1.3 percent in February.

First Decile Usual Weekly Earnings

one-year nominal growth, percent, full-time, wage and salary earners, age 16+



Source: Bureau of Labor Statistics, Author's Calculations

The following tables present the BLS published estimates for usual weekly earnings of full-time wage and salary earners. The first table presents the earnings in levels, and the second table shows the one-year percent change.

Usual Weekly Earnings

full-time, wage and salary earners, age 16+, nominal USD

	2026 Q1	2025 Q4	2025 Q3	2025 Q2	2025 Q1	2024 Q1	2023 Q1	2022 Q1	2021 Q1
First Decile	$623	620	616	615	619	594	574	531	486
First Quartile	838	828	818	806	814	772	739	701	657
Median	1,235	1,224	1,214	1,196	1,194	1,139	1,100	1,037	989
Third Quartile	1,911	1,904	1,898	1,887	1,895	1,812	1,751	1,635	1,563
Ninth Decile	2,921	2,912	2,903	2,901	2,905	2,820	2,718	2,512	2,424

Source: Bureau of Labor Statistics

Weekly Earnings Growth

full-time, wage and salary earners, age 16+, one-year nominal growth, percent

	2026 Q1	2025 Q4	2025 Q3	2025 Q2	2025 Q1	2024 Q1	2023 Q1	2022 Q1	2021 Q1
First Decile	0.6	1.4	1.5	3.2	4.2	3.5	8.1	9.3	3.8
First Quartile	2.9	2.9	3.5	3.9	5.4	4.5	5.4	6.7	4.3
Median	3.4	2.7	4.2	4.6	4.8	3.5	6.1	4.9	3.3
Third Quartile	0.8	1.5	2.2	2.8	4.6	3.5	7.1	4.6	3.3
Ninth Decile	0.6	1.0	0.4	3.2	3.0	3.8	8.2	3.6	4.5

Source: Bureau of Labor Statistics

Wages and Education

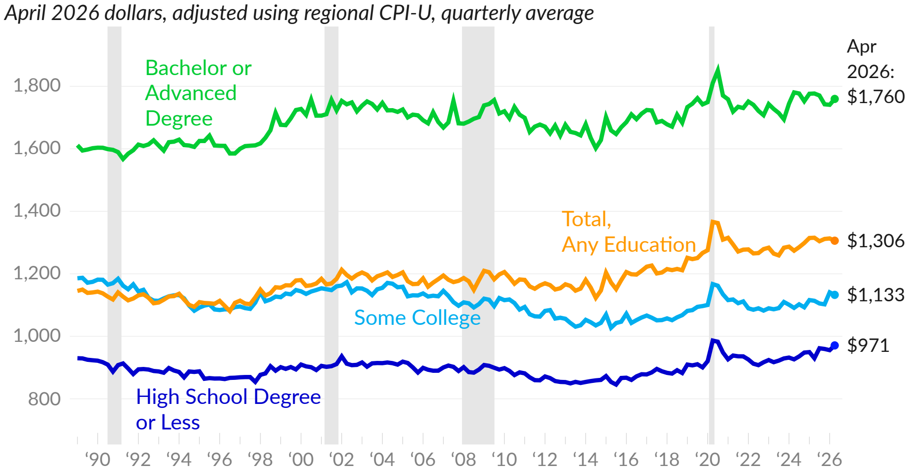
The US has increasingly invested in education, boosting productivity and earnings. This subsection discusses **wages and education** over the long term and in recent data.

Over the three months ending April 2026, the median usual earnings of full-time wage and salary workers age 25 to 54 average $1,306 per week. After adjusting for inflation, median earnings have increased by 14.0 percent, in total, since 1989. Over this same period, which features a sharp increase in education in the US, labor productivity increased by 109.9 percent.

Not only is the long-term increase in median wages low, but some of the increase is explained by the median person having more education. Wage growth within education groups is lower than overall wage growth. Real median wages increased 9.2 percent over the same period for workers with a bachelor's degree or more, decreased 4.5 percent for workers with some college or an associate degree, and increased 4.4 percent for those with a high school degree or less.

Real Earnings by Level of Education

median usual weekly earnings, full-time wage and salary workers age 25 to 54
April 2026 dollars, adjusted using regional CPI-U, quarterly average



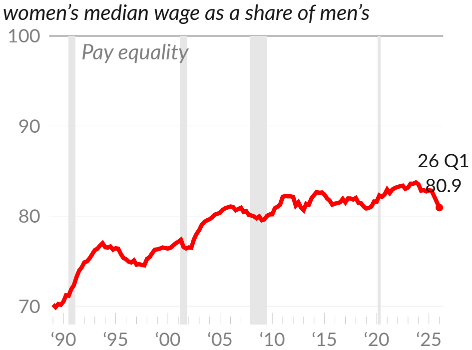
Source: Author's Calculations from CPS

Gender Wage Gap

Men are paid significantly more than women, both in general, and for a given job. The US **gender wage gap** has narrowed but is large and persistent. The US is not expected to achieve gender pay equality until 2053.

Gender Wage Gap

women's median wage as a share of men's



Source: Bureau of Labor Statistics

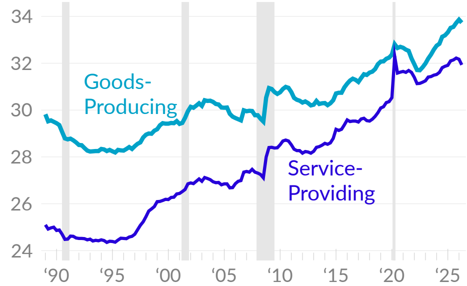
In 1989, the gender wage gap was 30 percent; women were paid 70 cents for each dollar men were paid. From 1989 to 2006, the gap closed at a rate of 0.64 percentage point per year. From 2006 to 2019 Q4, the gap closed at a rate of only 0.04 percentage point per year.

Over the year ending 2026 Q1, the gender wage gap is 19.1 percent; women are paid 80.9 cents on the dollar. Pre-pandemic, in 2019 Q4, the gap was 18.4 percent.

Average Hourly Earnings

Each month, the Bureau of Labor Statistics reports wages of employees on private nonfarm payrolls. Earnings are also reported by industry and major sector, and for production and non-supervisory workers, who make up about four in every five workers.

Real Wages by Major Sector
average hourly earnings, April 2026 dollars
private production and non-supervisory workers



Source: Bureau of Labor Statistics

Hourly wages for production and non-supervisory workers in private goods-producing sectors average $33.73 in April 2026 (see –). In April 2019, the average hourly wage for the sector was $32.01, after adjusting for inflation.

Private service-providing industry wages average $31.93 for production and non-supervisory workers in April 2026. The inflation-adjusted equivalent was $30.05 in April 2019 (see –).

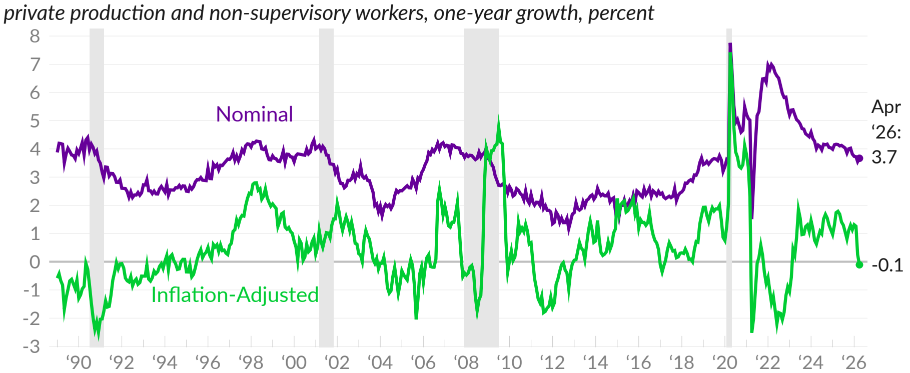
Growth Rate

As with other measures of wages, economists are interested in the rate of wage growth. The following chart presents the one-year change in seasonally adjusted average hourly earnings for private production and non-supervisory employees on nonfarm payrolls. The chart includes both nominal, or unadjusted, wage growth and real, or inflation-adjusted wage growth, which is adjusted using the CPI-U.

Over the year ending April 2026, nominal average hourly earnings increased 3.7 percent for production and non-supervisory workers (see –), following increases of 3.5 percent in March and 3.7 percent in February. Comparing the latest three months to the previous three months, nominal earnings increased at an annual rate of 3.5 percent.

Real average hourly earnings decreased 0.1 percent in April 2026 (see –), following increases of 0.3 percent in March and 1.3 percent in February. Real wages decreased at an annual rate of 1.6 percent over the latest three months, compared to the previous three months.

Average Hourly Earnings Growth
private production and non-supervisory workers, one-year growth, percent



Source: Bureau of Labor Statistics

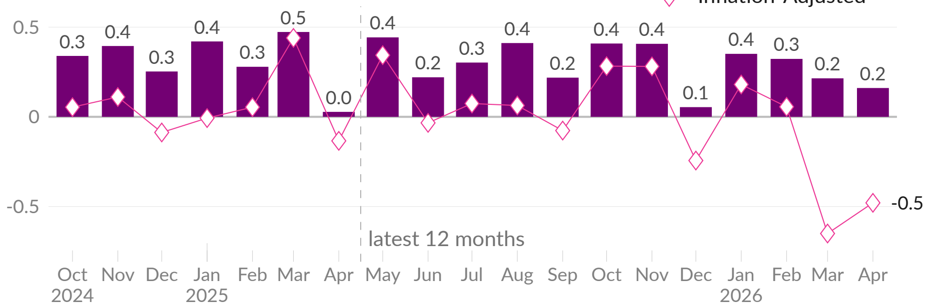
While one-year wage growth rates are relatively less volatile, the latest month of data only represents one-twelfth of the data that determines the rate. To help identify trends during recent months, the one-month growth rate is presented next.

Turning to **one-month growth**, in April 2026, nominal average hourly earnings for all private sector employees increased by 0.2 percent, following increases of 0.2 percent in March and 0.3 percent in February (see ■).

Adjusting for inflation shows one-month growth of -0.5 percent in April, a decrease of 0.7 percent in March, and virtually no change in February (see ◊).

Average Hourly Earnings, One-Month Growth

all private employees, percent change from previous month



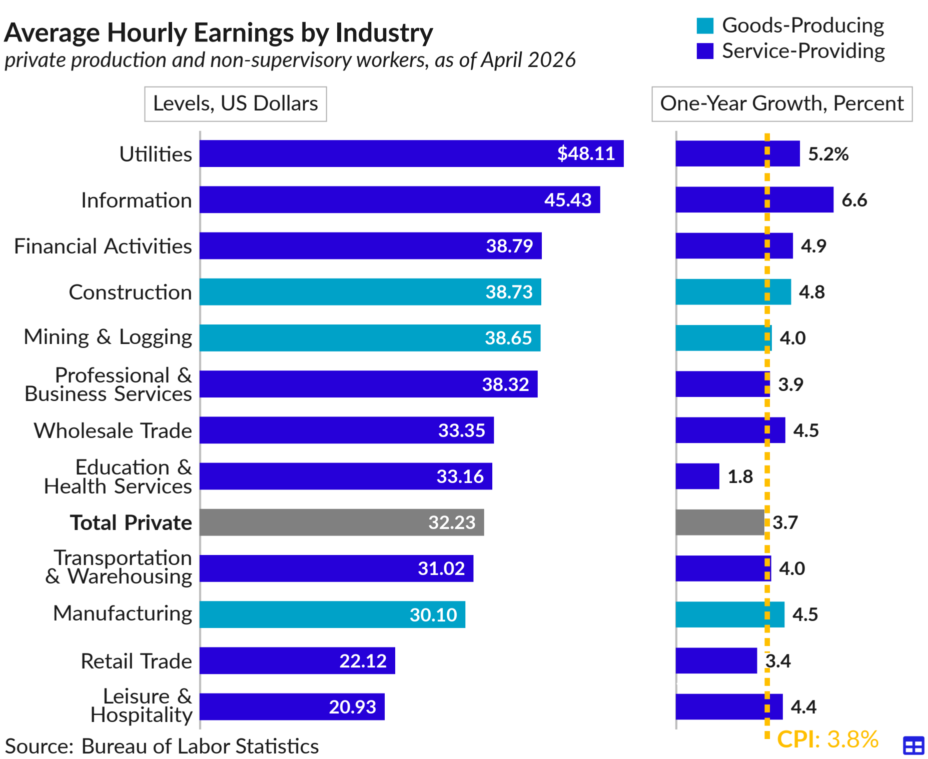
Source: Bureau of Labor Statistics

The average wage varies between **industry groups**. For production and nonsupervisory workers, the highest average hourly earnings in April 2026 are in the utilities industry ($48.11), followed by the information industry ($45.43), and the financial activities industry ($38.79). The lowest wage industries in the latest data, by average hourly earnings, are leisure and hospitality ($20.93) and retail trade ($22.12).

Over the past year, 10 of the 12 industry groups have wage growth above the increase in prices indicated by the consumer price index (see —). The information industry had the fastest nominal growth rate, at 6.6 percent, followed by 5.2 percent in utilities and 4.9 percent in financial activities.

Average Hourly Earnings by Industry

private production and non-supervisory workers, as of April 2026



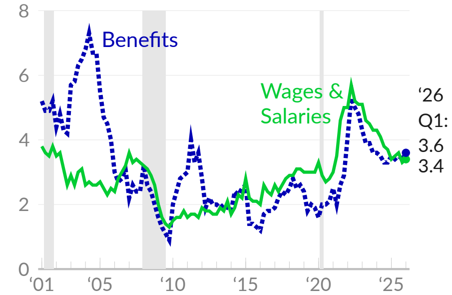
Source: Bureau of Labor Statistics

Employment Cost Index

The Bureau of Labor Statistics reports the overall hourly labor costs faced by employers, using an index that is not influenced by short-term changes in the industry and occupation composition of the US workforce. This **Employment Cost Index** (ECI) covers total compensation, wages and salaries, and benefits.

Benefits include health insurance, retirement, vacation, sick leave, and transportation benefits. Benefits access and participation vary, even within the same firm. The benefits costs in the index are averages computed across all workers, including the workers who do not have benefits.

Employment Cost Index
private industry wage and salary workers
nominal one-year growth, percent



Source: Bureau of Labor Statistics

Over the year ending 2026 Q1, private industry wage and salary costs increased 3.4 percent (see —), following increases of 3.3 percent in 2025 Q4 and 3.6 percent in 2025 Q3. In 2019, private wages and salaries increased by three percent.

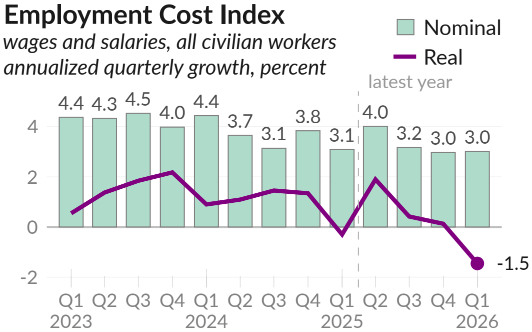
The cost of private sector benefits increased 3.6 percent (see ···) over the year ending 2026 Q1, following an increase of 3.4 percent in 2025 Q4. In 2019, private-sector benefits costs increased by two percent.

Quarterly ECI growth can highlight recent developments. Next, we examine seasonally adjusted annualized quarterly wage and salary growth for all civilian workers.

In 2026 Q1, wages rose by an annual rate of three percent, following increases of three percent in 2025 Q4 and 3.2 percent in 2025 Q3 (see ▢).

Adjusted for inflation using the PCE deflator, annualized growth is negative 1.5 percent in 2026 Q1, following increases of 0.1 percent in 2025 Q4 and 0.4 percent in 2025 Q3 (see —). Real wage growth is below the long-term average.

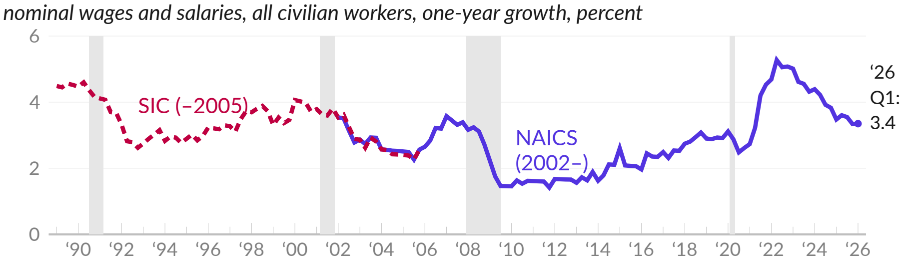
Employment Cost Index
wages and salaries, all civilian workers
annualized quarterly growth, percent



Source: Bureau of Labor Statistics

Longer-term trends in ECI wage growth add context to recent developments. Prior to 2001, ECI growth is calculated using a different industry classification (SIC). The next chart combines both classifications to present one-year growth since 1989.

Employment Cost Index
nominal wages and salaries, all civilian workers, one-year growth, percent



Source: Bureau of Labor Statistics

Wage Growth Tracker

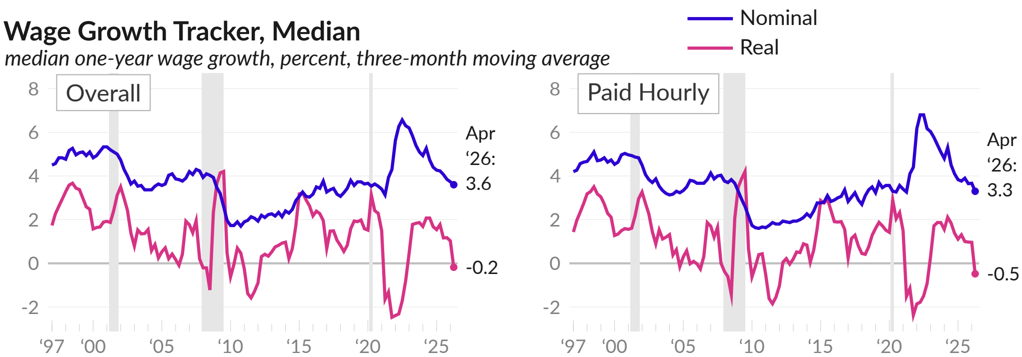
The Federal Reserve Bank of Atlanta publishes a **wage growth tracker** that captures the distribution of one-year changes in the wages of the same people. This approach avoids some of the compositional changes that affect aggregate wage growth measures, though the sample used to calculate the data is affected by changes to respondents' employment status, and by survey response rates.

The wage growth tracker shows matched-observation nominal median wage growth of 3.6 percent over the three months ending April 2026, and 3.3 percent for workers paid hourly (see —). One year prior, in April 2025, three-month moving average nominal median wage growth was 4.3 percent, overall, and 3.8 percent for hourly workers.

The inflation-adjusted one-year median wage growth (see —) can also be calculated using the wage growth tracker approach. Real wages are deflated using the CPI-U. In April 2026, inflation-adjusted median wage growth is negative 0.2 percent overall, and negative 0.5 percent for hourly workers.

Wage Growth Tracker, Median

median one-year wage growth, percent, three-month moving average



Source: FRB Atlanta, Census, BLS

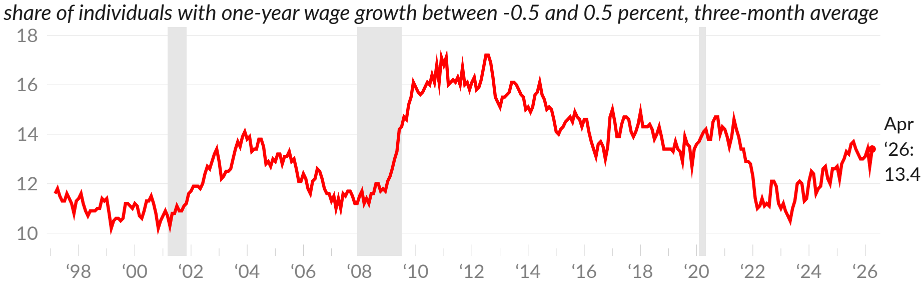
Zero Wage Change

By observing the same person's wage at two points in time, one year apart, we see how many people do not receive a wage increase. The Atlanta Fed measures zero wage change as the share of individuals who have one-year hourly wage growth of between -0.5 and 0.5 percent. The Atlanta Fed approach is replicated using CPS data, and smoothed with a three-month moving average.

In April 2026, 13.4 percent of hourly workers receive no wage increase, compared to 12.7 percent in March 2026 (see —). One year prior, in April 2025, 13.0 percent of individuals had no wage growth.

Zero Wage Change

share of individuals with one-year wage growth between -0.5 and 0.5 percent, three-month average



Source: Federal Reserve Bank of Atlanta

Hours Worked

The Bureau of Labor Statistics (BLS) tracks how much people work. BLS calculates **hours worked** per week from establishment data and household surveys. Business establishments report average hours worked per job, while households report average hours per worker. Some workers have more than one job, increasing household measures relative to establishment measures.

The next charts show four measures of average hours worked. Two measures, Current Employment Statistics (CES), which measures private nonfarm payrolls, and Labor Productivity and Costs (LPC), a calculation of average hours across all jobs, come from establishment data. Two measures come from household data: the Labor Force Survey (LFS) capturing employees in all nonagricultural industries, and a Current Population Survey (CPS) calculation of hours of all workers.

Actual hours worked by people at work during the household survey reference week average 38.3 in April 2026 (see —), slightly below the 38.9 hour average during 2017 to 2019. Hours worked average 39.6 from 1998 through 2000, and fell to a Great Recession low of 37.4 in February 2010.

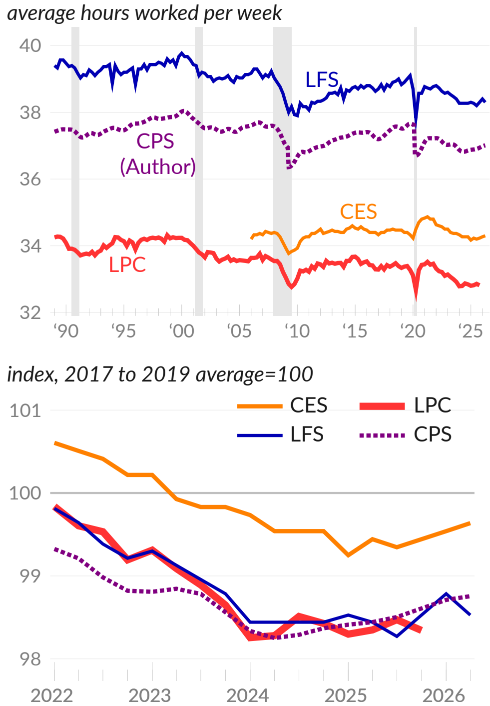
The CPS-based measure for all workers (see ···) averages 37.0 hours per week in April 2026, following 36.9 in April 2025, and compared to 37.5 hours during 2017–2019.

In April 2026, establishment data show employees on private nonfarm payrolls (see —) worked 34.3 hours per week on average, in line with the 34.4 average weekly hours during 2017 to 2019.

The average hours for all jobs (see —) is 32.8 per week in 2025 Q4, following 32.8 in 2024 Q4. In 1989, 34.3 hours were worked per week per job.

Hours Worked Measures and Trend

average hours worked per week



Source: BLS, Author

Hours Worked Measures

average hours per week, seasonally adjusted

	'26 Q2	'26 Q1	'25 Q2	'24 Q2	*period average* 2017 –'19	2009 –'10	1998 –'99
Private Nonfarm Jobs, CES (—)	34.3	34.3	34.2	34.3	34.4	34.0	–
Production & Non-Supervisory	33.8	33.8	33.6	33.7	33.7	33.3	34.4
Total, All Jobs, LPC (—)	–	–	32.8	32.8	33.4	33.0	34.2
Nonagricultural Workers, LFS (—)	38.3	38.4	38.3	38.3	38.9	38.1	39.5
Part-Time for Economic Reasons	22.6	22.5	22.9	22.9	23.2	22.6	23.0
Services Occupations	34.4	34.6	34.5	34.7	35.1	34.2	–
Total, All Workers, CPS (···)	37.0	37.0	36.9	36.8	37.5	36.7	37.9

Source: Bureau of Labor Statistics, Author

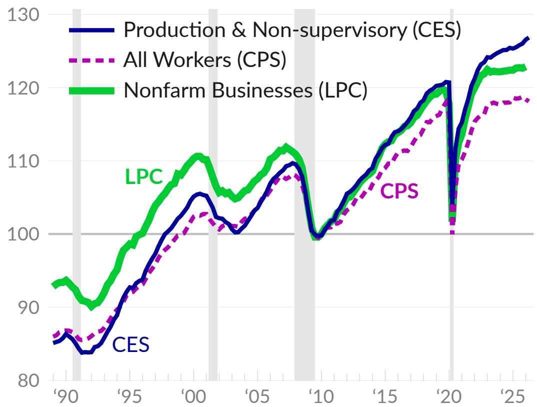
Aggregate Hours Worked

In addition to tracking the average hours that people work, economists are interested in **aggregate hours worked**, which combine the average workweek with the number of workers. The aggregate hours worked represent the total labor input of a sector. This subsection examines three measures of total hours worked.

First, the Bureau of Labor Statistics (BLS) publishes a quarterly index of aggregate hours worked in nonfarm businesses (see —). The official productivity figures in the Productivity and Costs (LPC) report use this measure, which shows an annualized 0.8 percent increase in aggregate hours since 1989.

Next, the establishment survey (CES) calculates aggregate hours as average hours multiplied by total workers. Aggregate hours for private production and non-supervisory workers calculated using this method have increased 1.1 percent per year since 1989 (see —).

Aggregate Hours Worked
indexes, 2010=100



Source: Bureau of Labor Statistics, Author

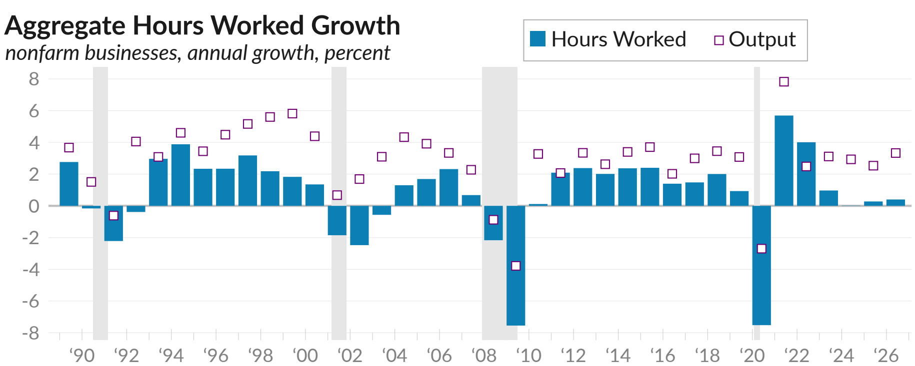
Third, the Current Population Survey (CPS) can be used to estimate hours of all workers, which increased 0.9 percent per year since 1989 (see - -).

Trends emerge when comparing between the aggregate hours measures. Production and non-supervisory workers have the most growth. In contrast, public sector hours have not kept up since the Great Recession, driving a wedge between hours for all workers and hours for private workers. This trend continued after the COVID-19 recession.

The next chart highlights growth patterns in aggregate hours worked (see ■) and output (see □) at private nonfarm businesses. Hours rise in expansions and fall during recessions. Comparing two recent expansions, from 1994 to 1999, aggregate hours increased by 2.5 percent per year; from 2014 to 2019, hours increased 1.7 percent per year.

In 2025, hours worked increased 0.3 percent, following virtually no change in 2024. Hours increased at an annual rate of 0.4 percent, year to date, in 2026.

Aggregate Hours Worked Growth
nonfarm businesses, annual growth, percent



Source: Bureau of Labor Statistics

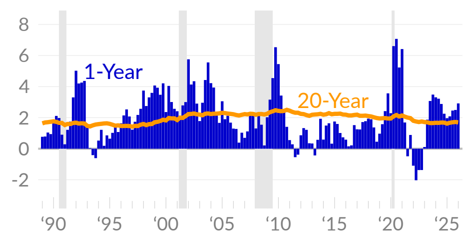
Importantly, the gap between output growth and hours growth is productivity growth. This topic is discussed in the next subsection.

Labor Productivity

Labor productivity is reported by the Bureau of Labor Statistics and measured as **real output per hour of work**. The measure captures the rate at which people, with all of the resources and equipment and infrastructure available to them, are able to work together to produce goods and services. Labor productivity growth means real wages can increase without putting upward pressure on inflation. Alternatively, an increase in productivity means a society can meet its material needs with less work.

Over the longer term, US labor productivity growth averages 1.9 percent per year. The trailing 20-year average growth rate is 1.7 percent in 2026 Q1 (see —). During the 1990s and early 2000s, labor productivity growth was above its long-term average. In contrast, from 2010 to 2017, productivity growth was below average. Over the year ending 2026 Q1, growth averages 2.9 percent (see —).

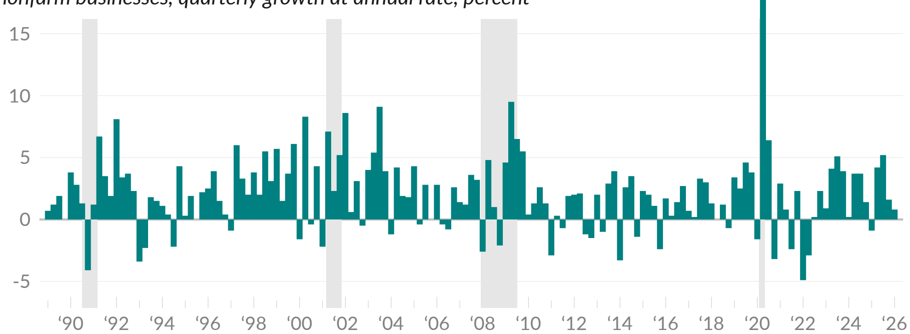
Labor Productivity Growth
annual rate, percent



Source: Bureau of Labor Statistics

In 2026 Q1, nonfarm business labor productivity increased at an annual rate of 0.8 percent (see ■), as the result of an increase of 1.5 percent in real output and an increase of 0.7 percent in hours worked. In the prior quarter, 2025 Q4, labor productivity increased at an annual rate of 1.6 percent, as real output increased 1.3 percent and hours of work decreased 0.2 percent. Productivity has increased at an annual rate of 1.5 percent over the past five years, substantially below the 1989-onward rate of two percent.

Labor Productivity Growth
nonfarm businesses, quarterly growth at annual rate, percent



Source: Bureau of Labor Statistics

In the short term, productivity growth is affected by changes in the composition of the workforce, and by volatility in both the number of hours worked and in production. In the longer term, the level of business net investment in equipment and other capital goods, particularly relative to the size of the workforce, affects productivity growth. Such investment allows more goods and services to be produced by the same hours of work. Yet efforts to stimulate business investment directly through reducing corporate income taxes do not seem to have worked.

One theory of what drives medium-term trends, called the *Kaldor-Verdoorn Law*, states that demand, and the capacity to meet that demand, determine productivity growth. An economy facing real resource constraints, where demand for goods and services exceeds the capacity to provide these services, is more likely to find ways to produce goods and services more efficiently. As one example, businesses invest more in labor-saving technologies when faced with a tight labor market.

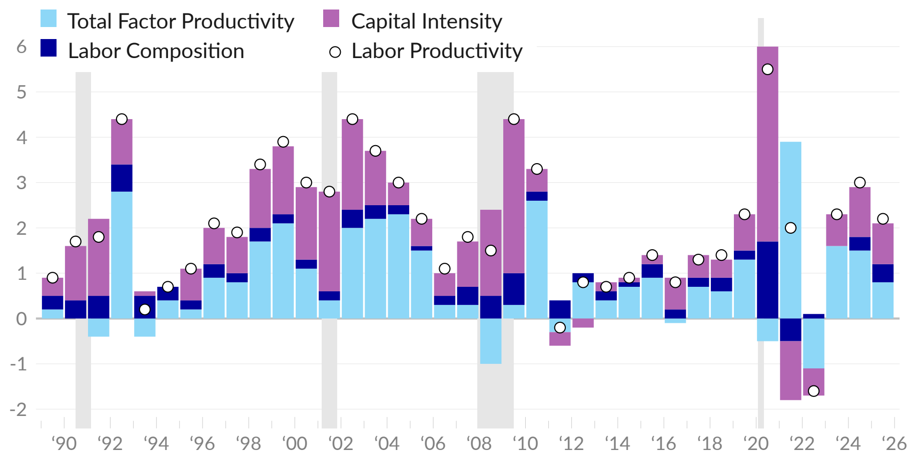
Productivity Growth Decomposition

The Bureau of Labor Statistics reports **contributions to nonfarm business labor productivity growth**. Some portion of productivity growth can be explained by businesses adding capital such as equipment and IT improvements. Additionally, the age, education, and gender composition of the labor force changes over time, which affects the average output per hour of work.

In 2025, labor productivity increased by 2.2 percent (see ○). Capital intensity contributed 0.9 percentage point (see ■), and labor composition contributed 0.4 percentage point (see ■). The remainder, called total factor productivity, added 0.8 percentage point (see ■).

Decomposition of Labor Productivity Growth

contribution to labor productivity, percentage points



Source: Bureau of Labor Statistics

Union Membership

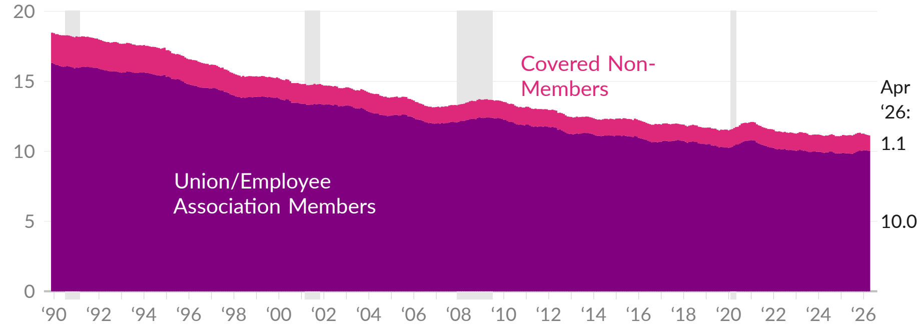
Membership in **unions and employee associations** has diminished in the United States over the past fifty years. Unionized jobs typically offer higher wages and better benefits and union membership tends to increase wages and benefits even in nonunion jobs. Research shows that lower union membership increases income inequality.

Over the 12 months ending April 2026, the union membership rate averaged ten percent (see ■). The coverage rate, which includes nonmembers that are covered under a union contract, was 11.1 percent. During the 12-month period, an average of 16.3 million workers were covered by a union contract – 14.7 million union members and 1.6 million nonmembers covered by contracts (see ■) – while 130.2 million workers were not covered.

One year prior, over the 12 months ending April 2025, the union membership rate was 9.9 percent, and the coverage rate was 11.1 percent. From April 2025 to April 2026, the 12-month average number of nonunion workers increased by 0.9 million, while the number of workers represented by unions increased by 147,000.

Union Membership and Coverage

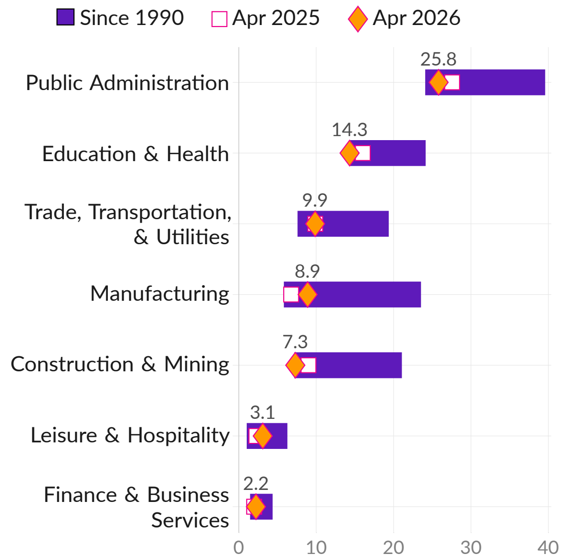
union or employee association share of jobs, percent, one-year moving average



Source: Author's Calculations from Current Population Survey

Union Membership Rate by Industry

union or employee association member, percent



Source: Author's Calculations from CPS

Union membership rates vary by industry. Public administration has the highest rate, at 25.8 percent as of April 2026, followed by education and health with 14.3 percent, and trade, transportation, and utilities with 9.9 percent.

The manufacturing industry experienced the largest drop in union membership over the past 30 years, and is currently 14.6 percentage points below its February 1989 rate of 23.5 percent.

The lowest union membership rate is in finance and business services (2.2 percent). The union membership rate of the industry was 4.4 percent in March 1992.

Financial Markets

The US financial markets provide funding for borrowers' activities and offer potential income to lenders. The US equity and bond markets are the largest in the world, with daily trading volumes of several hundred billion dollars.

The US financial markets also provide information that is helpful for macroeconomic analysis. This section discusses equity markets, interest rates and bond markets, and money and monetary policy.

High-Frequency Indicators

Relative to most economic indicators, financial markets provide a higher frequency of information. **High-frequency indicators**, summarized daily, can show developments before typical economic measures report the changes.

The next charts show the most recent three months of developments. The top chart shows the S&P 500 stock market index open, close, daily high, and daily low. The middle chart is the stock market volatility index (VIX), which will spike when people expect swings in stock prices.

Finally, treasury yields indicate expected future interest rates, which in turn reflect expected future inflation and growth. Each of these indicators is discussed in more depth later in this chartbook section.

Equity Markets

Equity markets, or **stock markets**, provide a method for businesses to raise capital by selling shares, which represent ownership claims on the business. Equity markets also provide a place for people to buy and sell existing shares. Investors purchase shares in hopes that the price will go up, allowing them to sell the shares at a higher price and receive capital gains, or to gain access to a stream of dividends, which are payments from businesses to shareholders.

In the US, several stock market indices track the share price of a basket of companies. Most measures are weighted by the market capitalization of the companies in the basket, which is the market value of each company. The following charts and table are adjusted to include stock splits, dividends, and capital gains distributions.

Stock Market Indices

adjusted close, index value, in thousands

2019–onward, in detail

The S&P 500 (see —) is a market-cap-weighted stock market index based on 500 large companies listed on US exchanges. As of May 28, 2026, the S&P 500 has increased at an annual rate of 9.3 percent since 1989, and 16.1 percent since 2019. The Nasdaq composite index (see —) includes the tech-heavy companies listed on the Nasdaq stock exchange. The Nasdaq index increased at an annual rate of 12.1 percent since 1989, and 20.7 percent since 2019.

The Dow 30 industrial average (see —) is an index based on 30 large and prominent companies listed on US exchanges. The price-weighted measure captures the long-term performance of established companies, and increased at an annual rate of 8.4 percent since 1989 and 11.0 percent since 2019.

Stock Market Indices

adjusted close | *annual index returns, including dividends*

	May 28, 2026	1-year average	2026 YTD	2025	2024	2023	2022	2021
— S&P 500	7,564	6,691	10.5	16.4	23.3	24.2	-19.4	26.9
— Nasdaq	26,917	22,578	15.8	20.4	28.6	43.4	-33.1	21.4
— Dow 30	50,669	46,864	5.4	13.0	12.9	13.7	-8.8	18.7

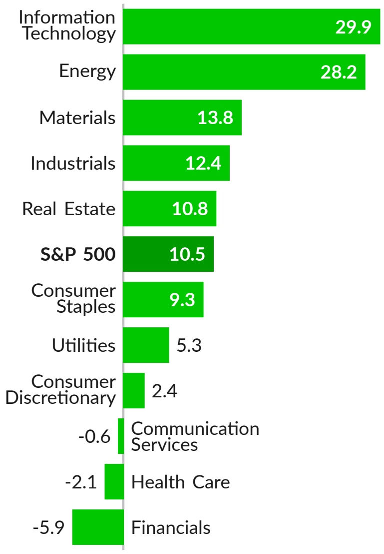
Source: Yahoo Finance

Sector Returns

The S&P 500 companies are broadly categorized into 11 industrial sectors, tracked independently. The largest sector is information technology, which makes up 37.6 percent of the index, by market cap, as of May 27, 2026. The financials sector makes up 11.3 percent, the communication services sector makes up 10.6 percent, and the consumer discretionary sector makes up 9.9 percent.

S&P 500 Sector Returns

year to date, percent, as of May 28, 2026



Source: Yahoo Finance, SPDR ETFs

In the latest full year of data, 2025, the S&P 500 adjusted gain was 16.4 percent. The information technology sector returned 24.6 percent, the communication services sector returned 23.1 percent, and the industrials sector gained 19.3 percent. The smallest gain was the consumer staples sector (1.5 percent).

As of May 28, 2026, the **year-to-date total return** for the S&P 500 is 10.5 percent. The information technology sector returned 29.9 percent, the energy sector returned 28.2 percent, and the materials sector gained 13.8 percent. The largest loss is in the financials sector, with a total decrease of 5.9 percent.

Over the past month, the S&P 500 has returned six percent. The information technology sector returned 18.4 percent, the health care sector gained 4.9 percent, and the consumer discretionary sector returned 4.3 percent.

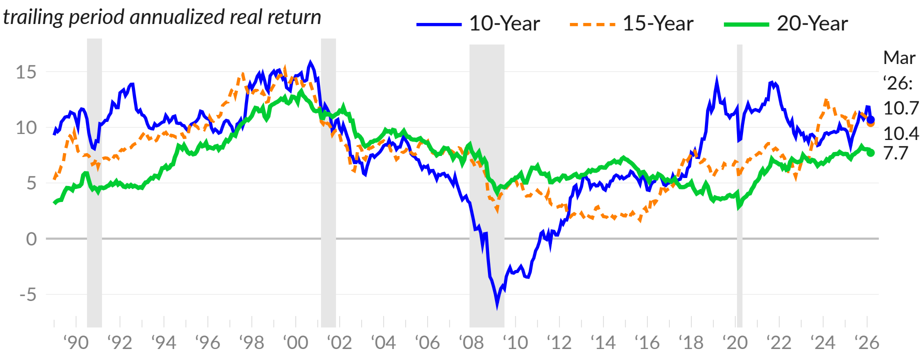
Real Return

Next, for the typical investor saving for retirement, long-term and inflation-adjusted returns are particularly important. Over the long term, US equities markets have traditionally returned around seven percent per year, after adjusting for inflation.

Historical stock market data from Robert Shiller show the **inflation-adjusted trailing twenty-year annual return** of the S&P 500 is 7.7 percent as of March 2026 (see —). Ultra-long-term real returns are currently low relative to the average trailing twenty-year real annual return of 10.1 percent during 1995–2005. The trailing ten-year real return was 10.7 percent, as of March 2026, and 10.7 percent during 1995–2005 (see —).

S&P 500 Real Return

trailing period annualized real return



Source: Shiller, Baker, Author's Calculations

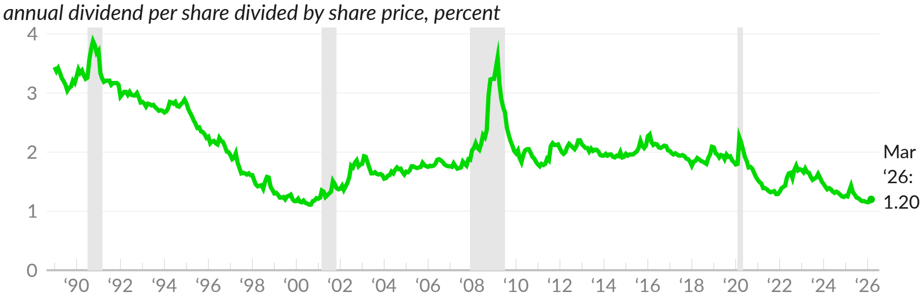
Dividends

One component of total returns is **dividend payments to shareholders**. The dividend payments per share over the previous four quarters divided by the share price is the dividend yield. The S&P 500 dividend yield has averaged around two percent, over the past few decades.

In March 2026, the dividend yield for the S&P 500 is 1.20 percent (see —), compared to 1.16 percent in February 2026, and 1.34 percent in March 2025. From 1990 to 2015, the dividend yield averaged 2.09 percent.

S&P 500 Dividend Yield

annual dividend per share divided by share price, percent



Source: Shiller

Corporate Equity Payout

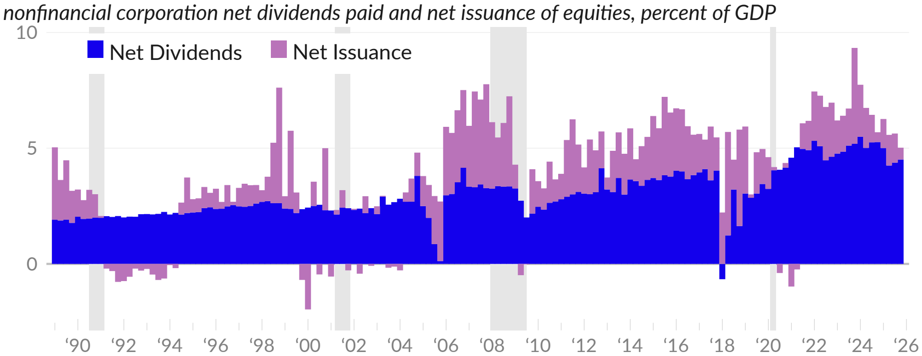
As seen above, investors achieve returns through price appreciation and dividends. Corporations, likewise, can return money to shareholders with dividends, or by repurchasing shares of their own stock. These share buybacks increase the share price, allowing investors to sell their shares at the higher price.

Investors favor share buybacks in part because dividends generate tax liabilities when issued, while buybacks defer taxes until shares are sold. Corporations may also prefer buybacks because cutting dividends in the future would be viewed negatively.

The financial accounts track the **total payout from corporate equities**, which includes dividends and share buybacks. In the fourth quarter of 2025, nonfinancial corporation net dividends are equivalent to 4.5 percent of GDP (see ■) and net equities issuance is equivalent to 0.5 percent of GDP (see ■). In 2019, net dividends were 3.1 percent of GDP and net issuance was 1.6 percent. From 1990 to 2015, net dividends averaged 2.6 percent of GDP and net issuance averaged 1.1 percent.

Corporate Equity Payout

nonfinancial corporation net dividends paid and net issuance of equities, percent of GDP



Source: Federal Reserve, Bureau of Economic Analysis

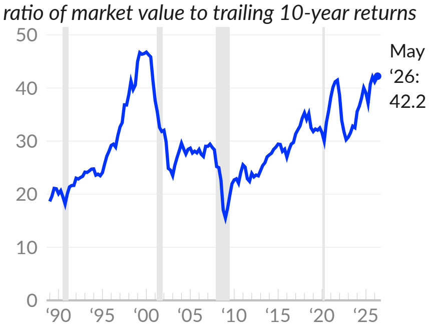
Valuation

The cyclically adjusted price to earnings (CAPE) ratio compares the current price of the S&P 500 to the previous ten years of total S&P 500 returns, including dividends and buybacks (treated as dividends). Valuations often use recent or forecasted earnings. Robert Shiller's CAPE ratio covers ten years (a normal business cycle) so that valuations are less affected by the idiosyncrasies of current economic conditions.

In May 2026, the Shiller total return CAPE ratio was 42.2, compared to 40.7 in April 2026 and 37.6 in May 2025 (see —). In 2019, the Shiller CAPE ratio was 32.1, on average. In 2000, during the stock market bubble, the ratio averaged 45.1.

Price to Earnings Ratio

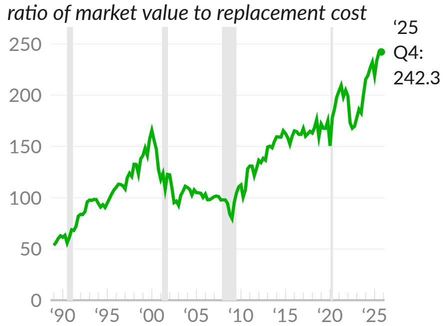
ratio of market value to trailing 10-year returns



Source: Shiller

Tobin's Q

ratio of market value to replacement cost



Source: Federal Reserve

A second measure, Tobin's Q, is the ratio of market value to replacement cost. A ratio below 100 suggests stocks may be undervalued; a ratio above 100 suggests they may be overvalued. As of 2025 Q4, the ratio is 242.3 (see —), following 242.1 in 2025 Q3, and compared to an average of 170.7 in 2019.

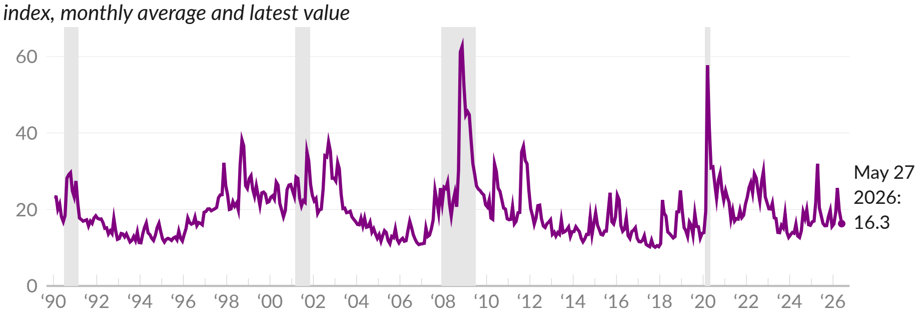
Volatility

The Chicago Board Options Exchange uses S&P 500 options data to identify expectations of future volatility. When investors are uncertain about the future, they will pay a premium for the insurance-like qualities of options. The CBOE volatility index, popularly known as the VIX, captures overall changes in options prices to identify the market-implied volatility in the S&P 500 index over the following 30 days.

The latest value for the VIX is 16.3 on May 27, 2026 (see —), in line with the average index value of 17.1 over the past three years, and in line with the typical index value of 17.6 since 1990. The VIX decreased by 1.2 points over the past week.

CBOE Volatility Index

index, monthly average and latest value



Source: Chicago Board Options Exchange

Interest Rates

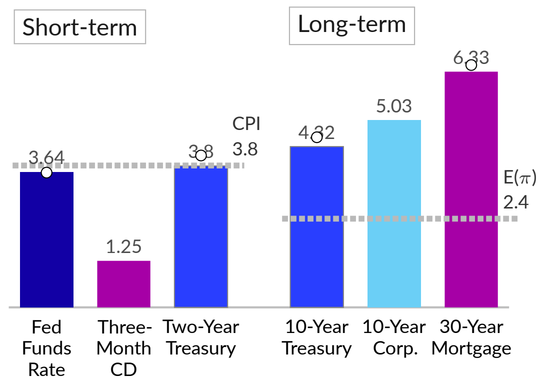
Interest rates influence the cost of borrowing and economic activity broadly, playing an important role in economic policy. Changes in rates affect borrowing costs, investment returns, asset prices, and exchange rates, all of which influence spending and demand.

Because of this broad influence, the Federal Reserve uses interest rates to manage economic conditions. **The Federal Reserve sets a base rate which affects rates throughout the economy**. Rates tend to move together in response to Federal Reserve policy, though the spread between different types is also important. The following chart compares recent rates for selected assets and markets.

In April 2026, the effective Federal Reserve overnight interest rate, known as the Fed Funds Rate, is 3.64 percent. Short-term treasury yields track this rate closely. Corporate bonds pay a risk premium over comparable treasuries.

Banks pay lower rates on deposits and charge higher rates for loans. The gap between the two is the bank profit margin on lending. Expected future changes in inflation also affect the premium or discount for longer-term borrowing.

Selected Interest Rates, April 2026
annual rate, percent



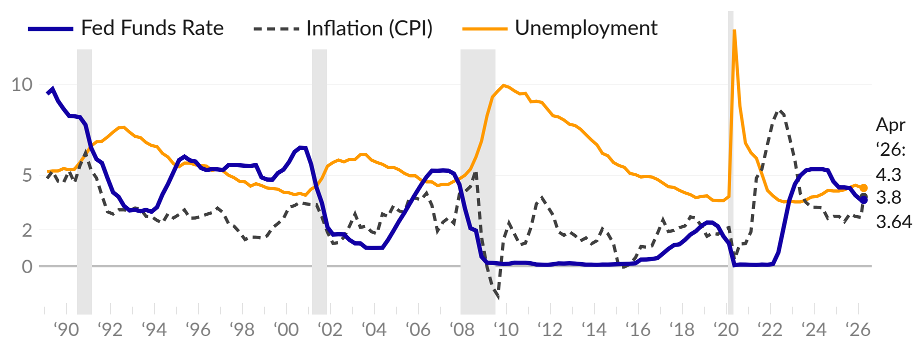
Source: Treasury, FDIC, Freddie Mac
More recent market data, from May 21, 2026, are available for some series (see o).

This subsection discusses interest rate policy, rates for various assets and markets, and related concepts including real interest rates, spreads, and the yield curve.

Federal Funds Rate

The Federal Reserve (Fed) has a congressional mandate to promote price stability and maximum employment. In practice, a Fed committee (the FOMC) determines the **federal funds rate**, the overnight interest rate used to influence other interest rates and the broader economy. Fed interest rate policy can aim to be neutral or to stimulate or slow the economy, in response to changes in unemployment and inflation.

Fed Funds Rate, Unemployment, and Inflation
annual rate, percent



Source: Federal Reserve, Bureau of Labor Statistics

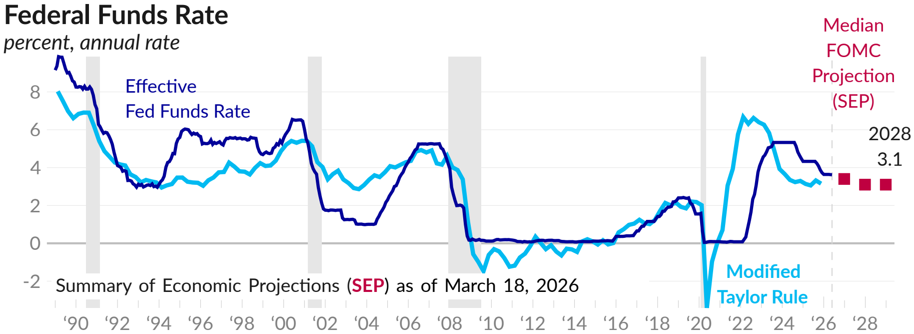
The FOMC has raised and lowered interest rates several times since 1989. Typically, rates are higher when inflation is above the two percent target, and rates are cut during economic recessions, to stimulate demand and boost employment.

Rules can be useful for interest rate policy. For example, former Fed Chairs Bernanke and Yellen used a variation of the **Taylor rule** to guide interest rate policy. The Taylor Rule, from economist John Taylor, sets the fed funds rate based on inflation and output. Policy rates are adjusted when inflation moves away from the target or output moves away from its stable potential. There are many formulations of the rule.

One formulation of the Taylor rule is shown below (see —), alongside the fed funds rate (see —). This version uses the core PCE inflation rate and puts more weight on the goal of maximum employment. During the pandemic, rules were less useful, as public health concerns took priority.

Federal Funds Rate

percent, annual rate



Source: FRBNY, BEA, BLS, Author's Calculations

FOMC meeting participants provide projections which can be used to summarize policy-maker views on the future path of the federal funds rate, as seen by the people who set it. As of March 18, 2026, the median projected federal funds rate is 3.4 percent for year-end 2026, 3.1 percent for 2027, and 3.1 percent for 2028 (see ■).

Treasuries

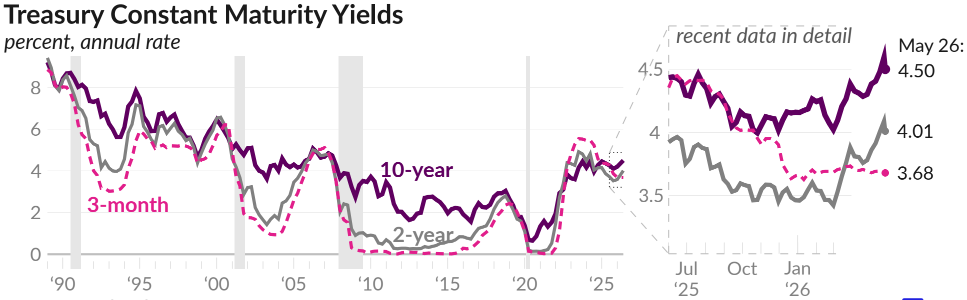
United States Treasury securities, or **treasuries**, are the asset created by federal government borrowing. The treasuries market is traditionally considered both very low-risk and highly liquid. As of April 2026, the public holds $30.7 trillion in marketable treasuries.

From the 1980s to 2021, treasury yields fell considerably. The annual yield on ten-year treasuries (see —) fell from 8.49 percent in 1989 to 0.65 percent in July 2020. As of May 26, 2026, ten-year treasury bonds yield 4.50 percent, an increase of 0.08 percentage point from the year prior.

Short-term treasuries more closely track the fed funds rate. Three-month bills (see —) returned an annual rate of 8.39 percent in 1989 but paid virtually no interest from 2009 to 2016. As of May 26, 2026, three-month treasuries yield 3.68 percent, a decrease of 0.68 percentage point from the year prior.

Treasury Constant Maturity Yields

percent, annual rate



Source: Federal Reserve

Selected US Treasury Rates

constant maturity yield, percent

				period averages					
	May 26, 2026	May 22, 2026	May 19, 2026	Apr 2026	May 2025	2019	2010 –'13	1998 –'00	1989
One-month	3.72	3.72	3.66	3.69	4.37	2.12	0.07	–	–
Three-month	3.68	3.68	3.67	3.70	4.36	2.11	0.08	5.23	8.39
Six-month	3.80	3.79	3.77	3.72	4.30	2.11	0.13	5.38	8.48
One-year	3.82	3.86	3.83	3.69	4.09	2.05	0.20	5.42	8.53
Two-year	4.01	4.13	4.13	3.80	3.92	1.97	0.43	5.61	8.57
Three-year	4.10	4.18	4.20	3.82	3.90	1.94	0.70	5.62	8.55
Five-year	4.19	4.27	4.32	3.94	4.02	1.95	1.35	5.62	8.50
Seven-year	4.33	4.41	4.50	4.12	4.22	2.05	1.93	5.76	8.52
Ten-year	4.50	4.56	4.67	4.32	4.42	2.14	2.54	5.65	8.49
Twenty-year	5.03	5.06	5.19	4.89	4.92	2.40	3.33	6.05	–
Thirty-year	5.03	5.07	5.18	4.91	4.90	2.58	3.63	5.80	8.45

Source: Federal Reserve

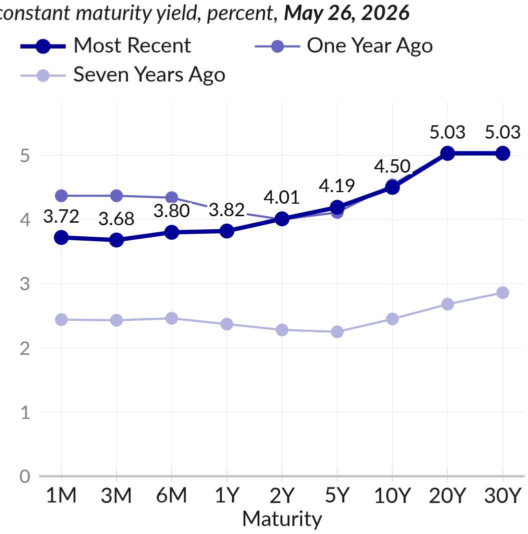
Yield Curve

The **yield curve** plots the interest rates of US Treasury bills and bonds from shortest to longest duration. It summarizes the term structure of interest rates—how much it costs to borrow for different periods of time—and is considered an indicator of how markets view short-term economic conditions relative to longer-term conditions.

The yield curve is normally upward sloping as investors expect to be compensated for lending for a longer period of time. The shape of the yield curve changes over time and is affected by several factors, including the term premium, Federal Reserve policy, and expectations about future inflation. The curve can become steeper, for example, if interest rates or inflation is expected to be higher in the future.

Treasury Yield Curve

*constant maturity yield, percent, **May 26, 2026***



Source: Federal Reserve

The yield curve can also become *inverted* when yields on shorter-term debt are higher than yields on longer-term debt. An inverted yield curve can signal worsening economic conditions. For example, short-term rates may exceed longer-term rates if the Federal Reserve is expected to lower interest rates in the future, or if inflation is expected to fall due to weakened economic conditions.

Since 1989, the US has entered into four recessions and the 10-year to 2-year segment of the yield curve has newly inverted six times. The most recent such inversion started on July 10, 2022.

Yield Spread

Another summary measure of the term structure of interest rates is the difference, or *spread*, between interest rates of treasuries with different maturities. **Yield spreads** can be used to track changes in the term structure of Treasuries over time.

As of May 26, 2026, the spread between a 10-year treasury bond and a three-month treasury bill is 0.82 percentage point (see —), compared to 0.00 percentage point one year prior. The spread between 10-year and 2-year treasuries (see —) is 0.49 percentage point on May 26, 2026, and 0.49 percentage point one year prior.

Treasury Yield Spreads
percentage points

Source: Federal Reserve

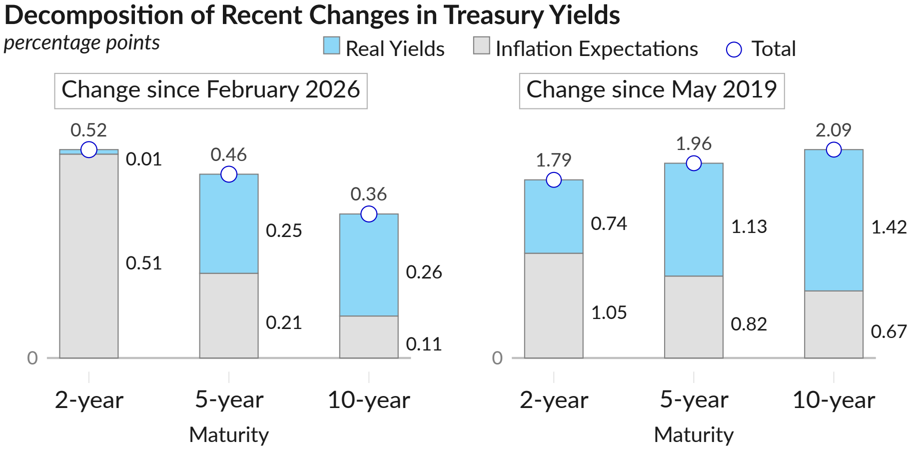
Changes in Treasury Yields

Changes in nominal treasury yields can be **decomposed into changes in expected inflation and changes in real yields**. Changes in real yields reflect changes in the expected path of the federal funds rate and the economic outlook. Federal Reserve Bank of Cleveland models identify inflation expectations across the term structure, which can be used to identify changes in real yields.

Over the three months ending May 2026, two-year treasury yields increased 0.52 percentage point, real yields increased 0.01 percentage point, and inflation expectations grew 0.51 point. Ten-year treasury yields increased 0.36 percentage point, real yields grew 0.26 point, and inflation expectations grew 0.11 point.

Over the seven years ending May 2026, the yield on two-year treasuries increased 1.79 percentage points, the real yield grew 0.74 point, and inflation expectations grew 1.05 points. For ten-year treasuries, the yield increased 2.09 percentage points, the real yield grew 1.42 points, and expected inflation increased 0.67 percentage point.

Decomposition of Recent Changes in Treasury Yields
percentage points

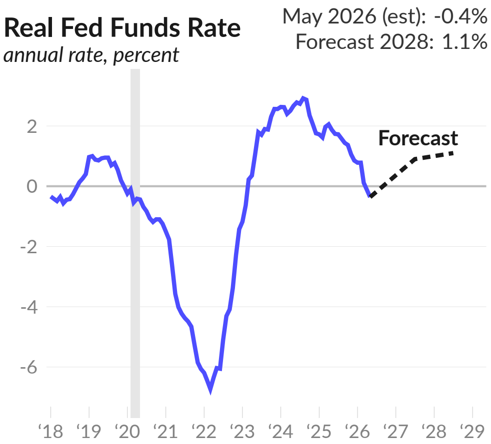


Latest data from model as of: May 2026
Source: Federal Reserve, Federal Reserve Bank of Cleveland

Real Interest Rates

Real interest rates, which are adjusted for inflation, offer insight into economic and financial conditions. Low real interest rates encourage borrowing and consumption and increase economic activity, while high real interest rates discourage borrowing and encourage saving.

Real Fed Funds Rate
annual rate, percent



Source: Federal Reserve, BEA, Cleveland Fed

To gauge the overall effect of Fed interest rate policy, the **real federal funds rate** is calculated as the effective fed funds rate minus the all-item PCE inflation rate. In April 2026, the real Fed funds rate is negative 0.1 percent (see —); the estimated rate for May is negative 0.4 percent.

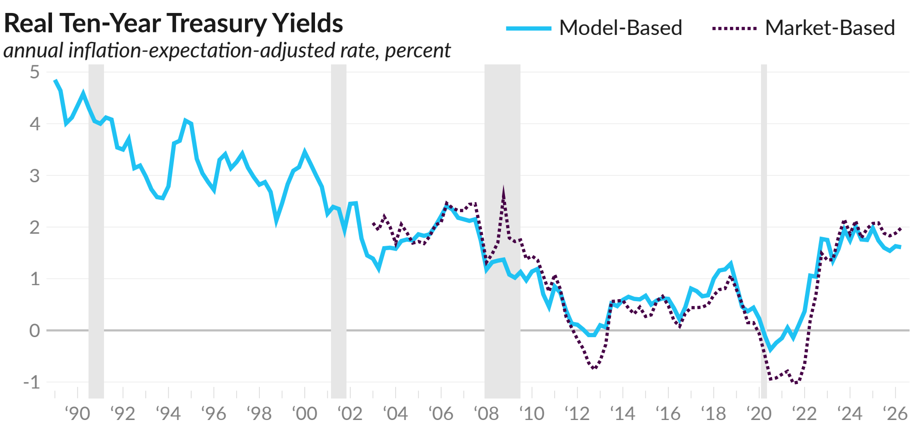
The Federal Reserve Board publishes a Summary of Economic Projections, which can be used to calculate the median board-member forecast for the real Fed funds rate. The March 18, 2026 forecast is 0.9 percent in 2027 and 1.1 percent in 2028 (see - -).

Next, two techniques identify real yields for longer-term treasury bonds. First, Treasury inflation-indexed securities are used as a proxy for the interest rate investors would charge for treasuries, without inflation. As of May 26, 2026, the real yield on ten-year treasuries is 2.10 percent (see ····), compared to 1.82 percent three months prior, in February, and 2.11 percent one year prior, in May 2025. Real yields averaged negative 0.76 percent during 2020–2021.

The market-based approach has limitations, as the market for inflation-protected Treasury bonds is relatively small and can be influenced by monetary policy. The Cleveland Fed model estimates real yields across the term structure, using a model based on treasury yields, inflation, and financial-market- and survey-based information.

The model-based real yield on ten-year treasuries is 1.63 percent, as of May 2026 (see —), and 1.67 percent in May 2025. Real ten-year treasury yields averaged 3.3 percent during the 1990s. From 2011 to 2016, real ten-year treasury yields averaged 0.4 percent.

Real Ten-Year Treasury Yields
annual inflation-expectation-adjusted rate, percent



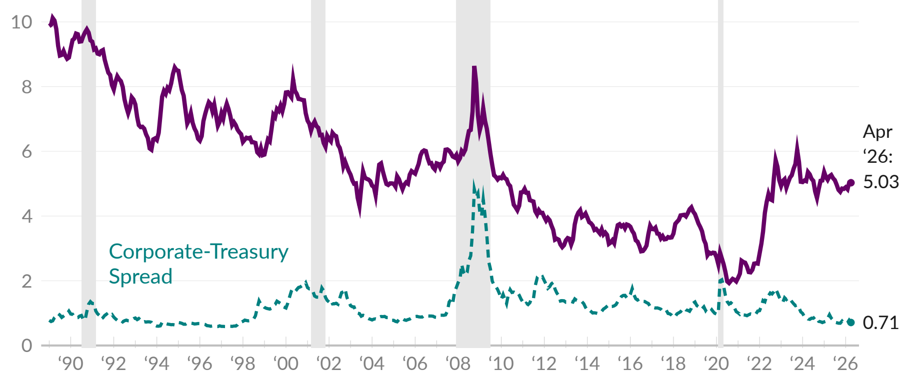
Source: Cleveland Fed, Federal Reserve

Corporate Bonds

The Treasury reports yields of **corporate bonds** based on the market-weighted average of bonds rated AAA, AA, and A. The yield on high-quality corporate bonds with 10 years to maturity is 5.03 percent in April 2026, following 5.03 percent in March (see —). One year prior, in April 2025, the yield was 5.23 percent, and in 2019, before the pandemic, it averaged 3.30 percent.

High-Quality Corporate Bonds, 10-Year

par yield, percent, and spread over 10-year treasury, percentage points, monthly averages



Source: Treasury, FRED

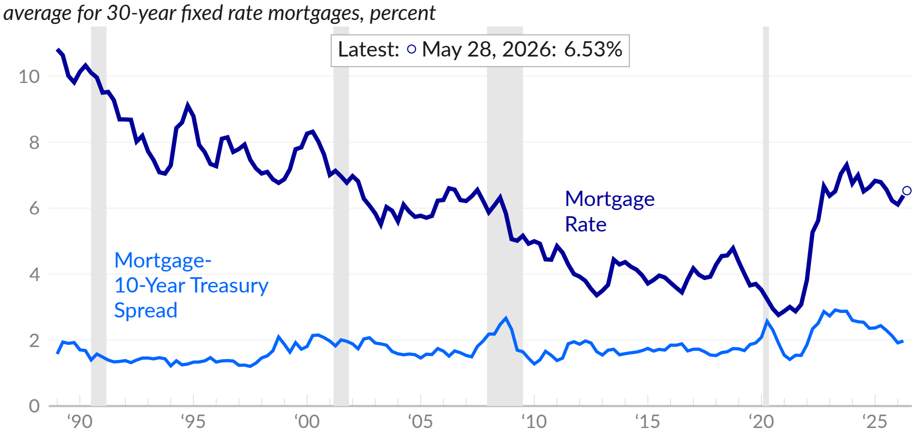
Mortgage Rates

The **mortgage rate** available to homebuyers affects housing markets, which in turn affects economic demand more broadly. As of May 28, 2026, the average 30-year mortgage rate is 6.53 percent, compared to 6.33 percent in April 2026, and 6.82 percent in May 2025 (see —). In 2021, the average rate was 2.96 percent.

Mortgage rates tend to move with other long-term interest rates. Since 1989, the spread between 30-year mortgages and 10-year treasuries averages 1.77 percentage points (see —). As of May 21, 2026, the spread is 1.94 percentage points.

Mortgage Rate and Spread

average for 30-year fixed rate mortgages, percent



Source: Freddie Mac, Fannie Mae, Treasury

Money and Monetary Policy

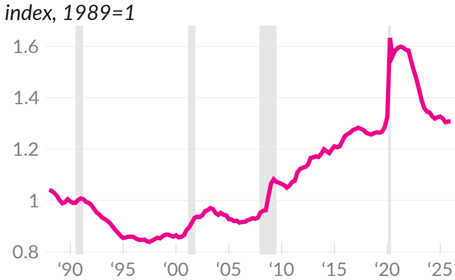
The Federal Reserve publishes data on the **money supply**. A broad measure of the amount of money, called M2, includes cash and deposits such as savings accounts and checking accounts, as well as time deposits smaller than $100,000, and retail accounts in money market funds.

In April 2026, the M2 money stock totals $22.9 trillion. Put into the context of overall economic activity, M2 is equivalent to 71.0 percent of GDP.

During the 1990s, the ratio of money to economic activity was falling (see —). Following the Great Recession, the money supply has expanded relative to activity. Since 1989, the ratio has increased by a total of 31.2 percent.

M2 to GDP Ratio

index, 1989=1



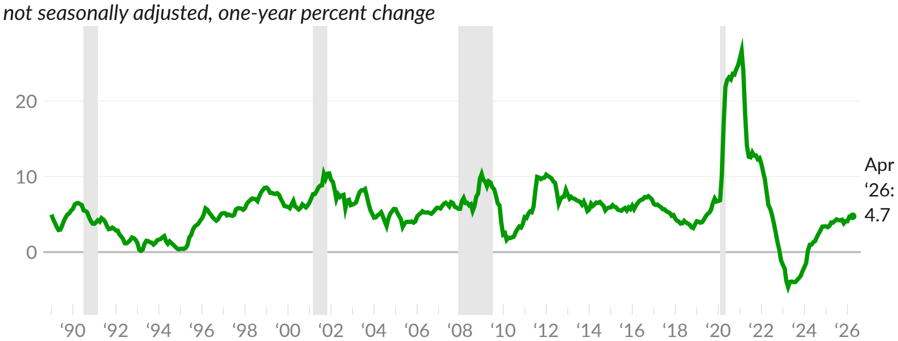
Source: Federal Reserve

A large increase in money holdings relative to economic activity can reflect a higher rate of saving, a larger government deficit, Federal Reserve asset purchases, or a shift in preferences toward liquid assets.

The M2 money stock increased 0.5 percent in April 2026, over the previous month, following increases of 1.3 percent in March and 0.3 percent in February. Over the past 12 months, the money stock increased 4.7 percent (see —). The M2 money stock has increased 56.4 percent, in total, over the past seven years.

M2 Money Stock Growth

not seasonally adjusted, one-year percent change



Source: Federal Reserve

Selected Money Stock Components

share of GDP, percent, not seasonally adjusted

	Apr 2026	Apr 2025	Apr 2024	Apr 2023	*annual average* 2019	2010	2000	1989
M2	71.0	72.2	72.7	76.1	69.0	57.5	46.8	54.1
Monetary Base	16.9	18.9	19.9	20.4	15.3	13.4	5.7	5.0
Currency	7.6	7.8	8.1	8.5	8.1	6.3	5.6	4.4
Reserve Balances	9.3	11.1	11.8	11.9	7.5	7.3	0.4	1.1
Demand Deposits	21.4	18.4	18.0	18.4	7.2	3.1	3.2	5.0

Source: Federal Reserve

Fed Asset Purchases

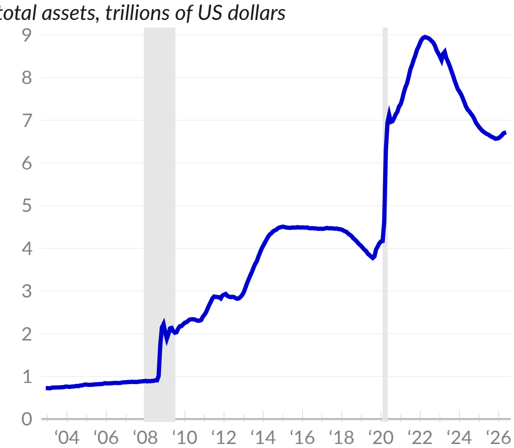
During periods where the Fed funds rate is at or near zero, the Fed has engaged in **large-scale asset purchases** to further ease financial conditions. These asset purchases show up on the Fed balance sheet, which is reported weekly.

In response to the collapse of the housing bubble, the Fed purchased US Treasury bonds and mortgage-backed securities. Total assets held by the Federal Reserve (see —) increased from $0.9 trillion in August 2008 to $2.2 trillion in November 2008. Additional rounds of asset purchases, referred to as quantitative easing, increased the balance sheet to $4.5 trillion by January 2014. The Fed replaced maturing bonds until balance sheet normalization began in October 2017. By August 2019, total assets fell below $3.8 trillion.

Balance sheet normalization ended in September 2019 when the Fed increased operations in overnight and term repurchase agreement (repo) markets, following a sharp increase in rates in these markets. The Fed balance sheet increased to $4.1 trillion by December 2019.

Federal Reserve Balance Sheet

total assets, trillions of US dollars



Source: Federal Reserve

During the COVID-19 pandemic, the Fed offered lending to businesses and currency swaps to major US trading partners, began to purchase corporate bonds, and expanded purchases of treasuries and mortgage-backed securities.

The Fed balance sheet increased from $4.2 trillion in February 2020 to $9 trillion in April 2022. As of the latest data, covering May 20, 2026, the Fed balance sheet is $6.7 trillion, or 20.6 percent of GDP. The Fed currently holds $4.5 trillion in Treasuries and $2.0 trillion in mortgage-backed securities.

Federal Reserve Assets

billions of US dollars

	May 20, 2026	May 13, 2026	Apr 22, 2026	May 21, 2025	May 22, 2024
Total (see —)	$6,713.6	6,728.5	6,707.4	6,688.7	7,299.6
US Treasury Securities	4,457.7	4,450.2	4,420.3	4,213.5	4,488.8
Mortgage-Backed Securities	1,977.7	1,981.1	1,993.3	2,169.3	2,368.2
Central Bank Liquidity Swaps	0.0	0.0	0.1	0.0	0.1
Repurchase Agreements	0.0	0.0	0.0	0.0	0.0
Loans	5.6	6.0	6.1	3.7	118.6
Payroll Protection Program	0.0	0.0	0.0	1.8	2.9
Net Unamortized Premium	190.9	191.5	192.7	215.7	242.0
Other	81.7	99.6	95.0	84.8	78.9

Source: Federal Reserve

Prices

Prices determine what a given income can buy, affecting quality of life and resource distribution. Researchers are interested in overall purchasing power, as well as the price of individual goods and services.

Overview and Target

To summarize changes in purchasing power, researchers create a representative "basket" of relevant goods and services, and then track changes in the basket, and changes in the price of the basket, over time. The result is a **price index**, used to calculate the inflation rate.

Inflation is typically calculated as the one-year percent change in a price index. This annual inflation rate measures how prices in a given month compare to prices during the same month, one year prior. The following table presents the one-year inflation rate for various price indices, each discussed in more detail later in the section.

Inflation Rate, Various Measures
one-year change, percent

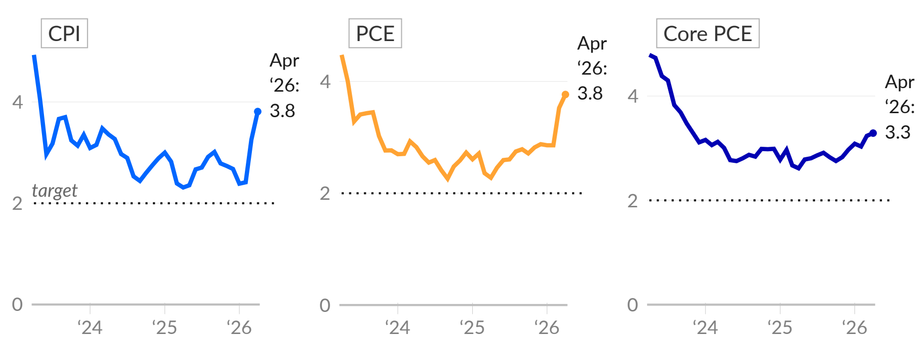
								period average	
	Apr '26	Mar '26	Feb '26	Jan '26	Apr '25	Apr '24	Apr '23	2017 –'19	since 2000
CPI, All Items	3.8	3.3	2.4	2.4	2.3	3.4	4.9	2.1	2.6
CPI, ex. Food & Energy	2.8	2.6	2.5	2.5	2.8	3.6	5.5	2.1	2.4
PPI, Final Demand	6.0	4.3	3.4	3.1	2.4	2.3	2.3	2.3	2.7
Imports Price Index	4.2	2.3	1.0	0.2	0.0	1.0	-4.9	1.6	1.8
Exports Price Index	8.8	5.4	3.8	2.5	1.9	-0.8	-6.0	1.6	1.9
PCE, All Items	3.8	3.5	2.9	2.9	2.3	2.8	4.5	1.7	2.2
PCE, ex. Food & Energy	3.3	3.2	3.0	3.1	2.6	3.0	4.8	1.7	2.1
PCE, Trimmed Mean	2.4	2.4	2.3	2.4	2.6	3.0	4.9	1.9	2.2

Source: BLS, BEA, Federal Reserve Bank of Dallas

Economists argue that some inflation is ideal. Inflation creates incentives to spend and invest, which sustain economic growth. Too much inflation, however, acts as a drag on the economy and creates hardship for people. The Federal Reserve's **two percent inflation target** balances stable prices with economic growth.

The next charts show inflation relative to the two percent target, using the Consumer Price Index (CPI) and Personal Consumption Expenditure (PCE) price index.

Inflation Rates and Target
one-year change, percent



Source: Bureau of Labor Statistics, Bureau of Economic Analysis
Core PCE excludes the more volatile food and energy categories

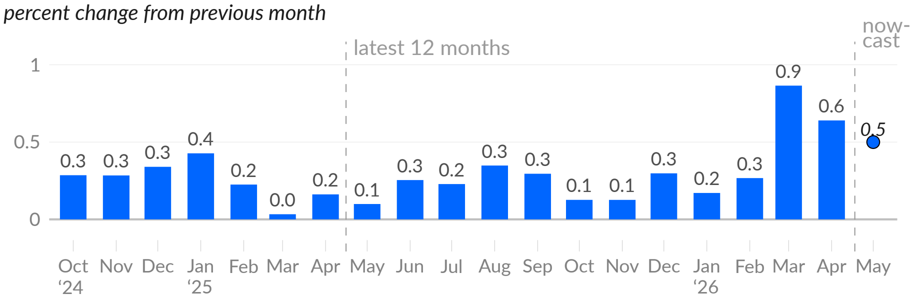
Monthly Inflation Rate

The one-year inflation rate is smoothed, relative to the one-month rate, by combining a full year of price changes. As such, most of the information contained in the one-year rate is known in advance. The **one-month rate** is useful for examining near-term trends, for example by eliminating distortion from unusual prices the year prior.

In April 2026, the one-month change in the consumer price index (CPI) is 0.6 percent (see ■), following 0.9 percent in March. The Cleveland Fed nowcasts current inflation by combining recent inflation data with current oil and gasoline prices. As of May 28, the May 2026 nowcast is 0.5 percent (see ●).

CPI One-Month Change

percent change from previous month

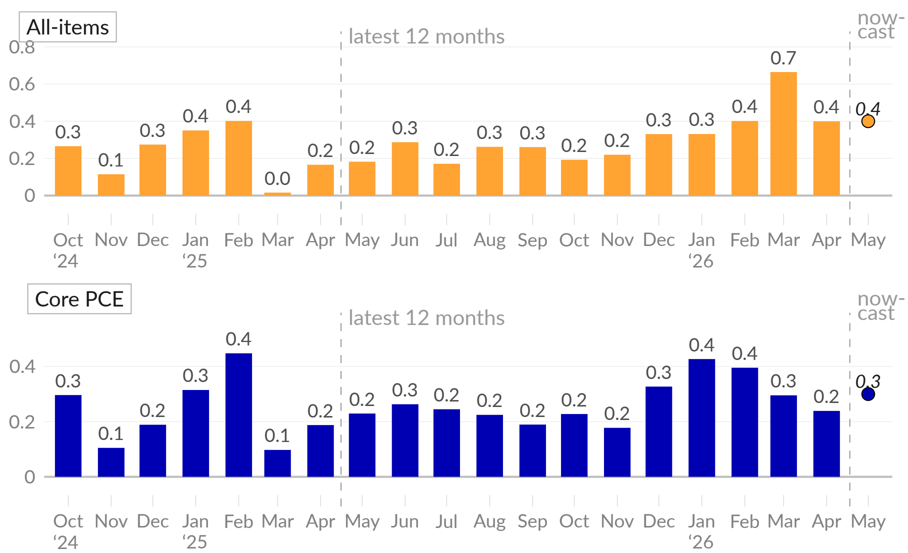


Source: Bureau of Labor Statistics, Federal Reserve Bank of Cleveland

In April 2026, the monthly change in the all-items PCE price index is 0.4 percent (see ■), following 0.7 percent in March. As of May 28, the Cleveland Fed nowcast for May 2026 is 0.4 percent (see ●). Core PCE inflation, which excludes food and energy, is 0.2 percent in April 2026, following 0.3 percent in March (see ■).

PCE Price Index One-Month Change

percent change from previous month



Source: Bureau of Economic Analysis, Federal Reserve Bank of Cleveland

A basic estimate for the next one-year inflation print combines the nowcast with the last 11 months. The above charts separate the latest 12 months of published data between two dashed lines. This 12-month group combines to create the widely used one-year inflation rate. Each month, one new bar is added to the group and one bar is dropped. One-year inflation is determined by whether the new bar is larger than the dropped bar.

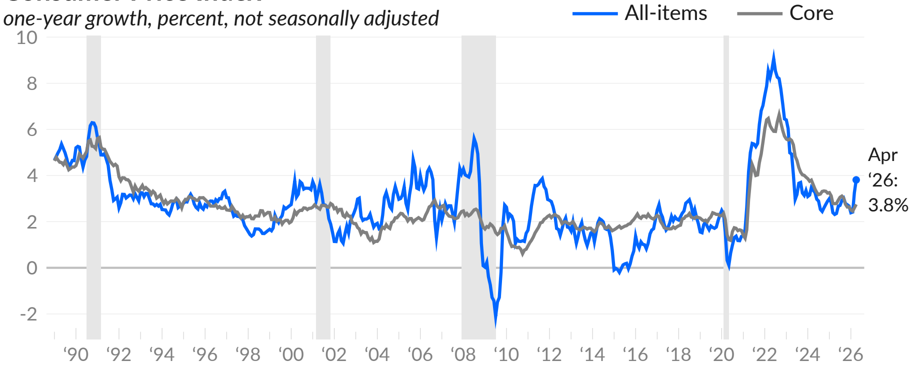
Consumer Price Index

The Consumer Price Index (CPI) measures changes in the price of goods and services purchased by urban households. The one-year change in the CPI is the most popular measure of inflation.

Consumer prices increased 3.8 percent over the year ending April 2026 (see —), according to the CPI. The core CPI, which does not include the more volatile food and energy prices, increased 2.8 percent over the same period (see —).

Consumer Price Index

one-year growth, percent, not seasonally adjusted



Source: Bureau of Labor Statistics

Recent changes in prices can be broad-based—derived from many prices changing at roughly the same rate—or narrow-based—driven by large changes in a subset of prices. Identifying each major spending category's **contribution to overall inflation** gives insight into whether inflation is broad-based and also into which groups of people face higher or lower rates of inflation.

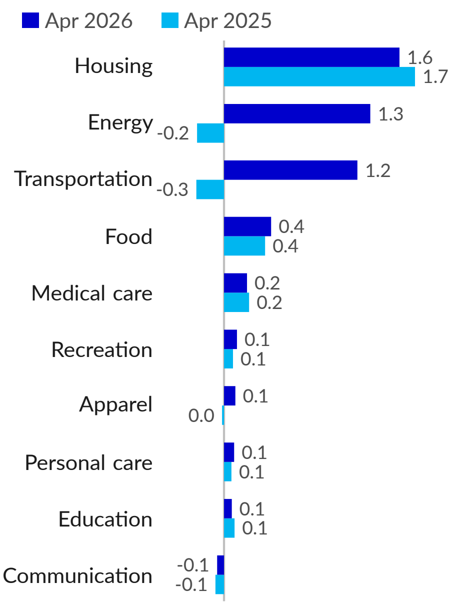
In April 2026, housing prices contributed 1.6 percentage points to the CPI one-year inflation rate of 3.8 percent, slightly below the category's April 2025 contribution of 1.7 percentage points.

The energy category makes up 6.4 percent of the CPI basket, but accounts for 35.1 percent of April 2026 inflation. Energy prices added 1.3 percentage points to April 2026 inflation, far above the year-prior subtraction of 0.2 percentage point. Transportation prices increased the inflation rate by 1.2 percentage points in the latest data, compared to a subtraction of 0.3 percentage point in April 2025.

Food prices increased the inflation rate by 0.4 percentage point in April 2026, in line with the year-prior contribution of 0.4 percentage point. Medical care prices make up 8.4 percent of the CPI basket and contributed 0.2 percentage point to overall inflation in the latest data, in line with a contribution of 0.2 percentage point one year prior.

Contribution to CPI Inflation

contribution to one-year CPI inflation rate
percentage points, not seasonally adjusted



Source: Bureau of Labor Statistics

The prices of some items are more volatile than others. Food and energy prices, for example, are sometimes separated from the rest of the CPI basket, called the *core*, because swings in food and energy prices are larger and more frequent.

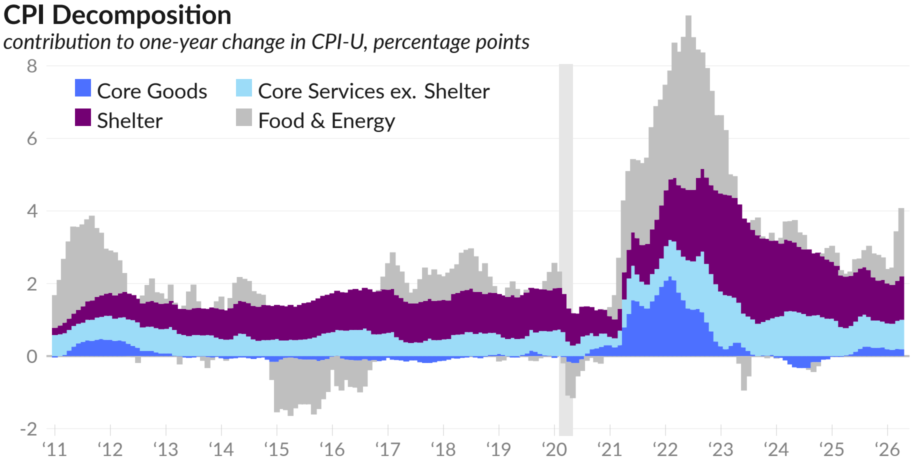
Core inflation can be broken down into core goods, core services other than shelter, and shelter. Core goods inflation was near zero from 2013 to 2020. Core goods prices are disproportionately affected by import prices and by changes in quality, for example from technological improvement. Core services inflation corresponds more closely with domestic wages. The cost of shelter, a major component of recent inflation, is affected by housing supply and construction.

In April 2026, core goods contributed 0.2 percentage point to the one-year non-seasonally adjusted CPI inflation rate of 3.8 percent (see ■), while core services excluding shelter contributed 0.8 percentage point (see ■). Shelter added 1.2 percentage points (see ■), and food & energy added 1.9 percentage points (see ■).

One year prior, in April 2025, the corresponding CPI inflation rate was 2.3 percent; core goods did not contribute, core services excluding shelter contributed 0.8 percentage point, shelter contributed 1.4 percentage points, and food and energy added 0.1 percentage point.

CPI Decomposition

contribution to one-year change in CPI-U, percentage points



Source: Bureau of Labor Statistics, Federal Reserve Bank of San Francisco

Relative Prices

Some prices increase faster or slower than others. Additionally, the basket of goods used to calculate the CPI is based on average spending patterns across individuals. At a given point, individuals may dedicate a large share of spending to certain categories or have no expenses at all in a category. For example, day care costs are paid generally only for a few years of a child's life and only some households contain day-care-age children. But within those households, day care is a large share of overall spending.

One-year inflation rates for different categories of goods and services, including some smaller categories, are captured in the following section and table. The table also shows cumulative price changes since February 2020, the last month of data before the COVID-19 pandemic shutdown in the US. Additionally, the weight that a category has in the overall index—the category's share of the basket of goods and services used to calculate the CPI—is included as the last column in the table. This weight comes from each category's share of overall consumer spending during the most recent reference period, and is updated by changes in prices since the reference period.

Housing prices increased 3.6 percent over the year ending April 2026, slightly above the pre-COVID rate of 2.9 percent (the average monthly rate during 2019). Medical care prices increased 2.5 percent; these prices grew at an average rate of 2.8 percent during 2019. Prices of food consumed at home (groceries) increased 2.9 percent in the year ending April 2026 compared to 0.9 percent during 2019.

Transportation prices increased 7.1 percent over the year ending April 2026, far above the pre-COVID 0.3 percent decrease. Energy prices increased 17.9 percent over the year, compared to an average 2.1 percent decrease in 2019. Energy prices are historically more volatile than other categories.

Selected CPI Categories

one-year growth, percent

	Apr '26	Mar '26	Feb '26	Apr '25	2019	Since Feb '20	Weight, Apr '26
All Items	3.8	3.3	2.4	2.3	1.8	28.7	100.0
All Items Less Food & Energy	2.8	2.6	2.5	2.8	2.2	25.6	79.014
Housing	3.6	3.4	3.3	4.0	2.9	32.2	44.045
Owners' Equivalent Rent	3.3	3.1	3.2	4.3	3.3	32.2	25.790
Rent of Primary Residence	2.8	2.6	2.7	4.0	3.7	31.4	7.704
Lodging Away from Home	4.6	2.6	-1.1	-1.4	3.0	24.1	1.455
Household Furnishings & Ops.	3.9	4.0	3.9	2.3	1.8	25.5	4.261
Household Energy	6.5	5.8	6.0	5.5	-0.4	47.0	3.410
Transportation	7.1	5.0	-0.5	-1.5	-0.3	40.4	17.243
New Vehicles	0.2	0.5	0.5	0.3	0.4	21.2	3.759
Used Cars & Trucks	-2.7	-3.2	-3.2	1.5	1.0	29.5	2.607
Gasoline (All Types)	28.4	18.9	-5.6	-11.8	-3.5	67.3	3.937
Public Transportation	13.7	10.2	5.0	-5.6	0.3	13.7	1.640
Medical Care	2.5	3.1	3.4	2.7	2.8	15.1	8.259
Professional Services	4.0	4.1	3.7	2.7	1.1	17.7	3.404
Hospital & Related Services	5.5	6.4	7.6	3.8	2.1	30.8	2.595
Health Insurance	-6.1	-5.3	-3.6	3.3	14.5	-20.9	0.832
Food	3.2	2.7	3.1	2.8	1.9	33.1	13.512
Food at Home	2.9	1.9	2.4	2.0	0.9	31.5	8.234
Food Away from Home	3.6	3.8	3.9	3.9	3.1	35.8	5.277
Full-Service	3.8	4.3	4.6	4.3	3.2	35.0	2.337
Limited-Service	3.2	3.2	3.2	3.4	3.1	39.1	2.643
Recreation	2.3	2.2	2.3	1.6	1.3	17.9	5.048
Communication	-2.0	-2.2	-2.2	-2.3	-0.9	-2.7	3.156
Wireless Telephone Services	-3.7	-3.6	-4.3	-0.3	-2.5	-2.4	1.308
Internet Services	2.3	2.3	3.3	-2.9	1.5	10.6	0.904
Education	2.8	2.8	2.8	3.8	2.7	17.1	2.540
College Tuition & Fees	2.0	2.0	2.0	2.3	2.9	10.7	1.317
Day Care & Preschool	4.0	4.0	3.7	5.4	2.8	28.1	0.685
Apparel	4.2	3.4	2.5	-0.7	-1.3	11.0	2.483
Personal Care	3.8	3.1	4.5	2.8	1.3	26.5	2.442

Source: Bureau of Labor Statistics

Turning to one-month growth, the core CPI, which excludes food and energy, increased 0.4 percent in April 2026, or 4.6 percent annualized, substantially above the one-year core CPI inflation rate of 2.7 percent. The core CPI increased 0.2 percent in March, and increased 0.2 percent in February.

In April, housing prices increased 0.7 percent (8.7 percent annualized). Over the past three months, housing prices increased at an average annualized rate of 5.4 percent, substantially above the 12-month rate of 3.6 percent. Food prices increased 0.5 percent in April, or 6.2 percent, annualized, compared to a three-month average of 3.6 percent.

Transportation prices increased at an annualized rate of 17.3 percent in April, and increased at an average annualized rate of 28.4 percent over the past three months. Energy prices increased at an annualized rate of 56.6 percent in April, and increased at an average annualized rate of 103.2 percent over the past three months.

Selected CPI Categories, Monthly Rate

one-month growth, percent, seasonally adjusted

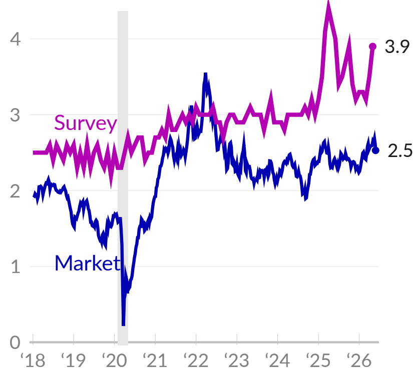
	Apr '26	Mar '26	Feb '26	Jan '26	Dec '25	Nov '25	May '25	Apr '25
All Items	0.6	0.9	0.3	0.2	0.3	0.1	0.1	0.2
All Items Less Food & Energy	0.4	0.2	0.2	0.3	0.2	0.1	0.1	0.2
Housing	0.7	0.3	0.3	0.2	0.4	0.2	0.3	0.4
Owners' Equivalent Rent	0.5	0.3	0.2	0.2	0.3	0.2	0.3	0.3
Rent of Primary Residence	0.5	0.2	0.1	0.2	0.3	0.1	0.2	0.3
Lodging Away from Home	2.4	0.2	1.0	-0.1	2.2	-0.5	-0.1	0.6
Household Furnishings & Ops.	0.7	0.2	0.3	-0.1	-0.4	0.5	0.3	0.8
Household Energy	1.8	1.2	0.5	0.0	0.9	0.7	0.5	1.1
Transportation	1.3	4.3	0.2	-0.3	0.0	0.1	-0.6	-0.4
New Vehicles	-0.2	0.1	0.0	0.1	0.0	0.2	-0.3	0.1
Used Cars & Trucks	0.0	-0.4	-0.4	-1.8	-0.9	0.1	-0.6	-0.5
Gasoline (All Types)	5.4	21.2	0.8	-3.2	-0.3	2.7	-2.1	-2.4
Public Transportation	1.6	1.5	0.9	4.0	3.2	-1.5	-2.3	-1.5
Medical Care	-0.1	-0.2	0.5	0.3	0.4	0.1	0.3	0.4
Professional Services	0.2	0.5	0.6	0.8	0.3	0.1	0.0	0.3
Hospital & Related Services	-0.3	0.2	0.9	1.0	0.9	0.3	0.4	0.5
Health Insurance*	-0.4	-1.4	-1.1	-1.0	-1.1	-1.5	0.2	0.4
Food	0.5	0.0	0.4	0.2	0.7	0.0	0.3	0.0
Food at Home	0.7	-0.2	0.4	0.2	0.6	-0.1	0.3	-0.2
Food Away from Home	0.2	0.2	0.3	0.1	0.7	0.2	0.3	0.4
Full-Service	0.1	0.3	0.3	0.0	0.8	0.3	0.3	0.6
Limited-Service*	0.4	0.2	0.3	0.3	0.6	0.2	0.3	0.3
Recreation	0.1	0.0	0.0	0.5	1.2	-0.2	0.0	0.0
Communication	-0.2	0.1	-0.5	0.5	-1.9	0.3	-0.1	-0.4
Wireless Telephone Services*	0.0	0.6	0.0	-0.3	-3.3	1.1	-0.2	0.1
Internet Services	-1.4	-0.7	1.0	1.8	-0.7	0.4	-0.1	-1.5
Education	0.2	0.3	0.2	0.2	0.2	0.2	0.3	0.2
College Tuition & Fees	0.2	0.2	0.1	0.5	0.0	0.2	0.1	0.2
Day Care & Preschool	0.4	0.6	0.3	-0.5	0.4	0.2	0.6	0.3
Apparel	0.6	1.0	1.3	0.3	0.3	-0.2	-0.3	-0.1
Personal Care	0.7	-0.5	-0.2	1.2	0.3	0.2	0.4	0.0

Source: Bureau of Labor Statistics; *not seasonally adjusted

Inflation Expectations

Researchers estimate expected inflation through **surveys** and through **market data**. One market-based measure is the inflation breakeven, calculated as the difference in yield between a nominal treasury bond and a treasury inflation-protected bond of the same maturity. This difference is the inflation markets have priced in, on average, over the maturity of the bond. Surveys ask how much inflation consumers expect.

Five-Year Expected Inflation
expected average annual rate, percent



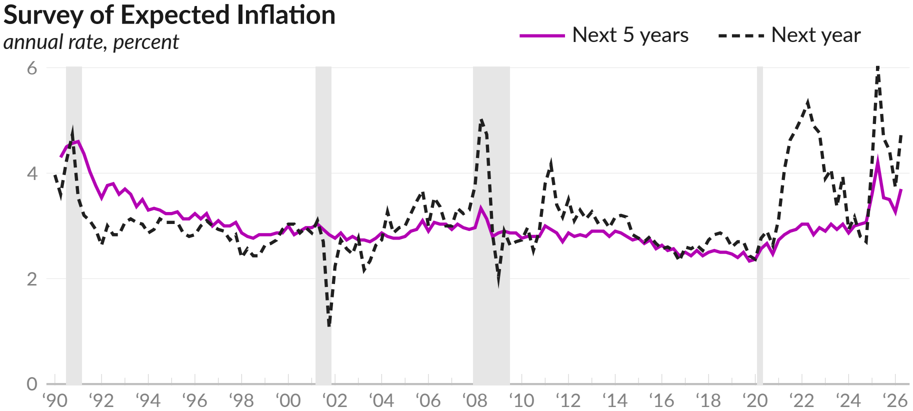
Source: FRED, U. of Michigan

As of May 2026, surveyed consumers expect inflation to average 3.9 percent over the next five years (see —), compared to an expected rate of 4.2 percent in May 2025. Consumers had expected inflation to average 3.0 percent over the past five years, while actual inflation over the period was 4.5 percent.

As of May 27, 2026, markets expect an average inflation rate of 2.5 percent over the next five years (see —), compared to an expected rate of 2.4 percent on May 23, 2025. Five years ago, markets had expected inflation to average 2.7 percent per year over the following five years.

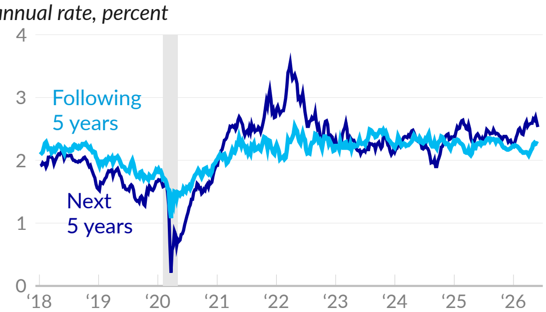
Both survey- and market-based estimates of expected inflation distinguish between near-term inflation and expected medium-term inflation. The survey-based measure asks about inflation over the next year. Respondents expect consumer prices to increase 4.8 percent over the year starting May 2026 (see - -).

Survey of Expected Inflation
annual rate, percent



Source: University of Michigan

Market Expected Inflation
annual rate, percent



Source: FRED

Finally, the market-based measure can be used to calculate expected inflation over the five years starting five years from now (see —).

Over this five-year period, markets suggest 2.2 percent inflation per year, as of May 27, 2026. Inflation rates in the near term are therefore expected to exceed inflation rates in the longer term.

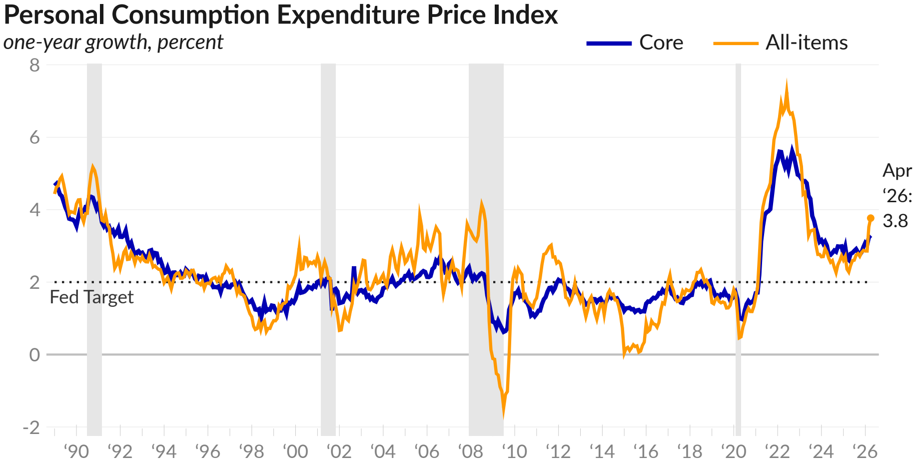
PCE Price Index

The Personal Consumption Expenditure (PCE) price index from the Bureau of Economic Analysis captures not only changes in the prices of goods and services but also monthly shifts in consumer behavior. Unlike the CPI, which is reweighted annually, the weight of each item in the PCE price index is adjusted monthly to match actual consumer spending. Additionally, the index is regularly updated to incorporate the latest methodologies.

As of April 2026, **PCE inflation**, measured as the one-year percent change in the overall index, is 3.8 percent (see —), compared to 3.5 percent in March, and 2.3 percent in April 2025. Core PCE inflation, which excludes food and energy, is 3.3 percent in April 2026 (see —), 3.2 percent in March, and 2.6 percent in April 2025.

Personal Consumption Expenditure Price Index

one-year growth, percent



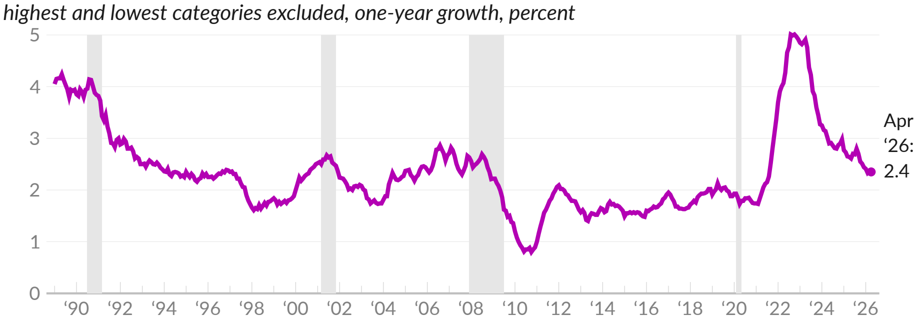
Source: Bureau of Economic Analysis

The Federal Reserve Bank of Dallas publishes a variation of the PCE price index called the trimmed-mean index. The most volatile categories in the current month's index are removed, or *trimmed*, to smooth the data. As a result, the most extreme categories, which vary from month-to-month, do not affect inflation rates calculated using the trimmed-mean index.

The trimmed-mean PCE price index increased 2.4 percent over the year ending April 2026 (see —). By excluding top and bottom categories, the trimmed-mean rate is 1.42 percentage points below the all-items PCE rate. In April 2025, the trimmed-mean inflation rate was 2.6 percent, 0.36 percentage point above the all-items rate. From 2017 to 2019, the trimmed-mean rate averaged 1.9 percent, 0.12 percentage point above the all-items rate.

Personal Consumption Expenditure Price Index, Trimmed Mean

highest and lowest categories excluded, one-year growth, percent



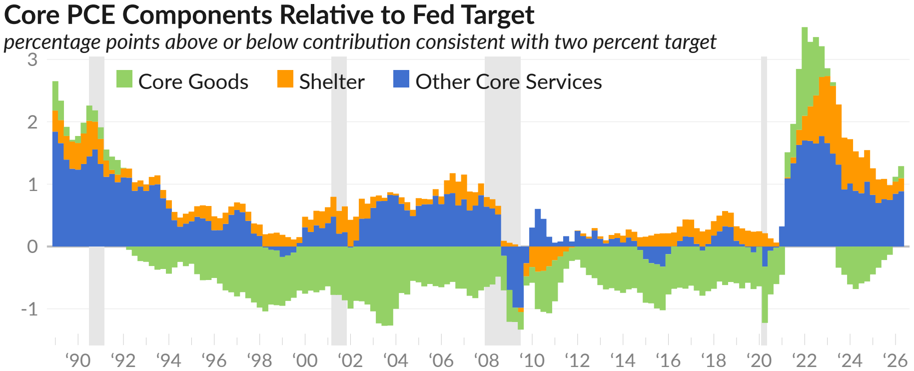
Source: Federal Reserve Bank of Dallas

Prices in individual spending categories can increase faster or slower than the Fed target rate of two percent. The next chart compares the one-year price change in major categories of spending to the price change consistent with two percent inflation. Consumer spending, excluding food and energy, is grouped into core goods (see ■), shelter (see ■), and other core services (see ■). Positive values are above target; negative values are below target.

In April 2026, core PCE inflation is 1.3 percentage points above target. Shelter adds 0.21 percentage point to the gap between actual inflation and target inflation. Other core services add 0.89 percentage point, and core goods add 0.19 point. One year prior, in April 2025, shelter added 0.40 percentage point, other core services added 0.66 point, and core goods subtracted 0.44 point.

Core PCE Components Relative to Fed Target

percentage points above or below contribution consistent with two percent target



Source: BEA, Author's Calculations

Destination of Inflation

Inflation redistributes resources, creating winners and losers. Corporate accounting data reveals where recent price increases have gone compared with the past. The next chart compares the destination of inflation during 1989–2019 (see ■) and from 2020 onward (see ■).

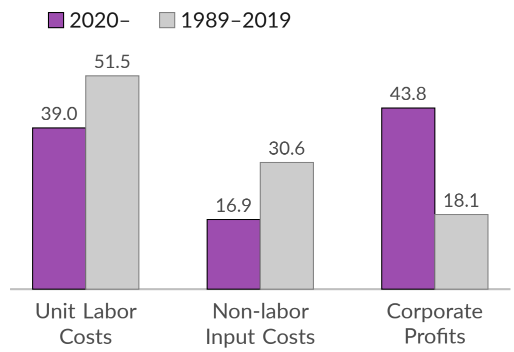
When corporations raise prices, the added revenue flows to one of three places: higher wages, non-labor input costs (materials, equipment, energy), or corporate profits. In the past, economists associated inflation with higher unit labor costs, as workers were more likely to have contractual cost of living adjustments through unions.

From 1989 to 2019, more than half of corporate price increases went toward unit labor costs—only 18.1 percent went to corporate profits. Non-labor input costs claim a little less than a third of the higher prices.

In the recent period, more of the increase goes to corporate profits. Since 2020, 43.8 percent of corporate price increases become corporate profits. Labor gets 39.0 percent of the increase. Non-labor input costs claim 16.9 percent of the total.

Destination of Corporate Price Increases

share of total, percent



Source: BEA

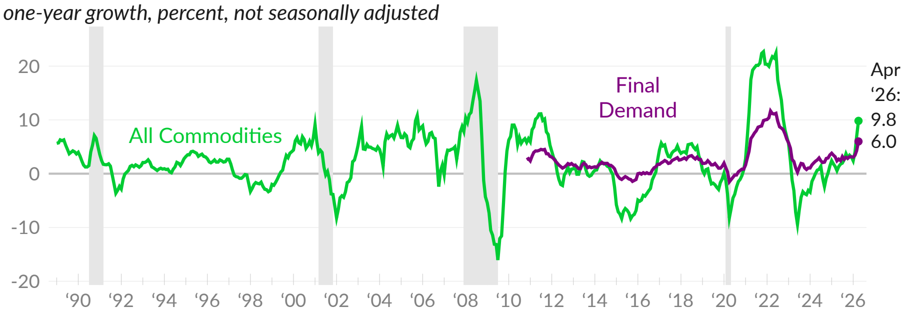
Producer Prices

The Bureau of Labor Statistics reports **prices producers receive**. The goods-only producer price index (PPI) for all commodities (see —) increased 9.8 percent over the year ending April 2026, far above the 12-month growth rate of 0.6 percent in April 2025. The index for final demand goods, services, and construction increased six percent over the year ending April 2026 (see —).

Note that the all commodities index includes goods at various stages of production and can count inflation multiple times for the same goods. As a result, this measure can send an exaggerated inflation signal.

Producer Price Index

one-year growth, percent, not seasonally adjusted

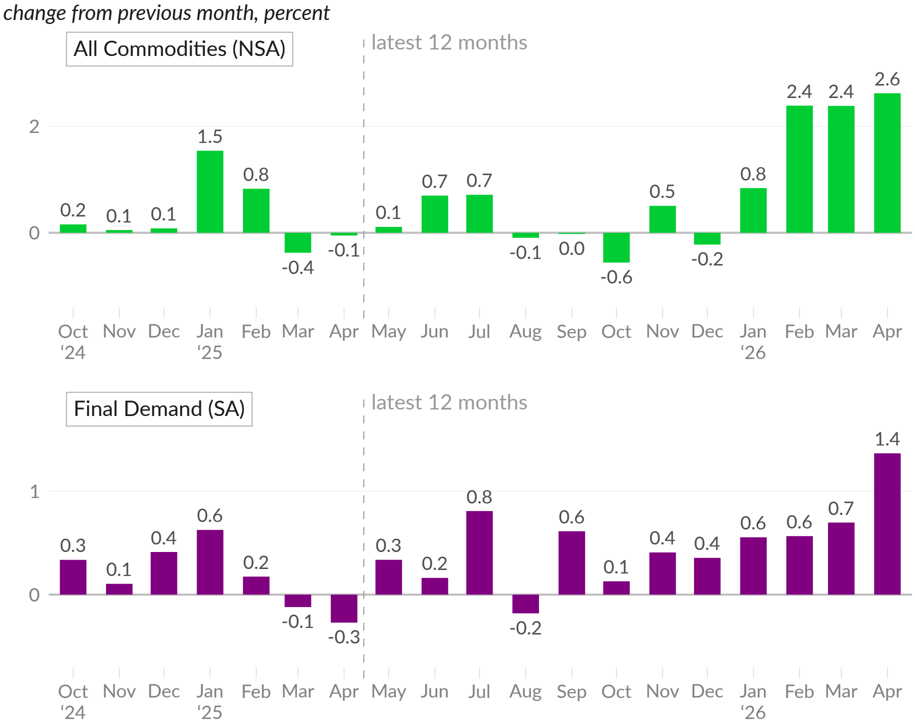


Source: Bureau of Labor Statistics

The one-month change in producer prices highlights recent trends. Producer final demand prices increased 1.4 percent in April 2026 (see ■), following increases of 0.7 percent in March and 0.6 percent in February. The all commodities index increased 2.6 percent (see ■) in April 2026 and increased 2.4 percent in March.

PPI One-Month Growth

change from previous month, percent



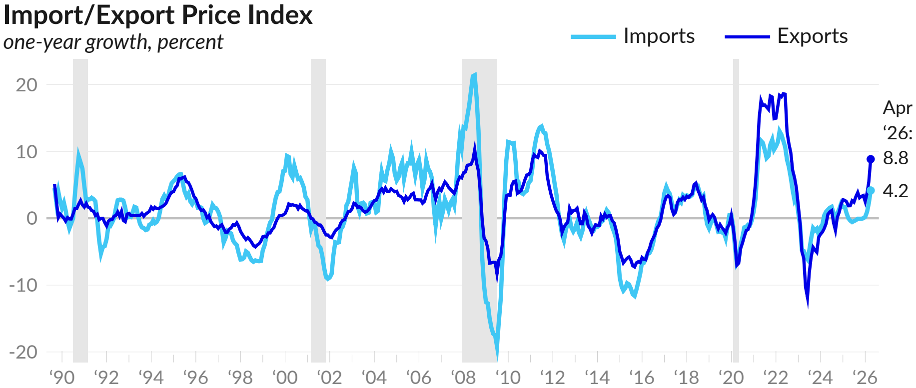
Source: Bureau of Labor Statistics

Import and Export Prices

The Bureau of Labor Statistics reports changes in the prices of imports and exports. Over the year ending April 2026, **US import prices** grew 4.2 percent (see —), following increases of 2.3 percent in March and one percent in February. Excluding fuels, US import prices increased 2.9 percent in April 2026 and grew 2.4 percent in March. In 2019, US import prices decreased at an average rate of 1.3 percent. Excluding fuels, import prices decreased at an average rate of 1.1 percent in 2019.

Prices of US exports grew 8.8 percent over the year ending April 2026 (see —), following increases of 5.4 percent in March and 3.8 percent in February. In 2019, export prices decreased at an average rate of 0.8 percent.

Import/Export Price Index
one-year growth, percent



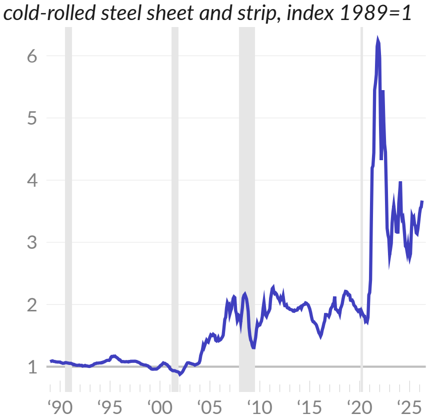
Source: Bureau of Labor Statistics

Commodity Prices

Commodities can have macroeconomic importance. Oil, which is a major input to production and transportation, has a particularly volatile history. Commodity prices can also send a signal to domestic producers. Higher prices encourage more production and lower prices discourage production.

Two important commodities for the construction and manufacturing industries are lumber and steel. From the producer price index, cold-rolled steel sheet and strip prices (see —) have increased 7.5 percent over the year ending April 2026, and increased 92 percent total since December 2019. Lumber prices (see —) increased two percent over the year ending April 2026, and increased 33.4 percent total since 2019.

Steel
cold-rolled steel sheet and strip, index 1989=1



Lumber
lumber and wood products, index, 1989=1

Source: Bureau of Labor Statistics

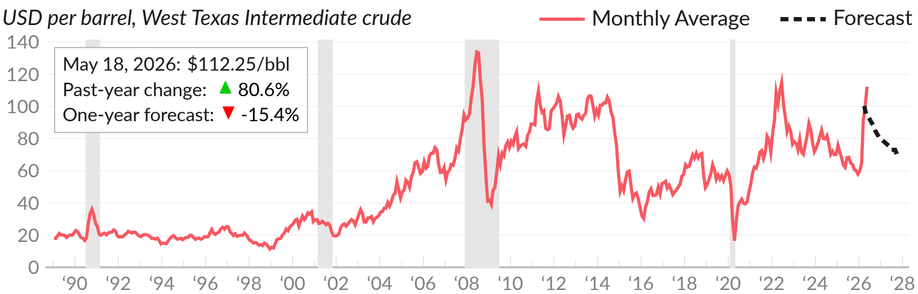
Crude Oil

On May 18, 2026, the current market price for a barrel of west Texas intermediate (WTI) **crude oil** is $112.25 (see —), the highest level since June 2022. This price increased 80.6 percent over the past year, and increased 72.2 percent over the past five years. The WTI price is currently $22 below its peak monthly average price of $134 per barrel in June 2008.

As of May 7, 2026, the EIA forecasts oil prices will decrease to $70 per barrel in December 2027 (see - -).

Oil Price

USD per barrel, West Texas Intermediate crude



Source: Energy Information Administration

Gasoline

On May 25, 2026, the US average price for a gallon of **gasoline** is $4.61 (see —), the highest level since July 2022, a decrease of $0.02 from the week prior. This gas price measure, which is the average across formulations, grades, and locations, was $3.29 one year prior, and averaged $2.69 in 2019. During 2011–2013, the average gas price was $3.61.

Gasoline Price

dollars per gallon, all grades

Source: Energy Information Administration

Gold

As of May 27, 2026, one ounce of **gold** sells for $4,487 (see —), compared to an average of $3,281 one year prior. Following the Great Recession, the monthly average price of gold reached $1,781 per ounce, in September 2011. In February 2026, the average monthly price reached $5,012 per ounce.

Gold Price

USD, monthly average and latest value

Source: London Bullion Market Association

Acknowledgments

This chartbook benefits from particularly helpful feedback on earlier versions from Gabriel Mathy, Iordan Koulov, Lara Merling, Kevin Cashman, and Rebecca Watts.

Additionally, the chartbook benefits immensely from other researchers who have shared their work in the public domain or provided me with guidance, including: Dean Baker, Matt Bruenig, Eileen Appelbaum, John Schmitt, Mark Weisbrot, Ben Zipperer, Alberto Rodelgo, Yevgeniya Korniyenko, Magali Pinat, Robert Blecker, Teasri Thiruvadanthai, Rainer Köhler, Gersenda Varisco, Venkat Josyula, Tom Augspurger, Claudia Sahm, Mike Sieferling, Andrew Paciorek, David Dorn, Skanda Amarnath, Josh Bivens, Ernie Tedeschi, Brad Setser, Joseph Politano, Arin Dube, Valerie Wilson, Mike Konczal, J.W. Mason, and Vikas Sharma.

Glossary

aggregate demand — The total demand for all goods and services in an economy at a given time. It combines spending by consumers, businesses, the government, and foreign buyers.

annualized / annualized rate — A way of expressing a short-term change (such as monthly or quarterly) as if it continued for a full year. For example, if GDP grew 0.5% in one quarter, the annualized rate would be about 2%—the growth you'd see if that pace held for four quarters.

average hourly earnings (AHE) — The average amount workers earn per hour, calculated from employer payroll data. This measure helps track wage growth but can be misleading when the mix of jobs changes (e.g., if low-wage workers lose jobs, the average rises even without anyone getting a raise).

BEA (Bureau of Economic Analysis) — A federal agency within the Commerce Department that produces official statistics on the U.S. economy, including GDP, personal income, and international trade data.

business cycle — The recurring pattern of expansion and contraction in economic activity over time, typically measured by changes in real GDP. A full cycle includes periods of growth followed by recession.

capital flows — The movement of money across national borders for investment purposes, such as foreigners buying U.S. stocks or Americans investing in overseas factories.

capital gains — The profit earned when an asset (like a stock or house) is sold for more than its purchase price. Capital gains are typically taxed at lower rates than regular income.

composition effect — A statistical phenomenon where changes in average wages can be influenced by shifts in who is working, not just changes in individual pay. For example, if many low-wage workers lose their jobs during a recession, the average wage may rise even though no one received a raise—simply because the remaining workforce skews toward higher earners.

consumer spending — The total amount of money households spend on goods and services. It is the largest component of GDP in the United States, typically accounting for about two-thirds of economic activity.

contribution to GDP growth — The portion of overall GDP growth attributable to a specific component (like consumer spending or business investment). If GDP grew 3% and consumer spending contributed 2 percentage points, that means consumer spending alone would have produced 2% growth.

core inflation — A measure of inflation that excludes food and energy prices, which tend to be volatile. Economists use core inflation to identify underlying price trends without the noise of short-term swings in gas or grocery prices.

corporate profits — The earnings companies have left after paying their costs, including wages, materials, and interest. This measure helps gauge business health and can signal future hiring or investment.

CPI (Consumer Price Index) — A measure of the average change over time in the prices paid by consumers for a basket of common goods and services, such as food, housing, and transportation. It is one of the most widely used measures of inflation.

CPS (Current Population Survey) — A monthly survey of about 60,000 households conducted by the Census Bureau and Bureau of Labor Statistics. It provides the official unemployment rate and other labor market data based on asking people directly about their work status.

current account (international) — A measure of a country's transactions with the rest of the world, including trade in goods and services, investment income, and transfers like remittances. When outflows exceed inflows, the country runs a current account deficit. The U.S. current account deficit is driven primarily by its trade deficit, but also reflects income paid to foreign investors.

debt-to-income ratio — The percentage of a person's or household's income that goes toward paying debts. A ratio of 30% means 30 cents of every dollar earned goes to debt payments.

deflated — Adjusted to remove the effects of inflation, allowing for meaningful comparisons of economic values across different time periods. Also referred to as being expressed in "real" or "constant" dollars.

depreciation — The decline in value of an asset over time due to wear, age, or obsolescence. In the context of currency, it refers to a decrease in a currency's value relative to other currencies.

discretionary spending — Government spending that Congress decides on each year through the appropriations process, as opposed to mandatory spending (like Social Security) that continues automatically. It includes defense, education, and transportation.

disposable personal income — The amount of money households have available for spending or saving after paying taxes. It is calculated as total personal income minus personal taxes.

durable goods — Products designed to last three years or more, such as cars, appliances, and furniture. Spending on durable goods tends to fluctuate more than spending on other goods during the business cycle.

ECI (Employment Cost Index) — A quarterly measure of how much employers pay for labor, including both wages and benefits. Unlike average hourly earnings, the ECI holds the mix of jobs constant, giving a cleaner picture of whether compensation is actually rising.

economic expansion — A period when the economy is growing—GDP is rising, jobs are being added, and business activity is increasing. Expansions end when a recession begins.

economic growth — An increase in the production of goods and services in an economy over time, typically measured as the percentage change in real GDP.

employment rate (also called employment-to-population ratio) — The percentage of the working-age population (usually ages 16 and older) that is employed. Unlike the unemployment rate, this measure captures people who have stopped looking for work.

equity — Ownership value in an asset after subtracting what is owed. For a home worth $400,000 with a $250,000 mortgage, the equity is $150,000. For stocks, equity represents ownership shares in a company.

establishment survey — A monthly survey of about 630,000 business locations that provides data on jobs, hours, and earnings. It produces the widely reported nonfarm payrolls number and is considered more reliable for job counts than the household survey.

exchange rate — The price of one country's currency expressed in terms of another country's currency. For example, if one U.S. dollar equals 0.85 euros, that is the dollar-to-euro exchange rate.

Fed Funds Rate — The interest rate banks charge each other for overnight loans. The Federal Reserve targets a range for this rate as its main tool for influencing the economy—lowering it to encourage borrowing and spending, raising it to cool inflation.

Federal Reserve — The central bank of the United States, responsible for conducting monetary policy, supervising banks, and maintaining financial stability. Often called "the Fed."

financial accounts — A comprehensive record of the assets, liabilities, and net worth of all sectors in the economy—households, businesses, government, and the rest of the world. These accounts track who owns what and who owes what to whom. Also called the "flow of funds."

fiscal stimulus — Government actions to boost the economy through increased spending or tax cuts. During recessions, stimulus puts money in people's pockets to encourage spending and support businesses.

fiscal year — A 12-month period used for government accounting and budgeting purposes. The U.S. federal fiscal year runs from October 1 through September 30.

FOMC (Federal Open Market Committee) — The Federal Reserve committee that sets interest rate policy. It meets eight times a year and includes the Fed's Board of Governors plus regional Fed bank presidents.

GDP (Gross Domestic Product) — The total market value of all goods and services produced within a country during a specific period, usually a year or quarter. It is the most commonly used measure of an economy's size.

GDPNow — A real-time estimate of U.S. economic growth published by the Federal Reserve Bank of Atlanta. Unlike official GDP figures, which are released quarterly with a delay, GDPNow updates frequently as new economic data becomes available, giving an early read on how the economy is performing.

government deficit — The amount by which government spending exceeds government revenue in a given period. When the government collects more than it spends, it has a surplus.

Great Recession — The severe economic downturn from December 2007 to June 2009, triggered by the housing market collapse and financial crisis. It was the worst U.S. recession since the 1930s, with unemployment peaking at 10%.

gross domestic income (GDI) — The total income earned producing goods and services in a country—wages, profits, and other income combined. In theory, GDI should equal GDP since every dollar spent becomes someone's income, but measurement differences cause small gaps.

home equity — The portion of a home's value that the owner actually owns—the market value minus the remaining mortgage balance. Home equity often represents the largest asset for middle-class families.

homeownership rate — The percentage of households that own their home rather than rent. The U.S. rate has historically hovered around 65%.

household survey — The monthly survey of individuals and families (the Current Population Survey) that produces the official unemployment rate by asking people directly whether they are working or looking for work.

income inequality — The extent to which income is distributed unevenly among a population. Higher inequality means a larger gap between what high earners and low earners receive.

inflation — A general increase in prices across the economy over time, which reduces the purchasing power of money. When inflation occurs, each dollar buys fewer goods and services than before.

inflation expectations — What people and businesses think inflation will be in the future. These expectations matter because they influence wage negotiations, pricing decisions, and interest rates.

inflation rate — The percentage change in the price level over a specific period, usually measured annually. It indicates how quickly prices are rising or falling.

initial claims — The number of people filing for unemployment insurance benefits for the first time each week. A leading indicator of labor market health—rising claims often signal upcoming job losses.

insured unemployed — People who are currently receiving unemployment insurance benefits. This count is smaller than total unemployment because not everyone who loses a job qualifies for benefits, and benefits eventually expire for those who remain unemployed.

inverted yield curve — When short-term interest rates are higher than long-term rates, the opposite of normal. An inverted yield curve has preceded every U.S. recession in recent decades, making it a closely watched warning sign.

job openings — Positions that employers are actively trying to fill. High job openings relative to unemployed workers indicate a tight labor market where workers have bargaining power.

JOLTS (Job Openings and Labor Turnover Survey) — A monthly survey tracking job openings, hiring, and separations (quits, layoffs, and other departures). It provides insight into labor market dynamics beyond simple job counts.

labor force — The total number of people who are either employed or actively seeking employment. It does not include people who are not working and not looking for work.

labor force participation rate — The percentage of the working-age population that is in the labor force (either employed or actively seeking work). It indicates how many people are engaged in or available for work.

labor productivity — The amount of goods and services produced per hour of work. Higher productivity means workers are producing more output in the same amount of time.

labor share of income — The portion of national income that goes to workers as wages and benefits, as opposed to capital owners as profits. A declining labor share means workers are capturing less of the economy's gains.

liabilities — What a person, company, or government owes—debts and other financial obligations. On a balance sheet, assets minus liabilities equals net worth.

liquidity — How easily an asset can be converted to cash without losing value. A savings account is highly liquid; a house is not, since selling takes time and involves costs.

M2 — A measure of the money supply that includes cash, checking accounts, savings accounts, money market funds, and small time deposits (CDs under $100,000). The Federal Reserve tracks M2 to gauge how much money is available for spending in the economy.

market capitalization — The total value of a company's outstanding stock, calculated by multiplying share price by number of shares. A company with 1 million shares at $100 each has a market cap of $100 million.

means-tested benefits — Government programs that only provide assistance to people below certain income or asset thresholds, such as Medicaid, food stamps (SNAP), and housing assistance.

median — The middle value in a set of numbers arranged in order. Half of all values fall above the median and half fall below. Unlike an average, the median is not skewed by extremely high or low values.

monetary policy — Actions taken by the Federal Reserve to influence the availability and cost of money and credit in the economy. The Fed's primary tools include setting interest rates and buying or selling securities.

net worth — The total value of assets (such as homes, savings, and investments) minus total liabilities (such as mortgages and debts). It represents overall financial wealth.

NIPA (National Income and Product Accounts) — The official accounting system for the U.S. economy, maintained by the BEA. It includes GDP, national income, personal income, and related measures.

nominal GDP — The total value of goods and services produced in an economy measured at current prices, without adjusting for inflation. Comparing nominal GDP across years can be misleading because price changes are included.

nonfarm payrolls — The total number of paid workers at U.S. nonfarm establishments, excluding farm workers, private household employees, self-employed proprietors, unpaid family workers, and active-duty military. The monthly change in nonfarm payrolls is the most-watched indicator of job growth.

owners' equivalent rent — A component of the inflation measure that estimates what homeowners would pay to rent their own homes. It's used because the costs of owning (like maintenance) are considered consumption, while the home purchase itself is investment.

payroll taxes — Taxes deducted from workers' paychecks to fund Social Security and Medicare. Employers also pay a matching amount, making the combined rate 15.3%—12.4% for Social Security (which applies up to a wage cap) and 2.9% for Medicare (no cap, with an additional 0.9% surtax on high earners).

PCE (Personal Consumption Expenditures) — A measure of consumer spending on goods and services that is used to track price changes and calculate inflation. The Federal Reserve prefers the PCE price index over the CPI for setting monetary policy.

percentage point — A unit for describing the difference between two percentages. If unemployment falls from 5% to 4%, it dropped by 1 percentage point (not 1%, which would be a much smaller change to 4.95%).

percentile — A value indicating the percentage of a distribution that falls below it. For example, a household at the 75th percentile of income earns more than 75% of all households.

personal saving rate — The percentage of after-tax income that households save rather than spend. A rate of 5% means households save 5 cents of every dollar of disposable income.

poverty threshold — The income level below which a family is officially considered poor. The thresholds vary by family size and are updated yearly for inflation—in 2024, about $32,000 for a family of four.

PPI (Producer Price Index) — A measure of inflation at the wholesale level, tracking prices received by producers for their output. It's often seen as a leading indicator of consumer inflation.

producer prices — The prices businesses receive for their goods and services at various stages of production. Changes in producer prices can signal future changes in consumer prices.

productivity-pay gap — The growing divide between how much workers produce per hour and how much they are paid. Since the 1970s, productivity in the U.S. has risen significantly faster than typical worker compensation, meaning the economic gains from increased efficiency have not been evenly shared with workers.

public debt — The total amount of money the government owes to creditors, accumulated from past deficits. Also called the national debt or government debt.

quantitative easing — A Federal Reserve policy of buying large amounts of bonds to push down long-term interest rates and stimulate the economy when short-term rates are already near zero. The Fed used this tool extensively after the 2008 financial crisis and during the COVID-19 pandemic.

quintile / income quintile — One of five equal groups (each representing 20%) when a population is ranked from lowest to highest. The bottom quintile is the poorest 20%; the top quintile is the richest 20%. Often used to describe income distribution.

real GDP — The value of goods and services produced in an economy, adjusted for inflation to reflect changes in actual output rather than price changes. It allows for meaningful comparisons across time.

real interest rates — Interest rates adjusted for inflation, representing the true cost of borrowing or return on saving. If a bond pays 5% and inflation is 3%, the real interest rate is about 2%.

recession — A significant decline in economic activity lasting more than a few months, typically visible in falling real GDP, rising unemployment, and reduced consumer spending. In the United States, the National Bureau of Economic Research (NBER) officially determines when recessions begin and end.

residential investment — Spending on housing, including new home construction, home improvements, and brokers' fees. It's a component of GDP that tends to lead the broader economy—declining before recessions and recovering before expansions.

S&P 500 — A stock market index tracking 500 large U.S. companies, widely used as a benchmark for overall stock market performance. It represents about 80% of U.S. stock market value.

Sahm Rule — A recession indicator that signals an economic downturn when the three-month average unemployment rate rises at least 0.5 percentage points above its lowest point in the previous 12 months. Named after economist Claudia Sahm, this rule has flagged every U.S. recession since 1970.

seasonally adjusted — Data that has been modified to remove predictable seasonal patterns, such as holiday shopping or summer hiring. This adjustment makes it easier to identify underlying economic trends.

sectoral balances — The financial positions of the major parts of the economy—households, businesses, government, and the foreign sector—showing whether each is spending more than it earns (deficit) or earning more than it spends (surplus). Because one sector's deficit must be matched by surpluses elsewhere, these balances always sum to zero across the entire economy.

shelter (as CPI category) — The housing component of the Consumer Price Index, including rent and owners' equivalent rent. Shelter is the largest single category in CPI, making up about one-third of the index.

trade balance / trade deficit / net exports — The difference between what a country exports and imports. When exports exceed imports, the country has a trade surplus; when imports exceed exports, a trade deficit. In GDP calculations, this same measure is called "net exports." The U.S. has run a trade deficit since the 1970s, meaning Americans buy more from abroad than they sell.

transfer payments — Government payments to individuals that are not in exchange for goods or services, such as Social Security, unemployment benefits, and food assistance. Transfers redistribute income but don't directly produce GDP.

Treasury yields — The interest rates on U.S. government bonds. Yields vary by maturity—short-term bills might yield 4% while 30-year bonds yield 5%—and serve as benchmarks for other interest rates throughout the economy.

U3 unemployment rate — The official unemployment rate, measuring the percentage of the labor force that is jobless and actively looking for work. It does not count people who have given up searching or those working part-time who want full-time jobs.

U6 unemployment rate — A broader measure of unemployment that includes the officially unemployed plus discouraged workers (who stopped looking) and part-time workers who want full-time work. U6 is typically several percentage points higher than the official rate.

unemployment rate — The percentage of the labor force that is jobless and actively seeking work. It is one of the most closely watched indicators of economic health, reported monthly.

unit labor costs — The labor cost to produce one unit of output, calculated as total labor compensation divided by total output. Rising unit labor costs can signal inflation pressure; falling costs suggest productivity gains.

value added — The increase in value a business creates over and above the cost of inputs it purchases. A furniture maker's value added is the difference between what it pays for wood and what it sells furniture for. GDP is essentially the sum of value added across all businesses.

yield — The income earned from an investment, usually expressed as an annual percentage of the investment's value. For bonds, the yield represents the return an investor receives from interest payments.

yield curve — A chart showing interest rates on bonds of different maturities, typically Treasury securities. Normally, longer-term bonds pay higher rates; when short-term rates exceed long-term rates, the curve is inverted—a recession warning signal.

References

Bank for International Settlements. *Effective Exchange Rate Indices*. Available at: https://www.bis.org/statistics/eer.htm.

Board of Governors of the Federal Reserve System. *Distributional Financial Accounts*. Available at: https://www.federalreserve.gov/releases/z1/dataviz/dfa/.

Board of Governors of the Federal Reserve System. *Foreign Exchange Rates*. Available at: https://www.federalreserve.gov/releases/h10/.

Board of Governors of the Federal Reserve System. *Industrial Production and Capacity Utilization - G.17*. Available at: https://www.federalreserve.gov/releases/g17/.

Board of Governors of the Federal Reserve System. *Survey of Consumer Finances*. Available at: https://www.federalreserve.gov/econres/scfindex.htm.

Bureau of Economic Analysis. *Corporate Profits*. Available at: https://www.bea.gov/data/income-saving/corporate-profits.

Bureau of Economic Analysis. *Gross Domestic Product by Industry*. Available at: https://www.bea.gov/data/gdp/gdp-industry.

Bureau of Economic Analysis. *Gross Domestic Product by State*. Available at: https://www.bea.gov/data/gdp/gdp-state.

Bureau of Economic Analysis. *International Investment Position*. Available at: https://www.bea.gov/data/intl-trade-investment/international-investment-position.

Bureau of Economic Analysis. *National Income and Product Accounts Tables*. Available at: https://www.bea.gov/itable/.

Bureau of Economic Analysis. *Personal Income and Outlays Report*. Available at: https://www.bea.gov/data/income-saving/personal-income.

Bureau of Labor Statistics. *Consumer Expenditure Survey*. Available at: https://www.bls.gov/cex/.

Bureau of Labor Statistics. *Consumer Price Index*. Available at: https://www.bls.gov/cpi/.

Bureau of Labor Statistics. *Current Employment Statistics*. Available at: https://www.bls.gov/ces/.

Bureau of Labor Statistics. *Employment Cost Index*. Available at: https://www.bls.gov/eci/.

Bureau of Labor Statistics. *Import and Export Price Indexes*. Available at: https://www.bls.gov/mxp/.

Bureau of Labor Statistics. *Job Openings and Labor Turnover Survey*. Available at: https://www.bls.gov/jlt/.

Bureau of Labor Statistics. *Producer Price Index*. Available at: https://www.bls.gov/ppi/.

Bureau of Labor Statistics. *Productivity and Costs*. Available at: https://www.bls.gov/lpc/.

Bureau of Labor Statistics. *Usual Weekly Earnings of Wage and Salary Workers*. Available at: https://www.bls.gov/news.release/wkyeng.toc.htm.

Chicago Board Options Exchange. *CBOE Volatility Index (VIX)*. Available at: http://www.cboe.com/vix.

Department of Labor. *Unemployment Insurance Weekly Claims Data*. Available at: https://oui.doleta.gov/unemploy/claims.asp.

Federal Housing Finance Agency. *Housing Price Index*. Available at: https://www.fhfa.gov/DataTools/Downloads/Pages/House-Price-Index.aspx.

Federal Reserve. *H.4.1 Factors Affecting Reserve Balances*. Available at: https://www.federalreserve.gov/releases/h41/.

Federal Reserve. *H.6 Money Stock Measures*. Available at: https://www.federalreserve.gov/releases/h6/.

Federal Reserve Bank of Atlanta. *GDPNow*. Available at: https://www.atlantafed.org/cqer/research/gdpnow.

Federal Reserve Bank of Atlanta. *Homeownership Affordability Monitor*. Available at: https://www.atlantafed.org/community-and-economic-development/data-and-tools/homeownership-affordability-monitor.

Federal Reserve Bank of Atlanta. *Wage Growth Tracker*. Available at: https://www.atlantafed.org/chcs/wage-growth-tracker.aspx.

Federal Reserve Bank of Cleveland. *Inflation Nowcasting*. Available at: https://www.clevelandfed.org/en/our-research/indicators-and-data/inflation-nowcasting.aspx.

Federal Reserve Bank of Dallas. *Trimmed Mean PCE Inflation Index*. Available at: https://www.dallasfed.org/research/pce.

Federal Reserve Bank of New York. *Consumer Credit Panel*. Available at: https://www.newyorkfed.org/microeconomics/ccp.html.

Federal Reserve Bank of New York. *SCE Labor Market Survey*. Available at: https://www.newyorkfed.org/microeconomics/sce/labormarket.

Federal Reserve Bank of San Francisco. *CPI Inflation Contributions*. Available at: https://www.frbsf.org/research-and-insights/data-and-indicators/cpi-inflation-contributions-from-goods-and-services/.

Federal Reserve Board. *Consumer Credit - G.19*. Available at: https://www.federalreserve.gov/releases/g19/.

Federal Reserve Board. *Financial Accounts of the United States (Z.1)*. Available at: https://www.federalreserve.gov/releases/z1/.

Federal Reserve Board. *Financial Obligations and Debt Service Ratio*. Available at: https://www.federalreserve.gov/releases/housedebt/.

Freddie Mac. *Freddie Mac Mortgage Rate 30-year*. Available at: http://www.freddiemac.com/pmms/.

National Bureau of Economic Research. *US Business Cycle Expansions and Contractions*. Available at: https://www.nber.org/research/data/us-business-cycle-expansions-and-contractions.

National Center for Health Statistics. *Life Expectancy*. Available at: https://www.cdc.gov/nchs/products/life_tables.htm.

Office of Management and Budget. *Historical Tables*. Available at: https://www.whitehouse.gov/omb/historical-tables/.

Social Security Administration. *Annual Statistical Supplement*. Available at: https://www.ssa.gov/policy/docs/statcomps/supplement/.

U.S. Census Bureau. *American Community Survey*. Available at: https://www.census.gov/programs-surveys/acs.

U.S. Census Bureau. *Building Permits Survey*. Available at: https://www.census.gov/construction/bps/.

U.S. Census Bureau. *Census Population Estimates*. Available at: https://www.census.gov/programs-surveys/popest.html.

U.S. Census Bureau. *Census Population Projections*. Available at: https://www.census.gov/programs-surveys/popproj.html.

U.S. Census Bureau. *Construction Spending Report*. Available at: https://www.census.gov/construction/c30/c30index.html.

U.S. Census Bureau. *Current Population Survey Annual Social and Economic Supplement*. Available at: https://www.census.gov/programs-surveys/cps.html.

U.S. Census Bureau. *Current Population Survey Public Use Microdata*. Available at: https://www.census.gov/programs-surveys/cps.html.

U.S. Census Bureau. *Housing Vacancies and Homeownership*. Available at: https://www.census.gov/housing/hvs/index.html.

U.S. Census Bureau. *International Trade in Goods and Services*. Available at: https://www.census.gov/foreign-trade/index.html.

U.S. Census Bureau. *Manufacturers' New Orders: Durable Goods*. Available at: https://www.census.gov/manufacturing/m3/.

U.S. Census Bureau. *Monthly Retail Trade*. Available at: https://www.census.gov/retail/index.html.

U.S. Census Bureau. *New Residential Home Sales*. Available at: https://www.census.gov/construction/nrs/.

U.S. Department of the Treasury. *Interest Rate Statistics*. Available at: https://home.treasury.gov/policy-issues/financing-the-government/interest-rate-statistics.

U.S. Department of the Treasury. *Monthly Treasury Statement*. Available at: https://fiscal.treasury.gov/reports-statements/mts/.

U.S. Department of the Treasury. *The Debt to the Penny and Who Holds It*. Available at: https://fiscal.treasury.gov/reports-statements/debt-to-the-penny/.

U.S. Department of the Treasury. *Treasury International Capital (TIC) System*. Available at: https://www.treasury.gov/resource-center/data-chart-center/tic/Pages/index.aspx.

U.S. Energy Information Administration. *Crude Oil Production*. Available at: https://www.eia.gov/petroleum/production/.

U.S. Energy Information Administration. *Electric Power Monthly*. Available at: https://www.eia.gov/electricity/monthly/.

University of Michigan. *Survey of Consumers*. Available at: http://www.sca.isr.umich.edu/.

Index